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**Multistate Essay Exam  
Volume II  
Review Questions**

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**MULTISTATE ESSAY EXAM**  
**VOLUME II – REVIEW TEXT**

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# AGENCY & PARTNERSHIPS QUESTIONS

## AGENCY

### QUESTION #1

Phipps authorized Allen, as his agent, to buy six racehorses for not <sup>3<sup>rd</sup></sup> more than \$5,000 each and charge them to him. Allen purchased six horses from Yancy who agreed to make delivery of the horses to Phipps on credit. Allen then approached Thomas about buying two more racehorses on credit. Thomas, knowing that Phipps was financially responsible, agreed to the purchase and sale.

When Allen delivered the 8 horses to Phipps he refused to take delivery of the two horses purchased by Allen from Thomas. As a result Thomas brought an action to recover the \$10,000 purchase price of the two racehorses.

What should be the court's decision? Give reasons for your answer.

### QUESTION #2

P, the owner of a hardware store, wanted to purchase 1,000 tool kits from D, a distributor of tool kits, but anticipated that D would refuse to deal with him because of a previous business dispute between them. On January 3, P wrote to A, a 17-year-old, and authorized him to purchase 1,000 tool kits for P from D for \$5,000, but specifically instructed A not to disclose P's identity to D.

On January 10, A and D entered into a written contract under which A agreed to purchase 1,000 tool kits from D for \$5,000. A signed the contract in his own name. Prior to signing the contract, D told A that he would never do business with P and asked A if A was representing P in this transaction. A said that he was acting solely for himself.

The next day A learned that X, a jobber, was selling substantially similar tool kits at a much lower price. Without consulting P, A entered into a separate written contract with X for the purchase of 1,000 tool kits for \$4,000. A signed the contract in his own name and advised X that he was acting solely for himself.

On January 12, A sent to P the contracts into which he had entered with D and X and, on January 17, A received a letter from P which stated that P accepted both contracts.

On February 1, D notified A that he would not deliver the tool kits under his contract with A because he had just learned that A was a minor and that A was, in fact, representing P. The same day, X advised A that he would not perform under his contract with A because he had learned that A had no authority to act for P at the time the contract was made. A relayed all this information to P.

What rights, if any, does P have against D and X? Give reasons.

### QUESTION #3

Abel is a licensed tree surgeon. Maple is the caretaker and employee of Trump. Trump is the owner of Trump estate.

The evidence revealed that Trump asked Maple whether a certain tree on the premises needed care. Maple stated that it did and that he knew a man in the business that he would send to Trump. Maple then got in touch with Abel and had him come to the property, showed him the tree, and pointed out other trees in need of treatment. Maple testified that he told Abel to talk to Trump about the needed work.

Abel did the work, and Maple told Trump the work had been completed. At no time did Abel see or talk to Trump. Some time later Abel sent to Trump a statement for his services and received no response.

Abel brings his suit against Trump for the value of his services.

What should be the court's decision? Give reasons.

### QUESTION #4

S wanted to sell a tract of land. A, a real estate representative of XYZ Oil Co., told S that his company would be interested in buying the property for a gas station. A had S sign a contract, the terms of which bound S immediately but did not bind XYZ until it approved and signed the agreement at its home office. A told S that the company's acceptance was a mere formality once he approved the deal.

Shortly afterward, a competing oil company indicated an interest in the land. S told A about the new offer and inquired as to when he would receive the signed agreement from XYZ Oil Co. A assured S that the deal with XYZ Oil Co. was firm and that S should not sell to anyone else. Accordingly, S broke off all discussions with the competitor. In the meantime, relying on A's assurances and with A's knowledge, S acquired a gasoline storage permit for the tract to be purchased by XYZ Oil Co., contracted to purchase another parcel of land, and moved his business from the proposed XYZ site to the new location.

XYZ later rejected the deal and S sued XYZ. What result? Give reasons.

### QUESTION #5

G organized Green Grass Corporation to purchase and operate the Green Grass Resort. At the outset, the business done by Green Grass was renting cabins, operating a cafe, selling fish bait, and renting a few boats ("resort business").

Hart was employed by the corporation as manager under a written employment contract. The contract provided that Hart should be in general charge of the Resort, personally managing it

and devoting his best efforts and all necessary time required for the efficient performance of his duties. He was also made secretary and treasurer of the corporation.

A short time after Hart began work as manager of the Resort, he did the following:

- (1) While assuming to act as the corporation's agent, he negotiated a dealership evidenced by an oral contract with Yellow Jacket Boat Company, Inc. to sell boats that the latter handled. Yellow Jacket intended to issue the dealership to the corporation.
- (2) As an incident to the boat business, Hart made arrangements with B & M to purchase boat supplies which B & M handled. The boat supplies were invoiced to "Roy Hart - Green Grass Resort."
- (3) To further the boat and boat-supply business, Hart made credit arrangements with a bank and opened a special checking account in his name. The bank did not consider that the corporation was involved in the credit arrangements. Checks were at all times drawn on this special account in payment for boat supplies ordered from B & M.

The checks drawn on Hart's special account in payment for the supplies were not honored, and B & M brought suit against Green Grass Corporation.

At the trial, it was shown that proceeds accruing from the sale of boats and boat supplies were commingled with proceeds accruing from the resort business and were used in the resort business. The boat supplies in controversy were either sold or some of the supplies were sold and the remainder left at the Resort. Hart testified that when he left the corporation's employ shortly before that, he left at the resort all the records pertaining to the boat and boat supply business.

What decisions? Give reasons.

## QUESTION #6

Harpo employed Green to manage an apartment project. In July, Green told Harpo that he had a prospective purchaser for the apartments. Harpo then sent Green a letter that authorized Green to act as Harpo's agent in the sale of the apartments. The letter further stated that Green was empowered to act in Harpo's best interest as agreed upon by Harpo and his attorney.

In September, Green told Harpo that he had listed the property with Randolph Realty Co. The multiple listing agreement that Green signed was in standard form. Harpo told Green that he was terribly upset and that his prior understanding with Green was only with respect to the prospective buyer that Green had said he had. However, Harpo did not tell Green to cancel the multiple listing agreement and also never personally attempted to cancel it.

In November, Green informed Harpo that Randolph had found a buyer, Bill, who was offering \$200,000. Bill's offer had to be accepted within 24 hours. Harpo discussed with Randolph the offer and Randolph's commission. Harpo then instructed Randolph to send a telegram of acceptance. Harpo had contemplated that the offer would not be accepted until

reviewed by his attorney in accordance with his original instructions to Green but he did not communicate that to Randolph.

Harpo then refused to sell the property and to pay a commission to Randolph. Randolph then sued Harpo for its commission on the ground that it had produced a buyer that was a ready, willing and able purchaser. Harpo argued that Randolph was not authorized to sell the property and that Green's listing of the property was unauthorized.

Decision? Give reasons.

### QUESTION #7

Robb was an employee on Hay's farm. During a lull in the harvest season, Hay mentioned that a neighbor, Fain, had owed him \$1,000 for over two years and that he would like to collect it. Robb said that he would call on Fain to collect the debt if Hay wished and would give him 25 percent of what he recovered. Silent, but nodding his head, Hay watched Robb climb in the farm truck and start out in the direction of Fain's farm.

Robb went directly to Fain's home and demanded payment of the money owed Hay. Fain reluctantly gave Robb \$600 to apply on the debt, but then called him an obscene name. Robb reacted by knocking Fain to the floor, kicking him and breaking six ribs. Frightened by the turn of events, Robb raced to the truck to leave. Unfortunately for Fain's pet Shetland pony, Robb hit and killed the pony while quickly backing up in the driveway to leave.

Afraid to return to Hay, Robb drove to a neighboring town 25 miles away and spent three hours in a local tavern bolstering his spirits. Then, while weaving out of the tavern parking lot, Robb negligently ran into Black's automobile, injuring Black.

What are the rights and liabilities, if any, of Hay? Explain.

### QUESTION #8

Thomas Gray is able to compete successfully with the large supermarket grocery stores in town by providing delivery service to the purchaser's front door. Tommy Edwards, a delivery boy for Gray, delivered two heavy packages of groceries to Gertrude Stone's front porch. Tommy rang the bell to let Gertrude know that the groceries had arrived.

Gertrude opened the door and requested that Tommy deliver the groceries to the kitchen because the bags of groceries were quite heavy. Tommy did so, and as he was leaving he observed that Gertrude was having difficulty in moving a cabinet in the dining room. Gertrude requested that Tommy help her and he attempted to do so. While moving the cabinet, Tommy failed to see a small but very valuable antique table, which was in plain sight. Because he did not see the table he struck the table with the cabinet and totally destroyed it.

Gertrude consults you as to bringing an action against Gray for the value of the destroyed antique. How should you advise her? Give reasons.



**QUESTION #9**

Joe Tazewell entered into a contract with Chair Company, Inc., by the terms of which Tazewell was engaged to sell chairs manufactured by the Company. The contract provided, in substance:

- Orders should be taken on printed forms furnished by the Company;
- Credit sales should be subject to approval by the Company;
- The sales price stated in the printed form should not be varied;
- Tazewell would sell no other chairs;
- Tazewell would receive as his commission ten per cent (10%) of the purchase price of each chair sold;
- Tazewell could conduct the business and devote such time thereto as he deemed advisable;
- He would promptly remit to the Company all money received by him on the purchase price of chairs sold;
- Tazewell was to furnish his own transportation, and the area to be served by him was limited to six counties; and
- All rights of Tazewell under the agreement were personal and non-assignable.

On July 21, while Tazewell was operating his own automobile en route to the home of a prospective customer within his area, Tazewell struck and seriously injured Mary Maize, who promptly thereafter commenced an action against Tazewell and the Company to recover damages for personal injuries.

In the course of the trial of the action, the contract between Tazewell and Chair Company, Inc., was introduced in evidence, and the following additional material facts respecting the relationship between the Company and Tazewell were proved by plaintiff's evidence:

- Tazewell was en route to try to effect a sale to a customer at the time his car struck and injured Maize;
- That he was driving his own car and was operating his car at his own expense;
- That the company made no suggestions as to how Tazewell should perform his work and did not suggest any prospective customer for him to see;
- That Tazewell was not required to make any number of sales or work any particular time;
- That he used his own judgment and discretion as to when, where and how he would travel to see a customer, or whether he would work at all; and
- That he had been using the automobile involved in the accident for about a year prior to the accident with the knowledge of the Company.

At the conclusion of the evidence offered by the plaintiff, counsel for the Company moved for a directed verdict on the grounds that evidence failed to establish an agency or master and servant relationship between Chair Company, Inc. and Tazewell.

How should the court rule on the motion? Give reasons.

### QUESTION #10

Acme Contractors, Inc. was hired as a general contractor to repair large sections of Highway 72. Acme hired, at a fixed hourly rate, a special crane and crane operator from Builders Construction Co. to lift steel girders from delivery trucks to bridge construction sites.

For two months, John Smith, an employee of Builders, reported first to Builders and then went to Acme's various bridge construction sites. John Smith reported to and followed the directions of Acme's construction site supervisor, Fred Brown. Every Friday, Smith picked up his paycheck from Builders.

On September 15, Acme had a shortage of its own personnel so Brown instructed Smith to use his crane to move several prefabricated concrete forms. While following the appropriate hand signals regarding the positioning of the crane from Brown, Smith negligently operated the crane causing the concrete to fall on a passing motorist, James Able. James Able has serious spinal injuries.

Who is liable for James Able's injuries? Give reasons.

### QUESTION #11

Acme Manufacturing Company, a large industrial corporation, owned a fleet of several airplanes for use in its business. It employed several pilots full time, including John Black. The planes were stationed at a privately operated airport near Raleigh, owned and operated by Ace Flying Service, Inc. which also serviced Acme's planes and rented hangar space for their occupancy. Employment of pilots and dispatch of planes and pilots of Acme were the duties of Chief Pilot Burns. Black was ordered to take one of the planes to a small city located several hundred miles away, which had neither commercial airline nor air charter service, in order to pick up potential customers of Acme for an important dinner conference that night in Raleigh with Acme's top management.

On route to get his passengers, Black's plane developed mechanical difficulties, forcing him to land at an airport short of his destination. Repairs could not be made in apt time, so Black attempted unsuccessfully to communicate with Chief Pilot Burns for further instructions. He also was unable to locate their other company pilots. He then telephoned the manager of Ace, who told him that one of the Acme planes was in its hangar and that a pilot employed by Ace was available. Black told the manager to have the Ace pilot ferry the Acme plane to him at once so that he could carry out his mission. While taxiing for take off, the Ace pilot negligently rammed the Acme plane into another private plane owned by Innocent, proximately causing extensive damage to both planes.

Was the Ace pilot the agent of Acme so as to impose liability on Acme for the damages to Innocent's plane? Explain.

**QUESTION #12**

B was employed as a salesman by A Co., a firm of real estate brokers, under an oral contract, terminable at will, which provided that B was to receive one-half of the commissions on all deals he negotiated to a successful conclusion. Nothing was ever said between A Co. and B as to the rights of, or restrictions upon either party with respect to deals pending at the termination of the employment. Z, who had an office building to sell, listed it with A Co. for sale and B began negotiations with T in an attempt to sell Z's building. Later, T told B that he would buy the building and comply with all of Z's terms of sale except that T wanted to pay less cash and give a larger mortgage than Z asked. Because of a disagreement with A Co. about another deal, B resigned.

A Co. knew that B had been attempting to sell Z's property, but knew nothing about his negotiations with T. A few days later, B obtained a real estate broker's license for himself, resumed the negotiations with T and, shortly, unknown to A Co., induced T and Z to execute a valid contract for the sale of the office building. B demanded that Z pay him the commission which, at established rates, amounted to \$75,000, but Z refused. B then brought an action against Z for the commission and obtained a judgment for \$75,000. A Co. first learned of these facts when the action was brought. Z appealed but, before the appeal was argued, offered B \$65,000 in full settlement of B's judgment. Hearing of this offer, A Co. told B that it intended to hold him responsible for half of the judgment in any event and that he should therefore contest the appeal. B accepted the \$65,000 and satisfied the judgment.

What rights, if any, has A Co. against B? Give reasons.

**QUESTION #13**

Price owned and operated a fruit cannery. In order to have goods readily available for market, he stored a substantial amount of finished canned goods in a warehouse owned and operated by Arvin. On March 1, he had 10,000 cans of peaches and 5,000 cans of apples in storage with Arvin. On the day named, he borrowed \$9,000 from Arvin, giving Arvin his promissory note for this amount due June 1 together with a letter authorizing Arvin, in the event the note was not paid at maturity, to sell any or all of his goods in storage, pay the indebtedness and account to him for any surplus. Price died on June 2, without having paid the note.

On June 8, Arvin told Todd, a wholesale food distributor, that he had for sale as agent of the owner, 10,000 cans of peaches and 5,000 cans of apples. Todd said that he would take the peaches and would decide later about the apples. A contract for the sale of 10,000 cans of peaches for \$10,000 was thereupon signed: "Arvin, agent for Price, seller; Todd, buyer." Both Arvin and Todd knew of the death of Price. Delivery of the peaches and payment therefor were made on June 10. On June 11, Arvin and Todd signed a similar contract covering the 5,000 cans of apples, delivery and payment to be made June 30. On June 23, Price's executor, having learned of these contracts, wrote Arvin and Todd stating that Arvin had no authority to make the contracts, demanding that Todd return the peaches and directing Arvin not to deliver the apples.

Decide the correctness of the contentions of Price's executor.

**QUESTION #14**

James Packer was a processor of meat. In December of 1988, Packer employed Tom Boston to purchase livestock for him. Boston, from the beginning of his employment by Packer, purchased beef cattle from Frank Seiler. After each purchase of cattle, Seiler would send a bill to Packer who would then forward his check in full payment. Packer had instructed Boston that at no time was he to purchase sheep from Seiler. During the period from 1988 through 1992, Boston purchased more than 5,000 head of cattle for Packer.

On February 15, 1993, Packer became angry with Boston and discharged him. In addition, he refused to pay Boston any severance pay, to which Boston thought he was entitled. On February 20, 1993, Boston being angry with Packer, told Seiler to ship 100 sheep to Packer. Seiler delivered the sheep to Packer's plant. Packer refused delivery of the sheep and also refused to pay the bill sent to him by Seiler.

Seiler brought an appropriate action against Packer to recover for the sheep. Packer defends on the grounds:

- (a) he had expressly ordered Boston never to purchase sheep, and
- (b) he had discharged Boston on February 15, 1993.

Decision? Give reasons.

## PARTNERSHIPS

### QUESTION #15

A and B entered into an agreement to go into a business to purchase and sell junk automobiles. The agreement was oral and provided that all of the profits would be divided equally between them. There was no agreement concerning the sharing of losses, if any. After a rather successful operation of the business, B died. A brought an appropriate action to establish a partnership, asking for an accounting.

A was able to show the existence of the oral agreement and it was also shown that there was no agreement concerning the sharing of losses. The administrator of B's estate and B's heirs-at-law contend that there has been a failure on the part of A to show that a partnership existed between A and B.

Decision? Give reasons.

### QUESTION #16

Able obtained a contract to perform certain stated repairs and alterations on National Bank Building for a base price of \$10,000 subject to adjustments in event of changes in specifications. He induced his friend Baker, an experienced carpenter, to help, promising him 40% of the total price received.

Able and Baker went together to the Ace Lumber Company to purchase supplies for the project. Able conducted the negotiations and sought terms providing a small down payment with the balance payable in 90 days. When asked by Ace's manager the purpose of the purchase, Able said, "My partner here and I have this job for the bank. We can finish in 90 days and we'll make more than enough on the job to pay the balance." Ace extended credit as requested.

The job has been completed, but Able absconded with the \$10,000, leaving the Ace bill unpaid. Ace now seeks to recover from Able and Baker.

Decisions? Give reasons.

### QUESTION #17

A, B, and C were general partners in the business of retail sale of farm equipment. X had ordered a farm tractor from the partnership. The delivery being delayed, X called at the store of the partnership to complain.

A was the only partner present in the store at the time. During the discussion with A, X became enraged, called A many vile names, and in a loud voice condemned the company and its products.

A number of other customers were present in the store and within hearing distance. A threw X into the street, using unnecessary force to do so, breaking X's leg. X sued the partnership for damages.

Assuming that the cause was properly pleaded, and the above facts properly presented in evidence, what decision? Give reasons.

## QUESTION #18

Cochran, Denton, and Edwards formed a general partnership for the sale of life insurance. Cochran sold a policy of life insurance to Randolph and had Randolph make the check for the initial \$1,000 premium payable to Finest Life Insurance Company. Cochran, who was suffering financial difficulties, indorsed the insurance company's name to the check as well as his own name and then proceeded to cash the check and retain the funds for his own personal use.

Subsequently, the firm sold a life insurance policy to another client, Simpson. Cochran assured Simpson that coverage was effective immediately. However, due to Cochran's negligence in failing to transmit the insurance application and premium check to the insurance company, the policy never became effective. Simpson died a short time thereafter, and Simpson's widow, who was to have been the beneficiary of the policy, was advised by the insurance company that there had never been any life insurance policy in effect and that no proceeds were payable to her.

Cochran subsequently died, and his Executor consented to the continuation of the insurance business by Denton and Edwards without liquidation of the partnership. A short time later, Fox became a new member in the partnership and contributed \$10,000 to the capital of the partnership.

Randolph, upon learning that his \$1,000 premium check had been cashed by Cochran, made demand upon the partnership and its three partners personally for return of the \$1,000 to him. Simpson's widow also made demand upon the partnership and its three partners personally for payment of damages in the amount of \$50,000 which was the amount of the life insurance policy her husband had intended to purchase. Denton and Edwards denied liability to either Randolph or Simpson's widow on the basis that they had no knowledge of Cochran's actions, and Fox likewise denied any liability on the basis that not only did he have no knowledge of Cochran's actions, but also that he was not even a member of the partnership at the time the events in question occurred.

- (1) Is the partnership liable for the claims made by Randolph and Simpson's widow? Give reasons.
- (2) To what extent, if any, are Denton, Edwards, and Fox personally liable as to those claims? Give reasons.

**QUESTION #19**

Able, Baker and Clifford were partners in a successful restaurant business in Chicago. Undistributed profits of the partnership were invested in bank certificates of deposit to provide a source of funds for periodic refurbishing of the restaurant and for future expansion of the business when the time was right.

Clifford thought the partnership could realize better growth of its surplus funds if they were invested in real estate, and after seeing an ad in the Wall Street Journal advertising the sale of a 500 acre tract of land in Montana “in the heart of the West's richest coal fields,” he suggested to his two partners that they cash in the bank certificates of deposit and purchase the land. Able and Baker rejected the proposal as too speculative and told Clifford not to pursue the matter any further.

Clifford was convinced that his partners would change their minds after they learned more about the booming mining industry in Montana, and several days later, without their knowledge or consent, he signed a contract in the name of the partnership for the purchase of the 500 acre tract of real estate by the partnership. Two weeks later, the owner of the real estate sent the required evidence of good title to the partnership and gave notice that he was ready to close the transaction. Able and Baker, who learned of the contract for the first time upon receipt of said notice from the owner, called the owner and informed him that they had not authorized the transaction and that the partnership would not purchase the real estate. Clifford reluctantly concurred. The owner responded that unless the partnership fulfilled the contract, he would file suit for specific performance.

Shortly thereafter, the partnership received a letter from a bank that had obtained a judgment against Clifford after he defaulted on a personal loan unrelated to the partnership. The letter stated that unless the judgment was satisfied immediately, the bank intended to satisfy the judgment against Clifford by execution against his share of the partnership's certificates of deposit as well as against Clifford's one-third interest in the profits of the partnership.

Able and Baker consult you and ask:

- (a) Is the partnership bound by the real estate purchase contract signed by Clifford; and
- (b) What are the bank's rights as judgment creditor of Clifford?

What answer will you give to each inquiry? Give reasons.

**QUESTION #20**

A, B, and C were partners in a retail business operated under the name of “Dan's Hardware Store.” C's connection with the firm was unknown to everyone except his partners and the state and federal tax authorities. Over C's objection, uncommunicated to D, A and B purchased goods from D on the firm's credit. Without C's knowledge, A assigned to D certain accounts receivable of the firm and also endorsed to D in the firm name a check payable to the firm by X, one of its customers. Thereafter, C withdrew from the firm, but A and B continued to operate the business and purchased a large quantity of goods on the firm's credit from E, the firm's regular wholesaler.

- (a) Is C liable to D?
- (b) Does C have any rights with respect to the assignment of assets to D?
- (c) Is C liable to E?

Give reasons for each of your answers.

### QUESTION #21

In 1989, Smith and Brown entered into a partnership for the sale of widgets. The partnership agreement provided that “profits” would be divided equally and that each would contribute \$5,000 working capital. The agreement contained no provisions for the dissolution of the partnership.

From 1989 to December 1991, the partnership functioned smoothly with each partner receiving a modest remuneration through the division of profits at the end of every quarter. On December 31, 1991, Smith became ill and from that time through March 31, 1992, Smith was unable to work, although he presented himself willing and able to return to work on April 1, 1992.

When Smith returned on April 1 and inquired about the division of profits for the quarter ending March 31, Brown informed Smith that there were no profits, since all excess proceeds had been paid to Brown as salary for his services and as reimbursement for payments made and liability incurred by him personally in the ordinary course of the partnership's business. Alternatively, Brown offered to return to Smith his \$5,000 contribution to capital, stating that the partnership had been dissolved when Smith became so ill that he could not continue to participate for which reason he, Brown, was entitled to all proceeds after that time.

Evaluate the arguments advanced by Brown. Give reasons.

### QUESTION #22

Aker and Barnwell were partners in a general partnership engaged in the retail sale of lawn equipment. Jones, a pedestrian, was seriously injured when he was struck by a delivery truck negligently operated by Aker while making a delivery to a customer. Three weeks later, Carlton became a new partner after contributing \$100,000 in cash to the partnership.

Jones comes to you for advice. He informs you that Aker is penniless and that any attempt to recover damages from Aker personally for his injuries would be to no avail. He asks you what rights he has against: (a) the partnership and its assets, including the amounts contributed by Carlton; (b) Barnwell personally; and (c) Carlton personally.

What is your advice? Give reasons.



**QUESTION #23**

Barbara and Donna were partners engaged in a large wholesale business, the assets of which had a market value of \$200,000. The business had become over extended, with the result that the partnership owed obligations totaling \$300,000. The partners persuaded Smoot to invest \$50,000 in the capital of the partnership and to become a full partner, assuring him that his financial contribution would enable the partnership to extricate its financial hurdle and that it would soon be a prosperous, thriving business. Six months after Smoot became a partner, it became evident that the partnership could not successfully continue as it still had assets having a value of only \$200,000 and obligations totaling \$300,000. In a suit to wind up the partnership affairs, the court was called upon to decide:

- (a) whether the \$50,000 contribution made by Smoot was available for payment of creditors who had claims against the partnership prior to Smoot's entry into the partnership;
- (b) whether Smoot was personally liable for the debts of the partnership that existed prior to the time that he became a partner.

How should the court rule on (a) and (b)? Give reasons.

**QUESTION #24**

A and B were partners operating a farm implement business. The business was quite profitable and had a steady and profitable growth for the past ten years. B, for a valuable consideration, sold his interest in and executed an assignment of his interest to C.

C desires to enter into the active participation of the business as a partner and so informs A. A told C that he was not and could not become a partner, that the partnership was not dissolved, that he could not interfere in the business or obtain any information of partnership transactions or inspect the partnership books.

C consults you as to his rights under the circumstances. Advise him.

**QUESTION #25**

Allen, Burton, and Crawford formed a business partnership for the manufacture of microcomputers. Burton obtained a loan from First Bank to finance his personal investment in a speculative venture unrelated to the partnership. As security for the loan, he assigned to the bank "my entire interest in the Allen, Burton, and Crawford Partnership." To secure other personal borrowings from First Bank, he later assigned to the bank his interest in 3,000 shares of Empire Corp. common stock held by the partnership in its investment portfolio. Such assignments were made without the consent or knowledge of Allen and Crawford. Burton's speculative venture failed, and he was unable to repay First Bank when the loans became due and payable.

Allen and Crawford consult you and inform you that First Bank, as assignee of Burton's interest in the partnership as well as assignee of his interest in the partnership's 3,000 shares of Empire Corp. common stock has demanded:

- (1) that the partnership pay over to it all profits of the partnership to which Burton was entitled;
- (2) an inspection of the partnership books and records and a complete accounting;
- (3) the right to participate in the management of the business of the partnership for the purpose of monitoring and preserving its collateral;
- (4) that the partnership turn over to it 1,000 shares of Empire Corp. common stock pursuant to Burton's assignment of his one-third interest in the partnership's 3,000 shares of that corporation; and
- (5) in the alternative that the partnership be dissolved and that it receive Burton's interest in the partnership upon liquidation.

What advice will you give Allen and Crawford regarding each of First Bank's demands? Give reasons.

## QUESTION #26

Acton, Baker, and Cox were equal partners in a retail clothing business in Chicago, Illinois. At the time the partnership was formed, each partner contributed \$50,000 in cash to the capital of the partnership.

After the business had been in operation for about two years, Acton and Baker moved to Florida. The partners agreed that the partnership would continue in operation with Cox being responsible for the day to day management and operation of the business. Profits continued to be split equally among the three partners.

The business soon encountered financial difficulties, and Cox contributed an additional \$20,000 of his own funds to pay various expenses of the partnership. Baker died a short time thereafter. Cox wound up the partnership affairs and liquidated all assets. After payment of all outstanding liabilities to third party creditors, the partnership had \$150,000 in cash.

Cox consults you and asks your advice as to how the \$150,000 should be distributed. He also asks whether he is entitled to compensation for the period he served as sole manager and operator of the business after Acton and Baker moved to Florida and for the work he did on winding up the partnership affairs.

What is your advice? Give reasons.

## QUESTION #27

A and B were partners opening an insurance business. The written partnership agreement provided, among other things, that the partnership would only be dissolved in case of death or by mutual agreement of the partners. A disagreement arose between the partners, and A

left the partnership premises, moving to a new location and A commenced to do business on his own account. B brought an action against A to recover the profit made by A after his departure from the company. B contended that the partnership relation continued since the agreement concerning dissolution had not been complied with, the partnership continued and that he was entitled to his share of the profits.

Decision? Give reasons.

### QUESTION #28

A and B were partners in the publication of a daily newspaper. The partnership agreement contained the following provision: "That it is the express intention, aim and direction of the parties hereto, that upon the death of one of the partners, the said partnership shall not be deemed dissolved thereupon, nor shall said business be stopped or ceased in any way or manner for any reason whatsoever, but the personal representative of the partner so dying shall immediately succeed to his interest in the partnership, and shall stand in his place with respect to said deceased partner's share and profits in the business of the partnership, and such personal representative shall have the same rights and powers and shall be subject to the same duties and liabilities as the deceased partner would have possessed and would have been subject to, but for his death."

A died and his personal representative consults you concerning his rights and obligations under the partnership agreement. Advise him.

### QUESTION #29

Able and Baker orally agreed to engage together in the building of houses for sale. Pursuant to their agreement, Able would furnish all necessary capital to acquire the land and pay for construction of the houses; Baker, who was a contractor by trade, would not contribute any capital but would keep the books and furnish his knowledge, skill and supervision; and all profits would be shared equally between them.

Baker selected a lot that was purchased for \$20,000 with funds furnished by Able. Title to the lot was taken in Able's name. Able also deposited \$95,000 in a joint bank account with Baker from which Baker drew funds to pay for the materials and labor used in construction of a house on the lot. The funds deposited by Able to the account were not sufficient to complete the house, and Baker advanced \$5,000 of his own funds to pay the final construction costs when Able refused to make any further deposits to the account.

The house and lot were thereafter sold by Able for \$180,000. Able delivered a deed to the purchaser and deposited the \$180,000 in his own account without paying expenses of sale he incurred in the amount of \$4,000. Baker immediately demanded that Able pay over to him \$90,000 representing one-half of the proceeds of sale and in addition the \$5,000 he had advanced with interest thereon from the date of the advance. Baker's demand for payment was refused by Able who informed Baker that he no longer wanted to have any further dealings with him. Baker promptly brought an action to recover the sums claimed due him, and the foregoing facts were proved.

How should the court rule on disposition of the \$180,000 proceeds of sale? Give reasons.

### QUESTION #30

Adams, Baker, Cross, and Drake come to you as their attorney to seek your advice and assistance in setting up a limited partnership to engage in the business of interior decorating. They inform you that they have the following plan in mind: Adams will be the general partner with responsibility for the day-to-day management and control of the business, and Baker, Cross and Drake will be limited partners with Baker to contribute \$20,000 in cash, Cross to contribute real estate worth \$20,000 and Drake to contribute his services as an interior decorator for a period of six months at an agreed-upon value of \$20,000. The name of the partnership is to be: "Adams & Baker Interior Decorators Co." Baker will agree to make an unsecured loan of \$10,000 to the partnership for start up expenses, and Cross has agreed to loan the same amount for the same purpose provided he is given a first mortgage on the partnership real estate. Baker, Cross and Drake want to provide that, in the event of dissolution, Baker and Cross will have priority over Drake with regard to return of their contributions.

What will you advise them? Give reasons.

### QUESTION #31

The duly recorded certificate of limited partnership of Acme Hardware Co., a wholesale hardware business, stated that Albert was the general partner, and that Bradley and Charles were limited partners. Both limited partners contributed \$50,000 to the partnership as specified in the certificate.

After the limited partnership had been in business for about six months, it became evident that Albert did not have the expertise to manage the business by himself. At Albert's request, Bradley assumed a share of the responsibilities with Albert in the management and control of the business on a daily basis. One of Bradley's duties was to handle the financial affairs of the partnership including the purchase of inventory from Supply Co.

A month later, Jones, a pedestrian, was seriously injured when he was struck by a delivery truck negligently operated by Albert while making a delivery to a customer. Jones filed suit against the partnership and against Albert, Bradley, and Charles, personally, to recover damages for his injuries. After the accident, the partnership's sales deteriorated, and suit was brought by Supply Co. against Acme and each of its general and limited partners personally for recovery of a \$20,000 balance due Supply Co. for a shipment of gas grills ordered by Bradley on behalf of the partnership.

What personal liability, if any, do Albert, Bradley and Charles each have to:

(a) Jones?

(b) Supply Co.?

Give reasons for your answers.

# **AGENCY & PARTNERSHIPS ANSWERS**

## **AGENCY**

### **ANSWER TO QUESTION #1**

Allen was retained by Phipps to deal contractually with third parties for the purpose of purchasing six racehorses for not more than \$5,000 each. As principal, Phipps had the right to control Allen in the performance of his business dealings. Correspondingly, as agent of Phipps, Allen had the duty to be obedient and use reasonable care.

Thomas knew that Allen was acting for Phipps and agreed to sell the horses on credit because he knew that Phipps was financially responsible. Phipps was therefore a fully disclosed principal at the time of the transaction. As a disclosed principal, Phipps is liable to third persons on contracts entered into by an authorized agent. Phipps will therefore be liable to Thomas if it is found that Allen was acting within his authority when he contracted with Thomas.

As Phipps authorized Allen to purchase only six horses, there was no express authority for the purchase of the two additional horses. Similarly, the purchase of the two additional horses was not necessary to the accomplishment of the expressly authorized act, and therefore Allen had no implied authority to contract with Thomas.

A principal may also be liable for contracts entered into by his agents where the agent acted with apparent authority. If the principal holds out the agent as having authority to act for him and the third party reasonably relies to his detriment upon the purported authority of the agent, the principal cannot then deny the agent's authority to act. However, in order to prove apparent authority, the third party must show acts or statements by the principal on which the third party relied. Thomas will be unable to point to any such acts on the part of Phipps on which he could have relied.

The authority conferred on Allen by Phipps was of a very limited nature. Allen was employed by Phipps specially for the purpose of purchasing six horses. He was not employed continuously as a general agent to conduct all of Phipps' business of a particular kind, but was instead employed as a special agent to conduct a single transaction. Whereas a general agent cannot be limited by private order of the principal not known to the third party, a special agent can be so limited, and has no authority to bind his principal beyond the terms of the specific authority conferred upon him by the agreement for employment. The authority conferred upon Allen by Phipps was limited in scope and created only a special agency for the purpose of purchasing six horses. Allen had no authority to purchase the additional two horses, and Phipps will not be liable to Thomas on the contract.

Thomas will also be unable to recover the purchase price from agent Allen. The existence and identity of Phipps as principal was known to Thomas at the time he entered into the transaction, and an agent for a disclosed principal will not be held personally liable to third parties.

**ANSWER TO QUESTION #2**

P may not enforce the contracts against D, but may enforce the contract against X.

D will defend against an action brought by A, first, on the basis that A is a minor. However, a minor may act as an agent and is deemed to be endowed with the capacity of his principal. Therefore, A had the capacity to enter into a valid contract as P's agent, since P is an adult and has legal capacity. Moreover, a contract entered into by a minor is voidable only on the minor's part. The other party cannot raise the minor's minority as a defense. Secondly, D defends on the basis that A was acting as P's agent, even though A represented that he was acting in his own behalf. A court would likely hold that this fraud was sufficient to allow D to rescind the contract. Thus, D will be able to avoid the contract on this basis. If the court does not allow rescission, D will have to bring a tort action for intentional misrepresentation against A and P (as A's principal).

Likewise, X may be able to defend against enforcement of the contract by A on the basis that A's representation that he was acting for himself was fraudulent. However, it is less clear that this was a fraudulent misrepresentation in these circumstances, since it does not appear that A made the misrepresentation in order to procure a contract that X otherwise would not have entered into. Similarly, X cannot now defend on the basis that A had no authority to make this contract for P, since X did not rely on A's agency relationship with P when making the contract. X made a contract with A, and unless some real fraud is shown P should be able to enforce the contract against X.

**ANSWER TO QUESTION #3**

As there was no contact between Trump and Abel, Abel will not be successful in his suit against Trump unless he is able to establish the existence of a principal and agent relationship between Trump and Maple.

Existence of an agency relationship may be established by circumstantial evidence. Relevant factors include the situation of each party, their words and actions. In this case, Maple was employed as caretaker of Trump's estate. Trump did not give express authority to Maple to contract on behalf of Trump relative to the sick trees. Trump merely inquired of Maple as to the health of the trees. Maple indicated to Trump that he would send someone to Trump for the purpose of contracting with Trump for care of the sick trees. Clearly there was no express or implied grant of authority to Maple to contract with third parties for the care of the trees.

Trump did acquiesce to Maple's seeking out of the services of Abel. Where a person holds out another to a third party as having the authority to act for him, he may be liable for contracts so made on his behalf. A third party such as Abel may recover when he reasonably relies to his detriment on the apparent authority of the purported agent. In this case there were no acts or statements by Trump which Abel could have reasonably relied upon. In fact, when Maple told Abel to talk to Trump, Abel should have reasonably inferred that he should

contract with Trump alone, and that, consequently, Maple did not have the power to contract for Trump.

Abel should still be able to recover the value of his services from Trump by showing that Trump subsequently ratified the contract. Ratification can occur only where the principal was in existence at the time of the act and had knowledge of the material facts and the agent intended to represent the principal at the time of the act. Intention to ratify may be inferred from the words, conduct or silence of the principal. After being told by Maple that the work was done, Trump did nothing to show that he did not approve of Maple's hiring of Abel to do the work, and after receiving Abel's statement sometime later, did not disavow Maple's purported authority to contract for him. The Court should find that Trump ratified the contract by his silence upon learning of the same.

#### **ANSWER TO QUESTION #4**

In order for XYZ to be held liable on the contract with S, S will have to show that A was XYZ's agent and that A had the authority to make a contract binding on XYZ. S may argue that, despite A's lack of actual authority, he had implied authority by virtue of his position as a real estate representative of XYZ. However, such a finding must be based on the acts of the principal. S relied solely on A's representations. In fact, by providing that the agreement would not be binding until signed by XYZ, the company sufficiently indicated A's lack of authority to make binding contracts. Thus, XYZ cannot be held liable on the contract. S will have to sue A for either a breach of his implied warranty of authority or the tort of intentional misrepresentation.

#### **ANSWER TO QUESTION #5**

As full-time manager of the Green Grass Resort, Hart stood in an agency capacity as Green Grass' representative. The question in this case is whether Hart went beyond the scope of his authority in setting up a boat and boat supply business. Although Hart lacked express authority to establish a boat business, he may have had apparent authority to do so, by virtue of his position as sole operator and manager of the resort. This will depend in large part on whether a boat dealership and boat supply business are a normal part of a resort business. Assuming it is not, then Green Grass did not put Hart in a position to mislead Yellow Jacket or B & M that Hart had authority to open and run the boat business as its agent. Thus, it cannot be said that Hart had apparent authority.

B & M may argue that even if Hart lacked authority to contract on Green Grass' behalf, Green Grass later ratified the agreement since Green Grass must have known about the boat business (the funds were commingled, supplies remained there after Hart resigned), and Green Grass apparently acquiesced. Green Grass, however, can attempt to show that no ratification was intended. Intent is a necessary element of ratification, but may be shown by silence or failure to act in the face of knowledge that the contract has taken place.

**ANSWER TO QUESTION #6**

Harpo cannot now complain that Green's act of listing the property with Fandolph was unauthorized since Harpo ratified Green's act by failing to cancel the listing agreement and then dealing directly with Randolph on the sale. Harpo's silence and conduct are sufficient to constitute acceptance of the benefit (i.e., ratification) of the contract.

However, Randolph cannot recover its commission from Harpo for producing a ready, willing and able purchaser unless Harpo was aware of that term of the contract, because a principal cannot be said to have ratified a contract unless all material terms were known to him. Because this contract was a "standard form" it can probably be shown that Harpo had knowledge of this term.

**ANSWER TO QUESTION #7**

Hay is liable for Robb's actions only if Robb was his servant and Robb's actions were within the scope of his employment. Thus, Hay is not liable if Robb was an independent contractor or was acting outside the scope of his employment.

Hay may seek to establish that Robb was an independent contractor. He may argue that Robb was hired for a specific job, was to be paid a specific contingency fee (not by the hour), and that Hay had little or no control over Robb's performance. The fact that Robb also served as Hay's servant in regard to his job on the farm does not preclude him from being treated as an independent contractor for this specific, unrelated job, although it may be considered as a factor in the determination of Robb's status. The fact that Robb used Hay's truck in performing the job is also a factor in favor of the conclusion that Robb was acting as Hay's servant. If Robb is deemed an independent contractor in this situation, Hay may not be held liable for his torts under a theory of respondeat superior.

Further, assuming that Robb is held to be a servant of Hay, Hay may still avoid liability by arguing that Robb's actions were outside the scope of his employment.

In regard to Hay's punching of Fain, Hay may first argue that intentional torts are usually considered outside the scope of employment. However, this rule may not apply in circumstances such as this (i.e., debt collection), where hostility is a natural part of the job. More importantly, though, Hay will have a persuasive argument that Robb was acting outside the scope of his employment based on the fact that Robb had already collected the money when he punched Fain. Thus, Robb's action was not necessary to accomplish Hay's purpose. Robb acted because he was angry at being insulted, i.e., for his own purposes.

In regard to the killing of Fain's pony, again, it could be argued that Robb was conducting Hay's business for Hay's benefit at the time the pony was struck. However, the better argument is that Robb wouldn't have been hurrying away from the scene in a negligent manner if it weren't for the altercation with Fain. The outcome here, thus probably depends on whether Hay is held responsible for Robb's punching Fain.

Hay is not liable for Black's injuries. Three hours had passed, and Robb had deviated substantially from his original mission. Robb was not acting on Hay's behalf when he injured Black.



**ANSWER TO QUESTION #8**

Gertrude will not be able to recover the value of the antique table from Gray because Tommy was not acting within the scope of his employment at the time of the accident.

A master is liable for the torts of a servant under the doctrine of respondeat superior only if the servant was acting within the scope of his employment and in furtherance of the master's business at the time of the incident. Tommy's job as Gray's employee was to deliver groceries to customers' doors. The accident involving the antique table occurred after Tommy had delivered Gertrude's groceries to her door. Gray's liability as a master is a question of fact and depends on whether Tommy's deviation from his assigned duties was slight or substantial. Tommy's job did not involve entering the homes of customers, and therefore Gray will argue that the accident occurred after Gray's objective was served by his employee and that Tommy's action in helping Gertrude move the furniture was not within the scope of his employment. However, Gertrude can argue that Tommy was acting in furtherance of his master's business by maintaining goodwill with Gray's customers; Tommy was not acting to his own advantage, but rather in furtherance of Gray's business by aiding a customer. Therefore, Gertrude can argue that Tommy's actions occurred at least in part to serve his master, and therefore Gray is liable for the destruction of the table. A court would likely reject these arguments, however, and find only Tommy liable for his negligent tort, because the accident happened after the objective of Tommy's employment - that is, delivery of the groceries - had occurred.

**ANSWER TO QUESTION #9**

An employer is responsible for the torts of a servant, but is not responsible for the torts of an independent contractor. Therefore, the key question in this case is whether Tazewell is an independent contractor - and the answer turns on whether the Chair Company had a right to control Tazewell's work performance. There are facts which allow one to argue for either conclusion. However, the better argument is that Tazewell was an independent contractor. Tazewell clearly was allowed a great deal of freedom in his performance and schedule. A key consideration is whether Chair Company controlled the details of his work performance. They did not; in fact, they supervised him very little. In addition, Tazewell was paid commissions, not a salary.

On the other hand, Chair Company limited Tazewell by requiring that he sell no other chairs. This seems inconsistent with independent contractor status. Also, an independent contractor generally has superior knowledge and skills to his employer. Whether this was true here is unclear.

If the court finds that Tazewell was an independent contractor, then Chair Company's motion should be allowed.

**ANSWER TO QUESTION #10**

Acme Contractors, Inc. is liable for Able's injuries because John Smith was the borrowed servant of Acme when he negligently operated the crane.

Generally, a master is liable for the torts of its servant committed while the servant is acting within the scope of his employment. Acme is therefore liable for John Smith's tortious act under the doctrine of respondeat superior if Acme was Smith's master at the time of the accident, even though Smith was an employee of Builders Construction Co. Acme's liability turns on whether Acme had the right to control Smith's activities at the time of the accident. If Acme had no control over Smith's physical conduct, then Smith is an independent contractor, and Acme is not liable for the tort.

Several factors indicate no master-servant relationship existed between Acme and Smith. First, Smith was engaged in a distinct occupation - crane operation - requiring unique skill and was hired to operate a "special" crane which no employee of Acme was capable of operating. Second, the instrumentality (the crane) which Smith operated was supplied by Builders. Third, Smith received his pay from Builders rather than from Acme.

However, Acme had control over Smith's general activities at each construction site at which Smith worked during the two months prior to the accident. Smith reported to and received directions at all times from Fred Brown, Acme's construction site supervisor. Acme is thus liable as a master under the borrowed servant rule, which holds a master liable for the tort of a servant committed while working under the master's control, even if the servant is being paid by a third person. The fact that Acme could change the task assigned to Smith is further proof of their right to control his activities. Smith was hired to unload girders from delivery trucks, but on the day Able was injured, Brown instructed Smith to move concrete forms, a task for which Smith's special crane operating abilities were not necessary. Rather, Brown instructed Smith to perform a task usually carried out by Acme employees. Brown's instructions and control over Smith by giving him hand signals indicate Acme borrowed Smith's services to perform the particular task. Acme is therefore liable as a master for Able's injuries under the theory of vicarious liability.

### **ANSWER TO QUESTION #11**

The Ace pilot in this situation was actually a subservant of Acme, employed through Acme's servant, Black. Black was using his implied authority in this case - a servant has implied authority to hire a subservant if an "unforeseen contingency" arises, he cannot communicate with his principal, and employment of the subservant is necessary to complete the assigned task. Black attempted unsuccessfully to contact his principal, and reasonably determined that hiring a subservant was necessary to the completion of his mission. Ace was a logical choice of subservant in this situation. Therefore, the Ace pilot is an agent of Acme for the purposes of imposing liability on Acme for the damages to Innocent's plane.

### **ANSWER TO QUESTION #12**

Judgment for A Co. An agent owes a fiduciary duty to the principal. Z listed the office building with A Co., and B was working on A's behalf to secure a buyer for Z's property. Although the deal had not been consummated at the time B left A's employment, B had already begun negotiations with T, and those negotiations ultimately resulted in the sale of the property. Thus, it would be a violation of the fiduciary duty B owed to A Co. to allow

him to divert this opportunity which came to him as a result of his association with A Co. Thus, B is liable to A Co. for half of his commission.

The issue remains, though, whether A Co. is entitled to half of the \$75,000 judgment or the \$65,000 settlement. A Co. is entitled to half of only what B actually receives. Thus, A Co. can recover only half of \$65,000. This result might be different if B's decision to accept the settlement rather than proceed with the appeal was unreasonable or made in bad faith (e.g., made solely to reduce A Co.'s recovery). However, unless A Co. wishes to pay for the appeal, B should not be required to proceed with the appeal.

### ANSWER TO QUESTION #13

Arvin had the authority to make both contracts, but he must account to Price's executor for any surplus.

Generally, an agency relationship is terminated by the death of either party. However, an agency relationship is not terminable if the agency was created for the purpose of the payment of a debt owed by the principal to the agent. Price gave Arvin express authority to sell any and all of Price's goods in storage if Price did not pay the amount due on the note by June 1. Price's death on June 2 did not revoke the agency. Because Price did not pay the amount due by June 1, Arvin had the power to sell the stored goods despite Price's death. Therefore, the contracts to sell apples and peaches were valid. Because Arvin had actual authority to sell the goods, Todd could validly contract with him despite both parties' knowledge of Price's death. Arvin must, of course, pay the indebtedness of \$9,000 with the proceeds of the contracts and account to Price's executor for any surplus.

### ANSWER TO QUESTION #14

(a) First, it does not matter that Packer ordered Boston not to order sheep, since Seiler was apparently unaware of any such order. The real issue is whether Boston had the apparent authority to buy sheep as a result of his prior cattle transactions with Seiler for the benefit of Packer. Whether Boston had such authority is arguable. The better argument is that, due to their prior dealings, Seiler had the right to assume Boston had the authority to purchase sheep for Packer.

(b) Since agency relationships are terminable at will unless otherwise specified, Packer had the right to terminate Boston's agency, and in fact did so before Boston ordered the sheep. However, Packer apparently failed to give proper notice to Seiler. Therefore, Packer cannot avoid liability to Seiler on this point. Packer is a disclosed principal, of course, since Seiler billed him directly. Packer will have to bring an action against Boston to get reimbursed for his loss.

## PARTNERSHIPS

### ANSWER TO QUESTION #15

The court will find the existence of a partnership between A and B and order an accounting.

There are no particular formal requirements to establish a partnership. The agreement to form a partnership may be oral and may be inferred from the parties' conduct. Therefore, the agreement between A and B is not ineffective because it is oral. Because A and B's agreement is implied rather than express, the court will determine the intent of the parties by examining such factors as the manner in which A and B dealt with each other, their manner of dealing with third parties, and whether they shared in the profits of the junk automobile business.

By agreement, A and B shared equally in the profits of the business. The sharing of profits in itself is prima facie evidence of a partnership between A and B. Before B's death, the business was "successful," and the receipt of a share of the profits by B is evidence that he was A's partner. Conversely, the sharing of losses is not required by statute to prove the existence of a partnership.

The court will find A and B had an intent to form a partnership and a partnership existed. That partnership ended with B's death, and A as the surviving partner has a right to an accounting of the partnership affairs to determine each partner's investment and entitlement to a share of the profits. A partner has a right to such an accounting whenever circumstances render it just and reasonable. Here, the accounting is necessary to determine the respective rights of A and of B's heirs in B's estate.

### ANSWER TO QUESTION #16

Able and Baker are jointly and severally liable for the debt if they are held to have engaged in a partnership, at least as against Ace.

Actually, if a partnership exists, it would likely be called a joint venture, since it was formed in contemplation of a single task. However, the rules of liability remain the same whether it is regarded as a joint venture or partnership; the members of the joint venture (or partnership) are liable for any acts committed or contracts entered into within the actual or apparent authority of a joint venturer, partner, or agent. Here, where the transaction at issue was clearly within the scope of the joint venture, the only issue is whether a joint venture existed.

Whether Able and Baker have formed an actual joint venture depends on their intent. If there is no intent expressed, their conduct will have to be examined. Unfortunately, the facts given are not sufficient to determine whether the parties intended a joint venture. The parties agreed to split profits, which indicates a joint venture. On the other hand, Baker received less than half of the profits, which does not preclude a joint venture, but may be considered as a factor militating against a joint venture. More important facts - such as whether control of performance was shared or Able exercised control over Baker - are not given.

However, regardless of whether a joint venture was intended by Able and Baker, they may be held to be partners by estoppel as against Ace due to their representations to Ace. Although

Able was the only party to actively represent that a partnership existed, it appears that the representation was made in Baker's presence, and Baker could and should have objected. Thus, Baker consented to Able's representation that they were partners. Likewise, by failing to object, Baker consented to Able's apparent authority to contract for the purported partnership. Baker cannot now avoid liability as a partner by claiming that no partnership existed.

Partnership liability will be imposed, and Able and Baker will be held jointly and severally liable for the debt to Ace. Each partner is individually liable for the entire amount of the obligation; therefore, if Ace cannot recover against Able, who has fled, the company may recover the full amount from Baker.

### **ANSWER TO QUESTION #17**

The court will probably find A personally liable.

The liability of the partnership is determined by whether A committed the tort while acting in the ordinary course of business in furtherance of the partnership. Generally, all partners are jointly and severally liable for a wrongful act committed by a partner acting in the ordinary course of business. "Wrongful act" encompasses both negligent and intentional torts. If judgment is obtained against the partnership, each partner who has been served with notice is individually liable for the entire amount of the partnership's obligation.

In this case, however, the court may find that A's intentional tort against X was not committed in the ordinary course of business but rather out of personal spite, and therefore the tort should not be imputed to the partnership. A used "unnecessary force" in removing X from the store, and need not have done so in order to continue to conduct the business of running the store. A seems to have responded personally to X's verbal attack and assaulted X wrongfully to silence him. Therefore, A is personally liable for X's injury, and liability cannot be imputed to the partnership. B and C, as partners, are not liable.

### **ANSWER TO QUESTION #18**

(1) The business purpose of the partnership formed by Cochran, Denton and Edwards was the sale of life insurance. The sale of the policy to Randolph by Cochran and the sale of a life insurance policy to Simpson by the firm were acts consonant with the carrying on of the business of the partnership and were therefore binding on the partnership.

Cochran was negligent in his failure to submit the Simpson application and premium check. His negligence was a wrongful omission which resulted in loss to Simpson's widow, the named beneficiary of the contract. If, by any wrongful act or omission of any partner acting in the ordinary course of business, loss or injury occurs to one who is not a partner, the partnership is liable to the same extent as the partner guilty of the wrongful act or omission.

Cochran's misappropriation of Randolph's \$1,000 premium check was a breach of trust committed by a partner. When one party acting within the scope of his authority receives

money or property of a third person and misapplies it, the partnership is liable and must make good the loss.

Liability of the partnership for both the negligent omission and the breach of trust committed by Cochran will continue despite Cochran's death. Where, as here, business is continued after a dissolution resulting from the death of a partner, the liabilities of the old partnership become liabilities of the continuing partnership.

(2) The partners are liable jointly and severally for any tort or breach of trust committed by a partner acting in the ordinary course of business. Therefore, in addition to the partnership being liable to Randolph for Cochran's breach of trust and to Simpson for Cochran's negligence, the partners are each individually liable for the entire amount of the partnership's obligation. Denton and Edwards will therefore each be individually liable to Randolph and Simpson for the full amount of damages recoverable, each partner being entitled to indemnification for any payments he makes on behalf of the partnership. Additionally, if a partner is forced to pay more than his pro rata share and the partnership is unable to indemnify him, he is entitled to contribution from his copartners, and may seek it through an accounting action.

As an incoming partner to a partnership being continued after dissolution, Fox's individual liability as a partner is limited. One admitted into an ongoing or existing partnership is liable for all obligations arising before his admission as though he had been a partner. However, his liability for obligations arising prior to his admission can be satisfied only out of partnership property, and is thus limited to his investment in the business. Fox can therefore only be held liable to the extent of his \$10,000 contribution to the capital of the partnership, whereas Denton and Edwards may be held individually liable for the full amount of damages recoverable.

Death of a partner will generally result in dissolution of the partnership. However, where, as here, a partner dies and the representative of the deceased partner consents to a continuation of business, the remaining partners may so continue the business. When the partnership continues, the obligations of the old partnership become the obligations of the continuing partnership. Therefore, the liability of the partnership and of Edwards and Denton individually for the full amount recoverable continues despite Cochran's death. Again, Fox's individual liability is limited to his contribution to the continuing business.

## ANSWER TO QUESTION #19

(a) The partnership is not bound by the real estate contract signed by Clifford because Clifford lacked the authority to bind the partnership.

Generally, each partner is an agent of the partnership, and the partnership is bound by any act of a partner for the purpose of carrying on the partnership business in the usual way unless the partner has no authority to act and the third person with whom he is dealing has knowledge of his lack of authority. If Clifford's agreement with the owner of the Montana land was an act for the purpose of carrying on the partnership's restaurant business, then the partnership is bound. Clifford's purpose in contracting to buy the land was to obtain a larger return on the partnership's investments, and therefore his act was for the benefit of the

business. However, investment in coal-rich land is not an act necessary for the carrying on of a restaurant business in the usual way. Further, the surplus funds Clifford intended to use to buy the land were specifically for the purpose of restaurant refurbishing and expansion.

A partnership is not bound by the act of a partner which is not for the purpose of carrying on the partnership's business unless the other partners authorize the act. Both Able and Baker rejected the land purchase as too speculative, and Clifford knew he acted without authority when contracting with the landowner. Therefore, the partnership is not bound even though the owner of the land had no knowledge of Clifford's lack of authority.

(b) The bank may subject Clifford's partnership interest to a charging order, but Clifford's interest in the certificates of deposit is not subject to execution.

A partner's right in specific partnership property is not subject to execution. Specific partnership property includes surplus funds in the form of bank certificates, and therefore the bank cannot reach the certificates. However, the bank, as a judgment creditor may apply to the court for a charging order which would charge Clifford's partnership interest with payment of the unsatisfied debt, including interest. Clifford's share of the profits will also be subject to receivership. If Clifford's interest becomes subject to foreclosure or sale, Able and Baker may redeem his interest with partnership property if all partners consent.

## ANSWER TO QUESTION #20

(a) Yes, C is liable to D even though C objected to the purchase.

Even though C was a dormant partner who did not participate in managing the partnership's retail business and was not known to the world as a partner before his withdrawal, he is still liable on all partnership obligations. A and B were C's agents for the purpose of carrying on the retail hardware business. As such, A and B had the authority to bind the partnership by incurring obligations necessary to carry on the partnership business in the usual way. D did not know of C's objections to the purchase of goods from D; however, A and B did not need C's authorization before buying the goods because purchases in the ordinary course of business do not require the unanimous authorization of the partners. C, as a partner, is jointly liable with A and B for the debt of the partnership.

(b) C has a right to an accounting because A wrongfully assigned specific partnership property to D.

A partner has a right to assign his own interest in the partnership, that is, his share of the profits and surplus. The assignee is only entitled to the assignor's profits, and may not interfere in the management or administration of the partnership business. A partner may not assign his interest in specific partnership property, for example, accounts receivable. A had no right to assign the partnership accounts to D, and A's assignment constituted the wrongful exclusion of C from possession of specific partnership property, entitling C to an accounting of the partnership property and a determination of each partner's interest.

(c) No, C is not liable for partnership obligations to E incurred after C's withdrawal from the partnership.

A dormant partner, like C, is not personally liable for new obligations incurred after dissolution, except to the extent of his investment in the partnership business. Further, if A, B and C agreed that A and B would continue the partnership after C's withdrawal, then A and B were required to indemnify C against all present and future liabilities. Therefore, C has no partnership obligation to E.

## ANSWER TO QUESTION #21

(a) Brown may not withhold Smith's share of profits from him, and Brown's attempt to do so constitutes a breach of the partnership agreement.

Partners have a duty of loyalty and good faith to each other in all affairs pertaining to their partnership relationship. This fiduciary responsibility includes a duty to account to the partnership for any benefit or profit derived from the operation of the partnership business. Brown claims that during the first quarter of 1992 there were no profits because excess proceeds of the widget business were used to pay Brown's salary and reimburse him for payments made and liabilities incurred in the course of business. As a partner, Brown is not entitled to remuneration for acting for the benefit of the partnership business unless the partnership agreement so provides. Therefore, Brown had no right to pay himself a salary for the first quarter even though Smith was ill at the time and unable to participate in partnership affairs. Conversely, Brown had the right to indemnification from the partnership for any payments Brown made and any personal liabilities reasonably incurred by him in the ordinary course of the widget business.

Because Brown had no right to a salary, the amount he took for himself as remuneration should have been partnership profits for the first quarter of 1992. By express agreement, Smith and Brown were to share equally the profits of the business. Brown's refusal to give Smith his share constitutes a breach of the partnership agreement and gives Smith the right to seek a decree of dissolution. Smith also has the right to an accounting to determine his entitlement to a share of the profits.

(b) The partnership was not dissolved by Smith's illness, and therefore both Smith and Brown are entitled to an equal share of profits for the first quarter of 1992. Further, even if the partnership was dissolved, Brown could not wind up the partnership by merely returning Smith's capital contribution to him.

A partnership may be dissolved where circumstances render a dissolution equitable. If Smith's illness was permanent and disabling, and he was unable to participate in management affairs, dissolution by agreement of the partners would be appropriate. However, Smith made it known that he would be able to return to work, and he did so on April 1, 1992. If the partnership was dissolved by Brown's breach of the partnership agreement, the partners would have to wind up by liquidating the partnership assets, settling all partnership obligations, and distributing the remaining assets to the partners. The mere return of a partner's capital contribution to him does not satisfy the requirements of winding up because a partner's interest in partnership property consists of his share of the profits and surplus of the partnership, not simply his contribution.



**ANSWER TO QUESTION #22**

(a) The partnership is liable to Jones for the tort of the partner, and any judgment may be satisfied out of partnership assets, including Carlton's \$100,000 contribution.

A partnership is liable for the wrongful acts of any partner committed while acting in the ordinary course of the partnership business. A "wrongful act" includes negligent torts committed against third persons. When Aker negligently struck Jones, Aker was making a delivery in the ordinary course of the partnership's lawn equipment business; therefore, the partnership is liable for the injury to the same extent as Aker. If Jones obtains a judgment against the partnership, it must be satisfied from partnership assets, including Carlton's investment. Carlton, as an incoming partner, is liable for the wrongful act which occurred before his admission to the partnership; however, his liability is limited to his investment in the business. Therefore, Carlton's liability as a partner is limited to \$100,000 in partnership assets.

(b) Barnwell is individually liable for the entire amount of damages which may be awarded to Jones.

Generally, all partners are jointly and severally liable for a tort committed by a partner acting in the ordinary course of business. Therefore, each partner is individually liable for the entire amount of the partnership obligation incurred by such a wrongful act. Jones may bring suit against any one or all of the partners. However, because Aker is insolvent and Carlton's liability is limited, Jones should bring suit against Barnwell as a partner. Barnwell is entitled to indemnification by the partnership for any amounts he may have to pay.

(c) Carlton is not individually liable for any damages which may be awarded to Jones because Carlton's liability as an incoming partner is limited to his investment in the partnership. While Carlton did not become a partner until after Jones was injured, Carlton is liable for damages incurred by the partnership through the tortious act of Aker. However, the limit of Carlton's liability is \$100,000, his investment in the partnership.

**ANSWER TO QUESTION #23**

(a) Yes, Smoot's investment is available for payment of old creditors.

Smoot, who had knowledge of the financial situation of the partnership business when he invested \$50,000, was a full partner with the same rights and obligations as Barbara and Donna. As an incoming partner admitted into an existing partnership, Smoot is liable for all obligations of the partnership arising before his admission. However, the extent of his liability is different from the other partners' in that his liability for such obligations can be satisfied only out of partnership property. As partnership property, Smoot's \$50,000 may be used to satisfy liabilities. Therefore, Smoot may be liable for the full amount of his investment, but only that amount. Thus, creditors cannot recover more than \$50,000 from him as a partner.

(b) No, as an incoming partner Smoot is not personally liable for prior debts of the partnership.

The bankruptcy of the partnership dissolved the partnership, but the partners are not thereby discharged from their existing obligations to creditors. Generally, the liability of partners is joint, and each partner is individually liable for the entire amount of the partnership debts. However, as an incoming partner, Smoot is liable only to old creditors to the extent of his contribution of \$50,000. Barbara and Donna are individually liable for the full amount of any partnership debt.

#### **ANSWER TO QUESTION #24**

C, as the assignee of B's partnership interest, does not have the same rights as a partner, and A is not required to involve C in the operation of the partnership business. C's only right as an assignee is to receive the profits to which B would have been entitled.

A partner may assign his partnership interest, which consists of his shares of profits and surplus. B had a right to assign his partnership interest to C, but C did not thereby acquire B's right to active participation in the management and control of the partnership. The assignment did not dissolve the partnership; however, A is not required to carry on the partnership business with C's management assistance. Unless the agreement assigning B's interest to C provides otherwise, C is not entitled to (1) interfere in the management or administration of the farm implement business, (2) demand information or an account of partnership transactions, or (3) examine the partnership books. C's only right is to receive B's share of the profits.

#### **ANSWER TO QUESTION #25**

With regards to the first demand of First Bank, I would advise Allen and Crawford that a partner's interest in the partnership is his share of the profits and surplus, and that his interest is assignable. I would advise that First Bank, as an assignee of Burton, is entitled to receive the profits to which Burton was entitled. I would also advise them that if First Bank were to become a judgment creditor, it could subject Burton's interest to a charging order, whereby Burton's interest would be charged with payment of the debt plus interest, and a receiver be appointed for his share of profits and surplus. His interest could then be foreclosed or sold, with the other partners having the right to redeem his interest.

With respect to the second and third demands of First Bank, I would advise Allen and Crawford that while Burton can assign his interest in the partnership, the assignee, in the absence of a contrary agreement, acquires no right to interfere in the management of the partnership business or affairs, or to require any information or account of partnership transactions, or to inspect the partnership books. The assignee would only be entitled to require an account in the event of dissolution of the partnership, and only from the date of the last account agreed to by the partners.

As to First Bank's demand that the partnership turn over 1,000 shares of Empire Corporation to the Bank pursuant to Burton's assignment of his one-third interest in the partnership's 3,000 shares, I would advise Allen and Crawford that specific partnership property such as the stock is held by the partners as tenancy in partnership. I would further advise them that

the incidents of the tenancy are such that a partner has no right to possess such property for a non-partnership purpose, cannot assign such property except in connection with assignments of the rights of all partners, and that the partner's right in the property is not subject to attachment or execution, except for a claim against the partnership. I would therefore advise Allen and Crawford to not turn over any stock to First Bank.

As to First Bank's demand that in the alternative the partnership be dissolved and it receive Burton's interest in the partnership in liquidation, I would request to see the partnership agreement so as to determine whether the partnership was for a particular term or undertaking. If it was for a term or undertaking, First Bank, as assignee, would not be able to obtain a decree for dissolution until after the specified term or undertaking. If the partnership was merely a partnership at will, meaning there was no particular term or undertaking specified, I would advise Crawford and Allen that First Bank could at any time apply as an assignee of Burton's interest for a court ordered dissolution of the partnership. In the event of a forced dissolution I would advise that they may continue the business after dissolution by buying out the assignee, or they may liquidate the partnership assets, settle obligations, and distribute remaining assets among the partners and the assignee.

## ANSWER TO QUESTION #26

(a) The cash should be distributed in equal shares to Acton, Baker's executor, and Cox after Cox is repaid the \$20,000 in personal funds he used to pay partnership expenses, with interest, and any remuneration Cox is entitled to for winding up the partnership affairs.

A partner who makes payments out of his own funds in the ordinary course of the partnership business is entitled to indemnification by the partnership. Cox's payment of expenses of the retail clothing business entitles him to repayment by the partnership. Further, because Cox's \$20,000 represented a contribution beyond the amount he agreed to contribute as capital to the partnership, he is entitled to interest from the date he made the payments. As the surviving partner in charge of winding up the partnership affairs, Cox is also entitled to reasonable compensation for his services.

Baker's death dissolved the partnership. Upon winding up the partnership, the order of distribution of assets is to: (1) third-party creditors; (2) partners who have made loans or performed liquidation or other services for the partnership; (3) partners who are owed capital; and (4) partners who are owed profits. Therefore, Cox is entitled to (1) repayment for his \$20,000 advance plus interest and (2) compensation for his services from the \$150,000 cash before the remaining funds are divided equally among the three partners. Baker's interest in the partnership vested at his death in his executor, and therefore, that legal representative should be entrusted with Baker's one-third share.

(b) Cox is entitled to compensation for his services in liquidating the partnership after dissolution, but he is probably not entitled to remuneration for his management of the retail business after Acton and Baker moved to Florida.

Generally, all surviving partners have an equal right to wind up partnership affairs. However, there is no indication Acton, as the other surviving partner, objected to Cox's

services in liquidating the partnership. Therefore, Cox is entitled to reasonable compensation.

Conversely, a partner is not generally entitled to remuneration for acting in furtherance of the partnership business. All partners have an equal right in the management of the partnership business unless the partners agree otherwise. Acton, Baker and Cox agreed that Cox would manage the operation of the clothing business when Acton and Baker moved to Florida; however, there is no evidence the partners agreed to provide a salary to Cox. Where there is no express agreement to pay a salary, the court may find an implied right to remuneration from the partners' conduct. However, the three partners continued to split the profits equally after Cox took over management of the business, and a court would probably find no intent to compensate Cox beyond his share of the profits.

### ANSWER TO QUESTION #27

B is not entitled to any profits A made after leaving the partnership business because the partnership was dissolved by the express will of A in contravention of the partnership agreement.

By express agreement, A and B's partnership could be dissolved only by mutual agreement or the death of A or B. However, a partner may choose to dissolve the partnership in contravention of the agreement. A's act of operating his own insurance business in another location is a willful breach of the partnership agreement. In order to justify dissolution, a breach of the agreement must be material. The irreconcilable disagreement between A and B, and A's operation of a rival business is such a breach. A's action, in effect, dissolved the partnership.

Even though A breached the agreement in bad faith, he did not lose his rights in the accrued profits of the partnership business to the time of dissolution. However, because A wrongfully caused the dissolution, he is liable for any damages to B caused by A's actions. If B chooses to continue the business with a new partner, B and the incoming partner must pay off A, deducting any damages due the partnership for A's breach, and indemnify A against present and future partnership liabilities. B is not entitled to any profits from A's new business. Neither A nor B is discharged from existing liabilities of the original partnership.

### ANSWER TO QUESTION #28

The partnership newspaper business may be continued as provided by the partnership agreement as long as A's personal representative consents to continuation.

A's representative may either (1) consent to the continuation of the newspaper business or (2) acquire for A's estate the value of A's share at the date of dissolution, with interest. Partners have a right to agree to continuation after dissolution if a partner dies. Therefore, the newspaper business may continue without settlement after A's death. If A's representative consents to continuation, he will acquire the partnership rights and obligations A had prior to his death. The representative will share equally with B the right to manage and control the partnership business and the right to profits for the benefit of A's estate. However, as a

partner in the continuing partnership, the representative will also be liable to the creditors of the original partnership. Such creditors also take precedence over the individual creditors of A as to A's interest in the dissolved partnership. Creditors may also satisfy claims against the deceased partner out of his interest in specific partnership property.

If A's representative does not want to acquire such obligations, he may choose to receive the value of A's share of the partnership at the date of A's death, plus interest, for the benefit of A's estate. B cannot compel A's representative to continue as a partner.

### ANSWER TO QUESTION #29

It is clear that Able and Baker have entered into an oral partnership agreement, primarily on the basis of their agreement to share profits. The acquired property will be held to be partnership property, since it was bought for development as part of the partnership business, even though it was held in the name of one partner. Thus, upon the sale of the property, the proceeds became partnership assets, despite the fact that Able deposited the funds in a personal bank account. The proceeds must be distributed under the rules regarding distribution of partnership assets at dissolution, since it is apparent that the partnership has terminated.

Out of the \$180,000 proceeds, outside creditors must first be paid. Thus, the \$4,000 in expenses of sale must be paid first. Then, the \$5,000 loan from Baker to the partnership must be repaid to Baker, plus interest from the date of the advance. Next, any capital contributed by the partners must be repaid to them. Thus, Able's contribution of \$115,000 must be repaid to him. The remaining profits should be split between Able and Baker, as they agreed.

### ANSWER TO QUESTION #30

Adams, Baker, Cross and Drake should be advised of the following before drawing up their final limited partnership agreement:

(a) A limited partner may contribute cash, property, or services as his contribution to the partnership. Therefore, Baker may contribute \$20,000 in cash, Cross may contribute real estate worth \$20,000, and Drake may contribute six months of services as an interior decorator.

(b) If a limited partner knowingly permits his name to be used in the firm name, he is liable to creditors who extend credit to the partnership without actual knowledge that he is not a general partner. Therefore, if the partnership is named "Adams and Baker Interior Decorators Co.," Baker will be liable to creditors even though he is a limited partner. Adams, as a general partner, is, of course, personally liable for all partnership obligations whether or not his name appears in the firm name.

(c) Limited partners may lend money and transact other business with the limited partnership. Therefore, Baker may lend \$10,000 to the partnership for start up expenses. Cross may also lend funds to the partnership by becoming a first mortgagee of partnership property. However, Cross should be aware that all partners co-own specific partnership

property as tenants in partnership, with equal right to possession, and no right to possess the partnership property for any but a partnership purpose. Therefore, upon dissolution of the partnership, and the distribution of assets, creditors other than partners must be satisfied first out of partnership property, followed by partners who made loans to the partnership.

(d) Partners may agree that upon dissolution certain limited partners will have priority over other limited partners in the return of contributions. Therefore, the four partners may agree to provide that Baker and Cross will have priority over Drake.

(e) A limited partnership is formed by filing with the Secretary of State a signed certificate indicating: the incidents and composition of the business; the name of the entity, including the words "limited partnership"; and the identity of the partners and their shares.

### ANSWER TO QUESTION #31

(a) Jones has brought an action in negligence against the Acme Hardware Co. and Albert, Bradley and Charles personally for injuries received when he was struck by Albert. Acme Hardware Co. was formed as a limited partnership when its certificate was filed.

Generally, all partners are liable jointly and severally for all torts of any partner acting in the ordinary course of the business of the partnership. At the time of the accident, Albert was making a delivery to a customer of the partnership, and his negligent act will be deemed to have occurred in the ordinary course of the wholesale hardware business. Although a partnership obligation is joint, each partner is also individually liable for the entire amount of the partnership obligation, absent restrictions on liability. In a duly created limited partnership such as Acme, the limited partners, Bradley and Charles, are liable only to the extent of their respective \$50,000 contributions. However, Bradley's status as a limited partner will be ineffective as a result of his taking part in the control of the business. Bradley's assumption of management and control of the business will result in his being stripped of the protection of limited liability. Therefore, Albert and Bradley will each be individually liable for the full amount of the partnership's liability to Jones, whereas Charles' liability will be limited to his \$50,000 contribution to the partnership.

(b) As a limited partner, Bradley had no power to take part in the control or management of the business. Despite this fact, Bradley assumed a share of the management and control of the business on a daily basis, and was involved in the purchase of inventory from Supply Co. By taking part in the control of the business, Bradley lost his protective status as a limited partner, and opened himself up to liability beyond his contribution to the partnership.

Bradley, acting with the consent of Albert, has held himself out to a third party, Supply Co., as having the power of a general partner, despite the restrictions on his authority to manage the business of the partnership enumerated in the certificate of limited partnership. There is no evidence that Supply Co. had knowledge of the restriction. When a person represents himself to be a general partner with authority to take part in the control of the partnership business, he is an agent of those in the partnership consenting to his representation, and he can bind them as if he were a full partner. Therefore, Albert and Bradley will clearly be liable for amounts owing to Supply Co. If it is found that Charles also consented to Bradley's

holding out as a general partner, he should also be found liable, but only to the extent of his contribution as a limited partner.





# COMMERCIAL PAPER QUESTIONS

## QUESTION #1

M, known to be a man of some wealth, has a son who is a marginal stock market operator. P believes he has been swindled out of \$1,000 by this son in a stock market fraud operation. P comes to M and threatens to prefer criminal charges against the son unless M will make good the \$1,000. P says that if M makes good the \$1,000, P will promise not to press charges, and furthermore will promise to deny that the son committed any crime against P. Highly agitated and stalling for time, M offers to give P a negotiable promissory note for \$1,000, payable to bearer on demand. P agrees to this, and M executes the demand note. However, in his haste, M dates the note as having been executed in 1992 rather than 1993, the date of execution.

P is indebted to R on a long-standing debt for \$1,000. P immediately goes to R, exhibits M's note to R, and offers to give R the note in full satisfaction of P's debt to R. P explains that he does not want to be bothered with the effort of collecting on the note from M. R, an unsophisticated fellow, agrees to the offer and takes the note without indorsement. A few days later, R goes to see M, and M refuses to pay the note. R thereupon brings suit against both M and P.

What result? Why?

## QUESTION #2

X is a self-employed stockbroker who has had occasional, but not frequent, dealings with Y and P, two parties not otherwise acquainted with one another. One day P called X and asked him to purchase 100 shares of Acme Corporation stock on his behalf at any price up to \$10 per share. One hour later, X called back and said that he had just been contacted by Y and asked to find a buyer for Y's 100 shares of Acme stock, the shares to be sold for \$10 each. However, this was not true, and X had no access to any Acme stock. P mailed X a personal check for \$1,000, payable to Y, to cover the purchase price of the stock he thought he would receive. (P paid X's commission separately.) X had his secretary add a blank indorsement in Y's name on the back of the check, and X took the item to D Bank, the drawee. X, who had many previous business dealings with D Bank, received \$1,000 in cash from the bank and fled the jurisdiction. D Bank charged P's account for \$1,000. P then learned the details of X's scheme and demanded that D Bank recredit his account. When D Bank refused, P sued.

What result? Discuss fully.

**QUESTION #3**

D drew a check to P in the amount of \$8.00 and gave it to P in payment of a debt. P fraudulently changed the amount to \$80.00. This was done in a manner sufficiently skillful so that it appeared that the check was originally drawn for \$80.00. P took the check to B Bank, which was the drawee, and upon P's request, the item was certified. P then indorsed the item and transferred it to his landlord, X, in payment of his monthly rent. When X presented the item to B Bank it was dishonored, for the Bank had learned of the alteration. X asks you to determine his legal rights against D, P, and B Bank. You are to discuss the potential liability of each party.

**QUESTION #4**

A made a valid promissory note in the amount of \$250 and gave it to B in connection with A's purchase of B's boat. Subsequently, B specially indorsed the note to C and transferred it to C for value. In a separate transaction, C indorsed the note in blank and transferred it to D in connection with C's purchase of D's car. D was B's uncle. At B's request and without receiving value in exchange, D cancelled B's indorsement by striking out B's signature. This was done without the prior knowledge of either A or C. The note has matured and both A and C now refuse to pay it. D asks you to evaluate his legal position against A and C. You are to evaluate D's rights on the note itself, and on any other claims he has against either A or C. Explain fully.

**QUESTION #5**

Drawer draws a check for \$100 on his account with Drawee Bank. The check is payable to "Cash." While on his way to the Drawee bank to cash the check, Drawer loses the check. It is found by T, who immediately takes the check to P, the owner of a corner drugstore, and tries to cash the check. P tells T that he only cashes checks for customers, which T is not. I, who is an acquaintance of T and also an occasional customer of the drug store, overhears this discussion and offers to indorse the check if P will cash it. P agrees, I indorses the check in blank, and P gives \$100 to T. When the check is presented to the Drawee bank, payment is refused because of a stop payment order placed by Drawer. P does nothing until several weeks later, when I again happens to drop into the drugstore. P shows I the check, tells I that the check was dishonored, and demands \$100. I refuses. P then files a complaint for \$100 against Drawer, Drawee bank, and I. (T has disappeared.) What result and why?

**QUESTION #6**

D wishes to borrow \$100 from Bank. Bank will not make the loan unless D finds a co-signer. D's mother, M, agrees to do so. D and M sign a negotiable promissory note as co-makers, promising to pay to Bank or order the sum of \$100 (plus interest) sixty days after the date of the note. Bank then makes the loan to D.

Because of a mix-up in its note department, Bank does not make any demand for payment until thirty days after the due date of the note. Both D and M refuse to pay. Bank files suit against M alone. M defends on the grounds that (1) Bank hasn't exhausted attempts to collect payment from D, and (2) Bank was 30 days late in demanding payment. How should the court rule? Explain.

### QUESTION #7

Frate performed services for Prat, who gave Frate his personal check in payment for them. Unbeknownst to Prat, Frate's services had been shoddy. Frate, who was new in town, took the check to First Bank and opened a checking account with it. Since Frate was unknown to the bank, an officer told him that a hold would be placed against his account until the check cleared. He warned Frate that, if he should draw against his account before the hold expired, his checks could bounce.

The next day, while the check was in transit to Prat's bank, Kral dropped by First Bank with a check that Frate had issued to him on his new account despite the warning from the manager. Kral had taken the check for groceries that Frate had purchased at his supermarket. Unlike Frate, Kral was well-known to bank so the manager agreed to cash the check for him, an act which brought the credit that First Bank had established on Frate's behalf down to zero.

In proper time, the Prat check was returned, dishonored, to First Bank. Frate has skipped town.

Advise First Bank of its rights, if any, against: (a) Kral, (b) Prat.

### QUESTION #8

On February 1, Roofer and Brother agreed that Roofer would install a new roof on Brother's house for \$8,000. They also agreed that Roofer would accept as payment a non-interest-bearing promissory note from Brother that would come due six months after Roofer finished the job.

Because Roofer had some concerns about Brother's creditworthiness, Roofer convinced Brother to have Sister, who lived in her own house, also sign the note. In addition, Brother agreed to secure his obligation on the note with a perfected security interest in Brother's three computers, each of which was worth \$2,000.

On March 1, Roofer finished installing the roof on Brother's house. On that same day, Brother issued and signed as maker an \$8,000 negotiable note payable "to the order of Roofer" and due on September 1 of the same year. Sister put her signature on the back of the note. There were no notations or descriptive words accompanying Sister's signature. At the same time, Roofer obtained and properly perfected a security interest in Brother's three computers.

On May 1, Roofer sold the note to Lender, who purchased the note in good faith for \$7,500. Before transferring the note to Lender, Roofer signed the note on the back, beneath Sister's signature. Roofer also properly transferred his security interest in the computers to Lender.

On June 1, Brother convinced Lender to release Lender's rights to one of the three computers that secured the note, and Brother sold that computer. Sister had no knowledge of this release by Lender.

On July 1, it became clear that Roofer had done such a poor roofing job that Brother would need to spend \$3,000 to fix the roof. On September 1, Lender still held the note. When Lender demanded payment, Brother refused because "the roof job was shabby."

1. Can Lender enforce the note to its full extent against Brother? Explain.
2. Can Lender enforce the note to its full extent against Sister? Explain.
3. If Sister has to pay all or part of the note, what rights, if any, does she have against Brother? Explain.

## COMMERCIAL PAPER ANSWERS

### ANSWER TO QUESTION #1

R should lose against M and prevail against P. The facts specify that the note made by M is a negotiable bearer instrument. M's mistaken antedating of the note does not affect its negotiability.

The first question is whether R is holder in due course. R is a holder, because a bearer instrument does not require indorsement. The note was taken for value, to erase a pre-existing debt. It is fair to assume that R's "unsophistication" meant that he took the note in good faith. R may have taken the note with notice that it was overdue, however, since the note was clearly, though erroneously, dated. Under the revised Article 3, in order to be a holder in due course, the holder must have taken the negotiable instrument without actual knowledge **and** without reason to know of some defect. Therefore, even if R took the instrument without actual knowledge that it was overdue, he will be denied holder in due course status if a reasonable person would have notice of the defect. Here, it may be deemed unreasonable to believe that a year-old note was still negotiable.

[Note, however, that under **prior** Article 3, "good faith" is determined by an entirely subjective test. A holder is thus not bound to an observance of due care, reasonable commercial standards or lack of negligence.]

In R's suit against M, M will argue that P's threats to prosecute M's son constituted duress in the making of the note. Duress is a real defense which can be successfully raised even as against R, a holder in due course. M can also argue that P's promise to perjure himself in exchange for the note constituted illegality. Illegality is also a real defense, effective against a holder in due course. On these arguments, M will therefore be discharged.

R has no claim in contract against P because P did not sign the note. P's transfer of the note to R for consideration, however, implies a warranty of transferability to R, the transferee (and, had P indorsed the note, to any subsequent holders). P was in breach of that warranty because he sold the note knowing that M had the defenses of duress and illegality against all claims. Thus, P is liable for the full amount of the note.

### ANSWER TO QUESTION #2

D Bank must recredit P's account. An essential indorsement (i.e., the indorsement of payee Y) which is forged or unauthorized renders an instrument not properly payable. A bank paying under either circumstance must return the funds to the customer's account upon demand, unless the bank has a valid defense to payment.

A person taking an item after an essential indorsement has been forged (i.e., X), does not acquire title and is not a holder. D Bank may seek recovery from X on a breach of presentment warranty theory. In presenting and receiving payment, X warranted to D Bank

that: (1) he was entitled to enforce the instrument; (2) that the check was not altered; and (3) that the person who was paid had no knowledge that the signature on the check was unauthorized.

Furthermore, X is liable under the theory that a forger becomes liable on the instrument just as though he has signed his own name.

### ANSWER TO QUESTION #3

X is a holder in due course. He is a proper holder, since P indorsed the check to him; he took the check for value, the rent due; he took it in good faith; and he took it unaware of any claims or defenses against the check, since it was skillfully altered and was certified by the bank.

X has a claim in contract against D as drawer of the check. D's first defense is that alteration of the check discharges anyone whose contract liability is changed subsequent to alteration. But X, a holder in due course, is entitled to enforcement of the contract as it stood before alteration, i.e., \$8. D's other defense is that the certification of the check by B Bank put X on notice that the drawer, D, was discharged of liability by certification.

P was not discharged by the bank's certification because his indorsement of the check was subsequent to certification. P is liable in contract for the full amount of his indorsement, \$80. P is not entitled to notice of presentment and dishonor because he could not rightfully expect acceptance of the check. P is also liable to X for breach of warranties of transferability since he transferred the check to X for value, the rent due. P breached the warranties that the check had not been altered, and that no defenses would be good against the check.

B Bank is liable in contract because its certification of the check was equivalent to acceptance. The alteration of the check is no defense because the alteration was made prior to certification. Thus B Bank is liable in the full amount of the check as certified, \$80.

B Bank must pursue P on a theory of breach of presentment warranties, because P presented the check for certification knowing that it had been altered, and that D had a valid defense against claims on the check.

### ANSWER TO QUESTION #4

The note is a negotiable instrument, as specified by the facts, and D is a holder in due course. He is a valid holder, who: took the note for value (his car); in good faith; and without notice that it was overdue or dishonored, or that there was an unauthorized signature or alteration, or that there was any defense against or claim to it. D's cancellation of B's indorsement signature affects neither the validity of B's title, nor his status as holder in due course. The cancellation eliminated any claim on the note against B.

A, as maker of the note, is primarily liable in contract, and does not appear to have any defenses based upon his purchase of B's boat. D's cancellation of B's signature does not affect A's obligation, because A had no recourse against B. A also has an underlying

obligation to pay for the boat - an obligation which ordinarily is merged with the note until dishonor.

C transferred the note to D for value, and C does not appear to have breached any of the warranties of transferability. C would ordinarily be liable in contract based on his indorsement of the note, and there appear to be no defenses which C can assert arising out of the purchase of D's car. However, B's cancelled indorsement discharges C because C would have had recourse against B on the note. Since C cannot pursue B on the note, C is also discharged.

D may proceed against A, but not against B or C, to recover on the note.

### ANSWER TO QUESTION #5

Although Drawer never issued his check, the check is a negotiable instrument. P is probably a holder in due course: he is a holder because the check is a bearer instrument, he took for value, and in good faith. There is question whether P took without notice of dishonor, unauthorized signature or alteration, or defenses or claims, however, because he was reluctant to cash the check, and I, the accommodation indorser, was an occasional customer. Although it can be argued either way, the better answer is probably that P is a holder in due course.

Drawer has primary contract liability. Although he had no timely notice of dishonor, a drawer is rarely discharged for that reason alone. Drawer's second defense is nondelivery, since he lost the check. Nondelivery is a personal defense, ineffective if P is a holder in due course. Drawer will also argue that, having received no consideration, he is relieved of contract liability. Again, this is a personal defense, ineffective against a holder in due course.

Drawee Bank has no liability because its dishonor of the check was proper.

Since I received no value for indorsement, he made no warranty of transferability. I is an accommodation indorser, only secondarily liable in contract. He is therefore entitled to timely presentment and notice of dishonor. Since I was notified of dishonor weeks late, he is discharged if the notice was after 30 days, unless P's failure to give notice was due to circumstances beyond his control, i.e., he did not know where to contact I. Therefore, P can proceed against Drawer, but not Drawee Bank. Further, P may be able to proceed against I to recover on the note.

### ANSWER TO QUESTION #6

M's defenses will fail. Although an accommodation party for D, M is liable to other parties in the capacity in which she signed. She is thus primarily liable in contract as a maker of the note.

The bank does not need to exhaust its remedies against D before suing M, since M did not condition her accommodation "collection guaranteed." M's second defense, the bank's late demand, is irrelevant against a maker of a note. Lateness would have been an effective defense only if she had been an accommodation indorser, who is entitled to timely

presentment and notice of dishonor. Of course, M has recourse against D, the party accommodated.

## ANSWER TO QUESTION #7

First Bank has no recourse against Kral. Kral was proper holder, made proper presentment, and breached no warranties. The payee makes no warranty that adequate funds exist in the drawer's account. First Bank also knew that it was taking a risk by cashing Frate's check.

First Bank will prevail against Prat. Prat's check is a negotiable instrument and Prat is liable in contract as the drawer. Although Prat is entitled to timely notice of presentment and dishonor, failure to give notice is almost never a complete defense for a drawer.

First Bank is probably a holder in due course of Prat's check. First Bank is a proper holder; it took the check in good faith; and its hold on Prat's check is routine, and probably does not constitute knowledge of dishonor, claims or defenses against the check. Prat would argue that because First Bank only credited Frate's account upon deposit of the check, it failed to give value. But First Bank not only credited Frate's account; it allowed Frate to draw upon it. This created a security interest, constituting value under the Code. Thus, First Bank is a holder in due course.

Prat's only other defense is that Frate's shoddy work constitutes failure of consideration. But failure of consideration is a personal defense, ineffective against a holder in due course.

## ANSWER TO QUESTION #8

### 1. Lender can enforce the note to its full extent against Brother.

The note made by Brother is a negotiable instrument. As the maker of the note, Brother must pay the amount promised when the instrument becomes due, unless he has a defense. There are no conditions on Brother's liability since he is the maker – a maker has primary liability.

In order to determine whether Lender is entitled to enforce the note to its full extent against Brother, it must be determined whether Lender is a holder in due course (HDC). The requirements of being a HDC are: being a valid holder of a negotiable instrument; for value; in good faith; and without any notice that the instrument is overdue or has been dishonored, has any unauthorized signatures or alterations, or that there is any defense against the instrument on the part of any person.

Lender is a holder because at the time he received the note it was bearer paper – Roofer had endorsed the order note (made payable "to the order of Roofer") and did not then specify a particular person to whom it was then payable. This turned the note from order to bearer paper. Bearer paper does not require a specific indorsement. In order to be a valid holder of bearer paper, a person needs only to be in possession of the note. Therefore, Lender is a valid holder.

Lender took the note for value – in exchange for \$7500.



Lender took the note in good faith. He took the note without actual knowledge and without reason to know of a defect. The facts state that on July 1, it became apparent that Roofer had done such a poor job that Brother would have to spend \$3,000 to fix the roof. Lender purchased the note from Roofer on May 1. Therefore, Lender did not have reason to know of Roofer's poor performance under his contract with Brother at the time he purchased the note.

Therefore, Lender is a holder in due course.

As a HDC, Lender takes the note free of all defenses that Brother may have against Roofer, except for the so-called real defenses of: infancy; duress or legal incapacity; fraud in the inception; discharge in insolvency proceedings; and any other discharge of which Lender had notice when he took the note. Since there are no real defenses in issue, here, HDC takes the note free and clear of any defenses Brother has against Roofer.

The facts indicate that Roofer did such a poor job on the installation of the new roof that Brother will have to spend \$3,000 to repair the roof. However, this is a personal defense, not a real defense. Although Brother's defense to payment of the total \$8,000 is valid against Roofer, since it is a personal defense, it is not valid against payment of the total \$8,000 to Lender, who took possession of the note as a HDC.

Lender can enforce the note to its full extent against Brother.

**2. Lender can enforce the note to its full extent against Sister, as long as the conditions of presentment, dishonor, and notice have been met.**

Sister is an accommodation party who signs the note as an indorser. An accommodation party is someone who signs commercial paper that is issued for value for the purpose of lending her credit to some other party to the instrument, and who does not directly receive any of the value given for the instrument. In this case, Roofer had some concerns regarding the creditworthiness of Brother. Sister signed the note as an indorser in order to provide assurance to Roofer that the \$8,000 promissory note would be paid.

An accommodation party is liable on the instrument in the capacity in which she signs. In this case, Sister signed the note as an indorser. An indorser is liable to pay on the instrument if, upon demand, the maker does not pay and the indorser is given notice of this refusal to pay. Therefore, as an indorser, Sister has secondary liability to pay the note to its full extent. In order to enforce the note to its full extent against Sister the following conditions must be met: Lender must first present the note to Brother; Brother must refuse to pay; and Lender must give Sister notice of this dishonor. With those conditions met, Sister is liable to Lender to pay the full amount of the note- \$8,000.

\*Note: If Sister had unambiguously disclaimed her liability on her indorsement by indorsing the note "without recourse", then she would have effectively disclaimed her secondary liability on the note. However, Sister merely indorsed the back of the note. She did not make any notations qualifying her indorsement.

Therefore, she is liable to Lender for the full amount due, \$8,000, if presentment, dishonor, and notice of dishonor occur.

**3. If Sister has to pay the note, she has recourse against Brother.**

An accommodation party has recourse against the party accommodated if they have to pay on the note. If Sister is required to pay the note to Lender, she is entitled to reimbursement from Brother.

# CONFLICT OF LAWS QUESTIONS

## QUESTION #1

Sam, a resident of State Q, and Diane, a resident of State R, were in love and wanted to get married. However, Diane was only 16; and State R did not permit people under the age of 17 to marry. Therefore, Sam and Diane flew to State M to get married. State M permits 16 year-olds to marry.

If Sam and Diane were to return to State R to live after being married in State M, would State R recognize the validity of their marriage? Give reasons.

## QUESTION #2

Andrew, a resident of State X, while vacationing in State Y, is killed in an automobile accident in State Y caused by Bill, a resident of State Z. The wrongful death statutes in State Y and State Z limit recovery to \$10,000, while the statute in State X has no limit.

Charles, Andrew's son, lives in State X. He is appointed Andrew's executor and brings a \$25,000 wrongful death action in State X against Bill. Andrew was also survived by a daughter who lived in State Y. Bill is served while he is driving through State X.

Which of the wrongful death statutes should be applied by the State X court? Give reasons.

## QUESTION #3

P, a resident of State Red, had a serious heart condition. He was referred to D, a heart surgeon, who had his office in State White and performed surgery at Hospital, also located in State White. D recommended surgery for P. Before P was admitted to the Hospital, P, D and Hospital signed a printed form agreement, prepared and submitted by Hospital. The agreement provided that any controversy arising from P's treatment had to be submitted to arbitration.

The surgery was unsuccessful. P returned to State Red in a worse condition than before the operation. Two years after the surgery, P filed suit in State Red against D and Hospital alleging negligence. He asked damages in the sum of \$1,000,000.

In State White, the statute of limitations in negligence cases is one year from the date of the treatment and binding arbitration agreements are authorized. Red laws provide for a four year limitation period, and make arbitration agreements between hospitals, doctors, and patients unenforceable.

After suit was brought, P settled with Hospital for a nominal sum and signed a release in State Red. Under Red law, this released all tortfeasors. Under White law, only Hospital was released.

D filed timely and appropriate pleadings to have the court

- (1) stay the action pending arbitration;
- (2) dismiss the action on the theory that it was barred by the statute of limitations; or
- (3) dismiss the action because of the release.

How should the court rule on each of these requests? Discuss.

#### QUESTION #4

Penn, a resident of State X, while working in State Y on July 1, 1977, was involved in an automobile accident with Doty, a resident of State Z. As a result of the accident Penn suffered serious personal injuries. The facts surrounding the accident established that Doty's negligence was the primary cause of the accident, but indicated some negligence on the part of Penn may have been a contributing cause. After Doty had returned to State Z, Penn brought an appropriate action against him on February 2, 1979 in State Z for \$125,000. Penn alleged that Doty's negligence was the proximate cause of the accident and of Penn's resulting injuries.

Prior to the accident Penn had been taking medication which made him drowsy and he had been warned by his physician not to drive for that reason. Under State Y law, Penn's physician would not be permitted to testify for Doty because the evidence would be privileged. The statute of limitations in State Y for tort actions is one year. The State Z statute of limitations is two years. State Y applies the rule of comparative negligence rather than that of contributory negligence applied in State Z.

- (a) What is the applicable statute of limitations?
- (b) Could Doty, over Penn's objection, introduce the testimony of Penn's family physician concerning the effect of the medication Penn had been taking and the warning given him, which evidence would tend to show that Penn was negligent and would be admissible under the law of State Z?
- (c) In the trial of the case should the comparative negligence rule or the contributory negligence rule be applied?

Give reasons as to (a), (b) and (c).

#### QUESTION #5

On July 4, 1976, Sam Swan, a resident and citizen of State X, a man of national political prominence, went to State Y and made a speech in support of the candidacy of his former college roommate, Henry Hay. In the course of his speech, Swan referred to Ben Brown, Hay's opponent, as a "man of proved dishonesty, who will be an insult to the good people of State Y if you permit his election."

After making his speech, Swan hurriedly left for his home in State X. On Christmas Eve, Swan died of a heart attack. His partner, David Dale, qualified as administrator of his estate.

On November 5, 1977, Brown brought an appropriate action in State X against Dale, as administrator of Swan's estate, to recover damages for the slanderous remarks made by Swan in State Y.

The relevant statute of State Y provides that a cause of action for slander will survive the death of the wrongdoer; the law of State X is that such cause of action will not survive. Further, the statute of limitations in State Y for the bringing of an action for slander is two years; the law of State X is that such action must be brought within one year.

Which, if either, of the conflicting laws may be successfully asserted by Dale in defense of the action? Give reasons.

### QUESTION #6

States X, Y, and Z are states of the United States of America. D-2 Corporation, incorporated and having its principal place of business in State X and licensed to do business in States Y and Z, purchased in State X for D-1 Corporation, incorporated and having its principal place of business in State Y and licensed to do business in State X, a substantial number of truck brake pedal assemblies, which it then installed in trucks which it was manufacturing in State X. When completed, one of these trucks was subsequently sold to D-3, a citizen of State Y, and delivered to D-3 by D-2 Corporation in State Y.

Thereafter, while this truck was temporarily in State Z being used in furtherance of D-3's business activities there, the brake pedal assembly proved to be defective, and the truck crashed into pedestrian P, a citizen of Z, who was seriously injured.

In due course, P sued D-2 Corporation and D-3 in state court in Z; D-1 Corporation could not be joined because of Z's procedural rules. Judgment of \$25,000 was eventually entered for P against D-2 Corporation and D-3, and on June 30, 1978, D-2 Corporation paid P this amount in Z. A formal "satisfaction of judgment" was entered upon the records of the Z court.

On October 10, 1981, D-2 Corporation filed in an appropriate federal district court in X an indemnity action against D-1 Corporation to recover the amount paid P as a result of the Z state court proceedings.

State X has a four-year statute of limitations on indemnity claims, but also has a statute which reads in part as follows:

When a cause of action has been fully barred by the laws of the state or country in which it arose, such bar shall be a complete defense to an action thereon brought in any of the courts in this State.

Both State Y and State Z have three-year statutes of limitations in indemnity actions.

Is this action barred in the federal district court in X? Discuss fully.

### QUESTION #7

Mike and Mary were married in 1971 and lived happily together in State X. After several years of marital bliss, Bubbles appeared on the scene and launched an all-out effort to sway

Mike's affections. After several months of flirtation, Mike was persuaded by Bubbles to leave Mary and move to State Y, where Bubbles owned a large country estate.

Mary seeks your advice in determining her chances of recovering damages against Bubbles for alienating her husband's affections. After investigating the question, you find that your only chance of obtaining service of process upon Bubbles is in State Y. However, in 1968 the General Assembly of State Y abolished civil actions for alienation of affections by statute. Actions for alienation of affections may, however, still be maintained under the laws of State X. Upon Mary's request, you commence suit in State Y against Bubbles for alienation of affections.

What result? Give reasons.

### QUESTION #8

Lyle, a resident of State X, convinced Tom, a resident of State Y, to enter into a contract to purchase a tract of land located in State Z. Lyle induced Tom to enter into the contract by telling him that the land in State Z was suitable for building a palatial estate, while Lyle knew that the land was swampland unfit for a building. Tom knew nothing about the nature of the land located in State Z, other than what Lyle told him. Lyle and Tom negotiated and executed the contract of sale in State A. The contract stated that the law of State B would govern the rights and duties of the parties under the contract.

Tom later discovered that the land in State Z is swampland. He refused to go through with the contract. Lyle has brought suit in State X to enforce the contract.

- (a) Which state's law applies under the vested rights approach? Give reasons.
- (b) Which state's law applies under the most significant relationship approach of the Second Restatement? Give reasons.

### QUESTION #9

Baldwin and Revere are adjacent states of the United States of America.

Revere has enacted the Uniform Motor Vehicle Accident Reparations Act (UMVARA), which provides in part as follows:

**Section 2(a).** If the accident causing injury occurs in this State, every person suffering loss from injury arising out of maintenance or use of a motor vehicle has a right to basic reparation benefits. [Broadly, basic reparations benefits include reimbursement for all reasonable medical expenses and a substantial portion of actual economic loss other than damage to one's own motor vehicle.]

**Section 5(a).** Tort liability with respect to accidents occurring in this State and arising from the ownership, maintenance, or use of a motor vehicle is

abolished. . . . [Exceptions to this broad abolition of tort are not relevant to this problem.]

**Section 9(b).** Notwithstanding any contrary provision in it, every contract of liability insurance for injury, wherever issued, covering ownership, maintenance, or use of a motor vehicle . . . includes basic repairation benefit coverage . . . while it is in this State, and qualifies as security covering the vehicle.

P and D are both citizens and domiciliaries of Baldwin, and each owns a motor vehicle registered, insured, and garaged in Baldwin. On a certain day, each drove from Baldwin into Revere on unrelated pleasure trips, and while in Revere the automobiles driven by their owners collided. Each owner suffered substantial personal injury (damage to the vehicles is disregarded for purposes of this question).

In an appropriate court in Baldwin, P sued D for damages allegedly arising from D's negligent acts in Revere. D moved to dismiss on the ground that the law of Revere was clearly applicable, and that tort liability for injuries incurred in automobile accidents had been abolished by §5 of Revere's UMVARA.

Discuss fully the issues involved.

## QUESTION #10

X and Y are states of the United States of America.

The Fast and Efficient Bus Line, Inc., incorporated in Y and licensed to do business in X as well as in other states, operates a route running between the capitol of X and the capitol of Y with intermediate stops in both states. The corporation is hereafter referred to as F & E.

One day in April, 1982, an F & E bus was in Y on its regular run between the capitols of X and Y when the right front wheel of the bus came off, causing the bus to swerve off the road and roll on its side down an embankment. All passengers were injured, several seriously.

Six months later, Passenger A, a citizen of Y and one of the seriously injured, brought suit for himself alone, and not as a representative of a class, against F & E in an appropriate Y court alleging negligence in the maintenance of the bus, and outlining his own serious injuries. The bus had last been serviced and inspected at F & E's maintenance garage in X.

The judge instructed the jury concerning liability for simple negligence, and the jury found for Passenger A. Judgment was entered accordingly.

In May of 1983, Passenger B, a citizen of X and one of the passengers involved in the accident in question, filed suit in an appropriate X court against F & E alleging negligence in maintenance of the bus on which he was injured.

F & E defended on grounds of:

- (1) No negligence in maintenance of its busses.

(2) Time limitation precludes the action. (Y has a one-year statute of limitations. X has a two-year statute of limitations and a “borrowing” statute.)

Passenger B replied by asserting that the Y court jury had found that there was negligence and that therefore the issue was barred; and further that the X statute of limitations was applicable even though the injury had been sustained in Y.

On F & E's motion to dismiss, what should be the ruling of the X court? Explain fully.

## QUESTION #11

W, X, Y, and Z are states of the United States of America.

D Corporation, a State Z corporation, manufactured airplanes in State W. P, a citizen of State X, bought a D Corporation plane at its sales office in State X and had it delivered to an airport in State Y, where he rented hangar space.

Some time after delivery of the plane, P flew the plane from the State Y airport to State X where he was to pick up a passenger for the purpose of flying him to State W. While waiting for the passenger in State X, he had a couple of drinks and in due course left State X with his passenger on the way to State W. Within an hour, while flying over State Z, the plane inexplicably crashed, injuring both P and his passenger. P brought suit against D Corporation in State X. Personal service was achieved because D was doing business there through its sales office. P's theory was one of strict products liability which was grounds for relief in all the states mentioned. However, under the laws of State Y and Z, contributory negligence was considered to be no defense; under the laws of State W and X, it was. P argued that the law of State Z was applicable and that, therefore, he was entitled to recover. D argued that State X law was applicable and that P's contributory negligence barred his recovery.

The trial judge charged the jury that contributory negligence was a defense to P's claim, and the jury, finding P was contributorily negligent, returned a verdict for D Corporation, upon which judgment for D was entered. P appealed on the ground that the charge with respect to the applicability of contributory negligence was error.

What result? Discuss fully.

## QUESTION #12

For purposes of this question, the names “California” and “Wisconsin” refer to two hypothetical states of the United States.

The Burtons, a married couple domiciled in Wisconsin, were involved in a single-car accident in California. The accident was caused by the negligence of Mr. Burton, who was driving. Mrs. Burton was seriously injured in the crash. No one else was involved, and there was no damage to property other than the Burtons' car. After they returned home to Wisconsin, Mrs. Burton brought a negligence action against her husband and his insurance company in a Wisconsin court to recover for her injuries.



There was no prohibition in Wisconsin on spouses suing one another for negligent torts, the Wisconsin Supreme Court having abolished interspousal tort immunity many years previously, and likewise no prohibition on joining insurance companies in such actions. But Wisconsin followed the traditional place-of-the-wrong rule (*lex loci delicti*) in conflicts cases, which is to say that the governing law with respect to an issue in tort is the substantive law of the state where injury occurs. On motion to dismiss, the defendant insurance company pointed out that the doctrine of interspousal tort immunity was in effect in California, the state of injury, and that Mrs. Burton's suit was therefore barred. The trial court agreed and dismissed the suit.

Suppose the Wisconsin Supreme Court determined on appeal that it wanted to retain the place-of-the-wrong rule as its general rule for conflicts cases in tort, but wished to apply Wisconsin law in this case so that Mrs. Burton could maintain her suit.

- (1) Identify and discuss the various techniques the court might use to accomplish this.
- (2) Indicate in the process why it might wish to depart from *lex loci delicti* in this case. It may be relevant that one of California's choice-of-law rules was a rule that referred the question of interspousal capacity to sue to the law of the parties' marital domicile.

### QUESTION #13

Baldwin and Revere are adjacent states of the United States of America.

Employee, a citizen of Baldwin, entered into a contract of employment with Employer Corporation, incorporated in Baldwin and licensed to do business in Revere, to perform certain services in Revere. While on the job in Revere, and in the course of his employment, Employee was injured through the negligence of D, a fellow servant also a citizen of Baldwin, who was in Revere on the day of the injury pursuant to his contract with Employer Corporation.

Employer Corporation had provided Workmen's Compensation coverage for its employees under both the laws of Baldwin and Revere. Under the Baldwin's Workmen's Compensation Act, common law recoveries against employees or third parties are precluded. Revere's Act does not preclude common law recoveries against third party tortfeasors.

- (a) Before seeking recovery under either Workmen's Compensation Act, Employee brought suit against D in a Baldwin state court for D's alleged negligence resulting in Employee's injury. Assuming that D is liable under the normal common law rules of negligence, may Employee recover from D? Explain.
- (b) Without regard to the correctness of the decision, assume that the Baldwin court applied Revere law and granted Employee relief under the common law against the third party tortfeasor, D. Assume further that under the law of Revere, such recovery bars an award under Revere's Workmen's Compensation Act. May Employee in Baldwin be awarded compensation under Baldwin's Workmen's Compensation Act? Explain.

**QUESTION #14**

Assume that State X and State Y are states of the United States of America.

P (Petitioner) is a citizen of State X and was employed in that state by R Corporation (Respondent), incorporated under the laws of State X and licensed to do business in State Y. While engaged in R Corporation's work in State Y, he was seriously injured.

Both states have Workers' Compensation Acts which provide coverage for workers who are injured while engaged in their employment when the enacting state is either the state in which the contract of employment was made or the state where the injury occurred.

Shortly after the injury and while still hospitalized in State Y, P applied for and received an award from the State Y Workers' Compensation Board. He received periodic payments until the award was fully paid. Under the laws of State Y, such an award precluded additional recovery "at common law or otherwise."

Thereafter P learned that under the Workers' Compensation Law of State X, he would have received a larger award. So within the time limitation set by State X, he applied to the State X Workers' Compensation Board for an additional award. He argued that State X should grant him its full award minus the amount he had received under the law of State Y. The State X Board approved his application for this award, but State X Supreme Court reversed. It held that the State Y award was owed full faith and credit and that no additional award could be made.

The Supreme Court of the United States granted certiorari, and the case was argued. What disposition should be made of this case? Discuss fully.

**QUESTION #15**

D Loan Company is incorporated in the state of Baldwin, and does business in most of the states of the United States, including the state of Revere. Standard operating procedure for the loan company's branch offices in Baldwin and elsewhere is to accept "applications" for loans, and forward them to the home office in Baldwin for "approval." Each "application" provides in readable print that the law of Baldwin shall control on all questions arising under the loan agreement, including, but not limited to, questions of validity, interpretation, and performance. The "application" also provides that the courts of Baldwin shall have exclusive jurisdiction over any and all suits arising under the loan agreement, and provides further that the borrower consents to the exercise of jurisdiction over him or her by the Baldwin courts in any action brought against him or her by the D Loan Company.

P, an 18-year-old domiciliary of Revere, applied at one of the D Loan Company's Revere offices for a \$5,000 loan. He signed in Revere the "application," which provided for a 30% interest rate. The "application" was then forwarded for approval to the home office in Baldwin, and in due course, a check for \$3,500, constituting the proceeds of the loan minus the first year's interest, was received and delivered to P in Revere. When the first payment became due, P defaulted, and in accordance with the terms of the loan agreement, the entire balance including a full first year's interest became due. When P received the letter of the D Loan Company demanding full payment, he asked Revere Legal Aid for assistance. Revere Legal Aid determined that the interest rate charged was illegal in Revere but legal in Baldwin. It also determined that under Revere law, 18-year-olds are not adults and therefore

cannot bind themselves generally by contract, and P would be entitled to rescind this contract. Under Baldwin law, however, 18-year-olds are considered to be adults and are liable under their contracts.

Revere Legal Aid, on behalf of P, filed in an appropriate Revere court an action for declaratory relief, claiming that the contract was invalid and that P's maximum obligation was to return only that amount of money which he had actually received. The D Loan Company pleaded: (1) no jurisdiction in the Revere court because of the contractual provision that the courts of Baldwin should have exclusive jurisdiction of questions arising under the loan contract; and (2) even if the Revere courts had jurisdiction, Baldwin law nonetheless applied, which would validate the commitment by an 18-year-old and a 30% interest rate.

What decision should the Revere court render? Discuss fully.

### QUESTION #16

Baldwin and Revere are states of the United States of America. P is a citizen and domiciliary of Revere. D is a citizen and domiciliary of Baldwin.

Previously, D had been declared a spendthrift by a Baldwin court and placed under a conservatorship. Thereafter, D went to Revere where he borrowed a substantial sum from P, who understood D to be a man of some wealth, but did not know of the spendthrift proceedings. A promissory note in favor of P was signed by D in Revere. Revere has no procedure whereby a spendthrift can be protected.

Thereafter, D's conservator learned of the signing of the note and declared the obligation void. This was done under a provision of the Baldwin Code which provides in part: "After the appointment of a conservator for the spendthrift, all contracts except for necessities and all gifts, sales, and transfers of real or personal property made by such spendthrift thereafter and before the termination of the conservatorship are voidable." When the note became due and unpaid, P sued D in Baldwin to recover the amount due.

On the facts presented, what are the chances of recovery if suit is filed in Baldwin? Discuss fully.

### QUESTION #17

Clay and Dore are both residents of State X. On July 10, 1981, Clay agreed by written contract to sell to Dore for \$65,000 a residence owned by Clay in State Y. The transaction was to be closed on August 30. A title examination revealed that the State Y residence of Clay was occupied by Hay under a recorded lease which had expired. Hay refused to vacate the property. Dore asked Clay to evict Hay. Clay refused and told Dore that he would not go through with the sale because he had been offered \$75,000 for the property.

Dore sued Clay in State X to require Clay to (1) bring eviction proceedings against Hay in the appropriate State Y court and, following the eviction, (2) deliver to Dore a deed to the State Y property upon payment to Clay of \$65,000. Clay moved to dismiss the action on the

ground that (a) the State X court was without jurisdiction to require him to proceed in a State Y court to effect the eviction of Hay, and (b) the State X court was without jurisdiction to require Clay to deliver to Dore a deed to the State Y property.

How should the court rule on grounds (a) and (b) of Clay's motion to dismiss? Give reasons.

### QUESTION #18

Jerry Jay, 19 years of age, and a resident of State X, owned Grasslands, a valuable farm located in State Y. The farm had been devised to Jay under the terms of his deceased father's will.

On September 14, 1977, Jay received from Delta Development Company a written offer to purchase Grasslands for \$300,000. Jay accepted the offer by letter, delivered to the president of Delta Development Company on September 15.

The law of State Y provides that a person must have attained his twenty-first birthday in order to make a conveyance of real estate. The law of State X provides that one can convey real estate after attaining his eighteenth birthday.

By the time Jay tendered a duly executed and acknowledged deed to the President of Delta Development Company, the latter had learned Jay's age.

Should the President of Delta Development Company accept the deed and pay the purchase price? Give reasons.

### QUESTION #19

Bonnie, aged 19, was a resident of the city of Emanon in State X. She was engaged to Bill, an army officer, who had been ordered to report for duty at an army post in the city of Erehwon in State Y on the east coast. As they needed a car and a place to live, Bonnie contacted a real estate agent and a car dealer in Erehwon. The realtor showed her a house and gave her a contract to purchase the home, which contract had been signed by the owner. The car dealer showed her a used Chevette which could be purchased on very favorable terms and gave her a written contract covering the terms of sale, which he had signed. Bonnie explained to each of the men that she wanted to go over the documents with her father and she took the papers back to Emanon with her. After reviewing both contracts with her father, she signed both documents in Emanon and mailed them with the necessary down payment checks to the car dealer and to the real estate agent in Erehwon. She was to get possession of the car in three weeks and occupancy of the house in sixty days.

The next week, Bill called to say that his orders had been changed so that he would be transferred to the west coast, and he told Bonnie to cancel both contracts.

Assuming that the age of majority in State X is 18 and that of State Y is 21, can Bonnie avoid either or both of the contracts on the grounds of infancy? Give reasons.

**QUESTION #20**

Quinn, a resident of State X, delivered to Shaw, in State Y, a written instrument transferring loaned the furniture to Jay for display purposes in an antiques show. By a separate written instrument also delivered to Shaw in State Y, Quinn transferred to Shaw two additional pieces of antique furniture stored in a warehouse in State D.

By the laws of States Y and Z a gift of personal property by delivery of a written instrument, without delivery of the property, is invalid, but by the law of State D a gift of personal property may be effected by signing and delivering a written instrument without delivery of the property.

Is Shaw entitled to possession of the antique furniture in States Z and D? Give reasons.

**QUESTION #21**

Jackson died in 1975 in State X. Under Jackson's will, his wife, Wilma, received a life estate in trust in real estate in State Y and the remainder was left to Wilma's lawful surviving issue. Wilma was survived by two children, Paul, a natural child, and Mary, an adopted child. Paul and Mary lived in State Z. The trustee was a bank in State Y. Under the laws of State X, the testator's domicile, adopted children can take a remainder interest after a life estate in trust. Under the law of State Y, the place of administration and location of the realty, adopted children are excluded. Under the law of State Z, the domicile of all the beneficiaries, adopted children can be included.

Which state law should a court apply in determining whether Mary is to be included in the bequest? Give reasons.

**QUESTION #22**

Abner Arnett, 25 years of age, had lived in State X all his life. He had acquired a house in State X; a small ranch in State Y; a boat which he kept in State Z; live stock and ranch equipment in State Y; and both tangible and intangible property in State X. He became engaged to Sarabelle Rice who lived in State Z and they planned to be married on September 25, 1976. On August 7, Abner executed a will leaving his entire estate to Sarabelle. On September 1, Abner started in his Volkswagen for State Z intending to spend the Labor Day weekend with his fiancée. Unfortunately, he did not reach his destination as he was killed in an automobile-train collision in State A on September 2.

After Abner's death, his will was produced and found to be validly executed under the laws of State X but did not conform to the requirements of the laws of States Y and Z.

You may assume that the laws of each of the three states provide that real and personal property of an intestate decedent pass to the parents of the decedent if they were living and that Abner's parents were living at the time of his death.

Who is entitled to the real and personal property situated in each of the three states, X, Y and Z? Give reasons.

### QUESTION #23

Gray and Ray formed X Corp. to act as agent for athletes and to promote sporting events. X Corp. was incorporated in State Orange but had its principal place of business in State Blue. At the time of the formation of X Corp. in 1975, Gray and Ray entered into a voting agreement with respect to the election of directors. The agreement provided that it would remain in effect as long as Gray and Ray each owned at least 50% of the common stock of X Corp.

In 1980, X Corp. entered into a contract with Punjab to manage his boxing matches. The contract was signed in State Red where Punjab resided. Punjab was also to receive his share of any receipts from boxing events in State Red. At the request of Punjab's lawyer, the contract also provided that State Red law would be used to interpret the contract.

In January, 1986, Gray refused to vote for election of directors as called for in the voting agreement. Ray sued in State Blue to have the agreement enforced. Under the laws of State Orange, the voting agreement was only enforceable for a period of 10 years. Under the laws of State Blue, voting agreements were enforceable in accordance with their provisions without any time limit.

In February, 1986, X Corp. and Punjab had a dispute over Punjab's obligations to fight in State Blue under the management contract. X Corp. sued Punjab in State Red. Under the laws of State Red, all management contracts pertaining to professional boxers were to be interpreted under State Red law. Under the laws of State Blue, disputes pertaining to boxing events to be held in State Blue were to be governed by State Blue law.

Discuss: (a) What state law should be applied in Ray's suit regarding the enforceability of the voting agreement? (b) What state law should be applied to interpret the management contract?

Give reasons.

### QUESTION #24

Baldwin and Revere are states of the United States of America. H and W were citizens and domiciliaries of Baldwin, which was also their marital domicile and where they had lived for several years with their three pre-teenage children.

A couple of years ago, H became disenchanted with W and left her and the children in Baldwin to establish his own new home in Revere. W, within a few days, filed an action in Baldwin for the custody of the children and for support, both for herself and them. H appeared by counsel and consented to the final order awarding her custody and support indefinitely.

A year later, H met another woman, and shortly thereafter they decided to be married. He therefore filed an action for divorce in Revere on the ground of incompatibility, an adequate

ground there but not in Baldwin. W was not served in Revere and did not enter an appearance. During the times in question, the children were never physically present in Revere.

The Revere court granted H's petition for a divorce, purported to grant him custody of the children, and terminated W's right to alimony. H stopped making the support payments required by the Baldwin decree.

Assume you are a practicing attorney in Baldwin and that W consults you concerning her situation. How would you advise her and why?

## QUESTION #25

Assume that State X and State Y are states of the United States of America.

H and W-1, citizens of X, were married years ago in X. On their wedding day, H handed to W-1 a policy of insurance issued by the ABC Insurance Company, an X corporation, insuring his life for \$25,000 with W-1 the named beneficiary. The policy provided that upon proper proof, payment under the policy would be made at the Company's home office in Capitol City, State of X. It also provided that all questions arising on this contract of insurance were to be determined according to the law of X.

Thereafter H and W-1 moved to and became citizens of Y. The ABC Insurance Company was not licensed to do business in Y and had no contact with Y other than the fact that it periodically mailed notices of premiums due to H and others similarly situated and received their premium payments mailed in Y to its home office in X.

After a short while, H discovered that W-1 was cheating on him and sued for and obtained from her in Y an absolute decree of divorce. W-1 moved back to X and regained her citizenship there.

Thereafter, H married W-2, a citizen of Y, in Y. A few months later, he was killed in an automobile accident in Y, and W-2 was named administratrix of his estate. Both W-1 and W-2 (as administratrix) claimed the proceeds of the life policy, and the ABC Insurance Company thereupon filed in an appropriate U.S. District Court in X a federal statutory interpleader action naming them both as defendants - W-1 in her individual capacity and W-2 as administratrix of H's estate.

Under the law of Y, a decree of divorce revokes the designation of the former spouse as the named beneficiary in such an insurance policy, and if this law were applicable in this case, the proceeds of the policy would be paid to H's estate. However, if the Y revocation statute were not applicable, then W-1 would take under X law as the named beneficiary.

Both W-1 and W-2 as administratrix moved for summary judgment.

## QUESTION #26

Two years ago, Paul, a resident of State Red, underwent surgery in State Green. The surgery was performed by Doctor, who lives and has his practice in Green. Doctor negligently left a

surgical sponge in Paul. Six months ago, Paul suddenly began to suffer intense pain. At that time, the sponge was discovered to be the source of that pain. An operation to remove the sponge was performed in Red.

Prior to this second operation, Paul arranged with his present surgeon to have Doctor called into consultation. When Doctor arrived in Red, he was served with process in a negligence action brought by Paul in that state. Paul's lawyer had suggested the consultation because he knew it would make it possible to serve Doctor in Red. Paul's present surgeon was unaware of the lawyer's motives and thought that the consultation was an excellent idea for medical reasons. The second operation was in fact made easier as a result of the consultation. Thereafter, Doctor was also personally served with process in the action at his office in Green, in accordance with a Red statute which authorizes its courts to exercise jurisdiction over any nonresident who "commits a tortious act outside the State of Red, causing injury to any person within the State of Red."

The applicable statutes of limitation in both Red and Green require that an action for negligence be commenced within one year. The Red Supreme Court has held that its statute does not commence to run until the injury is discovered. The Green Supreme Court has held that its statute runs from the date of the negligent act.

Doctor did not appear in the Red action. The Red court entered a default judgment in favor of Paul. Paul has now sued Doctor in Green on two counts, the first on the State Red judgment, and the second on a cause of action for negligence if the court should find he is not entitled to recover on the State Red judgment.

- (a) Is the State Red judgment enforceable in State Green? Discuss.
- (b) If the State Red judgment is not enforceable in State Green, is Paul's negligence action in State Green barred by lapse of time? Discuss.

## QUESTION #27

Baldwin, Revere, and Sherman are contiguous states of the United States of America. D Manufacturing Company is incorporated in Sherman, where it operates its own manufacturing plant. However, it does business in Baldwin by regularly selling its products there. It does no business in Revere.

P, a citizen of Baldwin, was on vacation in Revere, when D Manufacturing Company inadvertently contaminated the waters of the Jackson River, which flows from Sherman through Revere to the ocean. P, while swimming in the Jackson River in Revere, became seriously ill as a result of exposure to the contaminated water.

Several years ago, the Revere legislature enacted an Environmental Protection Act which provided for recovery of three times actual damages by anyone injured in Revere under such circumstances. Although Revere has a long-arm statute, which would arguably permit it to obtain judicial jurisdiction over the D Manufacturing Company in Revere, P, nevertheless, brought suit in Baldwin because (1) it was his home state, (2) the Baldwin court calendars were not as crowded as were those of Revere, and (3) it has been thought by many that Baldwin juries award large verdicts in actions by its citizens against corporations, particularly out-of-state corporations.



The complaint, *P v. D Manufacturing Company*, filed in a Baldwin state court, alleged a right to relief under Revere's Environmental Protection Act. (Assuming that Revere's law is applicable, it stated a claim upon which relief could be granted.)

You are an associate in the Baldwin law firm defending D Manufacturing Company. Your senior partner has asked you to research the possible bases for a motion for summary judgment.

You ascertained first that within the year the Baldwin legislature had considered and failed to approve an Environmental Protection Act similar to that of Revere. You also ascertained that Sherman has no Environmental Protection Act, and its legislature has never considered one.

Discuss fully the arguments that D's counsel should advance in support of the motion.

### QUESTION #28

Baldwin and Cardozo are states of the United States of America. D-1, while an employee of the State of Cardozo, drove a Cardozo truck on Cardozo business in Baldwin. He there was involved in a collision with an automobile owned and operated by P, a citizen of Baldwin, causing extensive damage to P's person and to his vehicle. It is to be assumed that D-1's negligence caused the injuries and that there was no contributory negligence.

Thereafter, P sued in the appropriate Baldwin state trial court both D-1 and the State of Cardozo, who were served with process under the Baldwin long-arm statute, which authorized such out-of-state service.

D-1, Cardozo's employee, had no appreciable personal assets and no insurance, so he did not even bother to answer. Cardozo's chief defense was sovereign immunity; but under the laws of Baldwin, sovereign immunity was, and is, no longer recognized as a defense to suits against either Baldwin or another state. Consequently, judgment was entered in favor of P against both D-1 and the State of Cardozo. This judgment was affirmed by the Supreme Court of Baldwin and the U.S. Supreme Court denied certiorari.

P recognized that there was no realistic chance of recovering from D-1, so he was not surprised that D-1 refused to pay. However, Cardozo also refused to pay the judgment, and since neither had assets in Baldwin, P instituted an action in Cardozo against D-1 and Cardozo on the Baldwin judgment. Does the full faith and credit clause require that Cardozo now honor the Baldwin judgment against D-1 and Cardozo? Explain.

### QUESTION #29

For purposes of this question, the names "Florida" and "Illinois" refer to two hypothetical states of the United States.

Jones, 45 years old, has lived and worked in Florida all his life. While driving through Illinois on a business trip in 1985, he collides with another car and is killed instantly. The driver of the other car, one Rambo, is a resident and domiciliary of Illinois. His damages are minor. The negligence of both drivers contributes significantly to the accident.

Illinois is a contributory negligence state. Rambo is advised by his attorney that under Illinois law he cannot be held liable for any damages resulting from the accident.

About a year after the accident, Rambo decides to fly to Florida for a week's vacation at Disney World. He has never been to Florida before and has had no previous connection of any kind with the state. While there, he is properly served with process as the defendant in a wrongful death suit instituted in an appropriate Florida court by Jones's surviving spouse. Like her husband, Mrs. Jones has lived in Florida all her life.

Florida is a comparative negligence state. The parties stipulate that if Illinois law applies, Mrs. Jones cannot recover, but that if Florida law applies, she can.

Suppose that the trial court determines that Florida law applies, thereby permitting Mrs. Jones to recover damages for her husband's death, and that this determination is subsequently upheld by the Florida Supreme Court. What would be the likely result if the United States Supreme Court then granted certiorari to review the constitutionality of this choice-of-law determination? Discuss fully.

# CONFLICT OF LAWS ANSWERS

## ANSWER TO QUESTION #1

By moving to state R with the intention to live and make a home there, Sam and Diane have effectively chosen state R as their state of domicile. Matters relating to their personal status, such as the validity of their marriage, will therefore be determined by the laws of state R.

The general conflict of law rule is that marital status is governed by the law of the state where the marriage is performed. A marriage valid where celebrated is valid in the state of the parties' domicile, except when contrary to the public policy of that state.

State R may hold invalid a foreign marriage which is specifically prohibited by the public policy of State R. Additionally, state R may hold invalid marriages of residents of state R who intend to remain domiciled in state R, when those individuals have intentionally tried to evade the requirements of R's laws by marrying in another jurisdiction. Sam and Diane, while intending to be domiciled in state R, married in state M with the intention of evading state R's age requirement. State R may therefore find Diane's age to be an impediment to the marriage and hold the marriage of Sam and Diane to be invalid and against public policy.

## ANSWER TO QUESTION #2

State X may apply its own law, assuming that it can obtain personal jurisdiction over Bill. Historically, service of process in the forum state was considered sufficient to establish personal jurisdiction over a nonresident defendant, but today's concept of due process holds that service alone is insufficient unless the defendant has sufficient contacts with the forum state. According to these facts, Bill has no contacts with State X sufficient to require him to defend against this suit there.

Assuming that State X could assert personal jurisdiction over Bill, under the traditional approach, the law of the place of the wrong applies to the measure of damages issue. Thus, the law of State Y would be applied to limit recovery to \$10,000.

Under the Second Restatement approach, State Y has significant contacts with the suit as the place of the injury and the place of the conduct giving rise to the injury. However, these contacts alone do not support the application of State Y law to the wrongful death action on behalf of a nonresident of State Y. State Y is also the residence of one of Andrew's heirs, his daughter, and thus has an interest in the recovery of damages for the estate which would accrue to her, but has chosen to limit such recovery. State Z has an interest in protecting its domiciliaries, such as Bill, from paying excessive damages for wrongful death, especially where, as apparently here, the beneficiaries were not dependents of the victim. However, most importantly, State X is the place of administration of the estate and the state in which the wrongful death action was brought. State X has an interest in protecting the survivors and creditors of its deceased domiciliaries by applying its own statute to maximize the

recovery to the estate. Wrongful death actions are created by statute, and a limit on recovery is considered a limitation on the right, not merely on the remedy. The limitation imposed by the statute under which the action is brought should be applied. Therefore, State X will apply its own law and permit unlimited recovery by the dependents of Andrew.

### ANSWER TO QUESTION #3

(1) The court will grant a stay of action pending arbitration.

When parties to a contract stipulate that the law of a particular state will govern, here, the arbitration law of State White, the forum state court will uphold their expectations if the contract has a reasonable relationship to the state. Here, the treatment contract was made in State White, and the services were performed in State White. Because the agreement bears a reasonable relation to State White, the dispute should be submitted to arbitration under State White law. The fact that the agreement P signed was a standard form agreement does not permit P to avoid its terms when he had knowledge of its terms.

(2) The court will dismiss the action because it is barred by the statute of limitations.

The statute of limitations is traditionally considered procedural and is generally governed by the law of the forum, unless the right of action is conferred by a statute creating a substantive right. Here, the right of action in tort for negligence exists under common law and is therefore procedural and governed by State Red, the forum state. State Red has a 4-year statute of limitations, and therefore P's suit was timely brought two years after the surgery. However, there is an exception to the application of the forum statute of limitations when a freely negotiated contract provides that the law of a specific state governs any contractual dispute. Here, the parties agreed that any dispute would be resolved by arbitration in State White. If P freely signed the agreement prior to treatment, he is bound to its terms. State White bears a reasonable relationship to the contract since State White was the place of the treatment and the domicile of the defendants.

(3) The court will dismiss the action because of the release.

The validity of a release is determined by the law of the jurisdiction under which the release is given, in this case, State Red. The effect of the release is governed by the state with the most significant relationship to the transaction. State Red is the place where the release was executed, the place of the suit, and the domicile of P. Therefore, State Red law applies, and the release of Hospital also releases D.

### ANSWER TO QUESTION #4

(a) State Z's statute of limitations will apply.

Under the traditional and Second Restatement view, the statute of limitation is a procedural matter governed by the law of the forum. Applying interest analysis, the forum will generally be justified in applying its own statute of limitation if the forum state is also the domicile of the defendant because the purpose of a statute of limitations is to protect litigants

from defending against stale claims. Here State Z is both the forum and the domicile of the defendant, so State Z's two-year statute of limitation applies, and Penn's suit is not barred.

However, this result might be changed if State Z has a borrowing statute, since the cause of action arose outside of State Z and the plaintiff is a nonresident.

(b) The testimony of Penn's doctor may be introduced.

Evidentiary questions are traditionally considered procedural and controlled by the law of the forum, unless "outcome determinative." Because State Z has no law prohibiting the doctor's testimony, State Z law would apply and permit the testimony. Applying the Second Restatement approach, however, an argument can be made that State X, as the place where the privileged communication arose, has the most significant relationship to the introduction of such evidence. Both State Y and State Z have significant contacts with the action: State Y is the place of the wrong; State Z is the forum state and the domicile of the defendant. However, rules of privilege are not merely rules intended to protect the fairness of the outcome of litigation; they are substantive rules intended to protect certain relationships. State X is the place where Penn's relationship with his doctor is centered, and it has an interest in protecting its citizens' expectations that their privileged communications will be immune from discovery and use at trial either in State X or outside it. Generally, however, the physician-patient privilege is limited to communications made to the physician for the purpose of diagnosis or treatment and to other information gained by the physician during the consultation. The effect of a medication is a matter of which the physician would have independent professional knowledge, and the physician's warning given to Penn would have independent legal effect as bearing on Penn's knowledge of the risk. These matters are not properly within the scope of State X's interest in protecting the confidentiality of the physician-patient relationship. Therefore, State Z may apply its own law and admit the evidence.

(c) State Z's law will apply to the negligence issue.

Under the traditional approach, the law of the place of the wrong governs all issues in a torts action, and the State Y law of comparative negligence would apply. Under the Second Restatement approach, both State Y and State Z have significant contacts to the action - State Y as the situs of the conduct and the accident between two nondomiciliaries, and State Z as the forum state and the domicile of the defendant. The State Z contacts may be more significant because one of the state's domiciliaries is being sued within the forum, and therefore State Z may apply its own law of contributory negligence. A comparative negligence statute is intended to promote the fair compensation of plaintiffs, but here the plaintiff is not a resident of State Y.

## ANSWER TO QUESTION #5

Dale can assert the defense that the statute of limitations of State X bars the action. Because the statute of limitations has traditionally been considered procedural, the forum, State X, would apply its own statute to bar the action brought more than one year after the wrong. The Second Restatement generally rejects a rigid substantive/procedural dichotomy in favor of weighing the contacts and policies involved with respect to each issue. However, the

Second Restatement specifically labels the statute of limitations procedural, unless the right of action was created by statute. The burden is on Brown to show that the forum law should be displaced.

Dale may successfully assert that the action is barred by State X's rule against survival of slander actions. Under the traditional approach, survival of actions is a substantive matter and the law of the place of the wrong applies. Under this view, State X would have to apply State Y law to permit the action. Similarly, under the Second Restatement approach, State Y has significant contacts with the action as the place of the wrong, the place of the conduct giving rise to the wrong, and the domicile of the plaintiff. State X's contacts are that it was the domicile of the defendant and thus is the place of administration of his estate. State X has an interest in applying its law against survival so as to protect the estate against needless claims, such as an action involving no actual economic loss to the victim. However, State Y also has a legitimate interest in seeing its resident tort victims compensated, even for intangible personal injuries. Allowing such actions to survive is the modern trend. However, when each state has significant contacts and policies involved in the action, the forum is justified in applying its own law.

## ANSWER TO QUESTION #6

This question has a rather complicated fact pattern, but ultimately requires an analysis of the underlying cause of action and a determination of what law would be applied by a federal court in a diversity case.

The facts state that P brought suit against D-3, who was driving the truck with a defective brake pedal assembly, and D-2 Corporation which had installed the brakes in the truck manufactured by it in State X. P was successful against both defendants. On June 30, 1978, D-2 Corporation paid P \$25,000 in satisfaction of P's claim against it.

Subsequently, on October 10, 1981, D-2 filed an indemnity action in federal district court in State X against D-1 Corporation, from which it had purchased the defective brake pedal, to recover the amount it paid P.

The *Erie* case clearly determined that a federal district court must apply the law of the state where it sits. The court will therefore look to the law of State X. The general conflicts principle is that matters of "procedure" are determined according to the law of the forum. As the statute of limitations is generally considered a procedural issue, the issue will be resolved by application of State X's law.

The facts state that State X has a four-year statute of limitations on indemnity claims. It also has a "borrowing" statute which provides that when a cause of action is fully barred by the state where it arose, such bar will be a complete defense to an action brought thereon in its courts. Thus, the issue is whether the cause of action arose in State Y or Z (in which case the action will be barred) or State X (in which case it will not be barred).

While the point is arguable, the better answer is that the cause of action did not arise from the accident in State Z. Rather, the suit is based upon the furnishing of the defective brakes by the D-1 Corporation. The cause of action for indemnification would arise in the state where the defective brakes were delivered: State X. Therefore, the court will apply State X's four-

year statute of limitations to the action for indemnity. The “borrowing” statute, which would require that the cause of action be barred if it arose in states Y or Z, will not be applied by the federal court.

## ANSWER TO QUESTION #7

The suit will be dismissed.

Under the traditional vested rights approach, the law of the place of the wrong governs tort actions. Thus, the law of State X would apply because State X is the place where Mike's affections were alienated, and Mary would prevail.

Applying the Second Restatement approach, both states have significant contacts with the action. State X is the domicile of the injured party, the place of the wrong, and the place of the injurious conduct. State Y also has important contacts as the domicile of Bubbles and Mike. State X appears to have more significant contacts, but it can also be argued that State Y has a strong public policy against actions for alienation of affections and therefore State Y, as the forum state, need not apply State X's law so as to defeat State Y policy. Interest analysis generally supports application of forum law unless the forum has no genuine governmental interest involved. Although State X has an interest in protecting the stability of marriages in the state, State Y has expressed an interest in protecting the freedom of choice of its domiciliaries such as Mike and Bubbles. State Y law represents the modern view. Therefore, State Y may validly apply forum law to bar the suit.

## ANSWER TO QUESTION #8

(a) Under the vested rights approach, forum State X would apply its own procedural rules and practices, on the presumption that the forum state has a great interest in how cases are tried and presented in its own courts. Whether a matter is substantive or procedural will be determined according to the law of the forum State X.

Under the vested rights approach State X would apply the substantive law of the state in which the rights of the parties' vest or the act or relationship giving rise to the cause of action occurred. A characterization would need to be made as to whether the case involved a property interest or whether it involved solely the rights and liabilities of the parties as a matter of contractual obligation. Forum State X would make this characterization based upon its own internal law.

If the case is determined to involve the rights and liabilities of the parties as a matter of contractual obligation, then the place of performance and execution would determine the validity, construction and obligations of the contract. If the place of performance and execution are different, then the law of the state in which the contract is executed governs. The substantive law of State A would therefore be applied by the court of State X.

If forum State X characterizes the case as involving a property interest, then it will apply the substantive law of State Z, as the validity of a contract for transfer of an interest in land is

determined by the local law of the state where the land is situated under the vested rights approach.

(b) Forum State X would not necessarily apply its own procedural rules and practices under the Restatement approach. The Restatement directs the forum court to look to all the circumstances surrounding a cause of action and determine which state has the most significant relationship to each issue raised, procedural or substantive. While recognizing the compelling reasons for a state to apply its own rules of judicial administration, the Restatement is in favor of applying a contacts analysis approach, and categorizing as substantive those rules and practices which may be outcome determinative.

Under the Restatement, the forum court would place less emphasis on territorial notion and look more to apply the law that conformed with the intent of the parties. Where the parties have expressed their intent as to the governing law, that will be upheld, provided that the contract has a reasonable relation to the specified state. There appears to be no reasonable basis for the parties' choice of State B, the parties having no substantial relationship with the state.

Under the Restatement the Court of forum State X would not necessarily apply the substantive law of State B but would instead look to various factors in determining which state had the most significant relationship to each of the issues raised. Furthermore, the forum state would not apply the law of the chosen state if that law was contrary to the public policy of a state with a more direct interest. The court would look to the place of contracting, place of negotiation, place of performance, location of subject matter, and domicile of the parties to the contract, and then determine which state had the most significant contacts and the most direct interest in having its policy applied with respect to each particular issue raised.

## ANSWER TO QUESTION #9

Traditionally, the law of the place where the tort was committed governs the determination of actions. A tort is committed in the state where the injury occurred. The law of that state will therefore govern the substantive issues of liability, under the traditional view. In this instance, Revere would have an interest in having its law applied to an action arising out of injury occurring there.

However, Baldwin would seem to have a more substantial interest in the case. Its interest derives from the fact that P and D are both citizens and domiciliaries of Baldwin. In a case such as this, where the place of the accident seems only fortuitous, the parties' home state would seem to have a more substantial interest in seeing to it that injuries are redressed. However, this result is arguable.

## ANSWER TO QUESTION #10

Two issues arise in this question; one involves issue preclusion or offensive collateral estoppel, and the other involves a procedural determination regarding application of a borrowing statute to time bar an action.



The facts state that A, a citizen of Y, had brought suit against F & E in State Y for negligent maintenance of the bus. Passenger A obtained a judgment against F & E. Thirteen months after the accident, in May of 1983, Passenger B, a citizen of X, filed suit against F & E in State X, also alleging negligent maintenance of the bus. F & E defended on the ground that there was no negligence in the maintenance of its buses. Passenger B replied that the jury in Y court had already found F & E to be negligent, and that the issue was barred.

The X Court would most likely find against F & E, by concluding that the issue had already been decided. The usual problem with collateral estoppel concerns the fairness of preventing a party from fully litigating an issue. In this case, F & E had been sued by Passenger A previously on the same grounds, and had ample opportunity at that time to defend against the claim of negligent maintenance. There is no inherent due process problem in this case, as the issue has been fully litigated.

However, the doctrine of mutuality provides that if one party is barred from relitigating an issue, then the other would also be barred regarding the same issue. In this case, if the F & E company had won in the suit brought by Passenger A, it could not prevent Passenger B from litigating the same issue. Therefore, since F & E could not use defensive collateral estoppel, the doctrine of mutuality would hold that Passenger B should not be able to use it offensively against F & E.

The court of State X will most likely not apply the doctrine of mutuality, as the doctrine has fallen into disfavor. Rather, the court will follow U.S. Supreme Court precedent and look to whether or not the particular party had an opportunity to fully litigate and defend against a particular issue or allegation. F & E did have the opportunity in the suit brought by Passenger A. Therefore, State X will rule against F & E on the first ground of its motion to dismiss, and find negligence on the part of F & E as a matter of law.

The second issue raised in the question concerns application of the statute of limitations to preclude Passenger B's action. The facts state that Y has a one-year statute of limitations, while X has a two-year statute and a "borrowing" statute. Assuming that X's "borrowing" statute provides that X will bar any action barred by the laws of the state where the cause of action arose, Passenger B will be precluded from bringing suit against F & E by the shorter statute of limitations applicable in State Y, where the cause of action arose.

## ANSWER TO QUESTION #11

This question requires an analysis of the facts to isolate the contacts of four separate states with P, D, and the cause of action, and to make a determination as to the correctness of the trial court's finding on that basis.

The case involves States W, X, Y, and Z. D Corporation manufactured its airplanes in State W. It also was the final destination of P and his passenger. This was the only connection W had to either P or D and the cause of action. State Y's connection is also tenuous because it was merely the place where P took delivery of the plane, and where the fateful flight originated.

State X, however, the domicile of P, was the place where P had purchased the plane from D, and was where P had flown the plane to pick up his passenger. While waiting for the

passenger there, P had a couple of drinks. This presumably led to D's later allegation that P had been contributorily negligent.

State Z was the site of the plane crash, and therefore the place of the tort; both P and his passenger were injured there.

The issue for resolution is whether the forum state, X, should apply its own law under which contributory negligence is a defense in an action based on strict liability, or whether it should apply State Z's law, where D will not have the contributory negligence defense available to it.

The traditional rule would favor State Z. D will argue that all of P's contacts with it arose in State X; it was the place where P was domiciled, where he had purchased the plane from D at one of its sales offices, and presumably where P's contributory negligence occurred. State Z was only the place where the accident happened.

Although the result is open to question, D's arguments will most likely fail. The court will probably rule in P's favor on appeal, and find that his contributory negligence should not have barred his recovery. The preeminence of the place of the tort would be controlling to make Z's law applicable. Insofar as contributory negligence is not a defense to a strict liability cause of action in Z, P will be entitled to recover against D.

## ANSWER TO QUESTION #12

This question involves interspousal tort immunity, and a court's determination with respect to the traditional choice of law rule.

The Burtons, a married couple domiciled in Wisconsin, were involved in a car accident in California. The accident was caused by the negligence of Mr. Burton, and his wife was seriously injured. Mrs. Burton subsequently sued her husband and his insurance company in a Wisconsin court. Wisconsin did not prohibit such a suit as it had abolished interspousal tort immunity.

However, Wisconsin followed the traditional place-of-the-wrong rule in tort cases with a conflict of law problem; i.e., its policy was to apply the substantive law of the state where the injury occurred. Since California recognized the doctrine of interspousal tort immunity, the suit was dismissed by the trial court.

If the Wisconsin Supreme Court wished to retain its traditional rule regarding conflicts cases in tort, but allow Mrs. Burton to maintain her suit, it might choose to define the marital status of the parties out of this rule. The Court could by definition make the status of the parties an exception to the traditional rule, which calls for application of the substantive law of the place of tort. The issue of status could be defined as procedural, and one that would be governed by the law of the forum state, i.e., Wisconsin, the state of the marital domicile.

The Court may wish to depart from the *lex loci delicti* rule in this case because of its interest in applying its own law to a matter between married domiciliaries. The Court could look to the general law of California and refer the particular question of interspousal capacity to sue back to the law of the parties' marital domicile. This rule is compatible with the Wisconsin Court's interest in providing a forum to the plaintiff in this particular case.

**ANSWER TO QUESTION #13**

This question involves the Workmen's Compensation Acts of two states, Baldwin and Revere. Under Baldwin's Workmen's Compensation Act, common law recoveries against employees or third parties are precluded. By contrast, Revere's Act does not preclude common law recoveries.

The facts state that Employee was a citizen of Baldwin and had entered into a contract of employment with a corporation incorporated in Baldwin and licensed to do business in Revere. He was injured in the course of his employment (as is required for recovery under any Workmen's Compensation Act) in Revere through the negligence of D, another employee.

(a) The first question posed is whether or not Employee may recover against D in a Baldwin state court, assuming that D is liable under common law rules of negligence. There would be no recovery if the Baldwin court applied its own law because common law recoveries are precluded. The fact that Employee was a resident of the State of Baldwin and entered into a contract of employment in the state with a corporation incorporated in that state favors application of Baldwin's law. His suit was based upon that contract of employment. These facts would give the court of Baldwin a "legitimate interest" in applying its own law. General public policy would also support application of Baldwin's own law in an action brought by one of its citizens against another.

However, there is an argument that the law of Revere should be applied. The fact that Revere was the site of the injury forms the basis for Revere's "legitimate interest." However, the fact that the injury occurred while both employees were in the State of Revere seems largely irrelevant. The fact remains that all parties are citizens of Baldwin and contracted for employment in Baldwin. Revere has no substantial interest in protecting any of the parties. Therefore, the better answer is that Baldwin's law should apply.

(b) The second question posed involves issues of dual recovery and estoppel. The employee was granted relief under Revere's common law. As a result, he was barred from further recovery under Revere's Workmen's Compensation Act. He now seeks to recover under Baldwin's Workmen's Compensation Act. He should not be allowed to do so. While an employee may file and receive awards under the Workmen's Compensation Acts of different states, this case differs because the employee already obtained recovery under common law. The employee here had the choice to either obtain relief under the Workmen's Compensation Act of Baldwin or recover in common law in Revere. Having made that choice, and having recovered in the court in Revere, he should not be allowed to seek recovery again in Baldwin. There was only one injury for which he may be compensated. As the Workmen's Compensation Act would compensate for that same injury, he should not be able to recover in Baldwin.

**ANSWER TO QUESTION #14**

This question treats the issue of successive awards for a plaintiff under Workmen's Compensation Acts.

The facts state that P is a citizen of State X and was employed by R Corporation. R Corporation was incorporated under the law of State X, and was licensed to do business in State Y. P was injured while engaged in R Corporation's work in State Y. Both states' compensation acts provide coverage when the enacting state is either the state in which the contract was made or the state where the injury occurred. P applied for and received full payment on an award made in State Y. The laws of State Y provided that such an award precluded additional recovery "at common law or otherwise."

After learning that the award would have been larger in State X, P applied to its Workmen's Compensation Board for an additional award. State X's Board approved his award for the full amount, less what he had received from State Y. State X's Supreme Court reversed, and held that State Y's award was owed full faith and credit and that no additional award could be made.

The Supreme Court specifically examined the above fact pattern in *Thomas v. Washington Gas Light Co.*, 448 U.S. 261 (1980). In an earlier case, the Court had established the principle that an employee may file and receive awards under the Workmen's Compensation Acts of different states, because more than one state may have a "legitimate interest" in a single injury. The Court further stated that a subsequent award in another state is barred only if "unmistakable language by a state legislature or judiciary" precludes another recovery in another state.

In the *Thomas* case, the Court decided that the Full Faith and Credit Clause should not be construed to preclude successive Workmen's Compensation awards. The court reasoned that a state should not be able to prevent a supplemental compensation award by a second state when that state would have been able to make an award under its own Compensation Act in the first instance. While this was the plurality opinion, the concurrence upheld a second award based upon the language in the state's Act, which barred additional recovery "at common law or otherwise." The court construed this language as not being the "unmistakable language" necessary to bar recovery outside the state.

Insofar as the facts in the question are virtually identical to the actual Supreme Court case, the outcome will be the same. State X's reversal of its Compensation Board's award should be overturned. State Y's award did not preclude an additional award based upon the Full Faith and Credit clause.

P will therefore be granted his full award under the Workmen's Compensation Act for State X, less the amount previously paid him by State Y, so as to prevent dual recovery.

## ANSWER TO QUESTION #15

This question involves a dispute over controlling law in enforcement of a contract.

The facts indicate that the D Loan Company, while it does business in most states of the United States including the State of Revere, stipulates in its contracts that the law of Baldwin shall be controlling on all questions of validity, interpretation, and performance. The company's "application" provides that the courts of Baldwin shall have exclusive jurisdiction over any and all suits arising out of their loan agreements, and that the borrower consents to the exercise of jurisdiction over him by the Baldwin courts.

While there are certainly facts to support application of Baldwin law, the facts also demonstrate that Revere has a significant relationship to the transaction. P applied for the loan at one of the company's Revere offices, he signed the "application" in Revere, and the money was received and delivered to P in Revere.

Revere Legal Aid advised P, when he defaulted, that he would be entitled to rescind the contract on two grounds. First, the 30% interest rate charged was illegal as usurious in Revere. Second, P, an 18-year-old, would be considered a minor in Revere and could not bind himself by contract.

P subsequently filed an action for declaratory relief in Revere claiming that the contract was invalid and that P's obligation was to return only the amount of money actually received.

The company pleaded that there was no jurisdiction in the Revere court based upon the exclusive jurisdiction in the courts of Baldwin provided for under the contract terms, and that even if the Revere courts had jurisdiction, the laws of Baldwin would apply, and would thereby validate the commitment by an 18-year-old and the 30% interest rate.

The Revere court should reject the claim made by the Company that there was no jurisdiction in the Revere court because of their contractual provision. While parties can agree by contract that the laws of a particular state shall govern all rights and obligations arising under a contract, they cannot take away the jurisdiction of a court which would ordinarily have it. In this case the long-arm statute will confer jurisdiction over the Company based upon its conducting business via branch offices in the State of Revere. The company's contacts with the State of Revere are significant, and the State's interest in protecting its citizens would be sufficient to exercise jurisdiction.

The court should also reject the claim that even if the Revere court had jurisdiction, Baldwin's law would nonetheless apply. Even though the express terms of the contract provide that the law of Baldwin would apply in any and all suits arising under the loan agreement, the court should find such a clause unreasonable, and invalid in an adhesion contract. The stipulation in the contract could be viewed as made in bad faith and an attempt by the company to thwart an individual's right to seek protection of the court. The Revere court should apply its own law, which presumably is intended to protect those of minority age from contractual commitments that they may not be capable of fully understanding as well as to guard against imposition of usurious interest rates. The Revere court therefore should not defer to the choice of law provision in the contract, but should instead apply standard conflicts of law principles, under which it could apply Revere law to this transaction.

## ANSWER TO QUESTION #16

This question involves a contract which does not specify the law to be applied to it.

P is a citizen of Revere, and D a citizen of Baldwin. Although D had been declared a spendthrift and placed under conservatorship by a Baldwin court, he borrowed money from P in Revere. P did not know of the proceedings in Baldwin, and required D to sign a note. D's conservator learned of the signing of the note, and declared the obligation void pursuant to a provision of the Baldwin Code.

P subsequently brought suit against D in Baldwin. P should recover based upon application of the traditional rule that the validity and construction of a contract are determined by the law of the place where the contract was made. D went to Revere, where he borrowed money from P, and signed a note in favor of P. P had no knowledge of the spendthrift proceedings. P should not be barred from recovery; the Baldwin court should apply Revere's law, which does not protect spendthrifts such as D.

### ANSWER TO QUESTION #17

(a) The court should deny the motion to dismiss on the ground that State X lacks jurisdiction to require Clay to evict Hay.

The validity and effect of a conveyance of real estate is determined by the law of the situs. However, the issue of the eviction of Hay involves the validity of the underlying contractual obligation of Clay to convey marketable title to Dore. Thus, the eviction issue must be characterized as a contract choice-of-law problem rather than a property choice-of-law situation.

As the seller, Clay must convey marketable title to fulfill his contractual obligation. A leasehold interest destroys marketable title. Even though the recorded lease has expired, Hay retains possession of the real property as a tenant at sufferance. At the time of conveyance, Clay must be able to convey possession to Dore. State X has jurisdiction to require Clay to fulfill his obligation under the contract by evicting Hay, and the court may make an order to that effect.

Under the traditional approach, the contract was made in State X, and therefore State X determines the contractual obligations of the parties. Under the Second Restatement approach, State X is the state with the most significant relationship to the contract because the contract was negotiated and executed there by two citizens of State X. State X has legitimate interest in applying its own law to contracts made in the state between its own citizens.

(b) The court should also deny the motion to dismiss on the ground that State X does not have jurisdiction to require Clay to convey the property to Dore.

While the validity of the contract for the conveyance of the land situated in State Y is governed by the law of State Y, the State X court may apply State Y law only if State X has personal jurisdiction over the parties. State X has jurisdiction over both Clay and Dore, who are both citizens of State X. If State X renders a valid final judgment, for example, for specific performance, the judgment will be entitled to full faith and credit in State Y, which may then order execution and delivery of the deed to Dore.

### ANSWER TO QUESTION #18

The president of Delta Development Company should not accept the deed and pay the purchase price if State Y applies its own law to the question of the capacity of the grantor of real estate in State Y.

Traditionally, the validity and effect of the conveyance of real estate has been determined by the law of the situs of the realty. Capacity of the grantor to convey would be governed by the law of the situs. Under the Second Restatement, the choice of law rules of the situs of the land will be consulted. The question is thus whether State Y has determined to apply its own law on capacity or that of the state of the domicile of the grantor. It can be argued that only the domicile of the grantor has an interest in protecting that party from improvident acts during his minority. However, the state of the situs has an important interest in maintaining certainty and uniformity in the law regarding land titles in the state. Once the state has chosen a choice of law rule in such situations, that state's choice of law should be applied by all other states.

### ANSWER TO QUESTION #19

Bonnie may avoid the real estate contract on the ground of infancy but not the contract for purchase of the car. The capacity of a party to contract will usually be upheld if he or she has contractual capacity under the law of his or her domicile. However, if the subject matter of the contract involves an interest in real property, the law of the situs will be applicable.

The validity of a conveyance of real estate is governed by the whole law of the situs under the Second Restatement. However, the local law of State Y will determine the capacity of the parties to contract to convey land. State Y, as the situs of the real estate, may apply its own law in the interest of protecting the certainty of real property titles in the state. Under State Y law, Bonnie lacked the capacity to buy the property because of her age.

The validity and effect of a conveyance of personalty is determined by the law of the situs of the property under traditional choice of law rules. Under the Second Restatement approach, the state with the most significant relationship to the property governs the conveyance of personalty. The location of the property at the time of conveyance is deemed a significant relationship. Further, the law of the state where the property is situated at the time of contracting ordinarily governs the validity of the contract. Here, the car was in State Y when Bonnie contracted to buy it. However, the policy of protecting a minor from improvident acts can be asserted only by the domicile of the minor. The state where the property is located does not have the same interest in protecting the title to personal property as it does to real property in the state. State X law should be applied since it has the only legitimate interest in protecting Bonnie and it does not deem her a minor. Furthermore, the contract to purchase the car was executed in State X since that is where Bonnie accepted the contract. Application of State X law would accord with the rule of validation.

### ANSWER TO QUESTION #20

Shaw is entitled to possession of the antique furniture in State D, but not the antique furniture in State Z.

Under the traditional approach, the law of the place where the property is located governs the validity and effect of a conveyance of an interest in movable property. The Second Restatement approach follows the same rule by assuming the state where the chattel is

located at the time of conveyance has the most significant relationship to its validity and effect. Under either approach, Shaw is not entitled to possession of the furniture located in State Z because the law of State Z, as the situs of the furniture, governs and requires delivery of the property to make a valid conveyance. Quinn's delivery of the written instrument to Shaw in State Y is insufficient.

Conversely, under either the traditional or Second Restatement approach, Shaw is entitled to possession of the furniture located in State D. That state, as the situs of the movables, requires only the delivery of a signed, written instrument to make the conveyance valid. The instrument delivered to Shaw in State Y was sufficient to render the conveyance effective.

### ANSWER TO QUESTION #21

State Y law applies and Mary will be excluded from the bequest.

All questions concerning the validity, construction and effect of a testamentary trust in real estate are determined by the law of the situs of the realty, here, State Y. In all choice of law questions involving trusts, a key factor is the intent of the testator. Even if the testator does not expressly choose the application of a particular state's law, an implied intent can be found by determining the state with the most significant contacts with the trust. Here, the most significant contacts are with State Y: it is the situs of the real estate, and Jackson chose the state as the place of administration and appointed a trustee who is domiciled there. Jackson's actions imply an intent that State Y law apply and an expectancy that State Y law would determine the beneficiaries of the trust. Because State Y law excludes adopted children, Mary will be excluded from the bequest, even though questions of a party's legal status are generally governed by the law of the domicile or the state creating that status.

### ANSWER TO QUESTION #22

Arnett's parents will inherit the ranch in State Y, and Rice will inherit all other real and personal property.

The disposition of real property is determined by the law of the situs of the realty. State Y law governs the succession of the ranch, and because Arnett's will is invalid under State Y law, Arnett is intestate for the purpose of inheritance of the ranch, which passes to his parents. State X law governs the disposition of the house, which passes to Rice under the valid will.

Disposition of personalty is governed by the law of the testator's domicile at death. Because Arnett's will is valid in State X, his domicile, the bequest of all his personalty to Rice is valid and she takes the tangible and intangible property in State X, the livestock in State Y, and the boat in State Z.



**ANSWER TO QUESTION #23**

(a) State Orange law applies to the voting agreement, and the agreement is unenforceable.

The law of the state of incorporation determines the corporate structure, including the manner of election of the directors. X Corp. was incorporated in State Orange, which holds voting agreements enforceable for a 10-year period. Therefore, the 11-year-old voting agreement is no longer enforceable under State Orange Law. The forum, State Blue, would have to apply the law of State Orange even though under State Blue law the agreement would be enforceable.

(b) State Red law applies to the interpretation of the management contract.

Under the traditional approach, the validity and interpretation of a contract is determined by the law of the place of execution, here, State Red.

Under the Second Restatement approach, where a contract is to be executed and performed in more than one state, the law of the state with the most significant contacts governs. State Blue is the place of performance, but State Red is the place of execution, the place where its domiciliary Punjab is to receive payments, and the place whose law the parties have chosen to govern the contract. Therefore, State Red is the state with the most significant contacts. When parties to a contract have chosen a particular state's law to govern interpretation of the contract, the court will uphold the parties' expectations provided that the contract has a reasonable relation to the state whose law is chosen. Because execution and payment took place in State Red, there is a reasonable basis for the parties' choice of State Red law, and their expectations should be upheld.

**ANSWER TO QUESTION #24**

This question involves divorce between parties who are domiciled in different states which have different grounds for obtaining a divorce.

The facts state that H and W were citizens and domiciliaries of Baldwin. Baldwin was their marital domicile for several years and was also where their children had resided. H subsequently left W, whereupon she filed an action in Baldwin for custody and support of her children. There is no question, based upon these facts, that the court had jurisdiction to make an order with respect to custody and support.

H's move from Baldwin created a new domiciliary relationship with Revere. H met another woman whom he decided to marry, and therefore filed an action for divorce in Revere. The ground for divorce was incompatibility, which was an adequate ground in Revere, but not in Baldwin. The Revere court granted H's petition for divorce.

The first question therefore is whether or not the court had the jurisdiction to grant H a valid divorce. The court of Revere would have jurisdiction as long as one of the parties was domiciled there. The facts state that H had been living in Revere for one year prior to filing for the divorce. This is sufficient under constitutional principles. We must assume it is adequate under Revere law. W should also have been given notice of the divorce proceedings. The facts state that W was not served in Revere and did not appear. Unless W

has changed address without informing H, there appears to be no excuse for not notifying W of the divorce action. Therefore, the judgment is not valid as to W.

Even if the divorce judgment were valid, though, the validity of the custody order is a separate issue. The facts state that the children were never domiciled in Revere, and had never been physically present there. The Uniform Child Custody Jurisdiction Act provides that, once the state of marital domicile makes a determination on custody, no other state can overturn that order unless the children change domicile or there is a voluntary consent to a change. Thus, the Revere court's order changing custody is invalid.

The final question involves the validity of W's support decree entered by the court in Baldwin. This separate support decree was incident to a marriage in Baldwin. The decree awarded W support indefinitely, and was consented to by H. This decree will survive the subsequent divorce decree entered by the court in Revere. W could obtain a valid judgment in Baldwin ordering H to continue payment pursuant to the original decree, despite the order by the Revere court terminating those payments.

## ANSWER TO QUESTION #25

This question involves the automatic revocation of a named beneficiary in an insurance policy pursuant to a decree of divorce.

The facts state that H and W-1 were married in State X. H had a policy of insurance issued by the ABC Insurance Company, insuring his life for \$25,000, with W-1 as the named beneficiary. The policy provided that payment under it would be made in State X. It provided further that all questions arising on the contract of insurance would be determined according to the law of X.

H and W-1 subsequently moved to Y and became citizens of that state. The ABC Insurance Co. was not licensed to do business in Y and had almost no contacts with Y. H obtained an absolute decree of divorce from W-1 in Y. The law of Y provides that a decree of divorce revokes the designation of the former spouse as the named beneficiary in an insurance policy.

This question requires a consideration of the choice of law by analysis of the respective interests involved, as well as a determination regarding whether or not the specific language of the insurance contract should be controlling. *Erie* requires the federal court to apply the law of the forum, State X. The court will therefore look to the state law of X as to the choice of law. Under the straight interest analysis provided for in the second Restatement, one would reasonably conclude that State Y has the strongest interest in application of its law: The insured under the policy was domiciled in State Y until his death. State Y also has an interest in allowing one of its citizens, W-2, to receive some benefit out of the policy by payment of the proceeds to the estate of H. On the other hand, State X has a minimal interest in applying its law to a domiciliary of State Y. State X was merely the place of making of the insurance contract.

Several arguments may be made that the language in the contract itself should be disregarded. The insurance policy probably provided that the law of X would be controlling because the company wanted to protect itself under its laws instead of being subject to other laws which might not have been as compatible with company interests. A court could choose

not to apply the language in the contract drafted by the company under a theory of unconscionability. However, the better argument is that this action does not really concern the company at all; there is in fact no conflict of laws here. The action concerns a revocation of beneficiary. The company has no interest in the outcome, but has filed an interpleader to have the court determine which party was to receive the proceeds. The company does not contest the right to receive proceeds under the policy, but is prepared to make payment to either defendant.

Under the above analysis, the State X court will most likely apply State Y law, revoke the designation of W-1 as the named beneficiary, and order the proceeds paid to H's estate/W-2.

## ANSWER TO QUESTION #26

(a) The State Red judgment is not enforceable in State Green.

The doctrine of full faith and credit requires that a judgment rendered by a court in State Red be given the same effect in State Green as it would have in State Red. In order for the doctrine to apply, however, there must have been proper jurisdiction over the parties and a valid final judgment in State Red. Here, Doctor was lured into State Red under false pretenses, and therefore service can be invalidated because of the enticement. However, Doctor was served subsequently in State Green in accordance with State Red's long-arm statute. A valid final judgment is a judgment "on the merits," but the judgment rendered in State Red was a default judgment. Therefore, even though proper jurisdiction existed, the judgment was not final and State Green is not required to give the judgment full faith and credit.

(b) Paul's action is barred in State Green.

The statute of limitations is traditionally considered procedural, and the law of the forum applies, unless the right of action is conferred by a statute creating a substantive right. State Green requires the commencement of a negligence action within one year of the negligent act, and Paul did not commence suit until 1 1/2 years after the operation. Paul's suit in State Red was not barred by lapse of time because that state permits suit within one year from the time the injury is discovered and the statute of limitations in State Red has still not run. However, at the time Paul brought suit in State Green, Green's statute of limitations had already run. State Green will apply its own procedural law to bar the claim. Under a Second Restatement analysis of contacts and policies, State Green appears to have the most significant contacts as the place of the wrong and the residence of the defendant. State Green as the forum may apply its statute of limitations to prevent the litigation of stale claims in its courts.

## ANSWER TO QUESTION #27

This question demands a discussion of what arguments may be made in support of a summary judgment motion.

The facts state that P, a citizen of Baldwin, became ill as a result of exposure to contaminated water in the Jackson River in Revere. P sued D Manufacturing Company in Baldwin. D Manufacturing Company is incorporated in Sherman, where it operates its own manufacturing plant. It does business in Baldwin, but not in Revere. D Manufacturing Company, however, inadvertently contaminated the waters of the Jackson River, which flows from Sherman through Revere to the ocean.

The question of causality between D's actions and the injury to P must be litigated fully at trial, insofar as it is a disputed factual issue which cannot be resolved as a matter of law. The issue in question, and which would be appropriate for summary judgment, is the applicability of Revere's Environmental Protection Act.

The first argument which supports D's motion is that the Environmental Protection Act of Revere is a penal law. By its terms, an individual injured in Revere is entitled to recovery in the amount of three times his/her actual damages. The intent of the law is not to compensate a plaintiff for actual injury, but to punish the defendant. Generally, the courts of one state will not enforce the penal laws of another state. Additionally, the facts state that Baldwin's legislature had considered, but declined to approve, an Environmental Protection Act similar to that of Revere. The court in Baldwin therefore may decline to apply Revere's Act.

The second argument in support of the motion involves examination of where D's tortious act took place. D's plant was located in Sherman, and the contamination took place in Sherman. Sherman, however, has no Environmental Protection Act, and its legislature has never considered one. D's action would not be considered tortious under Sherman's law. Likewise, Baldwin, the forum state, has no law which would make D's act tortious. The plant did not conduct any business in Revere and committed no tortious act there.

Therefore, D's best argument will probably be that D's activities should be governed by the laws of Sherman, where the plant was located, or Baldwin, the forum state. D should argue that the law of Revere is inapplicable because it has no connection with D or P, who just happened to be there on vacation when he was injured.

D will most likely lose on its summary judgment motion because, notwithstanding the above arguments, the traditional rule in tort actions applies the law of the place where the tort was committed. A tort is committed in the state where the injury occurred. In this case, the place of injury is clearly Revere. The contamination in Sherman of a river which flowed from Sherman to Revere is a natural consequence of D's action, and will clearly be considered a tortious act under the Revere law.

## ANSWER TO QUESTION #28

This question involves the issues of sovereign immunity and the Full Faith and Credit Clause.

In this case D-1, an employee of the State of Cardozo, drove a state vehicle on state business into another state. While in the other state, Baldwin, he was in an accident with P, a citizen of Baldwin.

P sued both D-1 and the State of Cardozo in a Baldwin state court. As P would not be able to sue the State of Cardozo in a federal court, he brought suit appropriately in Baldwin under the state's long-arm statute.

Despite Cardozo's defense of sovereign immunity, the court entered judgment in favor of P against both D-1 and the State of Cardozo. Under the laws of Baldwin, sovereign immunity is not a defense to suits against itself or another state. When both D-1 and Cardozo refused to pay the judgment, P instituted an action on the Baldwin judgment in Cardozo.

The U.S. Supreme Court has held that the Full Faith and Credit Clause allows a forum state to apply its own statutes as long as the forum has a legitimate interest in applying its law and has sufficient contacts with the parties. The Clause does not require a state to apply another state's laws in violation of its own legitimate public policy. In this case, Baldwin clearly has a legitimate interest and sufficient contacts with the parties: Baldwin was the state where the accident occurred, and it involved one of its citizens. Its own legitimate public policy to provide full protection to its citizens would be violated by application of Cardozo's defense of sovereign immunity to bar P's suit.

Cardozo will therefore be required to honor the Baldwin judgment against itself.

## ANSWER TO QUESTION #29

Jones, a life-long resident of Florida, collided with another car on a business trip in Illinois, and is killed. The driver of the other car was Rambo, a resident and domiciliary of Illinois. The negligence of both drivers was found to have contributed significantly to the accident. Illinois is a contributory negligence state, while Florida is a comparative negligence state. Mrs. Jones instituted a wrongful death action in a Florida court against Rambo. The parties stipulated that if Illinois law applied, Mrs. Jones would not recover, but if Florida law applied she would recover.

Rambo was served properly in Florida while on a vacation one year after the accident. Although Rambo never had any prior contact or connection to Florida, the court obtained jurisdiction over him by his mere physical presence in the state.

The question of the constitutionality of Florida's choice of law in this case will probably be resolved similarly to another actual Supreme Court case. Florida will be held to have not violated the Full Faith and Credit clause by applying its own law, if the court finds that Illinois law was inimical to its public policy. Florida could argue that it has a legitimate interest in providing a remedy to its citizens as a result of injury while out-of-state. Illinois's law of contributory negligence as a bar to any recovery is the minority view and generally not favored by other courts.



# CORPORATIONS QUESTIONS

## QUESTION #1

P was retained by D, as counsel, to draft and file articles of incorporation “on behalf of X Corporation” to incorporate a sole proprietorship owned by D for a fee, which was agreed upon, of \$5,000. After the charter was issued, D hired Newcomer, as corporate counsel, to advise the newly formed X Corporation in making a public offering of its shares. The offering has been consummated, and X Corporation now has 150 shareholders. Thereafter P presented her bill addressed to D and to X Corporation for \$5,000 for her services in forming the corporation. It is arguable that a reasonable fee would have been about \$1,000. Does P have a claim against anyone? Explain fully.

## QUESTION #2

BB Corporation has two classes of shares. The Common has 100,000 shares outstanding. The \$5 Preferred has 200,000 shares outstanding. The articles of incorporation state, in part, “The \$5 Preferred shares are noncumulative except when the Common shares are paid a dividend.” Both classes were paid dividends every year through 1980. In 1981 no dividends were paid, because the corporation lost money. In 1982 no dividends were paid, despite the fact that earnings amounted to \$2 million. For 1983, based on earnings of \$10 million, the board of directors declared a \$5 per share dividend for the Preferred and a \$10 per share dividend for the Common. Preferred shareholders claim that, in addition to the \$5 dividend for 1983, they should receive dividends for 1981 and 1982, and that all shares, common and preferred alike, should be paid the \$10 per share dividends.

Discuss the rights of the Preferred shares to dividends.

## QUESTION #3

Oil, Inc. has a nine-person board of directors, 5 of whom are management and 4 of whom are nonmanagement. It has 1.0 million shares outstanding, and the stock is presently trading for \$20/share on the Stock Exchange. Management owns or controls 200,000 shares. Steel Corporation has informally sounded out the management of Oil about a possible merger. Oil's management discouraged the possibility and expects, within the next few months, that Steel will make a tender offer for Oil's shares at a 30% premium since the management of both Oil and Steel knew that Oil's shares were substantially undervalued because Oil had by far the most favorable ratio of proven domestic to foreign oil reserves of all the major oil companies. Accordingly, at the annual shareholder's meeting this month, management proposed to the shareholders that the Articles of Incorporation of Oil be amended so as to:

- (1) Classify (stagger) the board of directors so that there would be three classes of three directors each, elected for three year terms (Note: at this first election of a staggered board, the first class would have only a one year term and the second class would

have only a two year term; after this year three directors would be elected each year for three year terms);

(2) Provide for cumulative voting in election for directors; and

(3) Increase the authorized shares from 1.0 million to 1.1 million common shares.

Immediately after the shareholders' meeting, at which the above proposals were approved by a margin of about 4 to 1, the board authorized the sale of 100,000 shares to management at a price of \$20/share. This would bring management's holdings to 300,000 out of 1,100,000 shares or about 27%. Six members, three management and three nonmanagement, attended the board meeting and voted unanimously for the sale.

(A) Why did Oil's management want to classify the board of directors?

(B) Why did Oil's management want to purchase an additional 100,000 shares?

(C) Why did Oil's management want to require cumulative voting in the election of directors?

(D) Do the above facts give rise to any breach of fiduciary duty? If so, by whom and why?

## QUESTION #4

Philip, Ralph, and Sheldon own in equal shares all of the stock of Doe, Inc.

After Doe, Inc. was organized 25 years ago, the Board of Directors (made up of Philip, Ralph, and Sheldon) approved a policy wherein the corporation's principal employees (Philip, Ralph, and Sheldon) were each to receive low base salaries coupled with bonuses that varied depending on corporate earnings. The policy also provided that any profits remaining after the payment of salaries and bonuses would be used for general corporate purposes. No dividends have ever been paid by Doe, Inc.

Four years ago, Philip got into an argument with Ralph and Sheldon and, at a duly called and held annual meeting, the number of authorized directors was set at two (a number permitted under the governing corporate statute and corporate documents), and Ralph and Sheldon were elected directors. Immediately thereafter, the Board of Directors, acting under the authority of the governing corporate documents, fired Philip.

Doe, Inc. continued to pay bonuses to Ralph and Sheldon and not pay dividends. For the past three years, corporate profits have skyrocketed and the bonuses to Ralph and Sheldon have increased.

Philip filed an action challenging the failure to pay dividends and seeking either to require the directors to declare dividends, or to have Doe, Inc. dissolved.

May the court grant either or both of the remedies sought by Philip? Explain.



**QUESTION #5**

Y Corp, a publicly held corporation, has bylaws that provide that the board will act by majority vote of a quorum and that a majority of the board constitutes a quorum. The board is made up of six persons: Doe and Roe, who are officers of Y Corp; Black and White, who have no other affiliation with Y Corp; and Smith and Jones, who are known to the other directors to be the principal owners and directors of EFG, Inc.

At a Y Corp board meeting attended by Doe, Roe, Smith, Jones, and Black, the board considers a proposal by Smith and Jones that Y Corp purchase a division of EFG, Inc. for \$10 million (a significant sum given Y Corp's size).

The board has exhaustive discussions and receives a report by Doe to the effect that Y Corp's investment bankers have stated that the price of the acquisition is fair and that the EFG division's business would enhance Y Corp's business. All five directors in attendance approve, and Y Corp contracts with EFG, Inc. to make the acquisition.

Is the action of the Y Corp board voidable because of the interests of Smith and Jones? Explain.

**QUESTION #6**

ABC Corp purchased 9% of the outstanding common stock of XYZ, Inc., a publicly owned corporation, at a price of \$50 per share. Concerned that the stock purchase by ABC represented the first step in a hostile takeover attempt, the XYZ Board of Directors agreed to purchase Retailer, Inc., for (1) \$50 million of previously authorized, but unissued, common stock of XYZ, and (2) the assumption by XYZ of \$50 million of Retailer's debt.

ABC filed a shareholders' derivative action alleging that XYZ's purchase of Retailer, Inc., was both contrary to sound business judgment and a waste of corporate assets. ABC claimed that the purchase price was excessive and that the purchase would reduce XYZ profits, increase its debt load, and make it more difficult for XYZ to acquire capital. Douglas, another shareholder of XYZ, joined in this action.

While that action was pending, ABC made a hostile tender offer for 42% of XYZ's outstanding common stock at \$70 per share. XYZ's stock was then selling at \$50 per share. The XYZ directors then met and voted to authorize XYZ to offer to purchase all of the XYZ stock owned by ABC at a price of \$80 per share. ABC accepted that offer at \$80 per share in an agreement that also provided that ABC would not purchase any XYZ stock and that ABC would dismiss its individual action against XYZ. ABC realized a \$25 million profit as a result of this agreement with XYZ.

Douglas consults you for advice concerning whether any fiduciary duties owed to him were breached by the directors of XYZ or by ABC Corp.

What advice would you give? Explain. (Assume neither state nor federal securities laws apply.)

**QUESTION #7**

X, Inc., a publicly held corporation, has a board of directors made up of the chief executive officer (CEO) of the corporation, two executive vice-presidents, and eight additional persons who, except for their stock holdings, have no other connection with the corporation. The CEO receives a salary and bonus averaging \$850,000 per year, and the executive vice-presidents receive compensation approximating \$450,000 each per year. Each outside board member receives approximately \$32,000 a year from the corporation. Although the stock holdings of any single member of the board of directors are modest, in aggregate they total 10 percent of the stock of X, Inc., an amount that would be insufficient to block a takeover attempt.

At a regularly scheduled meeting of the board, one of the outside directors surprises the other members with the following statement: "We have been lucky so far because no one has made any takeover moves, despite the strong financial position of our company. I think we ought to have some defensive measure ready, however. As you know, the corporation recently entered the market and repurchased approximately 20 percent of our outstanding common shares for \$3 per share. I propose that if anyone acquires 15 percent of our common stock or more, the members of the board may acquire all of the shares we repurchased for the same price - \$3 per share. This, added to our holdings of 10 percent of the stock, would virtually assure us an opportunity to resist a hostile takeover."

Another outside director suggested that the corporation might be better advised to postpone a decision and to invite suggestions from experts on takeover avoidance. But the CEO stated that, "I would really like this matter resolved now. I have confidence in this solution, and I think it should be in place." The board voted 9-2 in favor of the CEO's proposal, with two outside directors dissenting.

In the months following the board meeting, A Corp. increased its holdings in X, Inc. common stock from 3 percent to 16 percent and announced that it intended to seek control of X, Inc., and to replace the management with more dynamic, profit-oriented people. X, Inc. responded by calling a special meeting of its board, at which time the board members were offered the shares the corporation had repurchased for \$3 a share, which was half of the then \$6 market price but more than the stock's \$1 par. Thereafter, the board members individually purchased all of the common stock that the corporation had previously reacquired. This 20 percent, plus the 10 percent of the stock previously owned by board members, effectively blocked A Corp.'s takeover attempt.

A Corp. files an appropriate action to have the plan declared invalid. Assume there is no applicable federal law. Will A Corp. succeed? Explain.

**QUESTION #8**

Smith owned all Corporations' outstanding stock. In 1970, he sold one-half of his stock in Corporation to Jones. Thereafter, Smith, Jones, and Corporation executed an agreement providing that, upon the death of either Smith or Jones, Corporation was obligated to redeem the deceased shareholder's stock from the decedent's estate at its fair market value at the time of the decedent's death. This agreement further provided that if Corporation was unable to

redeem the deceased shareholder's stock, the surviving shareholder would be obligated to purchase the decedent's stock.

Smith died intestate last week survived only by Child, his daughter. At Smith's death, Corporation's balance sheet disclosed that the book value of all of its common stock was \$1,400,000. The fair market value of the stock, however, was \$1,800,000. Two months after Smith died, Jones, the sole director and shareholder of Corporation, caused Corporation to redeem Smith's stock for \$700,000.

- (1) Was Corporation legally in a position to redeem Smith's stock from Smith's estate? Explain.
- (2) If Corporation can legally redeem the stock, is there any cause of action that Child has against Jones in his capacity as director because of that redemption? Explain.

### QUESTION #9

Johnson is a director of Z Corp, a publicly held corporation. He has owned 15 percent of the capital stock for more than six months.

Johnson has, on a number of occasions, purchased significant blocks of stock in public companies and then threatened to mount a tender offer. In each prior case, those companies have purchased Johnson's shares at a significant profit for Johnson.

In a letter to Z's chief executive officer, Johnson requests that copies of the following corporate records be sent to him or that the originals be produced for inspection and copying by him or his agents:

- (a) Z's list of stockholders.
- (b) Minutes of shareholder meetings for the current year and the previous two years.
- (c) Minutes of directors' meetings for the same period.
- (d) Any communication from investment bankers with regard to valuation of Z.

In his reply, the chief executive officer notes that there is no bylaw provision dealing with rights of inspection and copying and requests that Johnson state his reason for asking for such records. Johnson refuses to state a reason, and Z Corp therefore refuses, in writing, to deliver such records.

What are Johnson's rights (1) as a shareholder and (2) as a director to require Z Corp to furnish to him copies of the listed records or to allow him or an agent to copy them?

### QUESTION #10

In 1950, Jon Smith founded Store, Inc., and he was its sole shareholder. Since 1970, Store has been a profitable business with eight large stores. In 1975, Smith took several steps to try to ensure that control of the business would stay in his family. One such step was properly to amend Store's Articles of Incorporation to provide that no Store shareholder

could transfer any Store stock unless the shareholders unanimously consented to the transfer and approved the transferee.

In 1990, observing the formalities required by the amended Articles, Smith gave all of his Store stock in equal shares to his four children, Anne, Bob, Clyde, and Dave. Smith died in 1992 and his four children continued Store's business. After Smith's death, Anne, Bob, and Clyde served as the officers and directors of Store, and each was also employed by the corporation. Dave was a full-time dentist and was not interested in being an officer or a director of Store.

During the years following Smith's death, Anne, Bob, and Clyde followed a policy of reinvesting Store's earnings in order to expand the number of stores. Dave consistently opposed this policy and believed that the majority of the earnings should be distributed as dividends to Store's shareholders.

After Smith's death, Store's board of directors also substantially increased the compensation paid to Anne, Bob, and Clyde as directors and doubled their salaries as employees, increasing them to levels well above market salaries. During the same period, however, the board voted to eliminate the quarterly dividends that Store had historically paid out, even though Store had sufficient profits to pay those dividends. At every shareholders' meeting, Dave objected to the way Store was being run, but he was ignored each time. Eventually, Dave advised the three other shareholders, Anne, Bob, and Clyde, that he wanted them to buy his shares. They refused both requests.

Last year, Dave pledged one-half of his Store stock to Bank as collateral for a personal loan, and Dave and Bank executed a pledge agreement covering those shares. Recently, the loan came due, and Dave was unable to repay it. Consequently, Bank properly foreclosed and became the owner of the shares under the pledge agreement.

Bank has told Anne, Bob, and Clyde that it is now the owner of one-half of Dave's shares of Store stock, and Bank requests that the shares be transferred on Store's books. Anne, Bob, and Clyde have told Bank that it is not the owner of any shares of Store stock because they have not approved the transfer as required by Store's Articles of Incorporation. Therefore, Store will not record the transfer of the shares to Bank.

Dave believes he is being "frozen out" of the corporation and wants to have Store dissolved.

1. Is the stock transfer restriction enforceable against Dave? Explain.
2. Can Bank compel Store to record the stock transfer? Explain.
3. Can Dave force a dissolution of Store? Explain.

## CORPORATIONS ANSWERS

### ANSWER TO QUESTION #1

P has a claim against D as a promoter of X Corporation. P also has a claim against the corporation itself if the corporation adopted the contract between P and D.

A promoter is personally liable on any contract entered into on behalf of the corporation before it exists. Here, D entered a contract with P before the articles of incorporation of X Corporation were filed. Therefore, D is personally liable on the contract. X Corporation did not become liable on the contract by the act of incorporating. If, however, the corporation adopts the contract, it becomes liable and D is entitled to indemnification. The only way in which D would be relieved of all liability is by novation, but both P and X Corporation would have to agree to substitute the liability of the corporation for that of D as promoter.

### ANSWER TO QUESTION #2

The preferred shareholders had a right to receive the \$5 dividend for 1983 because the board properly declared the dividend and the preferred shares were entitled to a stipulated amount of \$5 per share before the common shareholders were paid a dividend. However, the board was not required to pay any more than the stipulated amount. The preferred shares here have fixed dividends of \$5 per share, and therefore preferred shareholders may not now claim they should receive the same \$10 per share dividend as the common shareholders.

As provided in the articles, the preferred shareholders have a right to noncumulative dividends, that is, entitlement to dividends only if and when declared by the board. If no dividends are declared in a given year, the preferred shareholders will not receive a higher preference amount in dividends in a subsequent year. In 1981, the board chose not to declare a dividend; therefore, the preferred class had no right to one. In that year, BE Corporation lost money, and if declaration of a dividend would have rendered the corporation insolvent, payment of a dividend would have been improper. However, declaration of a dividend is not required even where a corporation has sufficient earnings. Thus, in 1982, the board did not have to declare a dividend despite the high corporate earnings. The preferred shareholders could compel payment only if the articles made payment of preferred share dividends mandatory. Alternatively, the shareholders could attempt to prove the board's bad faith refusal to declare a dividend in that year and ask the court to compel declaration.

### ANSWER TO QUESTION #3

(A) Classification of directors is a defensive tactic against a takeover because it prevents the new shareholder block (the offeror) from gaining control of the board immediately. By staggering the terms of directors, Oil will slow down the takeover of the board by Steel should Steel take over Oil. Thus, in order to gain board control where there are 3 classes of 3 directors each, with each class voted in in a different year, Steel would have to vote in a

majority of directors of its choice over a period of several years rather than at the first annual meeting after the takeover if classification did not exist. However, Steel or another offeror, as the new controlling block of voting shares, could avoid the effects of staggering simply by amending the bylaws to permit removal of directors without cause. Then the directors of Oil could be removed without cause at a special meeting based on the amended bylaws.

(B) Management purchase of additional shares is another defensive tactic against a takeover. By acquiring more shares, management makes it more difficult for an offeror such as Steel to acquire enough shares of Oil to gain control of the corporation. Another reason management might seek to acquire a larger block of shares is to make money for management shareholders should a takeover occur. If a takeover was inevitable, management could tender its shares to the offeror at a premium price. In a similarly selfish vein, management may seek ownership of more shares in order to protect management jobs rather than the corporation itself.

(C) Cumulative voting guarantees minority representation on the board by granting each share as many votes as there are directors to be elected and allowing each shareholder to allocate his votes as he chooses. If Oil is taken over by Steel or another corporation, Oil's current management will be in the minority with 27% of the voting shares; however, with cumulative voting management will be guaranteed some board representation. With almost one-third of the voting shares, management would be able to gain two of the nine board seats.

(D) Management's defensive tactics could give rise to a shareholder cause of action for breach of fiduciary duty to the corporation if management's actions were motivated by a desire for self-preservation rather than the interest of the corporation. If management sought to acquire more shares in order to reap profits at the time of takeover or to protect management jobs, then the board action was not motivated by a proper business purpose and the board has breached its duty to the corporation. However, if Steel was a known looter of other corporations, then management properly employed available defensive tactics to prevent a takeover.

The authorization of the sale of 100,000 shares to management may give rise to a shareholder claim of breach of duty of loyalty. Board members who are shareholders may not be treated in a different manner than other shareholder groups. All shareholders of Oil shares should have had the opportunity to buy the newly authorized shares. The board's selective offering of shares to board members only was a breach of duty.

## ANSWER TO QUESTION #4

Philip may file an action seeking to require the directors to declare dividends.

Majority shareholders owe a fiduciary duty to the corporation and to the minority. They must not act fraudulently or misuse their power to promote their personal interests at the expense of corporate interests, such as by manipulating dividend policy to oppress the minority. These duties are enforceable by the corporation through a derivative action or through a suit by an individual shareholder. Many states require, through case law, that the directors of close corporations (corporations with very few shareholders, where the shareholders also run the business) act with the utmost good faith and loyalty.

The actions of Ralph and Sheldon have rendered one shareholder completely unable to collect any dividend income. The original policy paying each of the three equal amounts from corporate profits defined “dividend” without actually using the word. Thus, although they did not directly manipulate the “dividend policy,” Ralph’s and Sheldon’s actions did deprive only Philip of a dividend every other shareholder was receiving. This action breached the fiduciary duty owed by controlling shareholders to minority shareholders, entitling Philip to an order to declare dividends.

Philip may also seek to have Doe, Inc. dissolved. Dissolution can be imposed against the will of a corporation’s shareholders only where the corporation has failed to maintain a registered agent, failed to file reports, or acted such that the Secretary of State is satisfied that it is inactive and that the public interest would be served by dissolution. Dissolution can also be sought on the grounds of fraud or oppression. Philip may, therefore, argue for the involuntary dissolution of the close corporation if he can establish fraudulent or otherwise wrongful conduct on the part of the Corporation’s only other Directors, employees, and shareholders, Ralph and Sheldon.

## ANSWER TO QUESTION #5

Y Corporation’s board’s action to purchase a division of EFG will, in most jurisdictions, not be avoided because of Smith’s and Jones’ interests.

A conflict of interest transaction is not voidable by a corporation if, among other reasons, the material facts as to the relationship or interest and as to the contract or transaction were disclosed to the board or the shareholders, and either a majority of disinterested directors or shareholders approved the transaction, or the transaction was fair to the corporation.

Although Smith and Jones were directors of the buying and the selling corporations in this transaction, these conflicts were known to the other board members at Y Corp., and the transaction was examined and found to be fair in a presumably unbiased evaluation, by Y’s investment bankers.

The outcome is the same even if the objective fairness standard is applied, as some states require. Under that standard, which may be applied even though a majority of disinterested directors approved the transaction, the party seeking to sustain the transaction must affirmatively show fairness and good faith by clear and convincing evidence. The facts provide a long list of prospective witnesses for the transaction’s fairness and the good faith of all parties.

## ANSWER TO QUESTION #6

ABC has not breached any fiduciary duties to Douglas because it has no fiduciary duties to Douglas. The only relationship between ABC and Douglas is that they are both shareholders in XYZ. Shareholders owe each other fiduciary duties only in closely held corporations. XYZ is not a closely held corporation because its stock is publicly traded.

On the other hand, the directors of XYZ have fiduciary obligations to XYZ, and indirectly to Douglas as a shareholder. The fact that ABC has dropped out of the shareholders' derivative action will not impair Douglas's derivative action against the XYZ directors.

Douglas has a cause of action against the directors for breach of fiduciary duty to the corporation if their decisions to purchase Retailer and to repurchase ABC's XYZ stock were made not for the corporation's benefit, but to protect their individual corporate positions.

These decisions to buy the debt-ridden Retailer and to repurchase ABC's XYZ stock with corporate assets at an inflated price appear at least superficially to be outside the protection of the business judgment rule. If, however, these decisions were reasonably and legitimately intended to ward off a hostile takeover attempt by ABC and a takeover by ABC would have been injurious to XYZ in the long run, these decisions would not constitute a breach of fiduciary duty. For example, if ABC were a corporate raider, the XYZ directors would be authorized to take reasonable steps to protect the corporation from takeover. If, on the other hand, ABC wanted to take over XYZ for legitimate purposes, it would be a breach of fiduciary duty for the directors to resist a takeover with corporate assets merely to protect their own positions.

## ANSWER TO QUESTION #7

A Corp. will succeed in having the X, Inc. plan struck down because the directors have all violated the fiduciary duties of loyalty and care they owe to X, Inc. The plan is invalid due to the improper acts of the directors in approving it.

Directors have a duty to be loyal to the corporation and not promote their own interests at the corporation's expense. Here, the directors became aware of the possibility of a takeover by a corporation which announced that it intended to replace the management of X, Inc. The actions taken by the directors give a strong indication that their intent was to protect their - in some cases very large - salaries, rather than the interests of the corporation itself. The directors also have an interest in maintaining their positions of power, prominence and prestige, interests likely to entice them into harming X, Inc.

Moreover, in response to the takeover threat, these directors have engaged in the prohibited act of self-dealing. The director's plan called for the directors themselves to become controlling shareholders (ensuring their continued tenure in power) through a purchase of 20% of X, Inc. shares at half their current market price. The directors' actions perpetuated them in power, against the apparent interests of X, Inc. and its shareholders, and allowed the directors a chance to collect enormous profits on the sale of the shares.

Directors also owe a duty of care to the corporation, to act in good faith and in the honest reasonable belief that their decisions are in the best interests of the corporation.

The directors in this situation (including the ones voting against the plan) made no effort to inform themselves about other methods of handling the takeover threat. An appeal to bring in an expert in takeovers was rejected. Most egregiously, the directors all utterly ignored the possibility that A Corp. might offer a takeover price advantageous to X, Inc. These actions clearly violated the duty of care owed by these directors to X, Inc.



Note that the business judgment rule can save from liability directors who approved a plan with slight flaws, but only directors who have fulfilled the duties of care and loyalty can be so protected. Since the directors acted improperly in approving the plan, A Corp. will succeed in having it struck down.

## ANSWER TO QUESTION #8

Corporation had legal standing to redeem Smith's stock from Smith's estate. Child has no cause of action against Jones because of that redemption.

Close corporations may use stock transfer restrictions of various forms. These restrictions often appear in a contract to which the corporation is a party, and are upheld if adopted for a lawful purpose. Preventing outsiders from gaining control and maintaining the proportionate interests of the shareholders have been held to be valid purposes. Also, the price at which the stocks are to be sold must be capable of ascertainment. Finally, the stock certificates must conspicuously indicate the restriction.

Corporation is a close corporation, and this contract purported to restrict the transfer of a shareholder's stock upon the shareholder's death. The particular type of restriction used here was a "buy-sell" restriction. Buy-sell agreements oblige the corporation (or a stockholder) to buy the specified stock at a specified price upon the occurrence of a triggering event such as death. This agreement precisely fits into this category.

Assuming that the restrictions were conspicuously noted on the certificates, the agreement will stand. Thus, although Corporation legally was in a position to redeem the shares, it will be held liable for its failure to do so at fair market value, as the agreement required. Child, Smith's sole heir, may sue Corporation for \$200,000, the difference in price, and Jones, in turn, is liable to Corporation for breach of his duty of care. By either knowingly violating the contract, or negligently failing to make himself aware of the fair market value provision of the contract, Jones failed to act as a reasonably prudent director would act. However, Child may not sue Jones directly in his capacity as a director, since his duty as a director was owed only to Corporation, and Child is not a shareholder.

## ANSWER TO QUESTION #9

As a stockholder, Johnson will be able to inspect and copy a list of stockholders and the minutes of shareholders' meeting, after stating a purpose, but may only inspect and copy the directors' minutes and the valuation information upon showing a specific purpose and need. As a director, Johnson could inspect or copy the list of shareholders, shareholders' minutes and directors' minutes, and probably the valuation information.

Qualified shareholders have a right to inspect corporate records upon a written demand made at a reasonable time and for a proper purpose. The corporation may evaluate whether granting the request might pose a danger to the corporation.

A tender offer of itself is not of itself an improper purpose, and the danger to the corporation from revealing to a shareholder a list of shareholders or the minutes of a shareholders'

meeting are virtually nonexistent. A shareholder request to examine the minutes of a directors' meeting, however, which may contain confidential or sensitive information, will require a more specific purpose. Johnson's history of "greenmail" and threats of tender offers provide further evidence of a danger in this case. Finally, as a shareholder, Johnson has no right to view communications from investment bankers before its release to all shareholders, since the very purpose of the information is probably to guide the directors in deciding how to react to any future tender offer by Johnson.

It logically follows, as a requisite of a director's duty to manage the corporation's affairs, that all directors should have complete access to information concerning the corporation and its business affairs. This raises a strong presumption of directorial access to all the information identified in the facts. The corporation may, however, attempt to show that Johnson's prior activity indicated a motive contrary to the best interests of the corporation for the request, and deny the request on that basis. The existence of the danger justified the request for a reason, and Johnson's refusal to provide a reason justified the refusal to produce the papers. Again, since Johnson himself might be the reason the board requested any investment banker's report that exists, providing the information to Johnson would appear to be against the best interests of the corporation.

Therefore, although Johnson is under a fiduciary duty not to use any information gained as a director in trading the corporation's stock, the corporation is better advised, given Johnson's past, not to release the valuation information until Johnson can state why he needs it in the exercise of his duties as a director.

## ANSWER TO QUESTION #10

### 1. The stock transfer restriction is enforceable against Dave.

Stock transfer restrictions are a valid way to control the membership of stockholders of a corporation. The facts state that Jon Smith properly amended the articles of incorporation to put share transfer restrictions in place. Restrictions on stock transfers are commonly used by close corporations (those corporations typically having a small number of shareholders, a majority of which actively participate in the management and operations of the corporation) to keep the ownership and control of the corporation in the hands of a limited number of people.

In general, stock transfer restrictions are upheld if they are adopted for a lawful purpose, such as the stated purpose in the fact pattern: to keep control of the business in the family. The stock transfer restriction is enforceable against Dave.

### 2. Bank cannot compel Store to record the stock transfer.

The facts state that the articles of incorporation were properly amended to provide that no Store shareholder could transfer any Store stock without the unanimous consent of all shareholders to the transfer and approval of the transferee. As long as the transfer restriction is noted conspicuously on each share certificate, the restriction is valid and enforceable. Bank cannot compel Store to record the transfer. Bank's only proper recourse is against Dave.

**3. Dave cannot force a dissolution of Store.**

An individual shareholder may not force a dissolution of the corporation. A corporation may be dissolved: 1) upon the written consent of all shareholders by executing and filing a statement with the Secretary of State; 2) upon the corporation filing articles of dissolution with the Secretary of State pursuant to a vote of 2/3 of each class of stock entitled to vote and with the approval of the board of directors, or pursuant to provisions in the articles of incorporation; or 3) by action of the State Attorney General.

Because traditional majority rule can significantly impede the interests of minority shareholders in a close corporation who may not be able to simply sell their stock if they disagree with the decision making of the board (due to stock transfer restrictions as involved in this case), the articles of incorporation may provide a remedy for minority shareholders such as including a provision for dissolution at the vote of a specified percentage of shares instead of majority vote. There are no facts that indicate that such a provision was included in Store's articles of incorporation.

Therefore, as an individual shareholder, Dave cannot force a dissolution of Store.

- *Note:* Dave has good reason to feel like he is being “frozen out” of the corporation. His recourse lies in bringing suit against Anne, Bob, and Clyde for breaching their fiduciary duties of care and loyalty. Note that in recent years, there has been a trend toward protecting minority shareholders in close corporations by imposing a more broad standard of fiduciary duty from the traditional standard of “good faith and inherent fairness” to a standard of “the utmost good faith and loyalty.” Dave may also bring an equitable action based on a claim of bad faith refusal of the board to declare dividends. Absent specific provisions included in the articles of incorporation to protect the interests of minority shareholders, Dave is limited to this type of recourse and cannot transfer his stock or force the dissolution of the corporation.



# DECEDENTS' ESTATES QUESTIONS

## QUESTION #1

James Turk suffered a heart attack. He was confined to bed for a period of four weeks. During this period he contacted his lawyer, who prepared a will for his signature. He properly signed the will in the presence of Kurt Heien and Raymond Clardy. Turk then asked them to sign the will as attesting witnesses and both agreed. They then walked a few feet to a table that was in full view of Turk. After Heien signed as a witness and as Clardy started to sign his name, Turk became unconscious, but Clardy completed his signature. The next day, without having regained consciousness, Turk died.

On the basis of the foregoing facts, should the document be admitted to probate? Give reasons.

## QUESTION #2

Albert Adams, who was seriously ill in the hospital, called his lawyer and told him to prepare a will pursuant to which he would leave his entire estate equally to his three children, Barbara, Carol and Dan. His lawyer prepared a draft of the will and had a carbon copy thereof marked "Draft" delivered to him in the hospital for his review. The draft consisted of one page and was in proper form with a good and sufficient attestation clause.

After reviewing the document, Albert decided that he wanted to add a provision leaving \$10,000 to his favorite charity, Save the Pigeons Foundation. He wrote the following in longhand in the left margin of the draft above the line for his signature: "I leave \$10,000 to Save the Pigeons Foundation."

Albert's condition began to deteriorate rapidly, and he believed it necessary to have a will executed immediately. The only persons available to serve as witnesses were his daughter Barbara and a hospital nurse, both of whom he asked to come into the room to witness his will. After reviewing the draft a final time, he wrote the following in a space at the bottom of the page beneath the signature lines. "I also give \$10,000 to my good friend Joe Jones."

Albert then proceeded to sign the draft in the presence of Barbara and the nurse, each of whom also signed the instrument as attesting witnesses. He was heard to remark: "This will have to do until my lawyer is able to type a new will for me containing the provisions I have added."

A short time thereafter, his friend Joe stopped in to visit him. After Joe departed, Albert decided to increase the gift to Joe and drew a line through the figure \$10,000 in the clause he had written containing the provision for Joe and wrote "\$20,000" immediately above the figure \$10,000.

Albert died later that day. The document signed by Albert, Barbara, and the nurse was filed for probate. Albert's sole surviving heirs-at-law were his three children, Barbara, Carol, and Dan. He was also survived by his friend Joe, and at the time of his death, the Save the Pigeons Foundation was in existence. His net estate after payment of all debts and expenses consisted of \$110,000 in a checking account.

Dan, who was named executor, comes to you for advice and asks whether the document signed in the hospital is a valid will and how the estate will be distributed.

What is your advice? Give reasons.

### QUESTION #3

Dan Dowdy, a bachelor, prepared his will in his office. The will, which contained no residuary clause, provided that one-third of his estate was to go to his cousin Tom Terrific, one-third to Memorial Hospital, and one-third to his brother, Bob Dowdy.

He signed the will while alone in his office and then went to his cousin Tom Terrific's office where Tom, at Dan's request, signed the will as an attesting witness. Since no other persons were present in Tom's office, Dan then went to the bank where Ted Teller, a bank employee, also signed as an attesting witness at Dan's request. In each instance, Dan stated that he had signed the document, but did not state that it was his will.

Dan returned to his office and placed the will in his desk drawer where it was found after Dan's death three months later. Dan's brother, Bob Dowdy, who was his only heir-at-law, comes to you for advice as to how Dan's estate will be distributed.

What is your advice? Give reasons.

### QUESTION #4

Tom died in 1985 at age 92. After Tom's death the following facts were developed:

(1) On the morning of his death, Tom had been adjudicated an incompetent at the request of his son, Chip. Over Tom's objection (and that of his lawyer, Lee Galle), Chip had persuaded the court that Tom was unable to manage his business affairs on a daily basis because Tom was increasingly distracted by concerns about his health and his mortality.

(2) After the hearing, Tom accompanied his lawyer, Lee Galle, back to his office. While waiting for the lawyer to finish a telephone call, Tom picked up a pen from the lawyer's desk and wrote out the following (all of which was in Tom's handwriting):

“Will

Being of sound and disposing mind, I make this will this 29th day of July, 1985.

I give all of my property to my son, Chip.

Tom”

Finished, Tom neatly folded the writing, placed it in his pocket, waved goodbye to the lawyer (who was still on the phone), and strolled out of the office. Apparently it was a beautiful July day and Tom wandered into a park and took a seat on a bench next to an elderly woman. After a few minutes, Tom looked at the woman, she looked at him, he shouted “Mary,” she shouted “Tom,” they embraced and, in a fit of joy, both fell dead.

(3) Tom and Mary were brother and sister, but had not seen each other since Mary left home to join the circus many, many years ago.

(4) Tom was survived by his son, Chip, and another son, David. Mary, who had never married, left no will. She was survived by her only child, Eddie.

(5) Tom's property consisted of \$100,000 cash. In addition, it was learned that Tom, before Mary left home for the circus, had purchased some General Micro (GM) common stock and had taken title as "Tom and Mary as joint tenants with right of survivorship." Tom had earned the funds used to purchase the stock by mowing lawns. At the time of Tom's death, the stock had a value of \$60,000.

Tom's son, Chip, claims the will is valid and that he is entitled to not only the \$100,000 of cash, but also the General Micro stock. David claims that he is entitled to 50% of his father's estate. Mary's child, Eddie, disputes Chip's claim to the GM stock and claims it for himself. Evaluate the respective claims.

## QUESTION #5

Tonya Tazket died in June 1983. However, it was not until more than two years later, on December 15, 1985, that the following undated writing, purporting to be Tonya's will ("the will"), was located:

"Will

(1) I give my farm, "Farout" on Lake Gogebic, to my sister, Sue, for life; remainder to Sue's children.

(2) I give all the rest of my property to my brother, Bruce.

/s/ Tonya.

Witnesses: /s/ Bruce Tazket /s/ New Neighbor."

Since then the following facts have been developed:

(1) Tonya signed the undated will ("the will") in the presence of her brother Bruce, in his apartment but Bruce, often under the influence of alcohol or narcotics, cannot remember the date on which Tonya signed "the will."

(2) Leaving Bruce alone in the apartment, Tonya had gone next door to New's apartment and, pointing to her signature on "the will," asked New to witness her "signature" on her "application to law school." Without examining the writing, and believing it was Tonya's law school application, New signed "the will" on the line pointed to by Tonya. New remembers that the signing ceremony occurred in 1982.

(3) Tonya was survived by her brother, Bruce Tazket. However, Tonya's sister, Sue, died in 1984 (before Tonya's will ["the will"] was located). While Sue's two children, Jack and Jill, survived Tonya, Jack predeceased his mother, Sue. Jack left a will which provides that "all of my property" is to pass to "State University." However, Jack's sister Jill says, "State University takes nothing."

(4) Tonya was also survived by her former husband, Herb. Tonya and Herb were divorced in 1981.

(5) Tonya's brother, Bruce, her niece, Jill, and State University claim under Tonya's will ("the will").

(6) Herb disputes all claims to Tonya's property based on "the will." Herb claims all of Tonya's property under the following properly executed will ("the 1979 will"):

"April 1, 1979

Will

I, Tonya, give all of my property to my husband, Herb."

Evaluate the claims of Tonya's former spouse; Tonya's brother, Bruce; Sue's surviving child, Jill; and State University.

## QUESTION #6

In 1984, Tom executed a will leaving his automobile to his cousin John and the residue of his estate to his cousin Fred. This will was properly executed and Tom's attorney retained an unsigned copy of it in her files.

In 1987, Tom typed but did not sign a new document, entitled "Will," leaving his entire estate to his cousin Fred and omitting the bequest of the automobile to John. The day after typing this "Will," Tom physically destroyed the 1984 will.

Tom died last week. His estate consists of his automobile and a portfolio of securities worth \$75,000.

Tom is survived by his cousins John and Fred. He also is survived by his sister, Ruth, whom he had not seen or heard from in the ten years before he died.

To whom should Tom's estate be distributed? Explain.

## QUESTION #7

On Wednesday, December 14, 1980, Chloe, a single person who never married, appeared suddenly in the office of her lawyer, S. Tate Planner, and, somewhat breathlessly, asked S. Tate to "quickly prepare a will" for her in which she "gives everything to my sister for life and then to her children." S. Tate was about to go off to his regular Wednesday afternoon tennis game and, not wanting to be tardy, he scribbled some words on a note and told Chloe to "sign it." She did so hurriedly in the presence of S. Tate and his secretary, Wanda Fingers. She then handed it to S. Tate who, along with his secretary, also signed the note.

Chloe died on December 16, 1980, at the age of 47. Clutched in her hand was the note prepared and signed in the offices of S. Tate Planner which took the following form:

"Will



I give all of my property to my sister, Allison, for her life; upon her death the property is to be distributed to the children of my sister, Allison.

I nominate and appoint S. Tate Planner personal representative of my estate to serve without bond.

Chloe Fragrante

Witnesses:

/s/ S. Tate Planner

/s/ Wanda Fingers"

At the time of her death, Chloe's property consisted of a dwelling house. Her only sister, and heir at law, was Allison, age 40. Allison's children were Glenn and Betsy. According to Betsy, Allison had removed Chloe's will from her hand before the mortician arrived and "put it away for safekeeping." After Allison's death, Betsy and Glenn claimed Chloe's dwelling house, relying on Chloe's will which was found among Allison's papers after her death.

After Chloe's death, Allison had another child, Chastity, who also claims a part of the house as one of the "children" of "sister, Allison." Betsy and Glenn are "sure that Aunt Chloe was thinking of **only us** when she gave "all my property" to the "children of my sister, Allison".

How should Chloe's property be distributed?

## QUESTION #8

In 1960 when 60-year-old widower T was a picture of health, T's attorney drafted a will for him that left T's entire estate equally to his son S and daughter D, his only close relatives. This will was formally executed before attesting witnesses. The original is still in possession of T's attorney.

By 1983 T's health had deteriorated; he was confined to bed; he suffered from senility. After appropriate court proceedings, banker B was appointed conservator of T's estate. B began managing T's \$1 million of investments.

In 1984, in his own hand shaky from palsy, T printed a new will which read:

I give \$350,000 to my son S and the rest of my property to my daughter D.

T dated and executed the document before his housekeeper and nurse, who signed as attesting witnesses. T kept the new will in a bedside chest.

Later in 1984 T decided the new will was not fair to S. With the same pen he used originally to print the will, he crossed out the "3" in \$350,000 and printed above the crossed out "3" the numeral 4.

A month later T died owning \$1 million in assets. Both the 1984 and 1960 wills have been offered for probate. How will T's estate be distributed? Discuss fully.

**QUESTION #9**

On January 1, 1981, Tom Thumb typed out the following words on his typewriter:

"This is my will. I revoke all prior wills. I give all my property to my brother, Cuthbert."

Thereupon, Tom rolled the writing out of the typewriter and turned to Raquel, the "domestic" who was busily cleaning his apartment and said, "I'm going to sign this affidavit. Watch me." She did and Tom signed. Illiterate as she was, she was troubled when Tom asked her to sign the "affidavit." Not wanting to jeopardize her employment relationship, she put her "X" on the document. Tom then wrote after her "X" the words, "My cleaning lady."

Tom then walked to the door of the apartment, opened it, and encountered Billy Bob, a total stranger who had recently relocated in the hope of finding work. Tom asked Billy Bob to sign the "affidavit" as a witness but Billy Bob, wary of city folks, declined. Tom then said, "It's my will." Billy Bob said, "In that case, I'll do it," and he did. Raquel did not overhear any of the conversation between Tom and Billy Bob nor did she see Billy Bob sign the writing below her "X."

On August 15, 1981, Tom Thumb purchased a microcomputer with removable diskettes on which programs are stored. After taking delivery later that day, he recorded on his first diskette the following program:

"This is my will. I revoke all prior wills. I give all of my property to my neighbor, Sue."

Later that same day, Tom was found dead, slumped over the computer. Clutched in his hand was the diskette on which he recorded his "will." The label on the diskette was blank except for the following words (in Tom's handwriting):

"My will. Tom Thumb."

In the wastebasket beside the microcomputer was the January 1st "will" all neatly folded up. Written on the backside of the January 1st "will" were the words "Null and void" in Tom's handwriting.

Discuss the validity of the two documents.

**QUESTION #10**

Tom Tully died on June 15, 1981. Found among his papers was the following properly executed and witnessed writing:

"April 1, 1981

Will

1. In the name of God, Amen.
2. Being of sound and disposing mind, I hereby make this will.
3. I give my farm, Tullyland, to my son, Tad."

Tom's only child, Tad, died on June 1, 1981. However, Tad's son, Chip, age 2, survived his grandfather, Tom.

Following Tom's funeral, Tom's sister, Daphne, handed Chip a copy of the following writing (written just as Tom was about to depart for military training at the beginning of World War II), all of which was in Tom's handwriting:

“January 26, 1942

Will

I direct that, at my death, all of my property be given to my sister, Daphne.

Signed Tom Tully”

Tom's property consisted of cash in the amount of \$100,000 and Tullyland. At Tom's death Tullyland had a market value of \$100,000.

Chip claims all of Tom's property. Chip says that the 1942 will is invalid for several reasons, not the least of which is the fact that after Tom executed the 1942 will he married and divorced Tad's mother, Missy, and sired Tad.

Daphne claims everything.

Analyze the competing claims.

## QUESTION #11

Ted died at age 59 on December 14, 1981, survived by Wanda, age 26, his bride of three weeks. Ted was also survived by his only son, Ben, age 28, and Ted's former wife, Lorna. Ted and Lorna were divorced in 1979 after a particularly bitter trial involving allegations of adultery by both Ted and Lorna. They have not seen each other since the last day of the trial.

Found clutched in Ted's hand at his death was his will. The will, which was executed in 1978, has been admitted to probate (over the objections of Wanda). The will provides in pertinent part:

“Will

1. Pay all my debts.
2. I give \$100,000 to my son, Ben.
3. I give \$50,000 to my beloved wife, Lorna.”

At Ted's death, his estate consisted of cash only in the amount of \$150,000. Wanda, Ben, and Lorna each seek the maximum share of Ted's estate to which they are entitled. For Wanda, who is the heir to the Belchfire auto fortune, claiming the maximum share is a matter of principle. For Ben, an unemployed auto worker, and for Lorna, a friendless and poor stroke victim, getting the maximum share is a necessity. How should Ted's estate be divided among the claimants?

## QUESTION #12

T, domiciled and owning property only in State X, died survived by his wife, A, his son, B, and a friend, C. A statute of State X in effect when T executed his will and at T's death provided as follows: “A surviving spouse may reject the will and elect to take one-half of the net probate

estate.” T's properly executed will, admitted to probate, contained the following provisions: “I give my residence property excluding all furnishings to my son, B. I give all the rest of my estate to my friend C. I intentionally make no provision for my wife, A, having made gifts to her from time to time during my life.” In the left margin of the will, near the words giving the residence property to B, appeared in T's handwriting the following: “B is to have nothing; a big disappointment to me.” In T's safe deposit box, to which T had sole access, was found \$50,000 in cash in an envelope on which was written in T's handwriting “for my dear friend, C.” The residence property was valued at \$50,000, and all the residence furnishings at \$50,000. Allowed claims against T's estate, expenses of administration, and taxes totalled \$50,000. Assume that A wishes to benefit from T's estate if she can. Discuss how T's estate is distributed, and why.

### QUESTION #13

On May 1, 1980, Hal executed a valid will with the following provisions:

- (1) I direct that all debts shall be paid from my estate after death.
- (2) I give my car to my nephew, Sam.
- (3) I give 100 shares of XYZ common stock to my brother, George.
- (4) I give the residue of my estate to my wife, Wilma, my son Richard, and my son Fred, in equal shares.

On April 1, 1986, Hal, Wilma, and Richard were involved in a serious automobile accident. Wilma and Richard were killed instantly. Hal died two months later as a result of the injuries received in the accident.

Wilma was Hal's second wife and she was survived by Alice, her only child, by a prior marriage. Richard and Fred were Hal's only children, both of whom were by Hal's first wife, who had died in 1975. Richard, who was divorced, was survived by a son, Charles. Fred, Alice, and Charles all survived Hal, as did Sam and George.

About six months before his death, Hal sold all of his XYZ stock, traded in his old car, and purchased a new car. It was Hal's only car and it was destroyed in the accident.

Hal's insurance company paid Hal's estate \$15,000, a sum that represented the fair market value of the car. XYZ stock is now worth \$100 a share on a national stock exchange. After payment of debts, administrative expenses, and death taxes, the residue of Hal's estate available for distribution was \$400,000, one-half consisting of cash investments.

What rights, if any, do Sam, George, Alice, Charles, and Fred have to share in Hal's estate?

**QUESTION #14**

William, a widower, properly executed a will with the following bequests:

"I give the sum of \$5,000 payable from my savings account at Credit Union to my daughter, Pam, and I give the remaining monies in said account to my son George. I give the rest of my estate to my son Ben."

At the time William executed his will, his assets consisted of \$15,000 in a Credit Union savings account and \$20,000 in a checking account at Bank. Thereafter, William withdrew all the funds from his savings account at Credit Union and deposited those funds into his checking account at Bank.

At William's death, his only asset consisted of his checking account at Bank, which had a balance of \$19,000. After payment of debts, taxes, and administrative expenses, the balance available for distribution was \$12,000.

What rights, if any, do Pam and George have in William's estate? Explain.

**QUESTION #15**

Several years ago, Grandfather died, leaving a will that devised a life estate in Blackacre to Father with remainder to Father's children, Son and Daughter, or to the survivor of them, in equal shares. Shortly after Grandfather's death, Father made a will that gave his entire estate to Son and Daughter, or to the survivor of them, in equal shares.

Daughter was convicted of premeditated murder of Father. Father's estate consisted of \$200,000 in cash.

Son consults you and wants to know what he will receive as a result of Father's death. Advise Son and explain fully your advice.

**QUESTION #16**

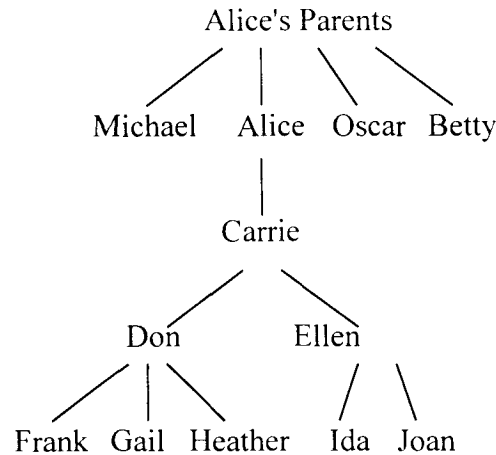
Alice executed her will in 1984. Under the terms of this will, Alice bequeathed 500 shares of ABC common stock to her sister, Betty, and the residue of her estate in trust to pay the income to her daughter, Carrie. The will provided that upon Carrie's death, the principal of the residuary trust should be distributed "equally to Carrie's issue." When the will was executed, Alice owned 500 shares of ABC common stock.

When Alice died in 1989, her estate consisted of 1,000 shares of ABC common stock and a substantial amount of other property. Alice had acquired the additional 500 shares of ABC common stock as a "stock dividend." In addition to her estate assets, at the time of her death, Alice had a power of revocation over the principal of a trust she had created in 1986. This trust terminated at her death and the principal was distributed outright to Alice's daughter, Carrie.

Alice was survived by her sister, Betty; her daughter, Carrie; Carrie's two children, Don and Ellen; Don's three children, Frank, Gail, and Heather; and Ellen's two children, Ida and Joan.

Alice also was survived by her husband, Oscar, whom she married in 1987. Alice's prior husband, Michael, the father of Carrie, had died in 1959.

Alice's family tree can be diagrammed as follows:



- (1) What are Oscar's property rights, if any, in the assets of Alice's estate and the principal of the revocable trust? Explain.
- (2) What are Betty's rights with respect to the 1,000 shares of ABC common stock owned by Alice at the time of her death? Explain.
- (3) If Don and Ellen were to predecease Carrie and Carrie was then survived by Frank, Gail, Heather, Ida, and Joan, how should the principal of the trust created under Alice's will be distributed among Carrie's issue at Carrie's death? Explain.

(Examinees in community property states should assume that all of Alice's property is sole and separate property and that the community had no interest in said property and should analyze this problem accordingly.)

**QUESTION #17**

Testator, a domiciliary of State A, died on February 1, 1998, leaving a net estate valued at \$100,000. Testator was survived by three children, Andy, Billy, and Cory, and one grandchild, Gary, who is Cory's only child. The following documents were found in Testator's safe deposit box:

1. At the top, there was an envelope containing Testator's canceled check dated February 1, 1990, made payable to Charity Y in the amount of \$15,000. Attached to this check were copies of other canceled checks to Charity Y paid over the previous 15 years and a copy of a note from Testator to Charity Y dated February 1, 1990, stating: "Enclosed is my check in the amount of \$15,000. I know you will use this as you have all of my prior gifts to carry out the important work of your organization. I hope I'll be in a position to do more for you in the future. Your work is very important to me."
2. Underneath the first envelope was a second envelope containing a one-page typewritten will dated September 10, 1989, leaving all of Testator's estate to Andy and Billy. Testator had duly executed this will. However, the phrase "VOID—May 18, 1993" was written in large print across the entire face of the will, and on the back of the will the following words appeared: "Revoked, because I really prefer my March 2, 1983 will."
3. Underneath the second envelope was Testator's duly executed one-page typewritten will dated March 2, 1983. In this will, Testator bequeathed "\$50,000 to Cory, \$10,000 to Charity Y, and the residue of the estate to Andy and Billy."

On October 30, 1998, Cory filed a properly acknowledged document with the appropriate persons, renouncing all rights Cory had under Testator's two wills.

State A does not permit holographic wills. Under State A law, (1) an intestate's heirs are the intestate's surviving children, and (2) the issue of any child who predeceases the intestate take the deceased child's share.

1. Under what theory could the March 2, 1983, will be probated, and to whom would the estate be distributed under that will? Explain.
2. Under what theory could the September 10, 1989, will be probated, and to whom would the estate be distributed under that will? Explain.





# **DECEDENTS' ESTATES ANSWERS**

## **ANSWER TO QUESTION #1**

Whether or not the document should be admitted to probate depends upon whether it was validly executed. To be valid in most states, a will must be in writing, it must be signed by the testator, and the signature must be attested by two witnesses who sign in the testator's presence. There is no problem here with the first two requirements. The will was in writing and the testator, Turk, had signed it. The problem arises with the third requirement, that of two witnesses signing the will in the testator's presence. It is generally held that if the testator had the opportunity to observe the witnesses, i.e., if they were in his "line of sight," the requirement that the witnesses sign in his presence is fulfilled. However, Turk lost consciousness. When one loses consciousness, one ceases to be able to see or to know. Here, Turk could not have seen that attestation had taken place, at least if attestation requires the complete signature of the witness. Further, Clardy, the witness, could not testify in court that Turk was of sound mind and memory when the will was executed. Since such testamentary capacity needs to be proven before a will can be admitted to probate, the document Turk signed cannot be admitted. Since the document was not properly executed as Turk's will, his estate will pass by intestacy.

## **ANSWER TO QUESTION #2**

Although the will which Albert executed said it was a draft and was a carbon copy of the will which his lawyer had prepared, its execution as a will was proper. The will was in writing, it was signed by the testator, and two credible witnesses attested to the testator's signature. The fact that parts of the will were in Albert's own handwriting is acceptable so long as proper signing and attestation took place. There is a problem, however, which arises from Barbara's acting as a witness. Barbara was one of the beneficiaries under the will. To be valid in all of its provisions, a will must be signed by two disinterested witnesses. Since Barbara was an interested witness, the provision naming her as a beneficiary is void in most states to the extent it exceeds the share Barbara would take in intestacy. All other provisions remain valid. However, since Barbara is Albert's daughter, she will take under the will no more than an intestate share.

Another issue is the amount of the bequest to Albert's friend, Joe. Albert originally left him \$10,000. After executing the will, Albert changed the sum to \$20,000. When alterations are made after a will has been executed, leaving the original terms decipherable, property passes according to the original terms if there is no indication of an intention to revoke and the alterations are not made with the formalities required by the Statute of Wills, i.e., proper attestation or an effective holographic codicil (if the jurisdiction allows holographic wills). The alteration here was not properly witnessed and there was no intention to revoke. Additionally, the witnesses knew of the previous bequest of \$10,000 to Joe, or could have, since it was below Albert's signature on the will. In many states, the testator's signature need not be at the end of the will, so provisions appearing below the signature are valid if present at the time of execution of the will. The witnesses could both testify that the alteration came later. Thus, Joe will be

entitled to only \$10,000. The provision for the Save the Pigeons Foundation is also valid since it was part of the will at the time of its execution.

The estate will be divided in the following way: \$10,000 to Joe; \$10,000 to the Save the Pigeons Foundation, a valid bequest unless the state has a Mortmain statute to limit the amount one can bequeath to charity; and the remaining \$90,000 will be divided equally between Dan, Carol and Barbara under the will. Barbara can take only to the extent that the devise does not exceed her intestate share. Barbara, Dan and Carol will each take \$30,000.

### ANSWER TO QUESTION #3

Dan's will probably was validly executed. Proper execution commonly requires that a will be in writing, that it be signed by the testator and that the signature be attested to by two credible (competent) witnesses signing in the presence of the testator. Here, Tom and Ted, the witnesses, signed out of each other's presence, and Ted did not know he was witnessing a will. However, many states do not require that the witnesses sign in each other's presence nor that they even know that they are witnessing a will. The testator need not sign in the presence of witnesses, nor "publish" the document as his will, but he must acknowledge his signature in the presence of the witnesses, as Dan did here.

One of the witnesses, Tom Terrific, was a beneficiary under the will. Tom's attestation does not affect the validity of the will, but in most states his interest under the will becomes void except to the extent of the share he would take in intestacy. In intestacy, Tom would take nothing because the entire estate would pass to Dan's brother Bob.

Thus, Dan's estate will be distributed in the following way. Under the will, one-third of his estate will pass to his brother. One-third will go to the Memorial Hospital provided that the state has no Mortmain statute restricting gifts to charitable institutions. The remaining one-third of Dan's estate will pass by intestacy, presumably to Bob, his only heir at law. In sum, then, Bob gets two-thirds of the estate, the hospital one-third, and Tom Terrific takes nothing.

### ANSWER TO QUESTION #4

**(1) Chip:** Since Chip is the sole beneficiary of Tom's will, it is clearly to Chip's advantage to assert that Tom's will is valid. If Tom's will is invalid, Chip and David will each receive 50% of Tom's property by intestacy.

**(2) David:** (a) David will be entitled to 50% of Tom's estate if it appears that David's omission from the will was not intentional but was made by mistake or accident.

David should have the burden of proof on this issue and it would seem to be a heavy one. However, the circumstances surrounding Tom's writing of the will in the lawyer's office might suggest the accidental omission of David.

(b) Tom's will is not invalid solely because it is not witnessed if the jurisdiction recognizes holographic wills. A will is a valid holographic will if the material provisions are in the handwriting of the testator, the will is dated and it is signed by the testator. In some states, the placement of the signature on the will is irrelevant.

(c) Whether the will is valid will depend on whether Tom knew the nature and extent of his property, the natural objects of his bounty, the fact that he was making a will and whether he could interrelate these factors. The fact that he was adjudicated an incompetent immediately preceding the time he wrote the will may not be conclusive. In many states, the finding of incompetency raises a rebuttable presumption of lack of testamentary capacity.

(d) There is no basis for arguing that Chip used undue influence on Tom in procuring the will. Any such influence would have dissipated in the intervening period during which time Tom had the opportunity to consult with his lawyer.

**(3) Eddie:** Eddie takes 50% of the General Micro (GM) stock and 50% belongs to Tom's estate. The Uniform Simultaneous Death Act adopted by the majority of states provides:

“Where there is no sufficient evidence that two joint tenants or tenants by the entirety have died otherwise than simultaneously the property so held shall be distributed one-half as if one had survived and one-half as if the other had survived.”

## ANSWER TO QUESTION #5

(1) Herb takes nothing from Tonya's estate.

(a) Herb's divorce from Tonya had the effect of revoking the provisions of Tonya's 1979 will in Herb's favor.

(b) Even if the divorce had not brought about a revocation of Tonya's 1979 will, the execution of “the will” in 1982, assuming the 1982 will was valid, would have revoked the 1979 will by inconsistency.

(2) Tonya's will (“the will”) is valid.

(a) In most states, Tonya's will (“the will”) is not invalid because it was undated.

(b) Tonya's will (“the will”) is not invalid because Bruce was an interested witness. While many states void a gift in a will to a subscribing witness, most of these states also carve out a “safe harbor” for the amount that the witness would take if the decedent had died intestate. Therefore, so long as Tonya's residuary estate is less than 50 percent of the value of her entire estate, Bruce will take the share Tonya provided him.

(c) Tonya's will (“the will”) is not invalid because Bruce and New were not together with Tonya at the time each of them signed the will in their respective capacities. The fact that New did not know that the document he witnessed was a will does not make him incompetent as a witness as long as the testatrix acknowledged that the signature was hers.

(3) State University will take 50 percent of Tonya's farm, “Farout,” under nephew Jack's will.

(a) Jack's interest in Tonya's will (“the will”) vested at Tonya's death. Therefore, State University takes Jack's vested interest in the remainder. State University could only be denied Jack's share in Tonya's estate if Jack were required to survive his mother, Sue, in order to take. The law will not imply a condition of survivorship and no condition of survivorship was expressed by Tonya.

(4) Sister Jill will take 50 percent of Tonya's farm, "Farout," under Tonya's will.

(a) Sister Jill would take 100 percent of "Farout" (to the exclusion of State University) if Tonya's will ("Farout") was construed as requiring Jack to survive the life tenant. His

(5) Sister Jill will take any portion of the residue to which her mother, Sue, would have been entitled. In those states which would allow Bruce to inherit an intestate share, Jill would receive that portion of the residue which was more than 50% of the value of the entire estate since she is Sue's sole heir and Bruce can take no more than his intestate share.

### SUMMARY

(1) Herb takes nothing because the 1979 will has been deemed revoked by the divorce.

(2) The will is valid, but Bruce's gift is limited to his intestate share of Tonya's property since he is an interested witness.

(3) State University gets 50 percent of "Farout" unless Tonya's will is construed as requiring Jack to survive Sue.

### ANSWER TO QUESTION #6

In most states, the property will pass either under the old will or under the laws of intestacy. The estate cannot pass under the new will because it is invalid.

The new will is invalid because it fails to comply with the execution requirements. To be valid, a will must be in writing, signed by the testator, and signed by witnesses who either witnessed the testator signing the will or the testator's acknowledgment of the will. Although Tom's new will is in writing, it is neither signed nor witnessed, and is, therefore, invalid.

Generally, the destruction of the old will would cause it to be revoked. A will may be revoked by being burned, torn, canceled, obliterated, or destroyed with the intent, and for the purpose of, revoking it. In addition to the act of destroying the old will, the fact that Tom wrote a new will only one day before the destruction of the old will suggests that he intended the old will be revoked and the new will take its place. The fact that the new will is not valid does not matter in proving Tom's intent in destroying the old will.

After the destruction of the old will, Tom was then left with no valid will. In the absence of a will, property passes under the laws of intestacy. However, the doctrine of dependent relative revocation can be invoked in cases such as Tom's where the testator revokes or destroys an old will with the intent that it be replaced by a new will that is for some reason invalid. The doctrine applies when there is an adequate showing that the testator intended to revoke the first will only if the second will was valid. The presumption then arises that the testator, had he known the second will was invalid, would have preferred the old will to intestacy. The doctrine does not apply where it appears that the intention of the testator was to revoke the first will regardless of the consequences. In the present case there is evidence to support a conditional revocation of the old will.

If Tom's property were to pass under the rules of intestacy, his sister would inherit his entire estate. The fact that he had not seen or heard from her in the 10 years before his death suggests

that there was a problem with their relationship. It would not be unreasonable for a court to find that Tom would have preferred his estate be distributed under the old will to his sister receiving the estate. The court would have to inquire into the reasons for the omission of the bequest to John, and balance that against Tom's relationship with his sister and the reason for their estrangement. If the court finds that Tom would have preferred John to receive the car to Ruth receiving the entire estate, it will admit the first will to probate and distribute the property accordingly.

## ANSWER TO QUESTION #7

### Validity of Chloe's Will

(a) The will is not invalidated because S. Tate Planner prepared the will and also is named as personal representative. Moreover, the will is not invalid because S. Tate Planner is a witness to the will.

- (1) Witnesses must witness either the signing or the testator's acknowledgment of the signature or of the will.
- (2) S. Tate Planner is not given a "beneficial devise" in Chloe's will. Therefore, he may be counted as one of the required two "competent" witnesses.

### Chastity's Claim

(a) Class gift

- (1) The gift to the "children of my sister, Allison" was a gift to a class of persons.

(a) Whether a gift is to a class of persons or to individuals is a question of fact. The question is, "what did the testator intend?"

(b) If the gift was a gift to individuals, then Glenn and Betsy take to the exclusion of Chastity.

- (2) If the gift is a class gift, the question is when did the class close? Did it close at the death of Chloe or at the death of Allison?

(a) In the absence of a clear expression of the testator's intention, the courts will, of necessity, employ judicially created rules of construction (in the absence of any legislative expression).

(b) Because the courts assume that the testator wanted as many persons in the class as possible - that being the rationale for making a class gift - the rule has come to be that the class closes when someone is in a position to demand distribution of his or her share.

(1) Thus, Allison could enjoy the property during her life without any determination of class membership.

(2) It is only after Allison dies that membership in the class must be determined for purposes of satisfying the claims of Glenn and Betsy.

(3) Accordingly, the class remained open until Allison died.

(4) Since Chastity was born before Allison's death, Chastity was able to get into the class and share Chloe's dwelling house as an equal tenant in common with Glenn and Betsy.

### ANSWER TO QUESTION #8

If the 1960 will is in effect, T's \$1,000,000 in assets will be divided equally between S and D.

The 1984 will, if valid, supersedes the 1960 will. It is valid unless, in 1984, T lacked testamentary capacity. On the facts, it is likely T still had testamentary capacity. His palsy affected his bodily movements, not his mind. T "suffered from senility" but though a conservator was appointed (to manage his property), a guardian (to replace him in making personal decisions) was not. A senile person may have periods of lucidity in which he can make binding testamentary decisions. Absent a guardianship, there is no presumption of incapacity. Therefore, T's 1984 disposition should be effective. The content of the 1984 will is likewise consistent with T's testamentary capacity. In it, he disposes his estate to the natural objects of his bounty (as before, S and D). The new distribution is not greatly different (allowing for taxes and administrative costs) from the previous one.

However, the attempted change in 1984 of the bequest from \$350,000 to \$450,000 is ineffectual. It was not witnessed or otherwise executed according to testamentary formalities. If T obliterated the bequest to S in attempting to vary it, he may have disinherited S altogether. Some states consider obliteration a form of revocation. If so, D takes the entire estate. But T's clear intent was to increase, not decrease S's share; if (as it appears) his action was ineffective to increase S's share it at least precludes an inference that he meant to eliminate it. Thus, the legacy to S of \$350,000 is effective.

### ANSWER TO QUESTION #9

**Neighbor Sue:** Sue takes nothing. Tom's signature on the diskette has not been witnessed. Furthermore, the diskette cannot qualify as a holographic will because the "material provisions" of the will which are on the diskette are not in Tom's "handwriting" as is required for holographic wills. Also the holographic will is not dated as is required in many states.

If witnesses had signed the diskette label (along with Tom), it is clearly arguable that the diskette would be a valid will.

**Revocation of January 1st will:** The words "Null and void" on the back side of the January 1st will are not effective to revoke it. Neither is the fact that the will was found neatly folded up in the wastebasket after Tom's death.

(a) A will can be revoked by burning, tearing, canceling, obliteration, or destruction with the intent to revoke the will.

(b) Tom may have had the requisite intent, but the question remains, did he do one of the specified acts? At best, he "canceled" the will or "destroyed" it when he put it into the wastebasket neatly folded up.

(1) It is hard to argue successfully that he “destroyed” it, as the courts have given this word a literal meaning.

(2) Most courts would find the words “Null and void” to be a cancellation but only if the words “Null and void” actually **touched** the words of the will that was being revoked. Writing the words on the back side of the will would not be adequate to constitute a cancellation.

(c) Revocation of a prior will is also accomplished by a subsequent will which revokes the prior will expressly or by inconsistency. Had Tom dated and signed the back side of the will after writing the words “Null and void,” these words would probably qualify as a “subsequent will” which expressly revoked the prior will. Such a “will” would qualify as a holographic will.

**Validity of January 1st will:** The January 1st will has been “witnessed” in compliance with law.

(a) A will must be signed by at least 2 persons each of whom witnessed either the signing or the testator's acknowledgment of the signature or of the will.

(1) In most states, Raquel's “X” constitutes her signature and, therefore, she is deemed to have signed the will as a witness. For these purposes, a “signature” is any visible impression that the maker intends to constitute his or her signature. Some states require that the witness actually sign a name.

(2) It is not necessary that Raquel know that it was a will that she was witnessing.

(3) Most states do not require that the witnesses sign in each other's presence. Therefore, the fact that Billy Bob and Raquel did not sign the will in the presence of each other is irrelevant.

(4) It is similarly irrelevant that Tom did not sign the will in the presence of Billy Bob. All that Tom had to do was acknowledge either his “signature” or the “will” to Billy Bob.

## ANSWER TO QUESTION #10

**(A) Validity of the 1942 Will.** Whether the 1942 will was still valid at Tom's death depends on the applicable statutes regarding holographic wills, the effect of a subsequent will, the effect of a subsequent marriage and the effect of a child born after the execution of the will.

**(1) Holographic Will.** Many states permit unwitnessed wills so long as they are entirely in the handwriting of the testator **and** signed by the testator with the intention that the signature constitute his authentication of the writing. Many states also require the signature on a holographic will to be at the end of the writing. If Tom's holographic will complies with the applicable statute, the will was valid.

**(2) Marriage and Birth of Issue.** In most states, a marriage and/or the birth of a child to the testator will have a profound effect on wills executed prior to such events. In some states, the subsequent marriage or birth will automatically revoke the will. In other states, the will will be deemed invalid as to the omitted spouse or child, and the omitted spouse or child will be able to take a forced share.

Under the first type of statute, the first will is, therefore, revoked as a matter of law, and the second will, provided it is valid, is the only will left by Tom. In that event, the gift to Tad is valid. As long as the state has an anti-lapse statute, Chip would inherit the farm. The remainder of the estate would pass under the intestacy laws.

Under the second type of statute, the first will is invalid only with regard to the omitted spouse or child. Under such a statute, Tad, had he lived, would have been entitled to a share equal to the share he would have received had Tom died intestate. If there is an anti-lapse statute, Chip would receive the share to which Tad was entitled.

Missy would be entitled to nothing under either statute. To inherit in either event, Missy would have to claim as a surviving spouse and her right to do so terminated with the divorce.

**(3) Revocation by Inconsistency.** The 1981 will revokes the 1942 will only to the extent that the 1981 and the 1942 will are inconsistent.

What the courts seem to do is attempt to reconcile wills which have conflicting provisions (where there is no provision **expressly** revoking prior wills). It is only when they are not reconcilable that the courts conclude that a later dated will revokes an earlier dated will "by inconsistency."

(a) The process of reconciliation is often "mechanical." That means the court will simply compare the provisions of each instrument, giving effect to as many of the provisions of **both** instruments as possible. The other approach is for the court to compare dispositive schemes and determine whether the dispositive scheme of the **later** dated instrument is inconsistent with the dispositive scheme of the **earlier** dated instrument. If the scheme employed in the later dated instrument is inconsistent with the scheme employed in the earlier dated instrument, the earlier dated instrument will be deemed to have been revoked in its entirety by the later dated instrument.

(b) Inasmuch as individuals are presumed to prefer to die testate, it is unlikely that a court would find that the 1981 will revoked the 1942 will in its entirety. What is likely is that a court will give effect to the 1981 will (if it is valid) by giving Tullyland to Chip and giving the balance of Tom's property to his sister, Daphne.

**(4) Conditional Wills.** Arguably, the gift to Daphne in the 1942 will is conditioned upon Tom dying in the war. However, the courts have not allowed a condition to be shown if the will is absolute and unambiguous on its face.

**(B) Chip's Claim.** Chip will be substituted for Tad in Tom's 1981 will and will take Tullyland. By way of explanation, Tom's gift to Tad is deemed to have lapsed at common law but the anti-lapse statute will resurrect or "save" the gift for Chip.

**(C) Daphne's Claim.** Daphne will take all of Tom's property except Tullyland. Daphne takes under the 1942 will.

## ANSWER TO QUESTION #11

The first issue is the validity of the 1978 will. In almost all jurisdictions a divorce revokes the provisions of the will in favor of the divorced spouse and the property left to the divorced



spouse passes as though that spouse had predeceased the decedent. Therefore, Lorna's share will not be paid to her but will be governed by the laws of intestacy.

In some jurisdictions a marriage subsequent to a will revokes the will unless the will is made in contemplation of marriage. In such a jurisdiction the entire will would be invalid and the property would be divided, in accordance with the intestacy statute, between Ted's wife Wanda and his son Ben.

If Ted's subsequent marriage did not revoke the will, Wanda will be able to exercise her right to an elective share. In most jurisdictions this would be one-third of Ted's estate.

In addition to her rights to an elective share Wanda may be entitled to a family allowance, homestead rights and exempt personal property in accordance with the law of the jurisdiction.

## ANSWER TO QUESTION #12

Since A is expressly excluded from the terms of the will, she must take, if at all, from the net probate estate under the widow's elective share statute. The gross estate includes the \$50,000 residence and the \$50,000 in furnishings. It also includes the \$50,000 in cash unless T had already made an effective gift of the money to C. (Clearly the inscription "for my dear friend, C" does not of itself satisfy testamentary formalities so as to qualify as a will.) There is no indication that T expressed any intent to create a trust with C as beneficiary. For the money to belong to C, T must have made a valid gift of it to him. The inscription does evidence one element of a valid gift, donative intent. But the circumstances rule out satisfaction of the other elements: delivery and acceptance. The money remained in a safe deposit box to which T had exclusive access; C never gained possession. Therefore, the would-be gift is ineffective and the \$50,000 goes into the gross estate. Thus, the net probate estate consists of the three \$50,000 items (furnishings, residence, cash) totalling \$150,000, less the \$50,000 in claims and expenses, or \$100,000.

The statute clearly allows A to reject the will and receive half the net probate estate. Thus, she is entitled to \$50,000.

B would receive the residence property worth \$50,000 unless that specific devise was revoked by the handwritten language "B is to have nothing . . .," in which case C would get it under the residuary clause. But this was ineffectual as a partial revocation because the handwritten language did not obliterate the original specific devise; and it is unsigned and incomplete and does not qualify as a holographic will in itself. Thus the gift to B still stands, and C probably receives nothing because the widow's elective share, like the specific devise to B, is a disposition to be satisfied before there is any residue. The contrary argument is that B and C should contribute equally to the widow's elective share in view of the testator's intent to reduce B's share and confer a share on C.

**ANSWER TO QUESTION #13**

(1) The language of the will indicates that the bequest of the car to Sam was specific and whether ademption will bar Sam from receiving the insurance proceeds from the destroyed car depends upon the law of the jurisdiction.

The bequest of the car to Sam was specific. The bequest was of a particular individualized chattel (car) that was differentiated from all other property. The use of words indicative of ownership in describing subject matter, in the absence of any showing of different intention, tends to indicate specific bequest. Hal used the word "my" in reference to his car. Moreover, Hal owned only one car. This rule applies even though the car was acquired after the date of the will. The broad doctrine that a will speaks as of the death of the testator is applicable, especially where Hal had only one car.

Generally the physical loss or destruction of the car during Hal's lifetime will result in an ademption of the legacy to Sam. Under the common law, the legatee's rights do not extend to the insurance proceeds, but are restricted to the property specifically bequeathed. The legatee would be entitled only to the car in its demolished condition or its salvage value. On the other hand, under the Uniform Probate Code, Section 2-606(a)(3), Sam would be entitled to any proceeds from casualty insurance of the car (\$15,000) unpaid at Hal's death.

Therefore, if the jurisdiction has adopted the Uniform Probate Code or other similar probate statute, Sam would receive the \$15,000 insurance proceeds; otherwise, the bequest would have adeemed.

(2) The bequest of XYZ stock to George was general, so the legacy must be satisfied from the general assets of the estate, because the decedent did not own XYZ stock at the time of his death.

The bequest of 100 shares of XYZ common stock to George was a general legacy. The legacy was one designated by quantity and may be satisfied out of the general assets of the testator without the necessity of delivering the particular stock to the legatee. A bequest of securities by quantity, such as a gift of a given number of shares of the designated corporation, is, in the absence of any further indication of the testator's intention, usually regarded as general. The cases dealing with the rights of a legatee to whom a testator had made a general bequest of stocks where no such stocks as were described in the will are owned by the testator at the time of his or her death, reveal that the courts are in almost complete accord that the legacy must be satisfied. However, the courts differ on method of satisfaction. Some require that the executor purchase the securities to satisfy the bequest. Others require that the legatee be given the cash value of the bequest. Some allow the executor to choose either of the aforesaid methods while others give the choice to the legatee. The source of funds is from the general assets of the estate that are in cash and not otherwise specifically disposed. Because there was sufficient cash in the residue of Hal's estate, his executor would be required to satisfy George's bequest by either purchasing 100 shares of XYZ common stock or paying George the cash equivalent.

(3) Where son and wife both predeceased the decedent, the anti-lapse statute providing the state had one, would protect the issue of decedent's son.

Absent a contrary intention by the testator or a controlling statute, a beneficiary's share will lapse upon his or her death during the lifetime of the testator. Both Wilma and Richard predeceased Hal, and the will does not indicate any contrary intent such as the substitution of

another beneficiary. Statutes designed to prevent, under certain circumstances at least, a strict application of the common law doctrine of lapse have been enacted in many jurisdictions. These enactments are of four main types: (1) those that extend their protection to testamentary gifts to persons in various designated degrees of relationship to the testator; (2) those that extend their protection generally, regardless of the existence of any relationship between the testator and beneficiary; (3) those, being either of the two kinds just mentioned, whose application is dependent upon the beneficiary leaving issue; and (4) those whose application is not so dependent. Under any of the anti-lapse statutes Charles would receive Richard's share. Whether Alice received a share through Wilma depends on how the statute treated stepchildren.

As discussed below, if Wilma's share lapsed, Charles's share would be increased proportionately.

(4) The share of a residuary beneficiary will be increased as a result of the lapse of the shares of other beneficiaries under the will.

Because Fred survived Hal, he will receive at least one-third of the residue of Hal's estate. How much more he will receive depends upon whether either or both of the shares of Wilma and Richard have lapsed. Under the Uniform Probate Code, only Wilma's share would have lapsed. The effect of such a lapse is covered by the Uniform Probate Code, Section 2-604, which provides that if the residue is devised to two or more persons and the share of one of the residuary beneficiaries lapses, that lapsed share passes to the other residuary beneficiaries in proportion to their interests in the residue. Under the Uniform Probate Code, Fred would receive one-half of the residue and Charles would receive the other half. The same result would occur under common law, which provides generally that the subject matter of lapsed legacies will, in the absence of a contrary intention by the testator, pass under the general residuary clauses, if the will contains one. In some states, however, the lack of words of survivorship would cause Wilma and Richard's shares to pass by intestacy.

## ANSWER TO QUESTION #14

The most probable result will be that Pam will receive \$5,000, George will receive nothing, and Ben will receive \$14,000.

The gift to Pam was a demonstrative bequest: it was a gift of a specific amount of money from a specific source. Because the fund specified is inadequate, the rules of abatement must be applied. Under the rules governing abatement, such a gift is treated as a specific devise to the extent of the value of the property on which it is charged, and a general devise to the extent of the failure or insufficiency of the specific fund. Therefore, if the source specified is inadequate, the bequest will be paid out of other estate funds. In this case, the savings account from which Pam's bequest was to be paid was obviously inadequate, so the \$5,000 bequest will be paid from the remaining estate assets: the checking account.

The gift to George was not of a specified amount, but was from a specified source. It can, therefore, be termed a specific devise. The source, however, was extinguished when William withdrew all the funds from the savings account. George's gift will be considered to have adeemed by extinction, and will fail. George may be able to claim \$10,000 if he can show that William's intent was that each of his children should receive something. If a testator's intent

would be defeated by the application of the statutory order of abatement, the court may direct that the distributee's shares abate in an order found necessary to give effect to the testator's intention. George would be able to show Williams' intention was to give each child a gift by providing evidence such as the nature of William's relationship with each child, and William's understanding of his finances and the effect of his actions regarding the closing of the savings account.

If George is not able to prove that William intended other than the results of the statutory rules of abatement, Ben will receive \$14,000. If George is successful, Ben will receive \$4,000. In either event, the gifts to Pam and George will not deplete the entire assets of the estate. The remaining amount will fall into the residue and pass to Ben.

### ANSWER TO QUESTION #15

Daughter, when she was convicted of killing Father, forfeited any interest she would have received from Father's estate. The property would devolve as if she predeceased him. A surviving heir who feloniously and intentionally killed the decedent is not entitled to any benefits under the will or under the laws of intestacy. A conviction of premeditated murder is sufficient proof that the killing was felonious and intentional.

Daughter's share, to which she would have been entitled had she not killed Father, will pass to Son as if she predeceased him. Son would receive the entire amount of the estate that passed through Father's will, the cash. But he would receive only a one-half interest in Blackacre, the vested remainder he received from his grandfather. Daughter would also receive her one-half interest in Blackacre. The slayer statute would not defeat her interest in the real property because she did not receive it from Father's estate. The anti-lapse statutes would not act to pass Daughter's share of Father's estate to her heirs, if any, because Father's will clearly provided an alternative disposition in the event of her death.

### ANSWER TO QUESTION #16

(1) Because he married Alice after the execution of her will, Oscar is considered an omitted spouse. Since he would obviously receive less under the will than under intestacy, Oscar is entitled to a share of Alice's estate under the statute permitting a forced share for an omitted spouse. In most states, he is entitled to the same share he would have received by intestacy, unless it appears from the will that the omission was intentional, Alice provided for Oscar by transfer outside the will and intended the transfer should be in lieu of a testamentary provision, or the will expressed the intention that it is to be effective notwithstanding a subsequent marriage. Such intent would be shown by statements made by Alice or by the amount of the transfer, or other evidence.

The estate upon which Oscar's share is based would depend upon the local statute. Some states would include all of Alice's property minus the costs of her last illness and the funeral. In UPC states, Oscar's share would be based on the property still held by Alice at her death, including the 1,000 shares of stock that were left to Betty, minus the amount necessary to pay Alice's debts, the cost of her last illness and her funeral, and the cost of administration of her estate.

Oscar would also be entitled to a portion of the income on the revocable trust earned by Alice before her death. However, because the principal was devised to Carrie, it is not included in the estate for purposes of determining Oscar's share.

In order to pay Oscar's share of the estate, devises made by the will will abate in the following order: intestate property, residuary property, general devises, specific devises. However, since the only property not devised to Carrie is the stock, only the stock will be available to Oscar.

(2) Had the dividend been in cash, the dividend would not have been considered part of the specific devise. However, since the dividend was in stocks, in most states Betty is entitled to the entire 1,000 shares of ABC stock.

The original bequest to Betty was a specific bequest. In most states, if the will provides for a specific devise of certain securities, rather than the equivalent value thereof, the specific devisee, in this case Betty, is entitled to any additional or other securities of the same entity owned by the testator that arise from the specifically devised securities by reason of action initiated by the entity, excluding any acquired by exercise of purchase options. A dividend is the result of action of the entity. In this case the additional shares were the result of the dividend. Therefore, the 1,000 shares belong to Betty.

(3) The method of distribution may be directed by the controlling document. A testator may determine whether the shares will devolve per stirpes or per capita. In the absence of a method specified by the testator, the shares will be distributed according to the statute governing distribution. The UPC recently adopted the per capita at each generation method. Under this method, each surviving heir takes the same share as other surviving heirs in the same degree of kinship.

In the present case Frank, Gail, Heather, Ida and Joan are all of the same degree of kinship to Alice: they are all her great-grandchildren. There are no surviving heirs of a greater degree of kinship. Therefore, they would each take a 1/5 share of the principal.

If the per stirpes method were used, the surviving great-grandchildren would divide their parent's share equally with their siblings. In that case the children of Don would take 1/2 and the children of Ellen would take 1/2: Ida and Joan would take 1/4 each, and Frank, Gail, and Heather would take 1/6 each.

## ANSWER TO QUESTION #17

### 1. Probate of the 1983 will.

Generally, if a decedent has left more than one will, the court will give effect to the last will written since it is the most recent expression of the intent of the testator. However, if the testator has effectively revoked the most recent will and has expressed the intent to revive a previously executed will, under the UPC, the revival of the previous will is allowed if the second will was revoked with the intention of reviving the first will. This is pursuant to the theory of revival of a revoked will.

In this case, Testator wrote, "VOID –May 18, 1993" in large print across the entire face of the will, and also wrote, "Revoked because I really prefer my March 2, 1983 will" on the back of the 1989 will document. Testator's act constitutes a physical revocation of the

September 10, 1989 will. A physical revocation of a will is effective when the following four elements are met: 1) testator intends the physical act to revoke the will; 2) the testator has the requisite mental capacity to revoke the will (no fraud, undue influence, insanity); 3) the physical act is apparent on the face of the will (most states recognize canceling, tearing, obliterating, and burning the will as sufficient); and 4) the three above elements occur at the same time (testator must have the intent and capacity to revoke at the time the physical act is completed).

Testator's writing on the entire face and back of the will clearly demonstrates his intention to revoke the 1989 will and revive the 1983 will, there is no evidence that he lacked capacity, and the words written in large print satisfy the physical act requirement.

Under the terms of the 1983 will and according to Testator's intent, Cory would receive \$50,000, Charity Y would receive \$10,000, and the residue of the estate would go to Andy and Billy. However, Cory has effectively renounced, or disclaimed, his rights under both of Testator's wills. Under the UPC, the renouncing beneficiary is treated as if he/she has predeceased the decedent. Since Cory is the son of Testator, the Anti-lapse statute applies.

Therefore, if the 1983 will is probated, the estate will be distributed as follows: \$50,000 to Gary (only child of Cory, the renouncing son of Testator, due to Anti-Lapse provisions); \$10,000 to Charity Y; and the residue of the estate, \$40,000, to Andy and Billy.

## **2. Probate of the 1989 will.**

If the 1989 will is probated, it will be due to the fact that the attempted revocation by physical act of the 1989 failed because one or more of the four requirements to revoke a will by physical act (discussed above) were not met. If any undue influence was exerted over Testator to revoke the 1989 will, any fraud was involved, or it is proven that Testator lacked the requisite mental capacity to revoke the 1989 will, the 1989 will shall be probated. The mental capacity required to revoke the will is the same as the mental capacity required to execute the will.

Under the terms of the 1989 will, the entire estate would go to Andy and Billy. Because he is not mentioned in the will, Cory would have the right to bring a pretermitted child claim and receive a share of the estate equal to the share he would have received had Testator died intestate (1/3 of the estate). However, Cory renounced any rights he might have under both of Testator's wills. Therefore, the estate will be distributed according to the terms of the will, in equal shares to Andy and Billy. In this case, Gary has no right to any possible share his father, Cory, would have as a pretermitted child, because only the pretermitted child (Cory) can bring a pretermitted child claim.

# **FAMILY LAW QUESTIONS**

## **QUESTION #1**

H and W were married in 1988. Since each had been married to and divorced from other partners before this marriage, they entered into an antenuptial agreement which provided, inter alia, that in the event of a dissolution of marriage neither H nor W would seek or obtain from the other alimony, attorneys' fees or any part of the estate owned by either one prior to the marriage. The marriage became intolerable to W shortly after its inception and in 1992 she sought a dissolution of her marriage. W requested relief in the nature of alimony, an assignment to her of a part of H's estate and counsel fees. H, the defendant, resisted the claim for relief via a special defense that the antenuptial agreement precluded the claim. Plaintiff W moved to strike the special defense on the ground that the antenuptial agreement was void.

What ruling on the motion? Explain.

## **QUESTION #2**

In 1980, P Smith and D Jones began living together in State A, a state where they were both residents. Although they did not go through a ceremonial marriage, they agreed to live together as husband and wife. They rented an apartment as Mr. and Mrs. Jones, placing that name on the mailbox. They opened several charge accounts at local stores as Mr. and Mrs. Jones, filed joint income tax returns which were signed "P. Jones" and "D. Jones," and introduced one another to friends and colleagues as the other's spouse.

In 1984, P and D moved to State B, and one year later P left D. Recently, P brought an action in a State B court asking for a dissolution of the marriage and for periodic alimony payments.

You are the attorney to whom D has come for advice on this action. Please evaluate P's claim and explain.

Note: Your research has uncovered the facts that State A recognizes common law marriages, but State B does not.

## **QUESTION #3**

P and D, both residents of the state of Lincoln, were married there in 1987. At the time of the marriage, P was still married to his first wife, Ann, no divorce action ever having been instituted between them. D did not know that P had ever been married previously. Shortly after their marriage ceremony, P and D moved to the state of Jefferson, where they established a permanent residence.

P and D became parents of two children during the first five years of their marriage. In 1990, shortly after the birth of their second child, D learned for the first time of P's prior marriage, and insisted that he obtain a divorce from Ann, who was still living in Lincoln, so that P and D could enter into a valid marriage.

P instituted divorce proceedings against Ann in Lincoln, and a divorce was granted on March 1, 1991. The divorce decree was interlocutory in nature, and did not become effective until 60 days had elapsed. P and D had a second marriage ceremony performed in Jefferson on March 10, 1991. D was unaware at the time of the interlocutory provision in P's divorce decree; it was her belief that no impediment existed to prevent P from entering into a valid marriage with her. P and D continued to live together in Jefferson until April, 1992, when P brought an action for an annulment. D then learned for the first time of the interlocutory provision in P's Lincoln divorce decree.

What arguments would a competent lawyer for P make in support of his action for an annulment, and how should the court dispose of them? Explain.

#### QUESTION #4

P, a 22-year-old man, has brought an action against D, a 22-year-old woman, for an annulment of their marriage, entered into four months before.

P testified that he and D had attended a party together and that after the party, at which some drinking occurred, they went on an automobile ride with several other young people. In order to "add to the excitement of the evening," as D testified, she dared P to marry her. P accepted the dare. The next morning, without either P or D having been home to sleep, the two procured a marriage license, and were married in a ceremony performed by a justice of the peace. After the ceremony, P and D each returned to their respective homes. In the four months since the ceremony, they have neither cohabited nor consummated the marriage.

P testified that he had entered into the marriage ceremony because of D's dare. D testified that she had issued the dare in jest, never expecting P to go through with it, and that when P seemed prepared to go through with the ceremony, she felt honor-bound to go through with it, too. P and D each testified that they had no intention of getting married to each other.

D did not contest the action, and told the court that she wanted the annulment to be granted. The trial court denied the annulment. What arguments would a competent lawyer for P make on appeal, and how should the court dispose of them? Discuss fully.

#### QUESTION #5

W and H, both domiciliaries of the state of Baldwin, were married there and lived together there as husband and wife. In due course a child was born, but in the meantime W had become enamored of X, also a domiciliary of Baldwin. Following an unsuccessful attempt to have H agree to a dissolution because of the irretrievable breakdown of the marriage, W took their child to the state of Revere, where she rented an apartment, fulfilled the durational residency requirement of six weeks, and then filed for divorce on the ground of



incompatibility. Her petition alleged, among other things, that she was a domiciliary of Revere and had met the durational residency requirement. H was not served in Revere, and did not appear personally nor by counsel. Custody of the child was asked, but no mention was made of child support or alimony. The plea for divorce was subsequently granted, and custody of the child awarded to W. No mention was made in the decree of child support or alimony.

X then came to Revere, and X and W were married there. With the child, they traveled for three months and then returned to his home in Baldwin. Immediately H sought custody of the child and W counterclaimed for child support and alimony. Does a court which generally has jurisdiction in custody, support, and alimony matters have authority to grant any of these requests? Explain.

### QUESTION #6

P and D were married in the state of Mason and lived there as man and wife for a period of ten years. Their marriage subsequently deteriorated, and P moved to the state of Dixon. Two months after arriving in Dixon, P sued D for divorce in a Dixon state court, alleging that P was a domiciliary of Dixon, and that D had been guilty of extreme cruelty during the course of their marriage. Notice of the divorce action was served upon D by registered mail in Mason. D engaged Dixon counsel and appeared personally in the divorce action, contesting P's allegations that P was a Dixon domiciliary, and that D had been guilty of extreme cruelty. The court entered a decree of divorce in favor of P, after finding that P was a domiciliary of Dixon, and that D had been guilty of extreme cruelty. D did not appeal the entry of the divorce decree.

Several months later, D learned that P left Dixon a week after the divorce decree was entered and moved to the state of Armstrong, where she promptly remarried. D then brought an action against P in an Armstrong court seeking a declaratory judgment that the Dixon divorce decree was invalid, that P and D were validly married to each other, and that P's subsequent remarriage in Armstrong was invalid. What arguments would the lawyer for D make in favor of the action and how should a court dispose of them?

### QUESTION #7

H and W were married in 1970. In 1991, W, wife, brought an action for dissolution of marriage based on the ground that the marriage had broken down irretrievably. At the trial the following facts emerged: The wife is forty-seven years old, has no children and had not worked outside the house since 1970. She has no employment skills. The defendant husband is also forty-seven years old, a self-employed electrical contractor, who drinks heavily and earns approximately \$25,000 annually. The major asset of the parties is a jointly-held residence worth approximately \$60,000. The court rendered judgment dissolving the marriage and awarding W \$100 per week alimony and ordered the sale of the jointly-held real estate and a division of the proceeds of the sale. From that judgment both parties appeal.

- (1) The defendant husband contends that the court erred in excluding testimony concerning the net worth of the wife's parents, which would have been evidence of the "potential inheritance of the wife."
- (2) The husband contends that the alimony award is improper in view of the fact that women currently have more employment opportunities than ever before.
- (3) The plaintiff wife contends that the court was without authority to order the sale of the jointly-held residence.

What decision on appeal on each of the numbered grounds? Explain.

### QUESTION #8

S, a prominent physician and surgeon, discovered that W, his wife, was having a love affair with P, a patient of his. W, who had worked during the early years of their marriage and put S through medical school, also worked as his receptionist. S and W had accumulated no apparent assets, but lived in a luxurious apartment and traveled extensively. Unknown to W, S had a bank account in Switzerland to which he had regularly sent funds from his practice.

S retained A, who instituted an action in divorce against W. In their consultations prior to the court hearing on property division, S told A about the Swiss bank account. Knowing the difficulty of finding the account, A, at trial, questioned S about his savings and allowed S to testify that he had no bank accounts.

W consults you concerning her rights to an equitable property division. Advise her as to what assets she might share in.

### QUESTION #9

John and Sally Jones, husband and wife, entered into an oral agreement whereby Sally promised that she would work to support John and put him through law school in return for his promise to later support her to enable her to return to school and get a master's degree after he graduated, got his law license, and obtained gainful employment. Sally dutifully performed her part of the agreement. After John graduated from law school, however, he refused to support Sally to enable her to get a master's degree, and announced that he wished to obtain a divorce. Thereupon Sally sued John seeking to enforce their agreement.

Has she a valid claim in contract or in restitution, and what is the nature of her damages, if any? Explain.

### QUESTION #10

D, an unmarried woman, had an affair three years ago with P. As a result of the affair, D became pregnant. When she told P that she was expecting a child, P suggested that she obtain an abortion. D refused and their relationship was broken off. Shortly after the child

(C) was born, however, P had a change of heart. He began to send money for C's support on an irregular basis and to stop by D's house on occasion to see the child.

D has suffered for the past year from emotional and physical problems and P feels that she is neglecting the child. P has recently married and wishes to make a settled home for C. He has come to see you, an attorney, about the advisability of bringing an action to obtain custody of C. Please evaluate P's claim and explain.

### QUESTION #11

H, a resident of State Blue, married his wife, W, a resident of State Green, in State Green in 1983. After residing there for a short time in a small apartment owned by W, they came to State Blue, where a son, S, was born in 1984. In 1989, H and W agreed to a separation and to W's return to her apartment in State Green to live. They also agreed that W would have custody of S, and that H would make monthly payments to W for the support of W and S. However, it was contemplated that W would work to supplement H's payments, which, although as high as H was willing to make, would not afford W and S the necessities of life. Both H and W were represented by competent attorneys and fully understood the agreement. In May 1990, H was awarded a divorce in an action in State Blue, in which W appeared, submitting to the jurisdiction of the court. The judgment incorporated the above custody agreement, awarding custody of S to W. The court knew neither where W and S intended to reside nor that W intended to work. By 1992, H repudiated the custody agreement and moved in the divorce action for a modification of the custody provisions of the judgment. As grounds, H alleged that W was unable to care for S properly, because they lived in W's cramped apartment and W worked during the day. W opposed the motion on the grounds that the question of custody was *res judicata*. Rule on W's opposition. Discuss fully.

### QUESTION #12

H obtained a divorce from W in 1981, on grounds of adultery. At the time of the divorce, the court awarded custody of the three children, all girls, to H. The girls were then 12, 10, and 6 years old, respectively.

In 1983, H accepted new employment which required him to travel extensively. In order to provide a more stable home for his daughters, H left them in the care of Mr. and Mrs. Turner. Mrs. Turner was the sister of H.

In 1984, H was killed accidentally while on one of his many business trips. W, who has since remarried, would like very much to have custody of her three daughters. She has heard that the oldest is not doing well in school and tends to daydream. W has also learned that her middle daughter is presenting quite a discipline problem for the Turners, who are both in their sixties. Also, the 10-year-old has expressed a preference to live with W. The Turners, however, love the three girls dearly and would like to continue providing them with a proper home.

W comes to you to seek your advice concerning her chances of regaining custody. Advise W, discussing the factors that a court will consider in its determination. Explain fully.

**QUESTION #13**

M and F, lifelong residents of Hamilton, were married in 1980. A son, C, was born in 1982. In 1988 the Court in Hamilton granted a decree of dissolution of marriage to M on the ground of irretrievable breakdown. The divorce proceeding was in full compliance with all jurisdictional and procedural requirements. Both M and F were represented by counsel. The decree of dissolution awarded the care, custody, and education of C to M, by agreement of the parties and without an adversarial hearing on the issue of custody. The court's decree provided that F was to have visitation with C at reasonable times and places. F was ordered to pay \$50.00 weekly for the maintenance of C. F saw his son on a regular basis until December of 1990 when M informed F that she was moving to Burr in order to be closer to her parents and to enjoy a milder climate. Had F known, in 1988, that M would one day remove C from the jurisdiction, he would not have agreed to the award of custody to M. However, he has no evidence to support an allegation that she had negotiated the custody settlement in bad faith or with the intention of leaving Hamilton. M and C moved to Burr without M seeking the court's permission. F then asked the court to (1) hold M in contempt of court, (2) to modify the decree by suspending his support obligation because his visitation with C was impaired or, in the alternative, (3) to award him sole custody of C. His motions were denied in all respects. Were the court's rulings on the numbered grounds for relief correct?

Discuss fully.

**QUESTION #14**

Fred, age 12, has a heart ailment that severely limits his physical activity. His parents do not allow him to engage in vigorous sports at school. His doctor predicts that Fred's condition will slowly worsen and that, if he is left untreated, his life expectancy will be reduced by 20 years. Medical experts say that a routine operation can correct his heart defect. However, they have also indicated that it is major surgery, which, with the required anesthetic, is always risky. The hospital stay will be about five days, and recovery from the operation will take six weeks. Although the medical experts believe that postponing the operation until Fred reaches adulthood will result in some permanent loss of function, they also believe that the operation involves slightly less risk if performed on an adult rather than a child.

Fred wants to have the operation performed. He feels left out and different because most of his friends are active in sports. Some kids call him "sicky." The school psychologist has indicated that Fred is withdrawn and unhappy at school and that he is at risk of failing in his school work because of his emotional state.

Fred's parents are opposed to the surgery. While they are concerned about the risks of surgery, an even more compelling reason for their opposition is that their religion does not allow such surgery. They believe that their prayers for Fred are heard and that his illness must be part of a divine plan. Fred's doctor disagrees and wishes to obtain a court order that will allow the operation.

Fred's parents require him to attend weekly religious services with them. Fred, however, has decided that he does not wish to follow their religion but instead wants to convert to the faith

of his best friend. When Fred's parents learn that Fred's best friend has been teaching Fred about his religion, they forbid him from attending any religious services other than those of their religion.

1. Can the surgery proceed with Fred's consent only? Explain.
2. Is a court likely to order the surgery over the objection of Fred's parents? Explain.
3. Do Fred's parents have the right to direct which religious services Fred will attend? Explain.



## FAMILY LAW ANSWERS

### ANSWER TO QUESTION #1

The plaintiff's motion to strike the special defense of the husband on the ground that the antenuptial agreement was void does not appear to be supported by any facts, and therefore should be denied.

Antenuptial agreements are governed by general contract principles, and are generally enforced if there has been full and fair disclosure of assets by both parties and if its terms are fair and reasonable. The agreement in this case provides that neither the husband nor wife will seek to obtain alimony, attorney's fees, or any part of the estate owned by the other prior to marriage. This agreement is not unenforceable simply because of its terms.

There are no facts to indicate that the agreement was entered into under fraud or duress. On the contrary, the facts seem to indicate that since both parties had been previously married and divorced, they were both desirous of having such an agreement. However, if W can show that H failed to fully disclose his assets, there was an unfair bargaining relationship between the parties (e.g., the agreement was drafted by H's attorney and signed by W without the benefit of counsel), some other facts amounting to fraud, or some other basis to conclude that the agreement is unfair, the court can refuse to recognize the agreement.

Aside from such a showing, the court will enforce the parties' agreement.

### ANSWER TO QUESTION #2

This question deals with common law marriage and conflict of laws. The facts state that State A recognizes common law marriage. The first consideration, therefore, is to determine whether or not P and D had a common law marriage.

In 1980, the parties began living together and had agreed to do so as husband and wife. They held themselves out to be husband and wife publicly by renting an apartment as Mr. and Mrs. Jones, and placing that name on the mailbox. They opened charge accounts at local stores, filed joint tax returns as Mr. and Mrs. Jones and introduced one another to friends and colleagues as the other's spouse.

On the basis of all of these facts, the Plaintiff and Defendant will be held to have contracted a common law marriage in State A.

After living as husband and wife in State A, the couple moved to State B, and one year later, P brought an action to dissolve the marriage and to obtain alimony payments. This action for dissolution obviously presupposes the existence of a valid marriage. Since the facts have established that a valid common law marriage was contracted by the parties in State A, the issue is whether or not the marriage will be recognized by State B.

State B, like most states, requires a marriage ceremony for a marriage to be valid. However, general principles of conflict of laws provide that a marriage that is valid according to the laws of the state where it was contracted will be given full recognition by every other jurisdiction unless specifically declared void by statute of that jurisdiction or found to be greatly offensive on grounds of public policy.

Since the facts do not indicate that this marriage would be void by the terms of any State B statute, nor offensive on public policy grounds because of its incestuous or polygamous nature, the marriage will be recognized as valid by State B. Therefore, P's action for divorce will be heard. The facts presented are insufficient to evaluate P's claim for periodic alimony payments beyond stating that she has a right to claim alimony as part of the divorce action.

### ANSWER TO QUESTION #3

This question deals with impediments to a valid marriage, specifically, a prior marriage which had not been dissolved by divorce. P and D were married in Lincoln in 1987, but P was still married to Ann at the time. Therefore, P and D's marriage was not valid.

The second marriage ceremony which was performed in Jefferson on March 10, 1991 between P and D was also invalid because the divorce decree entered by the court in Lincoln on March 1, 1991 did not become effective until 60 days later.

However, the court would likely not grant P's annulment because of D's good faith in entering into marriage with P in Jefferson on March 10, 1991. She believed that there was no impediment to prevent P from entering into a valid marriage with her, as she was unaware at the time of the interlocutory provision in P's divorce decree. Where there is good faith demonstrated by one party, and an impediment to a valid marriage exists, some courts hold that the marriage becomes valid upon the removal of the impediment. In this case, the marriage became valid after the 60 day period, on or about April 30, 1991. P continued to live with D until April, 1992, at which time he sought an annulment. The court would thus not allow P to assert the prior marriage as an impediment to a valid marriage between P and D as grounds for an annulment. The impediment had in fact been removed one year earlier, and P had continued to live with D for all of that time prior to filing his action.

In addition, a court may determine that P should be estopped from claiming that his marriage to D was invalid because he failed to inform her of the interlocutory nature of the 1991 divorce decree.

### ANSWER TO QUESTION #4

This question deals with the fact that the consent of both parties is required to enter into a valid marriage. The parties must intend to marry one another for a marriage ceremony to create a valid marriage. A marriage entered into as a result of a dare and done in jest lacks the required mutual intent.

The facts here indicate that the marriage entered into between P and D was the result of a dare made by D. P accepted the dare, and married D. After the ceremony, each of the parties



returned to their respective homes. In the four months since the ceremony, they have neither cohabited nor consummated the marriage. P subsequently testified that he had entered into the marriage ceremony because of D's dare. D felt honor-bound to go through with the ceremony. Both testified that they had no intention of getting married to each other.

All the facts indicate clearly that the parties in this case did not intend to enter into marriage. By its denial of an annulment the trial court apparently failed to apply the law to the facts. If a mutual intention is lacking, then there can be no valid marriage, and an annulment should have been granted. The judge's findings were not supported by substantial evidence. Based on these facts, the only evidence presented would have supported an annulment. There was no evidence presented which would have raised any question as to the intention of the parties. The parties never lived together after the marriage as husband and wife, each testified that they had entered into the marriage because of D's dare and each testified that they had no intention of getting married to each other. Further, D did not contest P's action and told the court that she wanted the annulment to be granted.

For the reasons set forth above, the appellate court should reverse the trial court and enter an order granting an annulment.

## ANSWER TO QUESTION #5

This question deals with the jurisdictional requirements for a court to enter a decree with respect to matters of custody, support and alimony.

The first issue raised concerns the validity of the divorce obtained from the court in Revere. In order for W's divorce to be valid, she would have to be domiciled in Revere. Although her petition alleged that she was a domiciliary of Revere, and had met the residency requirement, the facts indicate otherwise. In order to establish domicile, a person must demonstrate an intention to remain indefinitely. In this case, W married X in Revere, but then traveled for three months and returned to Baldwin. These facts make W's claim of domicile questionable, and therefore the validity of her divorce is also questionable. (Note that even if the court in Revere had jurisdiction to grant the divorce, it would not have had authority to make a money award for child support or alimony because it had no jurisdiction over the husband; he was not served in Revere, he did not consent to jurisdiction by an appearance in court, and there is no showing that Revere could assert long-arm jurisdiction over him.)

The invalidity of the divorce decree does not necessarily invalidate the custody order; a court can make an order affecting child custody whenever the parties are living apart, even without a pending divorce action. Whether the court had the power to make an order regarding custody is determined by the Uniform Child Custody Jurisdiction Act (UCCJA). Under its provisions, the physical presence of the child and one of the parties is no longer sufficient to confer jurisdiction on a particular court. Generally, jurisdiction is present if it is the child's home state, the child is present in the state, or it is in the best interest of the child because of the child's connections with the state. Revere does not appear to meet any of these standards, thus, the custody order entered there is probably invalid. Baldwin, under the facts presented, clearly would meet these jurisdictional prerequisites as it has the closest "nexus" with the child.

The court in Baldwin would have jurisdiction over the entire divorce matter of H and W because H (at least) is a domiciliary of Baldwin. The court would also be able to determine custody, support, and alimony matters because it has personal jurisdiction over both parties and jurisdiction under the UCCJA to enter a custody order. H, having not participated in the divorce hearing conducted in Revere, would have a right to have all of these issues, including the divorce itself, litigated in Baldwin.

## ANSWER TO QUESTION #6

This question deals with the issue of domicile as well as res judicata.

The lawyer for D would argue that the divorce decree which was entered by a Dixon court was invalid because P failed to establish a domicile there. The facts indicate that P sued D for divorce two months after arriving there, and that a week after the divorce decree was entered, she moved to Armstrong. In order to establish domicile, the usual rule is that a person must intend to reside there permanently. The fact that P left Dixon one week after the decree was entered may indicate that she did not have the requisite intent to establish domicile, but not necessarily. She could have intended to stay in Dixon at the time of the divorce and changed her mind immediately thereafter. Dixon would still constitute her domicile for the divorce action. Even if her change of heart was not so sudden and she had no intent to remain in Dixon, attacking the Dixon court's jurisdiction in a collateral action is not appropriate. The trial court's finding of jurisdiction should have been appealed to a higher court or D should have moved to reopen the judgment. As long as the Dixon court's holding that it had jurisdiction stands, that holding is res judicata in another action. D's argument contesting the validity of the Dixon divorce because of the failure of P to establish domicile would be unsuccessful.

The issues that D is seeking to litigate in the court in Armstrong have been fully litigated in Dixon. The facts state that D received notice of the proceedings in Dixon, so due process was satisfied. Not only did D receive notice, but he was represented by counsel and appeared personally to contest P's allegations that she was a Dixon domiciliary, and that D had been guilty of extreme cruelty. The court entered a decree in favor of P and made specific findings. D did not appeal the final judgment by the court in Dixon. For these reasons he would not be successful in his attempt to relitigate in an Armstrong court those issues which had been previously litigated and decided by a court in Dixon.

D would be unsuccessful in the Armstrong action because of the doctrine of res judicata.

## ANSWER TO QUESTION #7

This question calls for a discussion of the trial court's authority to make the determinations it did with respect to one of the parties' net worth, an award of alimony and sale of the jointly held residence.

(1) First, the husband contended that the court erred in its exclusion of testimony concerning the net worth of the wife's parents, which would have been evidence of the "potential inheritance of the wife." The court was under no obligation to take the wife's parents'

financial situation into account as a possible source of inheritance. The fact that the defendant tried to show the “potential” for inheritance in itself illustrates that the wife may never benefit from any of her parents' money. They may choose not to name her in their wills, or they may spend all of their money prior to their death. The court was correct in excluding this testimony.

(2) With respect to the husband's second contention, the court did not make an improper alimony award. While it may be true that women are now more liberated, and have many more employment opportunities, the facts indicate that his wife has little likelihood of obtaining gainful employment. The court must take the parties as it finds them, and in this case, the wife had not worked outside of the house for twenty years, and consequently has no employment skills. It would be entirely proper for the court to award the wife alimony, at least until she would be able to acquire some skills which would enable her to find employment to support herself.

(3) The court had the authority to order the sale of the jointly held residence. The court has the power to deal with all of the parties' assets. As long as one of the parties wanted the residence sold, the court was within its authority to order the sale and determine the division of the proceeds.

## ANSWER TO QUESTION #8

In most jurisdictions, the divorce laws have been reformed to permit what is generally known as equitable distribution of marital property. The courts are seeking to divide marital assets in a way that is equitable to both parties. In the instant case, S has become a successful physician and surgeon.

Principles of equitable distribution require a court to divide generally “marital” assets, that is, assets acquired by one or both spouses during the course of the marriage, in a fair and equitable fashion, with particular attention paid to the contribution of a spouse to the asset and to the marital partnership.

Assets which may be subject to distribution include S's medical degree, his medical practice, and his bank account.

Most jurisdictions would reject W's request for equitable distribution of the medical degree, holding that it is personal to S and not susceptible to valuation. However, the value of the medical practice may be subject to distribution, and W's contribution to the practice should be taken into account in making the distribution. The monies earned by S and secreted away in the Swiss bank account are subject to distribution, even though they were deposited in S's name alone.

Some states would also recognize W's right to be reimbursed for her contributions made to advance the career of her husband, to the extent that those contributions were in excess of her obligation to support him. This theory has been referred to as “equitable reimbursement” in some states and “reimbursement alimony” in others.

Whether S will be allowed to introduce evidence of W's love affair in order to reduce any award of property in her favor will vary, depending on state law. Many states will not allow evidence of marital fault to be considered in connection with equitable distribution of

property, while others may allow consideration of her marital infidelity as one of a number of factors to be considered in the sound discretion of the trial judge.

Finally, it should be noted that S's attorney acted improperly in knowingly allowing S to commit perjury with regard to the existence of the bank accounts.

## ANSWER TO QUESTION #9

This question calls primarily for a discussion of contract issues. In order to determine whether or not Sally has a valid claim against John based in contract or restitution, the facts surrounding the formation of the contract must be examined.

John and Sally entered into an oral agreement in which mutual promises were made. Sally promised to work in order to support John through law school. He promised to support her so that she could return to school to get a master's degree, after he graduated, got his license, and obtained employment. Sally performed, but John refused and sought to obtain a divorce.

The contract here would be unenforceable, precluding Sally from obtaining a court order for specific performance, because of the statute of frauds. The parties entered into an oral agreement. John's promise to support Sally required him to support her through graduate school after he graduated from law school and obtaining his license. Contracts which cannot be performed within one year must be in writing to be enforceable. The performance here could not be completed for a period of at least three years.

Sally therefore would not have a valid claim to enforce the contract. However, she might have a claim for restitution based in quantum meruit. This equitable remedy would be available to her because of the benefit she conferred upon John. Her monetary award would be based upon a quantification of the value of her services rendered for John while he was attending law school. She would be awarded the fair value of those services.

Assuming that John proceeded with his action for a divorce, Sally may also be able to obtain spousal support or alimony upon a showing of need, or compensation for her support of John during law school. The court would make an order with respect to the division of the parties' property. In most states, John's law degree would not be considered a "property interest" subject to division. However, John's law practice may be viewed as a business interest and may be valued by the court, thereby allowing for an equitable share of the value of the law practice to be awarded to Sally. In addition, the court will divide the parties' other property, primarily with regard to their respective contributions to the marriage. In this case, it appears that Sally has made a far greater contribution than John.

Thus, despite the unenforceability of the contract because of the statute of frauds, Sally might be able to successfully pursue the equitable remedies available to her and recover the fair value of the support which she supplied to John under the contract. Regardless, she may obtain spousal support and property division as part of a divorce action.

**ANSWER TO QUESTION #10**

The question calls for a consideration of the standard used by the court to make a determination on an award of custody.

First, P would have to prove that he is the father of the child. The facts do not give any indication that he is not the father, and D might verify his paternity. His actions subsequent to his “change of heart” demonstrate his intention to act as the child's father, i.e. providing support, however irregular, and visiting the child. Assuming that he would be able to prove that he is the father of the child, P would have standing to bring an action for custody.

The court's award of custody to P would be made on the basis of its determination of the best interests of the child. The facts indicate that D has suffered from emotional and physical problems for a year, and P feels that she has neglected the child. P has had a change in circumstances and has entered into a presumably stable marriage, and would like to offer the child a stable home life. On the other hand, courts are often loath to change the custody of a child unless compelling circumstances call for it, since stability in a child's life is seen as an important virtue. On balance, there is a good possibility that the court would award custody of the child to P.

**ANSWER TO QUESTION #11**

This question deals with the modification of custody provisions of a divorce judgment.

The facts indicate that husband and wife were validly married in State Green, and later moved to State Blue where their son was born. After approximately five years, the parties decided to separate and the wife returned to State Green to live. The parties agreed that the wife would have custody of their son, and that the husband would make monthly payments to the wife for the support of her and their son. Each party was represented by an attorney, and the agreement was fully understood.

The custody agreement was later incorporated into the judgment of divorce granted by the court in State Blue. Since the husband resided in State Blue and the wife appeared and voluntarily consented to jurisdiction, there is no question that the State Blue court had jurisdiction to grant a divorce and to incorporate the prior custody agreement into the decree.

The husband's subsequent motion to repudiate the custody agreement and to modify its terms could be heard by the court because the court retains jurisdiction as to all matters relating to care and custody of children, even after termination of the actual divorce proceeding. The court may at any time, therefore, make or modify any order relative to the custody, care and support of children according to its best judgment upon the facts of the case.

The wife's opposition to the motion on the grounds of *res judicata* would not succeed. Because there is no final judgment with respect to matters of custody, the principle of *res judicata* is inapplicable, and would not be a valid basis for opposition.

The court may modify a custody decree if it deems that such a modification would be in the best interests of the child or where there has been a significant change in circumstances which was not contemplated by the parties at the time custody was initially determined. The facts here do not support a modification based upon the best interests of the child. There is

no indication that because the wife worked and the child lived in an apartment, her care of the child was inadequate. The facts state that both parties knew where the wife would reside with their son, and that she would work to supplement the husband's monthly payments. The custody provisions were not unreasonable, and the circumstances of each party were fully disclosed to the other at the time that the custody decree was made. Therefore, since there has been no significant change in circumstances from the time that the custody agreement was entered into and incorporated in the divorce decree, the court would be unlikely to modify the custody provisions.

## ANSWER TO QUESTION #12

At the time of H's divorce from W he was awarded custody of his three children. Three years later, W now seeks to regain custody of her children. W's chances of regaining custody are very good, and I would encourage her to seek a court order that would award her custody.

The court's original custody order appears to be valid; it apparently made a determination of custody based upon its consideration and judgment of what was in the best interests of the children, and awarded custody to H. Later in 1983, because of new employment which required extensive travel, H made arrangements with his sister to provide a stable home for his daughters during his absence. This interim care appeared adequate. H was within his rights as a custodial parent to arrange for such care, and in fact, W never challenged the arrangement. In 1984, H was killed on one of his business trips. Despite the Turners' desire to continue to provide a home for the girls, W, who has since remarried, would like to regain custody.

In any dispute as to the custody of minor children involving a parent and a nonparent, there is a presumption that it is in the best interests of the children to be in the parent's custody. I would advise W, therefore, that the court will consider the change in circumstances since 1981 sufficient to justify a change in custody. H has died, W has remarried, and there is no evidence that she is unable to provide an adequate home for her children. Only where there is evidence that she is unfit to be the custodial parent would the court award custody to a relative instead of her. The court would consider domestic stability a valid reason for continuing the Turners' custody of the children, but would almost certainly find that this factor was outweighed by the children's interest in living with a parent.

## ANSWER TO QUESTION #13

This question deals with the ability of a spouse having custody of a minor child to move that child out of the state, and thereby outside the court's jurisdiction.

Most states require that there be a hearing and permission by the court in order to remove a child from the jurisdiction. In this case, M moved with the child to Burr without seeking the court's permission. The court could hold M in contempt for a willful failure to first obtain the permission of the court if there was a statute requiring such permission, or if court orders in the jurisdiction routinely contain such a requirement. Holding M in contempt would be a harsh penalty in this case where the facts indicate that M's move was not apparently

motivated by vindictiveness, and there doesn't appear to be a willful disregard of a court order or statute.

F would be entitled to a hearing by the court to determine whether M should be allowed to move with C to Burr as well as to determine whether F's support obligation should be modified, or custody of C awarded to F.

The court will determine whether it is appropriate for M to move to Burr with C. The facts indicate that M did not act in bad faith, but wanted to move to Burr to be closer to her parents and enjoy a warmer climate. The court could make the determination, based on these facts, that such a move would benefit the child.

It is unlikely that the court will suspend F's support obligation because his claim impaired visitation with C. A parent's support obligation is viewed as separate from his or her visitation rights. Visitation will likely be modified to allow F to spend extended periods of time with C (e.g., summers, school vacations). The support order may be modified to the extent that F's costs of travel for C to visit will be taken into account and considered as part of the support obligation.

It is also unlikely that the court will award sole custody to F based upon M's move. There is no evidence of vindictiveness on the part of M in making the move. There is also no evidence indicating that M acted in bad faith at the time that she negotiated the custody agreement with F. Since the circumstances of the parties were disclosed, custody was awarded by mutual agreement, and the award was based upon that agreement and presumably a determination by the court of the best interests of the child, the original custody award would not be changed.

## ANSWER TO QUESTION #14

### 1. The surgery cannot proceed with only Fred's consent.

The age of majority in most states is 18 years old. Fred is only 12 years old. Therefore, he is not able to legally consent to the surgery. Either the consent of his parents or a court order is required before the surgery can be performed. Under the First Amendment of the U.S. Constitution, parents have a fundamental right to make decisions concerning the care, custody, and control of their children. This fundamental right includes the right of parents of a minor child to make decisions concerning the medical care of the child.

### 2. It is likely that a court will order the surgery over the objection of Fred's parents.

Although parents have a constitutionally protected fundamental right to make decisions concerning the medical care of their child, health and safety concerns are often an adequate justification for state action. In this case, the state's interest in the well being of children is strong enough to override the right of Fred's parents to make medical care decisions for Fred. A state may require certain medical procedures even though a parent has refused consent if the health or life of the child may be endangered. In this case, if Fred does not have the surgery, his condition will worsen and his life expectancy will be reduced by 20 years if he is left untreated. The medical experts agree that a routine surgery can cure the heart defect. Although there are some risks involved (as is always the case with major surgery requiring anesthesia), it seems as though the risks are

outweighed by the benefit Fred will gain from having the surgery now as opposed to his waiting until he is an adult and will suffer some permanent loss of function due to the wait. The health and safety concerns in this case are adequate to justify a court order for the surgery despite the religious convictions of Fred's parents.

**3. Fred's parents have the right to direct which religious services Fred will attend.**

Since Fred is a minor, his parents are entitled to make decisions concerning his upbringing. This includes their right to determine the religion Fred is exposed to and to make decisions concerning which type of religious services Fred is to attend. This right is a fundamental due process right of parenthood protected by the First Amendment to the U.S. Constitution.



# **FEDERAL PROCEDURE & JURISDICTION QUESTIONS**

## **QUESTION #1**

Packer, a State Red corporation with its principal place of business in State White and doing business in all fifty states, entered into a contract in State White with Doctor, a radiologist and State White domiciliary, to ship Doctor's household goods and very expensive clinical office equipment and furniture across the country to State Blue for a contract price of \$55,000. Doctor then moved to State Blue, became a domiciliary of that state, and refused to pay for Packer's services upon delivery. Packer sued Doctor in a federal district court in State White for breach of contract, seeking damages in the amount of \$55,000, and served in-hand process on Doctor in State Blue as authorized by the laws of State White.

Doctor moved to dismiss the action on the alternative grounds that the court lacked personal and subject-matter jurisdiction. The court denied the motion.

(1) Did the court err in denying the motion to dismiss for lack of subject-matter jurisdiction? Explain.

(2) Did the court err in denying the motion to dismiss for lack of personal jurisdiction? Explain.

## **QUESTION #2**

Pace, the owner of an office building, had been experiencing some financial reverses. DixCo, an insurance company, insured the building. The insurance policy provided replacement coverage on the building and its contents for fire losses. The policy also provided that DixCo had no liability if the insured intentionally caused the loss. The building was destroyed by fire. Pace filed a claim for \$500,000 with DixCo. In the course of an investigation conducted shortly after the fire, Pace cooperated fully with DixCo's investigator and the county fire marshal. DixCo's investigator and the fire marshal concluded that the fire was intentionally set.

DixCo refused to pay Pace's claim. Pace sued DixCo in federal court to collect the proceeds under his policy, and also claimed bad faith in DixCo's refusal to pay. DixCo answered, asserting as a defense the policy's exculpatory provision for intentional damage.

During the discovery stage, DixCo objected to Pace's request for production of its investigator's report, claiming the information was privileged. Pace moved to compel production. The court denied Pace's motion. Thereafter, DixCo sent a set of interrogatories to Pace, asking for the names of all experts consulted or retained regarding the cause of the fire. Pace objected that this information was not subject to discovery and DixCo moved to compel discovery. The court granted DixCo's motion.

- (1) Did the court err in denying Pace's motion to compel production of the investigator's report? Explain.
- (2) Did the court err in granting DixCo's motion to compel disclosure of names of all experts consulted or retained? Explain.

### QUESTION #3

Penn filed a civil action for damages against Foundation and several named individual defendants. The complaint alleged that the defendants published a letter containing certain false and defamatory statements about the plaintiff.

After discovery had been completed, Dill, one of the named individual defendants, filed a motion for summary judgment. His motion was supported by his affidavit, in which he set forth the following facts, based upon his personal knowledge: that his only connection with Foundation was that he had allowed his name to be listed as an "honorary trustee" to assist in soliciting contributions; that the letter specified in Penn's complaint had been written, signed, and mailed by the president of Foundation; and that Dill had nothing to do with the letter and had no knowledge of the letter or its contents until Penn's complaint was served upon him.

In response to Dill's motion, Penn filed an opposing affidavit stating, "on information and belief, that defendant Dill participated in the publication of the said letter, as alleged in plaintiff's complaint."

- (1) What is the legal standard for granting motions for summary judgment? Explain.
- (2) Should the court grant or deny Dill's motion? Explain.

### QUESTION #4

Owen sued Sign Co., claiming that the defendant's negligence caused fire damage to Owen's building on October 1. At the trial, the following (and only the following) was shown by evidence during Owen's case in chief: Sign Co. installed and maintained an electric sign on the roof of Owen's building; Sign Co. employees had worked on the electric sign during the daytime on September 30, and some of the employees had been observed smoking on the job; when Sign Co.'s employees quit work at the end of the day on September 30, they left behind on the roof near the sign a five-gallon can filled with a flammable cleaning solvent; on October 1, just after midnight and after a thunder and lightning storm, a fire was observed on the roof of Owen's building; some flammable material had been stored in Owen's building; and the fire caused \$50,000 damage to Owen's building.

The Sign Co. lawyer moved for judgment as a matter of law at the close of Owen's case in chief.

How should the court rule on the Sign Co. motion? Explain.

**QUESTION #5**

Johnson was interested in a vacant lot on Riverview Drive as a site for building his residence. He and Byre, a friend who happened to be with him, met with Realtor, a real estate agent with whom Seller had listed the lot for sale. Realtor said to Johnson, "You wouldn't want that lot for a residence. I happen to know that a plan locating a major highway crossing adjacent to that lot was approved by the Highway Commission yesterday."

Byre, who had heard Realtor's statement, then told Realtor, "If that lot will be on the highway, it has great commercial promise. I'll buy it." Realtor referred Byre to Seller, who sold the lot to Byre for \$40,000.

Soon after Byre acquired the lot, he learned that the crossing point for the new highway was, in fact, about one mile north of his lot. Byre sold the lot for \$30,000, which was the best price he could get, and filed a civil action against Realtor.

In a pretrial deposition, Realtor testified that his statement to Johnson regarding the crossing point for the new highway was based solely on an oral report he had received from Abel, a friend who had attended the meeting of the Highway Commission when the plan for the new highway was approved.

Following the deposition, Byre served on Realtor a request for production of every document containing or reporting any statement by Abel regarding his conversation with Realtor. Abel had recently died. Realtor objected to producing the only document, a memorandum his lawyer had made in preparation for trial after interviewing Abel. The court sustained the objection and refused to compel production of the memorandum.

(1) Did the court err in sustaining Realtor's objection to production of the memorandum? Explain.

At the trial, Byre presented evidence (including Realtor's deposition) which, viewed in the light most favorable to Byre, would be sufficient to establish the facts given above. At the close of Byre's evidence, Realtor moved for judgment as a matter of law on the ground that these facts were legally insufficient to support a valid cause of action.

(2) In response to Realtor's motion for judgment as a matter of law, what legal theories or claims should Byre urge as being supportable on the given facts? How should the court rule upon the motion? Explain.

**QUESTION #6**

Patricia filed an action alleging negligence against Ernie, an employee of Speedy Messenger Service, in a state court of general jurisdiction seeking only to recover \$3,500 in property damage resulting from an automobile accident that occurred in the course and scope of Ernie's employment. Ernie filed an answer denying his negligence. The jury returned a verdict for Ernie, finding no negligence. The court entered judgment in favor of Ernie.

Patricia subsequently brought an action against Speedy in the same state court seeking damages in the amount of \$25,000 for personal injuries arising out of the same accident. The complaint alleged that Ernie was negligent and that Speedy was liable under the doctrine of

respondeat superior. Speedy answered and denied the allegations of the complaint, pleading as an affirmative defense the earlier judgment in favor of Ernie, and filed a motion for summary judgment. With this motion, Speedy filed an affidavit stating the facts of the earlier case, and attached a certified copy of the pleadings and findings.

How should the court rule on Speedy's motion? Explain.

### QUESTION #7

Claimant properly invoked the diversity jurisdiction of the federal district court to bring suit to recover damages for the death of Claimant's spouse, wife. Claimant alleged that Wife died as a result of exposure to asbestos at BrakeCo, and employer that regularly used asbestos in its brakelining operation. The complaint sought damages from all major asbestos manufacturers, including Fiberco, and demanded a jury trial. Controlling law in all relevant jurisdictions would preclude recovery from Fiberco absent specific proof by the plaintiff of exposure to Fiberco asbestos products.

At the final pretrial conference, Fiberco argued that Claimant had failed to produce any evidence through discovery that would tend to establish that Wife had ever been exposed to Fiberco's product. Although the district court refused to grant summary judgment on this issue of exposure, the judge's final pretrial order did schedule the exposure issue as the first issue for trial to the jury (rather than permitting Claimant to put on the case in the order he would prefer). In compliance with the pretrial order, Claimant opened the trial with testimony from a former BrakeCo manager who testified that he often saw Fiberco asbestos packages in the storeroom. The manager admitted on cross-examination, however, that the first time he ever saw Fiberco products in the storeroom was after Wife had ceased working at BrakeCo, even though he was in the storeroom at least once a week throughout the period that Wife worked At BarkeCo.

At the conclusion of this testimony, Claimant's counsel indicated that Claimant had no other evidence to offer on the issue. Fiberco thereupon moved for judgment as a matter of law. The court granted the motion and dismissed the action as to Fiberco.

1. Did the district court have the power to require Claimant to present evidence on the exposure issue before proceeding with any other portion of Claimant's case? Explain.
2. Did the court err procedurally in granting the motion for judgment as a matter of law before the close of evidence? Explain.
3. Did the court err substantively in granting the motion for judgment as a matter of law? Explain.

# **FEDERAL PROCEDURE & JURISDICTION ANSWERS**

## **ANSWER TO QUESTION #1**

(1) The Court acted properly in denying Doctor's motion to dismiss for lack of subject matter jurisdiction. The Federal District Court has subject matter jurisdiction over the action as founded on diversity jurisdiction (i.e., the suit is between citizens of different states and the matter in controversy exceeds the sum of \$50,000). For purposes of diversity jurisdiction, Parker is deemed a citizen of its state of incorporation (i.e., State Red) and the state in which it has its principal place of business (i.e., State White).

Diversity is determined as of the date the action is commenced and need not have existed when the action arose. Therefore, diversity exists between the parties since Doctor was a domiciliary of State Blue at the time the suit was brought.

(2) The Court also ruled correctly in denying Doctor's motion to dismiss for lack of personal jurisdiction. The State White Court has personal jurisdiction over the out-of-state defendant as based on the state's long-arm statute and/or the constitutional minimum contacts doctrine since the cause of action arose from Doctor's activities within the state (i.e., the transacting of business and contracting within State White).

Most long-arm statutes provide that if the defendant transacts any business within the state or negotiates and executes a contract in the state (as here applicable between Parker and Doctor), and the claim arises therefrom, the defendant is amenable to jurisdiction.

Furthermore, service of process was appropriately made upon Doctor since he was served in-hand in State Blue as authorized by the laws of State White. In federal courts, service may be made outside the state if authorized by a federal statute or by a statute of the state in which the court is sitting.

## **ANSWER TO QUESTION #2**

(1) The rules of discovery provide in general that the parties may obtain discovery regarding any matter not privileged which is relevant to the subject matter involved in the pending action. Information is deemed relevant, and thus discoverable, if it appears reasonably calculated to lead to the discovery of admissible evidence. It is immaterial that the information sought may subsequently be held inadmissible at trial (i.e., information concerning a liability insurance agreement is subject to discovery, although not admissible.). Even if a party already knows the facts sought in discovery, his opponent may not object since a party is allowed to discover the position of his opponent on the controverted issues.

On the facts provided, the Court erred in denying Pace's motion to compel production of the investigator's report. The relationship between DixCo and its investigator does not give rise to matters deemed privileged under the traditional rules of evidence.

Furthermore, the investigator's report is not entitled to the qualified immunity protection from discovery afforded certain materials prepared for litigation. Under the "work-product" immunity, a party may obtain discovery of documents and tangible things otherwise discoverable and prepared in anticipation of litigation upon a showing that he has substantial need of the materials in the preparation of his case and that he is unable without undue hardship to obtain the substantial equivalent of the materials by other means.

The work-product immunity now extends to persons other than the attorneys who are representing a party (e.g., investigators, agents, insurers, or consultants). However, the document must have been prepared "in anticipation of litigation"; documents prepared in the regular course of business are not within the work-product immunity. Therefore, on the argument that the investigator's report was prepared in the regular course of DixCo's insurance business, and not specifically in anticipation of trial, the report was properly subject to Pace's request for production of documents.

Additionally, Pace is entitled to the report on the basis that he has substantial need for such information and that he is unable to obtain the substantial equivalent without undue hardship. Pace may establish "undue hardship" by arguing that he has limited financial resources and the cost of otherwise obtaining the information would be burdensome. Pace may also argue that he is unable to obtain a "substantial equivalent" of the report in that the investigator, as an employee of DixCo, would be hostile toward the plaintiff should Pace seek to depose the investigator.

(2) The Court acted properly in granting DixCo's motion to compel disclosure of the names of all the experts consulted or retained by Pace. DixCo may through interrogatories discover the identity of each expert witness, whether or not Pace expects to call such expert witness at trial.

If the expert is one which Pace intends to call at trial, DixCo may also seek the substance of the facts and opinions to which the expert is expected to testify and a summary of the grounds for each opinion. However, if an expert has been retained by Pace in anticipation of litigation and is not expected to testify at trial, facts known or opinions held by the expert are discoverable only upon a showing of exceptional circumstances under which it is impracticable for DixCo to obtain facts or opinions on the same subject by other means. DixCo may meet this exception, for example, upon a showing that no other expert in the field is available.

### ANSWER TO QUESTION #3

(1) Summary judgment will only be granted where there is no genuine issue as to any material fact. If there are material facts in dispute, they must be resolved by a trial. On a motion for summary judgment, the court cannot make any determinations as to the weight or credibility of the evidence; rather, it can only decide whether there are issues to be tried.

If there is a controversy as to only some of the material facts, the court may grant partial summary judgment and enter an order that the uncontroverted facts will be deemed established at the trial. Further, if a separate claim has been fully determined, partial summary judgment may be entered on that claim, leaving the other claims to be tried.

The burden is on the moving party to show that there is no genuine issue of fact. If the moving party meets his burden, the burden shifts to the opposing party to establish that a genuine issue exists. If he fails to do so, summary judgment will be granted.

(2) The Court should grant Dill's motion for summary judgment for Penn's failure to adequately oppose the motion. To support or oppose a motion for summary judgment, the parties submit affidavits which: must set forth facts admissible in evidence, must be made on personal knowledge, and must show affirmatively that the affiant is competent to testify on these matters.

In order to defeat Dill's motion, Penn should have introduced affidavits or other proof to show that there was a genuine issue for trial. The opposing party cannot rely merely upon his pleadings, as Penn here so relied. Penn's opposition was further flawed in that his opposing affidavit was based on "information and belief," and not on personal knowledge as required under the rule.

#### ANSWER TO QUESTION #4

The Court should deny Sign Co.'s motion for judgment as a matter of law (known as a motion for a directed verdict under prior law). A trial judge may only properly enter a judgment as a matter of law when a party establishes that there is no evidence upon which the other party can prevail on a given issue or claim. Fundamentally, the moving party must show that there is no basis upon which a jury could find a material fact, and therefore that issue should be decided as a matter of law. A party may move for judgment as a matter of law anytime after the opposing party has been fully heard with respect to the issue or claim, but before the case has been submitted to the jury.

In order to prevail, Sign Co. would have to submit a motion sufficiently stating the law and facts which entitle it to a judgment as a matter of law. The Court must then consider the evidence in the light most favorable to Owen, with all legitimate inference drawn in his favor. The Court must deny Sign Co.'s motion if reasonable men might differ as to the result.

On the facts as provided, Sign Co. failed to establish that there was no basis upon which a jury could find a material fact in favor of Owen. Evidence at trial was sufficient to raise issues of triable fact and support the possibility that Owen might prevail on his claim, thereby requiring that the Court deny Sign Co.'s motion for judgment as a matter of law.

#### ANSWER TO QUESTION #5

(1) The statement of a nonparty witness that was taken by a party's lawyer in preparation for trial is not protected from discovery by the attorney-client privilege.

However, the court may have determined that the memorandum was protected from discovery because it was a lawyer's "work product" or trial preparation material. While the lawyer's memorandum in the instant case qualifies as "work product" or trial preparation material, the rule permits discovery "upon showing that the party seeking discovery has

substantial need of the materials in the preparation of the party's case and that the party is unable . . . to obtain the substantial equivalent of the materials by other means.”

One can make an intelligent assumption from the facts that there is something in the disputed memorandum that is relevant to the key issue; whatever statement Abel made is needed to test the accuracy or veracity of the defendant's testimony on the key issue. Clearly, the statement is not otherwise available to the plaintiff because of Abel's death. In such circumstances, the court should have ordered the defendant to produce the memorandum for inspection. The rule also provides protection against discovery of a lawyer's mental impressions, conclusions, opinions, or legal theories, but there is no indication that such matters were involved in this memorandum, and, if so, these items could be redacted.

The above analysis assumes that Abel's statement is relevant and/or likely to lead to relevant evidence. If there is no showing that Abel's statement is relevant, or no showing of substantial need (because the evidence could be obtained from anyone else who attended the Highway Commission meeting) then one could conclude that the court did not err. That is to say, the Court may have gone through the entire analysis outlined above and simply concluded that the test had not been met.

(2) The standard for ruling on a motion for judgment as a matter of law is whether, viewing all of the evidence most favorably to the nonmoving party and construing all inferences in favor of the nonmoving party, a reasonable person could find that the facts support a claim. (Note that a motion for judgment as a matter of law was known as a motion for a directed verdict under prior law.)

The given facts may be sufficient to support a verdict for Byre based on the tort of deceit (fraud or intentional misrepresentation). The necessary elements include (1) a false statement of fact by defendant, (2) “scienter” or an alternative malice-based standard of liability, (3) intent to induce plaintiff's reliance, (4) reasonable reliance, and (5) resulting damage. Elements (1), (4) and (5) are supported by evidence sufficient to make a jury issue on a motion for judgment as a matter of law. Elements (2) and (3) raise issues that require further inquiry.

Deceit has traditionally required proof of “scienter,” defined in terms of knowing or reckless falsehood. There is no overt evidence of a knowing or reckless falsehood in this case, and the defendant's deposition testimony (that his statement was based upon Abel's report) tends to show that the defendant believed his statement was true. Thus, the facts do not immediately lend themselves to a conclusion that there was a knowing or reckless falsehood on Realtor's part. However, there may be alternative bases of liability.

In the absence of evidence that the defendant knew his statement was false, the plaintiff may maintain an action for deceit (intentional misrepresentation) by showing that the defendant made the representation “as of his own knowledge” when he did not have personal knowledge of the facts, or by showing that the misrepresentation was negligently made (negligent misrepresentation).

The requirement of intended reliance in deceit may be satisfied, even though the misrepresentation was not originally addressed to the plaintiff, if the plaintiff was induced to act under circumstances that the defendant should recognize as resulting from reliance upon his statement.



A jury could find that Byre justifiably relied upon Realtor's statement based upon the fact of Realtor's position as a real estate agent with superior knowledge. Byre is not required, as a matter of law, to make his own investigation of the facts.

The Court should deny Realtor's motion on the foundation that there is arguably adequate evidence upon which a jury could find in favor of Byre. Since there is a possible basis upon which Byre could prevail and outstanding issues of material fact, the case cannot be decided as a matter of law. If reasonable men might differ as to the result, a motion for judgment as a matter of law must be denied.

## ANSWER TO QUESTION #6

Speedy's motion should be granted. The issue is: when may one not a party to an earlier action use collateral estoppel defensively?

Defensive use of collateral estoppel occurs when a defendant seeks to prevent a plaintiff from relitigating an issue the plaintiff has previously litigated unsuccessfully in another action against the same or different party. Parties and persons in privity with a party are bound by collateral estoppel (and *res judicata*).

While Patricia's claim against Speedy is separate and distinct from her claim against Ernie, some may engage in a discussion of claim-splitting under the doctrine of *res judicata* (also called claim preclusion). This is not a situation involving claim-splitting; rather, the question presented is whether collateral estoppel (also called issue preclusion) requires the court in the second action to accept a finding made in the first action.

*Res judicata* prevents a litigant from reasserting a claim that has already been decided on the merits. Collateral estoppel, on the other hand, prevents a party from relitigating an issue actually litigated and necessarily determined in a prior suit.

Although the second action involves the doctrine of *respondeat superior*, the issue of Ernie's negligence, adjudicated in the first action, is still present and necessary for resolution in the second action. Also, because Patricia is the same person who litigated this issue in the first action, defensive use of issue preclusion by Speedy, although Speedy was not a party to the first action, is appropriate in the second action.

Collateral estoppel may be used defensively by one who was not a party to the first action, against one who was a party in the prior suit if that party had an opportunity to litigate the issue previously. Nothing in the facts presented here suggests that Patricia did not have a full and fair opportunity to litigate this issue in the previous action.

At common law, collateral estoppel, like *res judicata*, required that the parties to the second action be the same as or in privity with the parties to the first action. Thus, the doctrine of mutuality prevented a person from using a judgment to bar the litigation of an issue in a subsequent suit if the estoppel was not mutual, i.e., because the second action involved different parties and, therefore, the previous determination was not binding on the nonparty. Under the modern view, however, mutuality of estoppel has been repudiated. Most courts have adopted the approach permitting the rule of issue preclusion either offensively or defensively if the circumstances make it equitable to do so.

Speedy uses a summary judgment motion to raise the issue of preclusion. Summary judgment is proper when no genuine dispute exists as to any material fact, and the moving party is entitled to judgment as a matter of law. However, this Rule 56 discussion is not a requirement for a satisfactory answer to this question.

## ANSWER TO QUESTION #7

1. **The district court had the power to require Claimant to present evidence on the exposure issue before proceeding with any other portion of Claimant's case.** Pursuant to Rule 16(b), during a pretrial conference, the court may, in its discretion, enter a schedule for remaining pretrial activities as well as enter a schedule that addresses the order of evidence to be presented at trial and any other matters appropriate in the circumstances of the case. Because the issue of Wife's exposure to asbestos manufactured by Fiberco was the basis for a motion for summary judgment at the final pretrial conference, it is well within the court's discretion to direct Claimant to present evidence concerning that issue early in the trial because that issue could, on the evidence, be the basis for a judgment as a matter of law under Rule 50(a).
1. **The court did not err procedurally in granting the motion for judgment as a matter of law before the close of evidence.** A party may move for judgment as a matter of law with respect to an issue or claim at anytime after the opposing party has been fully heard with respect to that issue or claim, but before the case has been submitted to the jury. Rule 50(a). The motion for judgment as a matter of law may be made at any time during the trial but should not be allowed by the court until it is clear to the court that the opposing party cannot produce any substantial evidence upon which a jury could find for the opponent as to that issue. Fiberco moved for judgment as a matter of law after Claimant put a former BrakeCo manager on the stand testifying as to his knowledge of the presence of Fiberco asbestos packages in the BrakeCo storeroom. At the end of this testimony, Claimant's counsel indicated that Claimant had no other evidence to offer on the issue. With the close of Claimant's evidence concerning Wife's possible exposure to asbestos manufactured by Fiberco while working at BrakeCo, Fiberco was entitled to move for judgment as a matter of law because Claimant had been fully heard with respect to that issue at that time.
3. **The court did not err substantively in granting the motion for judgment as a matter of law.** When considering whether to grant a motion for judgment as a matter of law, the court must consider the evidence in the light most favorable to the nonmoving opponent party. All legitimate inferences must be drawn in the favor of the opponent. The controlling law precludes recovery from Fiberco unless plaintiff is able to produce specific proof of Wife's exposure to Fiberco asbestos products. The only evidence Claimant produced was the testimony of a former BrakeCo manager who testified that he often saw FiberCo asbestos packages in the BrakeCo storeroom and then on cross-examination, admitted that the first time he did see FiberCo products in the storeroom was after Wife had stopped working at BrakeCo (despite the fact that he was in the storeroom at least once a week during the time Wife worked at BrakeCo). Therefore, the direct testimony of this witness was effectively impeached on cross-examination, and Claimant has offered no other proof of Wife's exposure to asbestos manufactured by

FiberCo. Taking the evidence on this issue in the light most favorable to Claimant, the court properly concluded that there was no genuine issue as to whether Wife had been exposed to FiberCo asbestos and that judgment as a matter of law should be granted to FiberCo.



# SALES QUESTIONS

2/15/2012

## QUESTION #1

Plaintiff (P), while browsing in defendant's (D's) antique shop, noticed a glass dish on display with a price tag of \$50. Plaintiff was an expert in glassware and recognized the dish as being a rare piece of excellently fashioned glassware that was worth at least ten times the value shown on the price tag. He took it to the cash register and handed it to D, who started to wrap it up. P then said, "I'm certainly delighted to find this fine piece of Ming glass, and at such a bargain rate!" When D heard this, she looked closely at the dish and said, "I'm sorry, there has been a mistake. This piece of glass was not intended to be on sale at this price." D refused P's tender of \$50, and P brought suit for damages. D defended by denying existence of the contract, and alternatively by denying its enforceability. What result, and why?

## QUESTION #2

On December 1, 1982, Parker Distributing Co. sent Ice, Inc., a small ice manufacturer, a purchase order to purchase "such ice as it may require." Terms with reference to price, quality, method of delivery and method of payment were all set forth in the order. Thereafter, Ice, Inc. sent Parker a confirmatory memorandum accepting the order in all respects. While the purchase order form did not contain any provision with reference to duration or cancellation, the confirmatory memorandum submitted by Ice contained the following clause: "The term of the contract shall be three years unless cancelled by mutual agreement of both parties." Both the purchase order and the confirmatory memorandum were signed.

For one year, Ice, Inc. sold roughly 25 tons of ice per month to Parker. On December 20, 1983, Parker, having decided to expand its operations, ordered three hundred tons of ice from Ice, Inc., for January. Ice, Inc. could not supply this amount, and so notified Parker. Parker then declared itself free to buy all its needs from other suppliers.

Ice, Inc., although it cannot fill the new order, desires to continue to make sales to Parker and comes to you for advice.

## QUESTION #3

In January 1986, the Yeastful Brewing Co. entered into a written contract with Beer Bust Distributors giving Beer Bust the exclusive local right to purchase all of its requirements of beer from Yeastful, effectively making Beer Bust the exclusive distributor of Yeastful beer in that community. The contract set forth all essential details as to performance, but contained no indication of the contemplated duration of the requirements contract. Nor was there any discussion of the duration term during negotiations. Apparently, duration was simply left open-ended.

Beer Bust thereupon spent many thousands of dollars repainting its delivery trucks, designing new promotional materials, advertising the affiliation and otherwise preparing for a long and profitable association with Yeastful.

In June, Beer Bust received notification that “effective immediately,” Yeastful was terminating the sales contract. No reason was given for the action; Beer Bust later found out that a state-wide distributor had demanded that it be given rights to the Beer Bust territory.

Assuming that Article 2 of the UCC governs this issue (and that there are no other relevant statutory provisions with which to address the question), discuss whether Beer Bust has any possible breach of contract claim against Yeastful arising out of the termination.

#### QUESTION #4

On October 15, 1983, Seller Corp. and Buyer Inc. entered into a signed agreement whereby Seller agreed to deliver four small electric generators, one per month beginning on January 1, 1984. The specified price was \$12,000 per generator, with payment due 10 days after delivery. Included in the agreement was an express warranty that the generators would produce a certain level of voltage. The printed form portion of the agreement further provided that its provisions could not be modified except by a writing signed by both parties.

On December 18, a representative of Seller called the Buyer's vice-president (who had done the original negotiations for his employer) to say that their first generator had been tested and was only producing 90% of the required voltage, and inquired whether that would be acceptable. The vice-president checked with his manufacturing staff, and called back to say “don't worry - we can live with the lower voltage.”

On December 29, Seller delivered the first of the generators. Buyer accepted delivery without objection. So, too, with the second delivery on January 30. On February 17, however, Buyer wrote to Seller stating that the performance of the generators was “defective” insofar as they were not achieving the level of voltage required by the October 15 agreement. In the course of the ensuing phone conversations, Buyer's vice-president said that his words must have been misconstrued, and pointed to the no oral modification clause.

(1) Can Buyer sue Seller for breach of warranty for the two generators already delivered and accepted? Explain.

(2) Can Buyer demand that the two future deliveries conform to the October 15 specifications? Explain.

#### QUESTION #5

Seller (S) agreed to furnish Buyer (B) with all the concrete B should desire for purposes of constructing a certain building. The contract provided that B could cancel. S adhered to the contract until one of the unions working on the job went on strike. As soon as the union began picketing the construction site, S refused to make further deliveries. In response to B's request that S continue performance, S replied that he had contracted to deliver concrete and

not to become involved in a labor fight. B then bought concrete elsewhere, and he consults you regarding any claim he may have against S. How would you advise him? Discuss fully.

### QUESTION #6

On May 2, 1986, Alpha Supply Co. and Beta Brands, Inc. entered into a written contract pursuant to which Beta agreed to deliver 500 electrical switching devices to Alpha at a fixed price on or before August 15, 1986. On June 15, Alpha learned from some reliable third parties that Beta was in financial difficulty, had laid off numerous workers, and had defaulted on a number of contracts with other buyers. The next day, an Alpha representative wrote to Beta asking whether it intended to fulfill the contract, and requesting some "affirmative indication" that Beta had the capacity at this point to perform as promised. It is now July 22, and Alpha has not heard from Beta. Alpha's purchasing manager comes to you for advice on what to do at this point, stating that she would like to make immediate alternative arrangements for the purchase of substitute devices. What is your response?

### QUESTION #7

Plaintiff picked up a carton of soda water in a self-service grocery store. His eye was attracted to a brightly lettered legend at the bottom of the carton which read: "SELLER ASSUMES NO LIABILITY FOR ANY DEFECT IN THIS PRODUCT." As he was reading the legend, the bottle suddenly exploded and a shard of glass hit him in the eye, destroying his eyesight. The manager of the store rushed up to plaintiff and said, "Don't worry, we'll take care of everything!"

Discuss plaintiff's possible claims against the store for breach of warranty.

### QUESTION #8

Will Varner, a building contractor, read the following advertisement in the *Calhoun County Gazette*:

"For Sale

A 1971 D4 Dogapillar Tractor. 12,000 hours of use. Excellent condition. Only \$5,000. Call Flem Snopes at 555-9806."

Varner telephoned Snopes and arranged a meeting the following week at a used equipment yard/equipment garage owned by Snopes. Varner inspected and operated the tractor. Varner observed that the tractor was not equipped with a blade (the front blade often seen on track-type tractors). He is willing to testify that he (Varner) told Snopes: "I can't afford to buy this tractor if I've got to buy a blade too," and that Snopes responded: "It don't come with no blade, but listen, you're a good man and I'd like to trade with you. So I'll throw in the blade you see on that old D4 out at the other end of the yard, but you can't pick the blade up for two weeks cause I need it."

Varner then said, "OK. You've got a deal." Varner then drafted the following document which both parties signed:

b1.3,6.1,1.9,04

Legal Contract

Flem Snopes hereby sells to Will Varner a 1971 D4 Dogapillar tractor. Manufacturer's registration number 81-2150967. Guaranteed to have no more than 12,000 hours of use. Payment to be made and the tractor to be picked up at 4:00 p.m. today. Price \$5,000 cash.

/s/ Flem Snopes

/s/ Will Varner

Varner then left. He began to have second thoughts about his purchase. He then telephoned Snopes and stated: "Flem, you know, I've reviewed my finances." Before he could complete the sentence, Snopes stated: "I know; you think you can't afford the tractor, but you can. I'll give you 90 days free maintenance." Varner responded OK, and took possession of the tractor later that afternoon after paying Snopes the agreed upon sum of \$5,000.

The next week the tractor developed a problem with the track-drive and Varner had it transported to Snopes' garage for repair. The tractor was repaired that week and Varner was presented with a \$659 repair bill. Varner protested, citing Snopes' promise of 90 days free maintenance. Snopes denied having made any such representation and suggested that Varner look at the "contract." Needing the tractor to complete a job, Varner reluctantly paid the \$659 bill. A week later (two weeks after purchasing the tractor) Varner sent a truck to Snopes' garage to pick up the blade. Snopes had sold the other D4 tractor with its blade and denied any promise to give Varner a blade.

Varner telephoned the local Dogapillar Tractor dealer, Sartoris Tractor Company, and inquired about used blade that would fit his model. The dealer said they did not have any such used blades, but would gladly sell him a new one. Needing a blade for a job on which he was working, Varner agreed to purchase the new blade at a cost of \$1,000.

Varner has since contacted you with this problem. What are his rights?

## QUESTION #9

Sally Weaver, a vegetable farmer, contracted in writing on May 1, a week after planting her crop, to sell 1,000 bushels of carrots to ABC Food Processing, Inc. ("ABC") at \$10 per bushel. Delivery and payment was to take place on August 1. (The market price for carrots at the time of contracting was \$10 per bushel.) As a result of severe flooding Ms. Weaver lost her entire crop, as did many other farmers in the surrounding area. The decrease in supply occasioned by flooding and inclement weather has caused the price of carrots to increase to \$40 per bushel. (Ms. Weaver has harvested carrots for the past seven years. Each year her harvest has provided at least 2,000 bushels.)

On July 1, Ms. Weaver received a letter from ABC which read in part: "Pursuant to our written contract, we look forward to taking 1,000 bushels of carrots on August 1. We will tender our check in the amount of \$10,000 (1,000 bushels at \$10 per bushel) to you at that



time.” Upon receipt of the letter, Ms. Weaver telephoned Mr. Calvin, president of ABC and the author of the letter. She recalls having told him that she was unable to perform, having lost her crop, to which Calvin replied that Weaver could purchase carrots on the open market to satisfy her obligation. Weaver responded that the contract required her to sell only carrots grown on her land. Calvin then remarked that he had a copy of the contract in front of him and there was nothing within the document reciting that the carrots were limited to those grown on Weaver's land, to which Weaver responded that she specifically recalled a conversation with Mr. Fields (Calvin's predecessor), sometime during the day in which the contract was signed, wherein she stated: “If a disaster occurs and my crop fails, I'm not obligated to sell anything.” She recalls him replying: “No. You're only obligated to sell carrots grown on your land.”

ABC has threatened to file suit if Ms. Weaver does not either provide the requisite carrots at the contract price or otherwise make ABC whole. Ms. Weaver has contacted you. Analyze ABC's case and your client's prospects.

## QUESTION #10

On January 15, Rancher agreed orally with Broker, a leather merchant, to supply Broker with 500 cattle hides each month, for a period of ten months, beginning March 1. The stated price was \$10 per hide.

In typing the written agreement, which was signed by Rancher and Broker on January 20, Rancher's secretary mistakenly typed the agreed price as “\$13 per hide” rather than “\$10 per hide.” Broker failed to notice the discrepancy.

On February 1, Rancher notified Broker as follows: “I do not intend to deliver any hides because I do not believe our earlier discussions constitute a contract. Moreover, I have just contracted to sell my entire output to Ted at \$15 per hide.” Rancher thereafter tendered no hides to Broker.

Despite diligent efforts, Broker was unable to buy hides from a new supplier until May 1. The price charged by the new supplier was \$14 per hide.

Because of the two-month delay in obtaining a new source of supply, Broker was delayed in delivering hides to Manufacturer, a leather goods producer with whom Broker had a contract that contained a valid liquidated damages clause providing for damages of \$100 per day for delay in delivery of hides.

At the time Rancher and Broker entered into their agreement, Rancher knew that Broker was a supplier to leather goods producers. However, he did not know specifically, nor did he have reason to know, that Broker had a contract with Manufacturer or that Broker might incur liability for liquidated damages to a third party.

On October 1 (before the expiration of the ten-month period), Broker sued Rancher for breach of contract, praying for the following damages:

Count 1: \$20,000, being the difference between the price paid by Broker (\$14) and the originally agreed price (\$10) for 5,000 hides;

Count 2: \$6,000, being the amount Broker had to pay Manufacturer in liquidated damages;

Count 3: punitive damages, in an amount yet to be determined, alleging that Rancher's breach was in bad faith.

In his answer to the complaint, Rancher denies liability for damages, and asserts the defense that if he should be found liable under Count 1, his liability would be limited to \$5,000, being the difference between the price paid by Broker (\$14) and the price stated in the written confirmation (\$13).

What should be the result on each count, and what amount of damages, if any, should be awarded? Explain.

### QUESTION #11

On March 1, Ajax Machine & Tool Co. entered into a written agreement with Beta Business Co. whereby Ajax promised to deliver an automated packaging machine to Beta for use in its plant. The agreement provided that "[i]n the event that the machine shall fail to conform to any warranties, express or implied, contained herein, Seller's obligations shall be limited to repairing the machine and/or replacing any defective parts. No further remedies are afforded Buyer under this contract."

The machine was delivered, in a timely fashion on May 15. However, Beta soon discovered that the machine contained a defective generator, causing it to perform in a manner significantly less efficient than promised (though it still worked most of the time). Ajax acknowledged the problem, and sent people over to fix it. They were unsuccessful on that visit, as well as in three subsequent attempts at repair. On July 15, Ajax informed Beta that the machine would have to be shipped back to Ajax's factory for consideration of further repair efforts.

Beta wishes to cancel the contract immediately and have its money returned. Can it do so? Explain why or why not in detail.

### QUESTION #12

On January 24, 1980, Acme Distributors, Inc., and Baker Liquor & Wine Co. entered into an agreement which reads in part as follows:

"ACME DISTRIBUTORS, INC. hereby sells and agrees to hold in its storage for purchaser BAKER LIQUOR & WINE CO. (hereinafter "Purchaser"), and Purchaser hereby buys the merchandise described below, which shall be shipped to Purchaser at its warehouse on February 28, 1980, unless ordered out sooner -

| Quantity                  | Description                  | Price Per Bottle    | Total |
|---------------------------|------------------------------|---------------------|-------|
| 10 cases<br>(120 bottles) | Ian Macneil<br>Scotch Whisky | \$5 Red, \$10 Black |       |

Red or Black Label

“Selection of grade to be in hands of ACME DISTRIBUTORS, INC. at least one week prior to shipment.”

Approximately three weeks after making the above agreement, Baker Liquor & Wine Co. repudiated by telephoning Acme Distributors, Inc. and informing them that it, Baker Liquor & Wine Co., was cancelling the order.

Seller Acme Distributors, Inc. has filed suit for breach of contract. Following trial before the court sitting without a jury, Baker Liquor & Wine Co. has moved to dismiss, arguing that the contract fails for indefiniteness. The parties have stipulated that the seller either has resold, or can resell, the goods in question at the contract price, and that the contract price and the market price at the time and place for tender were (and are) the same. Prepare a memorandum (1) evaluating defendant purchaser's motion, and (2) assessing damages or otherwise providing relief, in the event the court denies defendant's motion and finds for plaintiff.

### QUESTION #13

Your client, Sebastian, owns and operates Central Metropolitan Mowers, Inc. (hereinafter, “CMMI”), which sells and services lawnmowers and related equipment. Late last winter, he purchased some fifty “riding lawnmowers” from Vaca Corp., a lawnmower manufacturer. Last June 6, Emanuel signed a contract to purchase a Vacamower (Model No. AL123) for the suggested retail price of \$2,700 from CMMI. (In general, Vaca dealers do not discount the manufacturer's suggested retail price). Emanuel asked that the machine be delivered to his home three days later, which CMMI agreed to do. The next day Emanuel decided that he would rather have a lawn maintenance service do his yard, and called CMMI to cancel his order. During Emanuel's conversation with Sebastian, the latter reminded him that he (Emanuel) had signed a purchase contract. Moreover, in accordance with CMMI company policy, Sebastian told Emanuel that CMMI would “hold him to the deal.” Emanuel responded: “I'm sure you can sell the mower to someone else.” Emanuel refused to take delivery when CMMI attempted to deliver the mower.

Two days later CMMI sold the machine which had been destined for Emanuel to Christoph, for \$2,700. Christoph paid for the mower. (It is to be noted that the contract does not require subsequent modifications to be in writing). After signing the sales contract, but before leaving CMMI's showroom, Christoph asked Sebastian whether the mower was capable of mowing the grass in his lower backyard where the terrain had a 35 degree incline. Sebastian said that would pose “no problem.” The contract provided that CMMI would deliver the mower within three days. CMMI was able, however, to make delivery on the date of purchase. On taking delivery, Christoph later that afternoon found that the mower would not mow his lower backyard because of the 35 degree incline.

The next day Christoph complained that he wanted to return the mower and demanded the return of his money. In an effort to placate the customer, Sebastian that day offered to replace the mower at no additional cost to Christoph with a Vacamower Model No. AL528

which would clearly be able to negotiate the hill. Christoph was adamant in demanding to return the tractor and the return of his money.

Christoph, through his counsel, Anne W. Wilcken, has demanded that CMVI take back the mower and return his money. In response to Ms. Wilcken's demand, Sebastian has contacted you. In the course of your conversation with Sebastian he mentions the Emanuel episode. Your client has indicated that there were two Vacamower Models No. AL123 on the lot at the close of the sales season.

What are the rights and liabilities of the following parties:

- (a) CMMI and Emanuel?
- (b) CMMI and Christoph?

### QUESTION #14

S offered to sell his used boat to his neighbor, B, for \$4,000. B accepted the offer and paid S \$1,000 in cash as a deposit. S and B agreed that B shall pay S the \$3,000 balance of the price thirty days after paying the deposit and that S shall transfer the boat to B immediately after full payment of the price.

At the end of the thirty-day period, B refused to pay the balance of the price because he decided that he does not wish to purchase the boat. B told S that he changed his mind and that "the deal is off". After repeated demands to B for payment, S finally resold the boat to C, another neighbor, for \$4,000. S incurred no additional expenses in connection with the resale.

When B learned that S resold the boat to C, B demanded the return of the \$1,000 deposit. When S refused, B commenced a lawsuit against S by serving a complaint which alleged the formation of the contract of sale and all of the above facts, and which requested judgment in the sum of \$1,000. S's answer admitted all of the facts alleged in the complaint, but alleged that B is not entitled to recover the deposit because B breached a valid contract of sale. Upon B's motion, the court granted summary judgment in favor of B for the sum of \$1,000. The Court based its decision on the following conclusions of law: (1) the contract of sale between S and B is unenforceable because it is oral and violates the statute of frauds and, therefore, B is not in breach of a valid contract and is entitled to the deposit to prevent S's unjust enrichment, and (2) even if B breached a valid contract, B is entitled to the entire \$1,000 deposit because S suffered no damages.

Are the court's conclusions of law correct? Why?

### QUESTION #15

Andrews Corp. received an order on March 1, 1985, from Bingo Inc. to manufacture an elaborate, specifically designed electronic game to be the centerpiece of Bingo's new hotel-casino lobby. The contract price was set at \$150,000. Delivery was required by October 31, 1985.

On May 4, Bingo announced that it was ceasing work on the hotel and unequivocally cancelled the Andrews order. Andrews' vice president for manufacturing seeks your advice on how to proceed. The game is now partially built; the company has sunk \$60,000 in labor and supplies into the project. He estimates that it would cost \$50,000 more to complete the job.

Assuming that Bingo's actions constitute an anticipatory breach, advise the vice president as to his options at this point, and describe (you need not calculate) how damages would be determined.

## QUESTION #16

Your client, John Seller, owns and operates Central Metropolitan Supply, Inc. (hereinafter "CMSI") which sells freshwater fish to private persons, corporations and state government subdivisions for stocking rivers, lakes and streams. Late last winter, Seller harvested a crop of rainbow trout fingerlings. On June 1, Buyer One signed a contract to purchase the entire crop to stock a private lake that he maintains on his farm. The contract reflected a mutually agreed upon purchase price of \$5,000 F.O.B. Seller's place of business. At the time the contract was signed, the market price of the fish, as reflected in the weekly trade journal and in other contracts negotiated by similar sellers, was \$5,000. The contract provided that the fish would be delivered to Buyer One's farm on June 5. Three days later (June 4) the market price of the fish declined to \$3,000 as a result of unanticipated supply from new entrants in the fish business.

Learning of the price decline, Buyer One contacted Seller and demanded that the price term be re-negotiated to reflect the declining market. Seller reminded Buyer One that he had signed a contract; in accordance with company policy, Seller told Buyer One CMSI would "hold him to the deal." Seller further stated: "If the price had gone up I'll bet you wouldn't be asking for a higher price." Buyer One then stated that he was rescinding the order, and refused to take delivery when CMSI attempted to deliver the fish.

On June 5, Buyer One refused to take delivery. Seller was able, notwithstanding the price decline, to sell the fish to Buyer Two for \$5,000 F.O.B. Buyer Two's lake. Buyer Two paid for the fish. (The cost of making delivery to Buyer Two was the same as making delivery to Buyer One.)

The contract with Buyer Two provided that the fish would be delivered to an independent carrier with tank trucks capable of hauling the fish for delivery to Buyer Two. In route to the destination, lightning hit one segment of the truck tank killing some 10% of the fish. Buyer Two took delivery but has demanded a 10% reduction in the purchase price which CMSI has refused.

What are the rights and liabilities of: (a) CMSI; (b) Buyer One; and (c) Buyer Two?

**QUESTION #17**

About two weeks after Owen purchased a lawn mower from Merchant, he returned the mower to Merchant for some minor adjustments pursuant to recall notices given by the manufacturer. After the adjustments were made, Merchant inadvertently placed the mower among the lawn mowers for sale at Merchant's store. Shortly thereafter, Buyer purchased Owen's mower for cash and took it with him. The mower had never been used by Owen and was the last on of its kind within the same price range.

Assume the Uniform Commercial Code has been adopted by the jurisdiction in which all of the above events occurred.

As between Owen and Buyer, who is entitled to the mower?

## SALES ANSWERS

### ANSWER TO QUESTION #1

D will prevail because the display of the antique dish was not an offer, and no contract was formed when P presented the dish to D at the cash register.

The transaction falls within the scope of Article 2 of the U.C.C. because the dish has a value of at least \$500. Whether an enforceable sales contract was formed under the U.C.C. turns on whether an offer made by D was accepted by P. Generally, a display does not constitute an offer. The question is whether P could reasonably believe that D's display of the antique dish manifested D's intention to sell the dish for \$50. The facts indicate D had made a mistake on the price tag, and P was aware of that mistake before taking the dish to the cash register. Therefore, P had notice that D did not intend to sell the glassware for \$50, and P's presentation of the dish at the cash register did not constitute acceptance of an offer and formation of a contract. Instead, P made an offer to D to buy the Ming glass at a bargain rate, and D refused the offer. Therefore, no contract was formed, and P cannot recover anything from D.

Even if a court found a contract was formed, D could successfully raise the defense of unilateral mistake. D made a mistake as to a basic assumption on which the contract was made, that is, the value of the dish. P was aware of the gross difference between the value of the antique and the marked price, and therefore the court will not enforce the contract against D.

### ANSWER TO QUESTION #2

This problem presents several different issues including the possibility of an acceptance varying from the offer and requirements contract obligations.

Acceptance Varying Offer: The confirmatory memorandum obviously contains an additional term, i.e., the duration/cancellation provision. Under the common law, many courts would hold the "acceptance" ineffective since it is not the "mirror image" of the offer. However, §2-207(1) provides that:

"A definite and seasonable expression of acceptance or a written confirmation which is sent within a reasonable time operates as an acceptance even though it states terms additional to or different from those offered or agreed upon, unless acceptance is expressly made conditional on assent to the additional or different terms."

Clearly, a contract has been formed. What then is the effect of the additional term? Section 2-207(2) provides:

“The additional terms are to be construed as proposals for additions to the contract. Between merchants such terms become part of the contract unless:

- (a) the offer expressly limits acceptance to the terms of the offer;
- (b) they materially alter it; or
- (c) notification of objection to them has already been given or is given within a reasonable time after notice of them is received.”

Since the offer is not expressly limited and no objection was received, the term becomes part of the contract unless it constitutes a material alteration. (Note that this assumes that both parties are “merchants,” as that term is defined in the Code.) Moreover, since the goods have been shipped, accepted, and paid for for one year, there is no question that a contract has been formed despite the additional term.

Does the duration/cancellation term constitute a material alteration? In the absence of this provision, the Code would provide a “gap filler.” Subsections 2 and 3 of §2-309 state:

“(2)Where the contract provides for successive performances but is indefinite in duration it is valid for a reasonable time but unless otherwise agreed may be terminated at any time by either party.

(3) Termination of a contract by one party except on the happening of an agreed event requires that reasonable notification be received by the other party and an agreement dispensing with notification is invalid if its operation would be unconscionable.”

Under those subsections the term of the contract would be a reasonable time, and the termination rights of the parties would require reasonable notice. Given this provision, it is doubtful that the additional term would be characterized as a material alteration. Again a court would probably find the additional term part of the contract.

Cancellation of the Requirements Contract: Section 2-306(1) provides:

“A term which measures the quantity by the output of the seller or the requirements of the buyer means such actual output or requirements as may occur in good faith, except that no quantity unreasonably disproportionate to any stated estimate or in the absence of a stated estimate to any normal or otherwise comparable prior output or requirements may be tendered or demanded.”

According to the Code, good faith, in the case of a merchant, means honesty in fact and the observance of reasonable commercial standards of fair dealing in the trade.



In this instance, the buyer ordered 300 tons for January 1984 rather than the 25 reflected in the historical experience. While §2-306 expressly permits variations from prior requirements, the increased order must meet the test of commercial reasonableness. Normal expansion undertaken in good faith is allowed under the provisions. However, a court would probably find that an order increased by 12 times that of the previous month is unreasonable.

### ANSWER TO QUESTION #3

Under the UCC, contracts that are indefinite in duration are valid for a reasonable time, but unless otherwise agreed may be terminated at any time by either party. Given that there is not an express or implied duration term in the contract, Yeastful presumably had the right to terminate.

An important limitation on the right to terminate, however, is the duty of good faith. Most courts do not place a burden of justifying a termination on the terminating party. Rather, the duty is satisfied if the terminating party has given “reasonable notice” to the other party. The courts have construed this requirement as giving the terminated party the right to advance notification sufficient to allow it to find an alternative source of supply or otherwise “wind down” its affairs. (Exactly how long a reasonable notice period is to be is a question of fact.) In our case, no advance notice was given. The Beer Bust would be able to recover if it could show any losses flowing from a lack of due notice.

### ANSWER TO QUESTION #4

Assuming that the court accepts Seller's version of the December 18 conversation, the question of whether there has been a valid modification is governed by UCC §2-209. Section 2-209(1) states that a contract modification needs no consideration to be binding; hence, there is no “preexisting duty rule” problem here. Note also that introduction of oral testimony here would not violate the parol evidence rule of §2-202; that rule applies only to prior or contemporaneous oral agreements, not subsequent ones.

Seller's problem lies in §2-209(2): “a signed agreement which excludes modification or rescission except by a signed writing cannot be otherwise rescinded.” Thus, the contract has not validly been modified. However, §2-209(4) states that “although an attempt at modification or rescission does not satisfy the requirements of subsection (2) or (3) it can operate as a waiver.” Here, Buyer's actions reasonably led Seller to believe that delivery of nonconforming goods would be acceptable; presumably Seller could at least have tried to improve the performance had it thought Buyer would insist on adherence. Thus, an estoppel waiver is, in all likelihood, present. In answer to part (1) of the question, then, buyer could not sue for breach of warranty for the previously delivered goods.

With respect to part (2), the answer depends on §2-209(5):

“A party who has made a waiver affecting an executory portion of the contract may retract the waiver by reasonable notification received by the other party that strict performance will be required of any term waived.

unless the retraction would be unjust in view of material change of position in reliance on the waiver.”

Here, it is doubtful that Seller would be unfairly prejudiced by retraction with respect to future deliveries; it has roughly the same amount of time to cure (if it can) the defect for the March delivery that it would have had for the January one had there been no December 18 waiver. Additional facts, e.g., loss of key personnel on the assumption that all development work had been done, could change the result somewhat in Seller's favor. But reinstatement of the condition is probably acceptable.

### ANSWER TO QUESTION #5

B may sue S for damages only if the contract is enforceable and S cannot successfully argue the defense of impracticability.

The contract is a requirements contract within Article 2 of the U.C.C. It can be argued that the contract is unenforceable because B gave no consideration for S's promise to supply B with all the concrete B might require. Under the contract, B could cancel at will, and therefore his promise to buy his requirements from S was illusory. However, the court may imply an additional term, i.e., that B will not cancel without adequate notice to S or B will act in good faith. Such a term would constitute consideration by B and render the contract enforceable.

Even if the contract is enforceable, S may still raise the defense of impracticability based on the union strike. Under §2-615 of the U.C.C., a seller is excused from performance if performance has been made impracticable by an event subsequent to the formation of the contract. The court may find the strike excuses S's obligation to deliver, depending on the facts. For example, if B's employees are the strikers (it is not clear from the facts whose employees are striking), then S could successfully assert the defense of impracticability on the ground that the strikers pose a threat to S's employees and property.

### ANSWER TO QUESTION #6

The Uniform Commercial Code establishes an obligation on each party to a sales contract that the other's expectation of receiving due performance will not be impaired. When reasonable grounds for insecurity arise with respect to performance, a party may demand adequate assurance of due performance. Failure by the other to provide such assurance within a reasonable time (not to exceed thirty days) constitutes a repudiation. And upon repudiation, the other party is entitled to cancel the contract and pursue immediately all appropriate remedies. Here, it seems clear that Alpha had reasonable grounds for insecurity, and did seek assurances from Beta. Beta's failure to respond would thus constitute an anticipatory repudiation, freeing Alpha from its further obligations and enabling it to seek the devices from other vendors without losing the right to seek damages from Beta for any difference between the contract price and the cover price. The only cautionary note is that

Alpha should be sure that Beta in fact received the demand; perhaps a phone call to Beta prior to cancellation (albeit being careful not to waive any right to cancel) would be wise.

The right to an unimpaired expectation in a sales contract is established in UCC §2-609. Absent the procedure established in this section, Alpha would probably have to await an actual breach (failure to deliver by August 15) before taking remedial action, since Beta has not affirmatively repudiated the contract. Under the Code, however, there is a mechanism available through which the insecure party can cause an anticipatory repudiation. Here, there seems little question that Alpha has reasonable grounds for its insecurity. Its request for assurances was reasonable, not an attempt at overreaching. Thus, assuming that Beta in fact received the demand, its failure to respond in a reasonable time, not to exceed thirty days, constitutes an anticipatory repudiation. Thereupon, Alpha has under §2-610(b) a right immediately to resort to any remedy for breach, including seeking the difference between the contract price and the price at which substitute goods were obtained.

### ANSWER TO QUESTION #7

Plaintiff could recover against the store for breach of warranty of merchantability only if a sale of goods actually occurred.

Warranties arise where there is a sale of goods. The threshold question is whether the store's display of soda water constituted an offer which the plaintiff accepted by picking up a carton. Generally, a display is not an offer, and no contract was formed when the plaintiff picked up the carton. Therefore, there was no sale of goods and no warranties arose.

If the plaintiff could prove a contract was formed, he would have a cause of action for breach of warranty of merchantability because the bottle which injured him was not fit for ordinary use, and the disclaimer on the carton did not effectively disclaim the warranty. §§2-314, 2-316. A disclaimer of the warranty of merchantability must use the word "merchantability," and a disclaimer of all implied warranties must use words such as "as is" or "with all faults." The store would be liable for all damages suffered by the plaintiff, including consequential damages (i.e., damages for personal injury).

The store manager's statement that the store would "take care of everything" is irrelevant to the issue of breach of warranty, but would be relevant in a negligence action.

### ANSWER TO QUESTION #8

This problem presents several different issues. These include the parol evidence rule, modification of a contract absent additional consideration, breach of warranties, and measure of damages.

#### The Parol Evidence Rule

The first major issue involves the promise to provide a dozer blade without additional charge. Since the written instrument does not reflect that a blade was a part of the transaction, one must consider whether the Parol Evidence Rule would bar a court's consideration of the alleged promise by Snopes to furnish one.

The applicable parol evidence rule is set forth in §2-202 of the Code. It provides that “evidence of any prior agreement” may not be “explained or supplemented” by additional terms if the instrument is a “complete and exclusive ... agreement.” The facts indicate that the alleged promise by Snopes was made prior to the drafting and execution of the instrument. Accordingly, the question becomes whether that alleged promise may be introduced as an additional term. The resolution of that question depends upon whether the writing is a complete and exclusive statement of the terms of the agreement, i.e., a fully integrated instrument.

The Code's test provides that evidence of additional terms is admissible unless a court concludes that the parties “would certainly” have included the term within the writing.

Although reasonable persons might differ, it would most likely be held that a promise to provide an accessory to the tractor would not “certainly” have been included in the written instrument. Since it cannot be said with certainty that the parties would have included this term within the instrument, the better answer is that the parol evidence could be considered by the trier of fact.

#### Contract Modification Without Additional Consideration

The question is whether the promise by Snopes to provide 90 days free maintenance is a part of the parties' contract. This presents several sub-issues which must be examined. First, it must be noted that the parol evidence rule has no application with reference to statements made after the execution of the instrument. Accordingly, the rule does not pose a problem here.

Second, the provision of free maintenance service might not be characterized as a “transaction in goods,” and, therefore, not be governed by the Uniform Commercial Code. Rather obviously the simple sale of services, e.g., a maintenance contract, would not be governed by the Code. This transaction is not a simple sale of services; the services component is a part of a larger transaction involving the sale of goods. Would the Code then govern this aspect of the case? Unfortunately, there is no clear answer to this question. When confronted with mixed sale of goods and services cases, courts have generally opted for one of two options. First, many, if not most, courts look to determine the “principal” character of the transaction. If it can be characterized as in the main a sale of goods, then these courts apply the Code to the entire transaction. Second, some courts segregate the transaction into goods and services components, and then apply the Code only to the “transaction in goods” part.

If the first approach were applied in this case, a court would likely find the transaction principally one involving the sale of goods. In that event the Code would apply. If the second approach were employed, a court would probably not apply the Code to this aspect of the case. Since the Code approach to post-sale contract modification differs from that of the common law, this determination is quite important.

Section 2-209(1) of the Code provides that “[a]n agreement modifying a contract within this article needs no consideration to be binding.” The test for such modification is that it be made in good faith. A court applying the Code would probably hold that the promise to provide free maintenance needs no consideration to be binding and may be properly characterized as a subsequent modification to the original contract.

Under the common law, modification of a contract must be supported by separate consideration under the so-called “preexisting duty rule.” Rather obviously, no additional consideration was paid by Varner to Snopes. Accordingly, the subsequently made promise of free maintenance would not be part of the contract. It should be noted that many courts today have applied the Code's approach, i.e., no additional consideration needed, to non-Code cases. Such a court might find no additional consideration needed in order to support Snopes' promise of free maintenance.

### Breach of Warranties

The failure of the track-drive one week following the purchase of the tractor presents issues of breach of warranties. Consideration of an express warranty and the implied warranty of merchantability is necessary.

The advertisement in the *Calhoun County Gazette* represented that the tractor was in excellent condition. That representation would probably not be an express warranty. First, it is simply part of an advertisement and is not reflected within the written instrument itself. Second, such nebulous statements as to quality have been regarded by many, if not most, courts as “puffery” not properly part of the contract itself. Indeed, §2-3 3(2) specifically states that “[a]n affirmation merely of the value of the goods or a statement purporting to be merely the seller's opinion or commendation of the goods does not create a warranty.”

The more interesting issue is whether there has been a breach of the implied warranty of merchantability. Section 2-314 provides that “[a] warranty that the goods shall be merchantable is implied in a contract for their sale if the seller is a merchant with respect to goods of that kind.” The Code further defines “merchantable” to include “fit[ness] for the ordinary purpose for which such goods are used.” Obviously, there is an open question as to what Varner did with the tractor. Assuming that the problem developed in the context of an ordinary and customary use, a court would probably find breach of the implied warranty of merchantability under these facts.

### Measure of Damages

If a court were to find that the provision of a blade was part of the transaction, Varner would be entitled to damages under the Code. §2-712 provides:

- (1) After a breach ... the buyer may “cover” by making in good faith and without unreasonable delay any reasonable purchase of ... goods in substitution for those due from the seller.
- (2) The buyer may recover from the seller as damages the difference between the cost of cover and the contract price.

Since Varner was covered, §2-712 is his exclusive remedy. Although §2-713 provides injured buyers an alternative measure of damages, i.e., the difference between the market price and the contract price, it is “completely alternative to cover ... and applies when and to the extent the buyer has not covered.”

Snopes promises to provide Varner the blade from a used machine. Presumably the blade was also used. The facts indicate that Varner has purchased a new blade. Under these

circumstances may Varner recover the cost of a new blade? As stated earlier, the Code requires only that cover be made in good faith. The test of proper cover is “whether at the time and place the buyer acted in good faith and in a reasonable manner.” This question cannot be answered with certainty because the facts do not state whether other used equipment could be expected to be quickly available within the vicinity. The facts simply indicate that Varner made one inquiry in his effort to cover. Unless subsequently developed facts demonstrated that he was under immense time pressures or that Sartoris Tractor Company was the only vendor within the area that could be expected to carry a blade, a court might find his purchase of a new blade improper under the circumstances.

If the court were to find the provision of free maintenance service to be part of the contract, Varner would clearly be entitled to the refund of his \$659 repair bill.

## ANSWER TO QUESTION #9

The problem poses several issues under Article II of the Uniform Commercial Code. A suggested mode of analysis and grading is set forth below.

### Preliminary Issue - Application of Article II

The term “goods” is specifically defined within §2-105 to include “growing crops.” Accordingly, the Code would be held to apply to this transaction.

### The Parol Evidence Rule

Under the facts Ms. Weaver is willing to testify that the parties understood that the carrots subject to the contract were limited to those harvested from her property. Since no carrots were actually harvested, this understanding - if part of the contract - would insulate her from liability. Therefore, it is important to determine whether the contract contained this limitation.

The parol evidence rule is set forth in §2-202 of the Code. Consistent with the common law, it applies only to “evidence of any prior agreement or of a contemporaneous oral agreement” (emphasis added). Thus, it is crucial to determine whether the alleged oral understanding was reached prior to or contemporaneous with the signing of the instrument.

The parol evidence rule might bar admission of the oral understanding if it was reached prior to or contemporaneously with the signing of the written instrument. Under the Code, terms contained within the writing “may not be contradicted ... but may be explained or supplemented ... by evidence of consistent additional terms unless ... the writing (is) ... a complete and exclusive ... agreement.” §2-202. Since the alleged oral understanding does not contradict the writing, the question becomes whether it may be introduced as an additional term. The resolution of that question depends upon whether the writing is “a complete and exclusive statement of the terms of the agreement,” i.e., a fully integrated instrument.

The statutory language provides little guidance in determining whether a writing is fully integrated. However, the Code test in this regard provides that evidence of additional terms is admissible unless the court concludes that the parties “would certainly” have included the terms within the writing.

Therefore, it is likely that the evidence would be deemed admissible, but note that some courts under similar fact situations have held otherwise.

Even if the instrument is fully integrated, there are exceptions to the parol evidence rule. First, if the parties mistakenly believed that the writing contained the provision in question, i.e., the requirement that the carrots be grown on Ms. Weaver's farm, then the evidence is admissible. Of course, this presents an important fact question of whether there was actually mutual mistake as to this point. Second, the parol evidence rule has no application when the bargain is illegal, or induced by fraud or duress. Third, the rule does not bar evidence which seeks to establish a condition to the contract. Under the facts of this case, however, it would not appear that any of these exceptions is applicable. If Ms. Weaver believed both parties thought such a provision was contained in the contract, mutual mistake would probably be worth pursuing.

#### Subsequent Oral Modification

Since the parol evidence rule has no application with reference to statements made after the writing, the question becomes whether the alleged oral understanding might constitute a modification of the written instrument. This would, of course, depend upon whether the statements were made after the execution of the written instrument.

Under the common law, modifications to a contract must be supported by separate consideration under the so-called "preexisting duty rule." Section 2-209(1) provides, however, that "(a)n agreement modifying a contract within this article needs no consideration to be binding." Comment Two to that section states that the test for such modifications is that they be made in good faith. More specifically, since the parties are "merchants" as defined by the Code, the test is whether there has been observance of "reasonable commercial standards of fair dealing in the trade." This should pose no problem under the facts of this case. Therefore, if the oral understanding was reached after the execution of the written instrument, it would become part of the contract even in the absence of separate consideration.

#### Impossibility of Performance

Ms. Weaver might seek to argue that the doctrine of impossibility of performance provides her a defense. Rather obviously, it is not actually impossible for the seller to sell carrots to ABC since Ms. Weaver could procure substitute goods on the market and thereby fulfill her contractual obligations. Under the Code, however, the test is not actual impossibility but impracticability. Section 2-615 provides that "nondelivery ... is not a breach ... if performance ... has been made impracticable by the occurrence of a contingency the nonoccurrence of which was a basic assumption on which the contract was made."

Although there is not complete uniformity within the case law, courts have generally excused farmers from such sales contracts where it has appeared that both the parties contemplated that the crops would be grown on the particular farmer's farm. Conversely, where there was an expectation that the farmer might turn to the marketplace in order to satisfy the farmer's sale obligations the doctrine provides no defense. Obviously, a court would need to explore the intent of the parties in this regard. In the absence of specific evidence, one might inquire whether Ms. Weaver had historically contracted to sell more than would be generally produced and looked to the market to provide a sales inventory. Under the facts of this case

as given, the better presumption is that this farmer, as most farmers, contemplated the sale of specific crops. Accordingly, a court might excuse Ms. Weaver from performance.

### Damages

If a court were to find the foregoing arguments of Ms. Weaver inapplicable, a finding for the plaintiff would likely result. This compels some examination of damages. Section 2-711 sets forth the buyer's remedies in general. The buyer would most likely proceed under §2-712 or under §2-713. Section 2-712 permits the buyer to "cover" by purchasing substitute goods. Specifically, "(t)he buyer may recover from the seller ... the difference between the cost of cover and the contract price." The principal qualification to this right is that the buyer must proceed in good faith. Alternatively, the buyer may sue for the difference between the market price at the time when the buyer learned of the breach and the contract price under §2-713(1). The remedy under this section is an alternative to cover and available only to the extent that the buyer has not availed itself of that option. (This election problem would generally arise only when the aggrieved buyer has covered at a price less than the market price and thereafter seeks a more favorable measure of damages.) Accordingly, if a court were to find that the seller had breached, the buyer would have the option of covering or securing the market-contract price differential.

## **ANSWER TO QUESTION #10**

Rancher's January 15 oral agreement with Broker, in itself, would have been unenforceable under the Article 2 Statute of Frauds. U.C.C. §2-201 provides that, generally, a contract for the sale of goods for the price of \$500 or more is not enforceable unless there is a written memorandum of the transaction signed by the party to be charged. Under the Code, the writing need not state all the material terms of the contract. Rather, a writing is deemed sufficient if: it indicates that a contract has been made between the parties; it contains the quantity of goods sold; and it is signed by the party to be charged. The subsequent written agreement, signed by both Rancher and Broker on January 20, was sufficient to satisfy the requirements of §2-201, and is thus enforceable against Rancher.

Section 2-201 further provides that where both of the parties are merchants, and a writing, sufficient against the sender (i.e., Rancher) is sent to the other party to the contract (i.e., Broker), and the party receiving it has reason to know its contents, then such writing is sufficient not only against the person who signed and sent it but also against the recipient, unless the recipient gives written notice of objection within ten days.

Broker failed to notice the discrepancy concerning the sale price which Rancher's secretary mistakenly typed in the written agreement. Pursuant to the Code, Broker will nonetheless be bound to the written agreement and the erroneous \$13 per hide price due to his failure to give written notice of objection within ten days.

Further, at trial, Broker will be precluded from introducing any evidence of the January 15 oral agreement and the stated price of \$10 per hide pursuant to the parol evidence rule. U.C.C. §2-202 provides that, where the parties intended a final integration, prior or contemporaneous statements which vary or contradict the writing are excluded from evidence as to those matters covered by the document.



The agreement between Rancher and Broker constituted an installment contract. Under the Code, a breach of the whole contract occurs only where the breach or cumulative breaches substantially impair(s) the value of the whole contract. §2-612(3). Here, Rancher's continuing monthly defaults gave rise to a total breach, thereby giving Broker the right to cancel as to subsequent installments and commence suit on October 1. Moreover, on February 1 Rancher explicitly repudiated the contract when he notified Broker of his subsequent contract to sell his entire output of hides to Ted. Under §2-610, a repudiation occurs when a party unequivocally states his unwillingness to perform his obligations under the contract. Upon such clear repudiation by Rancher, Broker could choose either to await performance for a commercially reasonable time or to resort immediately to any remedy given by the Code or the contract for breach.

Rancher's failure to make any tender, without apparent justification or excuse, entitles Broker to prevail on Count 1 for damages for nondelivery and for cover. Under §2-713, Broker may recover damages for nondelivery from the time of the breach (i.e., March 1) through the time that he obtained cover (i.e., substitute performance via a new supplier on May 1). Such damages are measured by the difference between the market price and the contract price. The applicable market price is that existing at the place tender was to be made under the contract and as of the time the buyer learned of the breach. Rancher may introduce evidence of market price through reports of market quotations in official publications and trade journals. As previously explained, Broker will be held bound to the contract price of \$13 per hide for purposes of measuring all damages against Rancher.

Also under Count 1, Broker is entitled to damages incurred as a result of cover from the time he obtained a substitute supply on May 1. The right to cover means that, upon the seller's default, the buyer may purchase substitute goods. In accordance with §2-712, Broker made the repurchase in good faith, without unreasonable delay, and upon reasonable times. Here, Broker may recover damages as measured by the difference between his cover price (i.e., \$14 per hide) and the contract price (i.e., \$13 per hide).

As to Count 2, Broker's argument for the \$6,000 that he had to pay manufacturer in liquidated damages will fail under the Code's provision for consequential damages. The Code allows for recovery of consequential damages for any loss resulting from general or particular requirements of which the seller at the time of contracting had reason to know and which could not reasonably be prevented. §2-715. As stated in the facts, at the time of their agreement, Rancher did not specifically know, nor did he have reason to know, that Broker might incur liability for liquidated damages to a third party. On the defense that the \$6,000 in liquidated damages was not foreseeable by the breaching party at the time of the contract, Broker will here be denied recovery.

Broker will further be denied redress for punitive damages in Count 3. Although parties to a contract may fix the amount of damages recoverable in the event of a breach, a party may not be penalized for his breach of contract. Punitive damages, therefore, are not allowed in a suit for breach of contract.

**ANSWER TO QUESTION #11**

Under the UCC, a buyer who has accepted goods may revoke his acceptance in the event value to him if he accepted the goods on the reasonable assumption that the defect or nonconformity would be cured and it has not been seasonably cured. In that event, he would normally have the right to give the goods back and have his money returned. In this case, there does appear to be a substantial impairment, and a reasonable time for cure has probably passed (although these are both fact questions).

The contract does purport to limit Beta's remedies to replacement or repair of the goods, a limitation that if applied would bar the rejection remedy and restrict Beta to at most a damage action for failure to repair. However, since it appears that repair or replacement is not in fact seasonably forthcoming, that limited remedy would probably be held to have failed of its essential purpose, and would then be disregarded. Accordingly, the basic remedies afforded by the UCC, including rejection after revocation of acceptance and recovery of any portion of the price paid, would be available to Beta. But it is possible that if Beta derived a significant benefit from its use of the machines, notwithstanding the defects, it would have to compensate Ajax for such use as an offset to its recovery of the price.

**ANSWER TO QUESTION #12**

The two principal issues presented involve questions of indefiniteness and damage computation. Both issues require an understanding of multiple code sections. As a preliminary matter, however, it should be noted that §2-610 permits a party when confronted with an anticipatory repudiation to resort to any remedy for breach even though performance is not yet due. Thus, the aggrieved seller need not await the date of buyer's performance before resorting to a remedy under the Code.

Indefiniteness Issue: Under the Code, defendant-purchaser Baker Liquor & Wine Co.'s motion would probably be denied.

Section 2-311 provides in part:

an agreement for sale which is otherwise sufficiently definite (subsection (3) of §2-204) to be a contract is not made invalid by the fact that it leaves particulars of performance to be specified by one of the parties.

Reference is made to §2-204(3).

Even though one or more terms are left open a contract for sale does not fail for indefiniteness if the parties had intended to make a contract and there is a reasonably certain basis for giving an appropriate remedy.

Almost certainly the parties to the instant transaction intended to make a contract. Therefore, the question becomes whether there is a reasonably certain basis for giving an appropriate remedy.

Further, Section 2-305(1) provides in part:

The parties if they so intend can conclude a contract for the sale even though the price is not settled. In such a case the price is a reasonable price at the time for delivery if:

- (a) nothing is said as to price; or
- (b) the price is left to be agreed by the parties and they fail to agree.

The Code also states that when a price left to be fixed otherwise than by agreement by the parties fails to be fixed through fault of one party, the other party may fix a reasonable price. UCC §2-305(3). Thus the Code rejects the notion that failure to fix a price constitutes a fatal flaw of indefiniteness.

May then plaintiff seller fix any price? No. The Code explicitly provides that “[a] price to be fixed by the seller or by the buyer means a price for him to fix in good faith.” UCC §2-305(2).

Accordingly, most courts would probably conclude that the contract did not fail for indefiniteness and is thus enforceable.

**Damage Computation:** Section 2-703 sets forth a seller's remedies in general. It provides four possible actions for damages. First, under §706 the seller may resell the goods and then recover the difference between the resale price and the contract price together with incidental damages less expenses saved in consequence of the buyer's breach. Under the facts of this case, §2-706 would provide the seller no recovery since a lost volume sale is at issue. Second, §2-708 provides that a seller may secure the difference between the market price at the time and place for tender and the unpaid contract price. Under the facts of the instant case the market price and the contract price were the same. Therefore, §2-708(1) would provide no recovery. (A third remedy, the action for price under §2-709, applies only to the extent the goods have been accepted, destroyed after risk of loss has passed to the buyer, or cannot reasonably be resold. Thus it would have no application to the problem except as noted later.)

A lost volume seller will secure damages under the Code under §2-708(2). That section provides that if the contract price-market price remedy set forth in §2-708(1) is inadequate to put the seller in as good a position as performance would have done, then the measure of damages is the profit (including reasonable overhead) which the seller would have made from full performance by the buyer. There, our seller is entitled to the profit he would have made had the sale been consummated. Under the facts of the instant case, however, that number is not readily determinable since the price varied with the grade selected. What then is to be done?

Several possibilities exist. First, having found the existence of a contract, the court might permit the defendant buyer to select the relevant grade, take possession and pay the relevant

purchase price. (This would not involve a lost volume sale if the defendant exercised this option.) Alternatively, the defendant might select grades, not take possession, and pay the seller the profit that the seller would have made if the sale had been fully completed. These two variants of the same approach seem reasonable and could not work any injustice on the defendant buyer. Nevertheless, it is acknowledged that there is no specific authority for either under the Code. Second, and more likely, the court might permit the seller to make the selection. Section 2-311(3) provides:

(3) Where such specification would materially affect the other party's performance but is not seasonably made or where one party's cooperation is necessary to the agreed performance of the other but is not seasonably forthcoming, the other party in addition to all other remedies ...

(b) may also either proceed to perform in any reasonable manner or after the time for a material part of his own performance treat the failure to specify or to cooperate as a breach by failure to deliver or accept the goods.

The plaintiff might assume that the buyer had selected those grades which would have produced the lowest quantum of damages to the defendant. Doubtless the defendant would be estopped from arguing the unreasonableness of that approach. Third, a court might find the plaintiff's selection of grades based upon buyer's past purchases reasonable even if the damages awarded under the scheme were on the high side. Section 1-205(1) defines a course of dealing as follows:

A course of dealing is a sequence of previous conduct between the parties to a particular transaction which is fairly to be regarded as establishing a common basis of understanding for interpreting their expressions and other conduct.

While the Code does not explicitly sanction the use of course of dealings as a "gap filler" in the type of case under consideration, it might well permit the past purchasing history of the defendant to serve as a guide in the selection by the seller of the relevant grades. Fourth, the seller might reasonably select that measure of damages which represents an average of the various grades.

### Summary

In order to satisfactorily answer the question a student should appreciate the indefiniteness issue and understand that the Code very arguably would enforce the transaction. While the better answer is that the Code would dictate enforcement, it is sufficient if the candidate understands the provisions of §§2-311, 2-305 and 2-204. It ought to be mandatory that the student appreciate the lost volume nature of the problem and that remedy must be had under §2-708(2) since the other sections would be inapplicable.

**ANSWER TO QUESTION #13**

This problem presents several different issues. These include the appropriate measure of damages for a lost volume seller, contract modification in the absence of additional consideration and the seller's right to cure.

The measure of damages for a lost volume seller

Rather obviously, Emanuel has breached his contract with CMMI. Seller's remedies in general are set forth in §2-703. That section provides, *inter alia*, that “the aggrieved seller may ... resell and recover damages as hereafter provided (§2-706) [or] recover damages for nonacceptance (§2-708).”

We first treat §2-706 which provides that the aggrieved seller “may recover the difference between the resale price and the contract price together with any incidental damages ... but less expenses saved.” Assuming no incidental damages and no expenses saved, the seller's resale remedy (§2-706) would provide CMMI no damages since the resale price was the same as the contract price. Accordingly, we turn our attention to §2-708. Subsection 1 of §2-708 provides that “the measure of damages for nonacceptance or repudiation by the buyer is the difference between the market price at the time and place for tender and the unpaid contract price together with any incidental damages ... but less expenses saved.” The problem recites that the sales price to both Emanuel and Mr. Christoph was at the suggested retail price of \$2,700. Moreover, the problem notes that Vaca dealers do not discount from the manufacturer's suggested retail price. It is therefore a safe assumption that the market price of the Vacamower Model No. AL123 is \$2,700. Since the market price and the contract price are the same, §2-708 would not provide any damages to CMMI.

Subsection 2 of §2-708 is the appropriate remedial provision. It states:

“If the measure of damages provided in subsection (1) is inadequate to put the seller in as good a position as performance would have done then the measure of damages is the profit (including reasonable overhead) which the seller would have made from full performance by the buyer.”

It must be noted that the problem expressly states that CMMI had two Vacamowers Model No. AL123 on its lot at the close of the season. This fact indicates that the aborted sale to Emanuel was indeed a lost volume sale. Rather obviously CMMI would not be entitled to recover under §2-708(2) in the event that it could not have satisfied subsequent persons desiring to purchase this model.

Contract modification absent additional consideration

The problem recites that Mr. Christoph stated that the mower must be capable of handling the special requirements of his backyard where the terrain had a steep incline. CMMI assured Mr. Christoph that the machine would satisfy his requirements. This representation took place following the signing of the contract. Note that Mr. Christoph paid no additional consideration for this purported new term. Under traditional common-law principles, a modification of a contract must be supported by the payment of additional consideration. This rule has been expressly rejected by the Uniform Commercial Code. Section 2-209(1)

states that “[a]n agreement modifying a contract within this article needs no consideration to be binding.” Accordingly, the failure to make additional consideration would not bar the addition of a new term to this contract.

Note that the parol evidence rule (§2-202) would have no application to these facts since the oral representation was made after the negotiation of the written contract.

#### The seller's right to cure

CMMI has offered Mr. Christoph a replacement tractor which would clearly be able to negotiate the hill. Mr. Christoph has refused that offer and demanded the return of his money.

Although §2-601 seems to state a “perfect tender rule” by virtue of its language “if the goods ... fail in any respect to conform to the contract, the buyer may ... reject the whole.” Section 2-508 expressly states the seller's right to cure the tender of nonconforming goods. It states: “[w]here any tender or delivery by the seller is rejected because nonconforming and the time for performance has not yet expired, the seller may seasonably notify the buyer of his intention to cure and may then within the contract time make a conforming delivery.” Since CMMI's offer to cure was within the period in which it had to make delivery, it is clearly entitled to replace the mower with one that conforms to contract requirements.

### **ANSWER TO QUESTION #14**

(1) The court's first conclusion of law is wrong because the contract is within the Statute of Frauds and is enforceable against B.

If the contract to buy the used boat is unenforceable, then B may rescind the agreement and be entitled to restitution of his deposit. The initial inquiry is whether the contract is within the scope of the Statute of Frauds. If so, the second inquiry is whether the contract is enforceable. Here, the contract is for the sale of goods worth over \$500, and therefore the contract is within the Statute of Frauds of the U.C.C. and must be in writing to be enforceable. §2-201. The agreement between S and B was oral and therefore unenforceable; however, under the U.C.C., if a party admits the agreement in any pleadings, testimony or court proceedings, the Statute of Frauds is satisfied and cannot be set up as a defense to the contract by that party. B admitted the agreement in his complaint and therefore he cannot rescind the contract and demand return of his deposit based on a violation of the Statute. The court's conclusion of law to the contrary is in error.

(2) The court's conclusion as to damages is also in error. Section 2-718(2) governs the buyer's restitution when the buyer is in breach of the contract. Where there is no provision for liquidated damages in the contract, the buyer is entitled to restitution of any payments made to the extent the payments exceed 20% of the contract price or \$500, whichever is smaller. Here, 20% of the contract is \$800 (.20 x \$4,000). B's deposit was \$1,000. Because \$500 is less than \$800, B is entitled to his deposit less \$500 (\$1,000 - \$500), or \$500 in restitution.

**ANSWER TO QUESTION #15**

If “commercially reasonable,” Andrews may continue work on the project, complete the game and seek a substitute purchaser. This option will be deemed reasonable only if Andrews has reason to believe that damages will be minimized by completion, *i.e.*, that a substitute buyer can be found who will pay something at least resembling the contract price. In that event, the measure of damages is the difference between the contract price and the resale price (assuming the resale was conducted in a reasonable manner), plus any incidental damages, *i.e.*, costs incurred in finding the substitute buyer.

The other option is to scrap the project immediately. In that event, the measure will be the contract price, less money saved by not having to complete the project, less any proceeds coming from sale of scrap materials, *e.g.*, parts, scrap metal, etc. (Another way of saying the same thing is “expenses incurred on the project plus lost profit, less any scrap income.”) This option, too, is subject to the overriding duty of mitigation: Andrews risks a lesser recovery upon scrapping if a court determines that completion was clearly the damage-minimizing option.

Discussion: The duty to mitigate damages is built into the UCC, and this fact situation is governed by §2-704. Andrews has an immediate right to take action even though the time for delivery has not yet arrived.

Under §2-704(2), “[w]here the goods are unfinished an aggrieved seller may in the exercise of reasonable commercial judgment for purposes of avoiding loss and of effective realization either complete the manufacture and wholly identify the goods to the contract or cease manufacture and resell for scrap or salvage value or proceed in any other reasonable manner.” Reasonableness refers to minimizing damages, and is determined as of the time of the choice. Andrews will thus be protected if its choice to complete is reasonable at the time, even though subsequent events prove it to have been the less desirable option. Resale of the completed goods must be made in good faith and in a commercially reasonable manner; assuming that, the recovery is the difference between the contract price and the resale price, plus incidental damages, less any expenses saved in consequence of buyer’s breach (there are no savings suggested in the problem).

If the “stop work and salvage” route is taken, courts have held that the proper measure of damages for specially designed items with no obvious market is found in §2-708(2): “profit (including reasonable overhead) which the seller would have made from full performance by the buyer, together with any incidental damages ... due allowance for costs reasonably incurred and due credit for payments or proceeds for resale.” Since expected profit generally equals the contract price minus expected costs, another way of describing this measure is contract price less expenses saved by not having to complete, less any salvage proceeds, plus any incidental expenses. Although not absolutely clear, the decision to stop work and salvage should be subject as well to the overriding rule of commercial reasonableness.

If a court holds that a course of action was unreasonable, Andrews would be limited to the amount of recovery it would have received had it acted reasonably.

**ANSWER TO QUESTION #16**

This problem presents several different issues. These include the availability of seller's damages for nonacceptance under §2-708(1) where the seller has already resold, and the allocation of risk of loss in the absence of breach.

The Appropriate Measure of Damages

Seller's remedies in general are set forth in §2-703. That section provides that "the aggrieved seller may ... resell and recover damages as hereafter provided (§2-706) [or] recover damages for nonacceptance (§2-708)."

Attention is first directed to §2-706. That section provides that a reselling seller "may recover the difference between the resale price and the contract price together with any incidental damages ... but less expenses saved." Assuming the absence of expenses saved, this section would provide no recovery to CMSI since the resale price to Buyer Two was the same as the original sale price to Buyer One. Here, the 10% loss on the second sale because of the different delivery term should be incidental damages.

Section 2-708(1) provides that the aggrieved seller is entitled to "the difference between the market price at the time and place for tender and the unpaid contract price together with any incidental damages ... but less expenses saved". Since the market price at the time and place for tender had declined from \$5,000 to \$3,000, §2-708 would arguably provide CMSI \$2,000 in damages.

The very important question is then presented: May a seller who resells at (or better than) the contract price recover damages under §2-708(1) where the market price has declined? Unfortunately, there is no clear-cut answer to this question. Arguments can be made on both sides. In support of an argument that the seller may *not* invoke the remedy of §2-708(1) after having resold, one might cite §1-106 which states that the purpose of the Act is to put "the aggrieved party ... in as good a position as if the other party had fully performed". That section further notes that "penal damages" may not be had under the Act except as specifically provided. On the other hand, Official Comment One to §2-703 states: "This Article rejects any doctrine of election of remedy as a fundamental policy and thus the remedies are essentially cumulative in nature and include all of the available remedies for breach."

Support for either position can be taken from the analogous buyer's remedies. The buyer's analogue to resale is the right to cover under §2-712. Thus the analogous question in a buyer's context would be whether a buyer may cover at the contract (or less than contract) price and still have recourse to a market price/contract price remedy under §2-713. Official Comment Five to §2-713 states "[t]he present section provides a remedy which is completely alternative to cover under the preceding section and applies only when and to the extent that the buyer has not covered." Thus, it is clear from the Comment that a buyer may *not* cover and have recourse to the market price/contract price remedy under §2-713. Obviously, one might argue that what is specifically precluded from buyers ought be precluded from sellers. But, on the other hand, one might argue that the specific prohibition of an alternative buyer's remedy and the omission of a similar specific prohibition to sellers is evident that the drafters of the Code did not intend to similarly preclude sellers from alternative remedies. Thus, the question is an open one.



Risk of Loss

The contract with Buyer One provided that the fish were to be delivered F.O.B. Seller's place of business. Section 2-319 defines F.O.B. as follows:

“[W]hen the term is F.O.B. the place of destination, the seller must at his own expense and risk transport the goods to that place and there tender delivery of them in the manner provided in this article.” Thus, the seller must bear the risk of loss until the fish have been tendered to the buyer.

Buyer Two is entitled to a 10% reduction in the purchase price. He can, of course, “cover” under §2-712, but failure to do so will not preclude him from any other remedy. If Buyer Two does not cover, he can recover under §2-714. Section 2-714 provides that “[w]here the buyer has accepted goods and given notification ... he may recover as damages for any nonconformity of tender the loss resulting in the ordinary course of events from the seller's breach as determined in any manner which is reasonable.” Although it is an open question, a 10% reduction in the contract price would seem more reasonable than a 10% reduction from the (lower) market price.

**ANSWER TO QUESTION #17**

Owen's delivery of the mower to Merchant was an entrustment because Merchant deals in goods of that kind. Thus, Merchant had the power to transfer Owen's title to a buyer in the ordinary course of business (such as Buyer).

Under the law as it generally existed prior to the Uniform Commercial Code, one who clothed an agent with apparent authority to transfer title was estopped to deny such authority as against a purchaser for value acting in good faith. The Uniform Commercial Code broadened pre-code law so that a bailee who has no authority whatever to sell the goods bailed to him can nevertheless transfer good title to a third party if the bailee is a merchant who regularly sells the same kinds of goods and the purchaser pays value and is without knowledge that the sale is in violation of the owner's rights.

From the facts, it seems clear that Merchant qualifies as a merchant of lawn mowers. It also is clear from the facts that Owen intentionally left his mower with merchant, thereby creating the entrusting defined in Section 2-403(3). This entrusting gave Merchant the power - although not the right - to transfer title to a buyer in the ordinary course of business. Note that Owen left the mower with Merchant for purposes of repair and repairmen do not necessarily qualify as merchants under the Code, but in this case, Merchant is in fact a merchant who deals in goods of this kind.

The facts also make it clear that Buyer is a buyer in ordinary course. Buyer purchased for cash from Merchant who is in the business of dealing in goods of this kind and Buyer had no knowledge that the sale to him was in violation of Owen's ownership rights. Because the mower was relatively new (Owen had purchased it only two weeks before) and unused, there is nothing about the goods themselves that would put Buyer on notice.

It therefore seems to be clear under the Uniform Commercial Code that, as between Owen and Buyer, Buyer is entitled to keep the mower.

## SECURED TRANSACTIONS QUESTIONS

### QUESTION #1

On Day One, D buys and takes delivery of a chattel from S on open account, the purchase price payable in seven days. On Day Seven, D borrows the amount of the purchase price from Bank and gives Bank a security interest in the chattel.

On Day Eight, pursuant to a judgment obtained against D by P, a writ of execution is issued and delivered to the sheriff and he levies upon the chattel.

On Day Nine, Bank files a financing statement (as required to perfect) in the appropriate place.

Who has priority in the chattel between the Bank under its security interest and P under the writ of execution? Explain.

### QUESTION #2

Smoot operated a retail jewelry store. He entered into a security agreement with First Bank. The Bank took a security interest in all the present and after-acquired inventory, as well as a pledge of Smoot's accounts receivable, in return for a loan of \$150,000. The Bank perfected its security interest in the inventory and accounts receivable by filing a financing statement. Smoot thereafter purchased from Rocks, Inc. various jewels, and Rocks retained a security interest in the jewels. Rocks perfected its security interest by filing a financing statement before Smoot received the jewelry. When Smoot defaulted on the payments on the loan, the Bank notified all account debtors to make payment to the Bank. Total payments failed to meet the loan amount. Discuss the liability of Smoot regarding the deficiency, and the priority between the Bank and Rock in the jewelry.

### QUESTION #3

Hallam owned a bar. One of Hallam's regular customers, Tippling, was a local sculptor. As a token of his appreciation, Tippling gave Hallam a small statue from his collection. Hallam was so taken with Tippling's gesture that he proudly displayed it in his bar.

The statue wasn't worth much but Waverly, another regular at Hallam's bar, took a liking to it and offered to buy it from Hallam for much more than it was worth. Hallam suggested that Waverly pay him for it in 90 days and Waverly, who was very well-off, agreed. Nothing, however, was put in writing. Hallam and Waverly merely drank to it and Waverly took the statue home.

An officer of First Bank, a local bank, is in your office. Last year, as the bank's attorney, you drafted papers that gave the bank an enforceable, perfected security interest in all of Hallam's

bar equipment, “now and hereafter acquired.” The officer, who tells you about the sale of the Tippling statue to Waverly, is worried that Hallam's bar may be faltering. He wants to know what rights the bank has against Waverly.

Advise him of First Bank's rights, if any, against Waverly.

#### QUESTION #4

Your client, Bates, relates the following facts to you. His debtor, Smith, owes him \$1,950. Smith is insolvent. Yesterday, Smith gave a \$2,000 ring to Ames as security for a pre-existing debt of \$1,500. At the time of the transfer, both Smith and Ames knew that Smith was insolvent.

Assuming that the ring is the only asset of Smith's which Bates could use to satisfy his claim, explain to Bates what his rights are in this situation.

#### QUESTION #5

The following events occurred after July 1, 2001, in the order indicated:

- (1) Bank A loans Manufacturer \$20,000.
- (2) Manufacturer agrees orally to a security interest in favor of Bank A in certain inventory owned by Manufacturer.
- (3) Bank A establishes a field warehouse of this inventory with an independent warehouseman in full control of the inventory and all warehouse receipts held by and running in favor of A.
- (4) Bank B loans Manufacturer \$20,000.
- (5) Manufacturer enters into a written agreement signed by Bank B and Manufacturer giving Bank B a security interest in the same inventory.
- (6) Bank B, acting in good faith, files a financing statement (covering its loan and security interest) in the local town clerk's office. Under the controlling statute, filing should have been in the office of the Secretary of State.
- (7) Bank C, which has actual knowledge of the contents of Bank B's financing statement (C's agent having inadvertently run across it in the town clerk's office), loans Manufacturer \$20,000.
- (8) Manufacturer enters into a written agreement signed by Bank C and by Manufacturer giving Bank C a security interest in the same inventory.
- (9) Bank C files a financing statement (covering its loan and security interest) in the office of the Secretary of State.

What are the priorities between the security interests of A, B, and C in the inventory? Explain.

**QUESTION #6**

P purchased an automobile under a conditional sales contract by which the seller, S, retained title until the purchase price was paid; the contract also contained a provision stating that P agreed to keep the car in repair at his own expense and not to create any lien against the car. P was given possession of the car and operated it for some time until he was involved in an accident which heavily damaged the car. P took the car to a garage operated by G to have it repaired. The repairs cost \$450, and P was unable to pay the bill when the repairs were completed. G refused to surrender the car until he was paid, and asserted a lien against the car for the cost of the repairs. P still owes S over \$1,000 on the purchase price of the car and has defaulted on his last payment. S, under the terms of his conditional sales contract, seeks to repossess the car, but G refuses to surrender it to him unless S pays the amount of the repair bill, which S refuses to do. S brings suit to recover possession of the car. The conditional sales contract was properly recorded according to the requirements of the applicable statutes. May S recover the car? Discuss fully.

**QUESTION #7**

Debtor had borrowed money from Lender, and had given in return a valid and perfected security interest in its retail business inventory. The financing statement indicated that “proceeds of collateral are also covered.” As part of its regular course of business, Debtor sold its inventory to a number of different parties, taking in return 90-day negotiable promissory notes for the price. The total face value of the notes in question is \$10,000.

Debtor then endorsed the notes to another Bank, and deposited them in its checking account. By this new arrangement, Bank was to collect the notes upon maturity from their makers, and in the meantime would permit Debtor to withdraw by its check up to 70% of the face amount of the deposited notes. The arrangement was “with recourse,” and was looked on by Bank as a self-liquidating loan. Debtor withdrew \$7,000 before becoming insolvent.

The original Lender has learned of this arrangement, and has declared Debtor to be in default, and has accelerated its loan. What are original Lender's rights, excluding its rights against Debtor's insolvent estate? Explain.

**QUESTION #8**

In July, 2001, C made a business loan to D. C took a security interest in several printing presses which D owned. The security agreement signed by the parties fully described the presses and in addition extended C's security interest to “after-acquired property of a similar type.” In the parties' financing statement, which was properly filed, the collateral was described merely as “equipment.” No reference was made to after-acquired property in the financing statement. In September, 2001, D repaid the loan from C and received a statement from C that all obligations between the parties had been paid in full.

In October, 2001, D secured a large loan from T and gave T a security interest in all printing presses which he owned. A financing statement was filed and his security interest was otherwise properly perfected. Still later, in November, 2001, D convinced C to again loan

him a substantial sum of money. The parties executed another security agreement which gave C a security interest in “all printing presses owned by D.” No new financing statement was filed in connection with this loan. In December, 2001, D defaulted on the loans owed to C and T.

As between C and T who has the higher priority in the printing presses? Give reasons.

### QUESTION #9

D, a used car dealer, sold a car to a customer and received a large garden tractor in satisfaction of a portion of the purchase price. While it was generally not D's policy to take items other than cars in on trade, he did so four or five times a year when the item involved was one which he thought he could readily resell. As he had done with the boats, air conditioners, and so on which he occasionally received, D put the garden tractor on his used car lot. It was eventually purchased by B, who bought in good faith and without notice, for \$700. Previously C Finance Company had made a large loan to D and had taken and perfected a security interest in “all present and after-acquired items of inventory owned, held or possessed by D.” The parties' security agreement provided that D was not authorized to sell any item subject to C's security interest unless D first secured C's permission. D had not requested C's permission to sell the tractor. Shortly after the sale of the garden tractor to B, D defaulted on his obligation to C. C is preparing to foreclose on all available assets. Is C entitled to the garden tractor? Explain.

### QUESTION #10

Dealer owns and operates an antique store. On January 4, Bank loaned \$250,000 to Dealer to finance Dealer's business operations. In connection with the loan, Dealer signed a security agreement that granted Bank a security interest in Dealer's “inventory” and assigned Dealer's “accounts and chattel paper” to Bank. The agreement covered “any and all obligations owed by Dealer to Bank including future advances.” Later that day, Bank properly filed a financing statement reflecting its security interest.

On May 1, Thief stole a 17<sup>th</sup> century cedar chest from Owner. Thief then sold it to Dealer. Dealer did not know the chest had been stolen. On June 1, Dealer sold the cedar chest to Purchaser, an interior designer, for \$50,000. Purchaser bought the cedar chest for resale to a client.

Purchaser made a \$10,000 down payment and signed an installment sales contract for the remainder of the purchase price, plus interest, to be paid monthly over 12 months. The installment sales contract granted to Dealer a security interest in the cedar chest and provided that all payments were to be made directly to Dealer. Purchaser subsequently made the payments due on July 1, August 1, and September 1 by sending checks to Dealer.

On September 1, Dealer failed to make a payment due on its loan from Bank. Bank immediately declared Dealer in default, as it was permitted to do under the loan and security agreements between the parties. Bank also sent a letter to Purchaser informing Purchaser of Dealer's default, advising Purchaser of Bank's security interest, and directing Purchaser to

make all further payments on the installment sales contract directly to Bank. Purchase contacted Dealer, who admitted that he was in default and that Bank had a security interest. However, Dealer told Purchase, "Don't worry. I will pay Bank my September payment soon. Things will be straightened out. You should continue to send your monthly payments directly to me. Bank has no right to collect from you in any event. Our arrangement is between us."

On September 20, Purchaser was served with papers in a replevin action brought by Owner to recover the cedar chest. According to the complaint in the replevin action, the cedar chest had been stolen from Owner, and the bill of sale and other documents presented to Purchase by Dealer as proof of Dealer's ownership were forgeries. Purchaser immediately answered the replevin action with a pleading alleging (a) that as a good faith purchaser for value, Purchaser's claim was superior to Owner's and (b) that any right of Owner to recover the cedar chest should be conditioned on Owner's reimbursing Purchaser for amounts paid to Dealer.

1. Who should prevail in Owner's replevin action to recover the cedar chest? Explain.
2. Assuming Purchaser prevails in the replevin action, should future payments on the installment sales contract be made to Dealer or to Bank? Explain.
3. Assuming Purchaser loses in the replevin action, does Purchaser continue to be liable for the payments on the installment sales contract either to Dealer or Bank? Explain.





# SECURED TRANSACTIONS ANSWERS

## ANSWER TO QUESTION #1

Assuming that D executed a valid security agreement, D gave Bank a security interest in the chattel. Once created, this interest attached to the chattel, because D had an interest in the collateral. Bank gave value for the security interest by loaning money to D on Day Seven.

Bank perfected its security interest in the chattel by filing a financing statement in the appropriate place on Day Nine. P became a judicial lien creditor when the sheriff levied against the chattel pursuant to the writ of execution on Day Eight. The general rule applied to determine priority between secured parties and judicial lien creditors is first in time, first in right. If this rule applies here, P will prevail because his lien was perfected by levy on Day Eight, prior to Bank's perfection of its security interest by filing on Day Nine.

The Uniform Commercial Code grants an exception to the first in time, first in right rule for purchase money lenders. The Code allows a purchase money lender a twenty day grace period in which to perfect his security interest against judicial lien creditors, if the purchase money lender files his financial statement within twenty days after the debtor receives delivery of the collateral. A purchase money security interest arises when either the seller of the collateral takes back a security interest to secure all or part of the purchase price, or where a party gives an advance or incurs an obligation to enable the debtor to acquire rights in or use of the collateral.

Does Bank have a purchase money security interest in the chattel? Clearly, Bank is not the seller, so it does not have a purchase money security interest under the first definition. Bank will have difficulty in asserting that it holds a purchase money security interest as lender under the latter definition. While Bank advanced the amount of the purchase price to D, the facts don't indicate that D actually used it to pay for the chattel. Clearly, if D didn't use this loan to purchase the chattel, Bank does not have a purchase money security interest in the chattel and P will prevail. If D did use this loan to pay for the chattel, Bank will argue that it has a purchase money security interest in the chattel. However, as stated in Comment 2 to U.C.C. §9-103, a security interest does not qualify as a purchase money security interest if a debtor acquires property on unsecured credit and subsequently creates the security interest to secure the purchase price. Therefore, Bank does not have a purchase money security interest and P has priority in the chattel.

## ANSWER TO QUESTION #2

We will first examine the priority between the Bank and Rocks in the jewelry.

The security interest of First Bank was properly created, attached to the collateral, and perfected by filing. The type of collateral is present and after-acquired inventory and accounts receivable. First Bank does not have a purchase money security interest.

Rocks, Inc. retained a security interest in the jewels which it sold to Smoot. Assuming that this interest was created validly by a written security agreement signed by Smoot, Rocks has given value by the sale of the jewels to Smoot on credit, and Smoot had rights in the collateral so that the security interest attached. Rocks perfected its security interest by filing a financing statement. The type of collateral is inventory, because the goods are jewels which Smoot intends to sell. Further, Rocks has a purchase money security interest, as it retained an interest in the collateral sold to the debtor to secure all or part of the purchase price of the jewels.

Rocks' security interest applies only to the jewels which Rocks sold to Smoot. By contrast, First Bank has a security interest in all of Smoot's inventory, including the jewels sold by Rocks. The basic priority rule applied to competing security interests is that first to file or perfect prevails. Application of this rule would give priority to First Bank, as it was first to file or perfect its security interest.

However, the Uniform Commercial Code provides that the holder of a purchase money security interest may prevail over all other competing security interests, including those previously filed. Rocks could have taken priority over First Bank had it followed the Code's scheme to obtain this priority. The Code provides that where the type of collateral is inventory, the secured party must perfect its interest in the inventory before the debtor receives possession. Rocks has complied with this requirement by filing its financing statement prior to Smoot's receipt of the jewels. However, the purchase money lender must also give notice to holders of conflicting interests in the inventory, which must be received by those parties prior to the debtor's receipt of the inventory. Rocks has not so notified First Bank, and has therefore failed to comply with the Code's requirements to establish a purchase money priority. Rocks is thereby relegated to the first in time, first in right rule. Under this rule, First Bank has priority over Rocks.

Smoot's liability upon the deficiency shall be affected by the type of collateral - in this case, accounts receivable. These accounts can sometimes be complicated. An account is a right to payment (for goods sold or leased or services rendered) that is not evidenced by an instrument or chattel paper. Smoot's accounts consisted of his customers' obligations to pay for jewelry sold on credit. Accounts receivable may be sold or used as security for a loan. In this case, First Bank clearly took a security interest in these accounts, but did not purchase them. Article 9 applies both to the sale of accounts and to their use as security for a loan.

When Smoot defaults on the loan, First Bank's recourse against Smoot may not include repossession. Accounts are incapable of being repossessed, as there is no tangible thing to repossess. The Code grants the secured party the right to notify account debtors to make payment to the secured party instead of the debtor. First Bank has notified all of Smoot's account debtors to make payment to the Bank.

After these accounts are collected, any surplus reverts to the debtor. Conversely, unless the parties otherwise agree, the debtor shall be liable for any deficiency. The facts do not indicate that Smoot and First Bank have otherwise agreed, so Smoot is liable for the deficiency.

**ANSWER TO QUESTION #3**

First Bank has an enforceable, perfected security interest in all of Hallam's bar equipment now or hereafter acquired. To determine First Bank's rights in the statue which Hallam sold to Waverly, we must first examine whether the statue may be included within the description of "bar equipment" such that First Bank would have a security interest in the statue at all. If the statue is not bar equipment, then First Bank has no security interest in it, and accordingly shall have no rights against Waverly as transferee of the statue.

Waverly may oppose First Bank by arguing that Hallam held the statue as consumer goods, because he intended to use it primarily for personal, family or household purposes, and displayed it at the bar not for the business, but merely for the personal reason that he liked it. If Waverly prevails in his argument that the statue was consumer goods in Hallam's hands, then First Bank will have no security interest in it at all.

On the other hand, First Bank may argue that the statue is bar equipment in the same manner as the bar's other furnishings which help to create its ambiance. Assuming First Bank prevails upon this argument, it shall accordingly have a perfected security interest in the statue as after-acquired equipment of Hallam.

Assuming that First Bank prevails and has a security interest in the statue as bar equipment, Hallam's sale of the statue to Waverly gives rise to a priority dispute between First Bank's perfected Article 9 security interest and Waverly as a good faith purchaser for value. A buyer of goods takes free of a security interest if the buyer gives value and receives delivery of the collateral without knowledge of the security interest and before it is perfected. Application of this rule gives First Bank priority over Waverly because the bank perfected its security interest prior to Waverly's purchase of the statue.

The exception to this basic rule applied to buyers in the ordinary course of business is not available to Waverly because he is not such a buyer. His seller, Hallam, is not in the business of selling statues. Therefore, Waverly's purchase of the equipment of the statute is subject to First Bank's security interest in it. The priority dispute between First Bank and Waverly will be resolved in favor of the bank.

While First Bank's security interest has priority, the bank may choose to forego pursuit of its interest in the statue itself, which is of little value. First Bank also has rights in the proceeds which Hallam derived from the disposition of the collateral to Waverly. In this case, Hallam's proceeds are the account created by Waverly's obligation to pay for the statue in 90 days. First Bank has the right to collect this account from Waverly. If Waverly does not pay within 90 days as he agreed, First Bank may pursue an action against him upon this obligation.

If First Bank sues Waverly, Waverly may attempt to raise a defense against First Bank's right to payment upon the account. A statute of frauds defense would be available to Waverly if the purchase price of the statue under the oral sales contract was \$500 or more. Under Article 2 of the Code, a purchase and sale agreement for goods valued at \$500 or more is unenforceable unless there is a writing signed by the party to be charged. In this instance, however, First Bank may assert that the partial performance exception to the statute of frauds applies, because Waverly accepted delivery of the statue. The proceeds from Hallam's sale

of the statue, in the form of Waverly's obligation to pay for it, will therefore become a valuable item of collateral for First Bank.

## ANSWER TO QUESTION #4

Smith owes Bates \$1,950, and Smith is insolvent. Smith has delivered a \$2,000 ring to Ames as security for a preexisting debt of \$1,500.

Bates' ability to use the ring to satisfy his claim against Smith appears to be rather dismal. Bates is a general creditor of an insolvent debtor. Bates has no security for Smith's debt to him. By contrast, Ames appears to have created a valid Article 9 security interest in the form of a pledge by taking possession of Smith's ring. This pledge perfects Ames' interest, for which he gave value by the preexisting debt. Further, Ames' security interest attached because Smith clearly had rights in the ring. Ames' interest therefore attached to the ring, and was perfected by possession.

Bates may attempt to ask Smith for a security interest in the ring. Ames would have priority over Bates under the first in time, first in right rule. However, there may be value in this collateral which exceeds Smith's obligation to Ames, as the ring is valued at \$2,000 and Smith's debt to Ames is only \$1,500. Yet, if Ames sells the ring and uses the proceeds from the sale to satisfy Smith's obligation to him, the value of the ring to a junior creditor disappears quickly, because Ames has established priority with respect to \$1,500. Therefore, only a small value, if any, exists in the ring upon which Bates may receive a security interest under Article 9.

Bates should consider his options in the event that Smith files a bankruptcy petition, or an involuntary petition is filed against Smith. The bankruptcy trustee might attack Ames' interest in the ring as a preference. Bates would be a general creditor of the bankruptcy estate. If Ames' interest could be defeated by the trustee, and if the ring is nonexempt property, the ring would enter into the bankruptcy estate for payment to general creditors such as Bates.

The bankruptcy trustee primarily represents unsecured general creditors of the debtor (such as Bates) and has the obligation to increase the size of the estate for their benefit. The bankruptcy trustee is given the status of a hypothetical lien creditor by the Bankruptcy Act as of the time of the filing of the bankruptcy petition. In this instance, this status alone will not defeat Ames' perfected security interest in the ring, since the creation of the security interest occurred prior to the filing of the bankruptcy petition. Therefore, Ames' interest prevails under the first in time, first in right rule.

The bankruptcy trustee may attack the creation and perfection of Ames' security interest in the ring as a preferential transfer under the Bankruptcy Act if Smith transferred the interest to Ames within 90 days prior to the filing of the bankruptcy petition. Assuming the transfer was made during this 90-day period, the transaction has all the indicia of a preference. Smith transferred property to creditor Ames, for or on account of the antecedent debt of \$1,500, and the transfer was made while the debtor was insolvent. Further, Ames as transferee received more than he would have received under liquidation proceedings: In this case, if Ames' security interest had not been created and perfected, Ames would have shared in the

bankruptcy estate as a general creditor, and would have received less than the full \$1,500 owed to him. The bankruptcy trustee could therefore avoid the transfer of the ring by Smith to Ames, and thereby bring the ring into the bankruptcy estate for the benefit of general, unsecured creditors such as Bates.

## ANSWER TO QUESTION #5

To determine the priorities between the security interests of A, B and C, we must first examine whether each transaction created a valid security interest, which attached to the collateral, and for which the secured party gave value.

Bank A gave value by loaning Manufacturer \$20,000, and the Manufacturer orally agreed to give A a security interest in certain inventory owned by him. The debtor therefore had rights in the collateral so that the security interest could attach. However, the security agreement was oral. Article 9 of the Uniform Commercial Code generally requires that an agreement to create a security interest be written. The agreement between A and Manufacturer is oral and therefore ineffective to create a security interest.

However, A established a field warehouse to take possession of the inventory. In such a situation, the warehouseman typically isolates the collateral so as to indicate that it is under his control. This arrangement is useful in various ways. It operates to perfect an Article 9 security interest by possession, and provides a mechanism for monitoring the amount of the collateral which the debtor has at any given time. In this case, the warehouse situation operated to attach the security interest of A because the secured party was in possession of the collateral through the warehouseman pursuant to the oral agreement. The security interest was therefore perfected by possession when the field warehouse situation was established rather than by written agreement. This type of security interest is often called a pledge. A does not have a purchase money security interest, as Manufacturer owned the inventory prior to creation of the security interest.

Bank B gave value by loaning \$20,000 to Manufacturer, and entered into a written security agreement signed by both B and Manufacturer. The Code requires only that such an agreement be signed by the debtor. The debtor clearly had rights in the collateral (the inventory). B's security interest therefore attached when the parties executed the written agreement. B does not have a purchase money security interest, as Manufacturer owned the inventory prior to the creation of the interest.

B acted in good faith to perfect its security interest, but filed its financing statement in the wrong place. Filing in the wrong office is ineffective to perfect an Article 9 security interest. B's interest is therefore unperfected.

Bank C's interest is effective and has attached: C gave value by loaning \$20,000 to Manufacturer; C and Manufacturer entered into a signed, written security agreement; and the debtor had rights in the collateral so that the security interest attached to the collateral. C also perfected its security interest by filing a financing statement with the Secretary of State, the proper place for filing. This interest is not a purchase money security interest.

We may now compare the competing security interests so as to determine their priority in the collateral. A's perfected security interest prevails over B's unperfected security interest, because a perfected interest takes priority over an unperfected interest.

A and C both have perfected interests, so the basic rule of first in time, first in right applies. No purchase money security interest exists so as to create an exception to this rule. The first in time to file or perfect shall be the first in right to the interest. A therefore takes priority over C, because A perfected its interest by possession of the collateral prior to the time that C filed its financing statement.

B has an unperfected interest, whereas C has a perfected interest in the collateral. Therefore, C's perfected security interest prevails over B's unperfected security interest. (The former version of U.C.C. Article 9 provided an exception to this rule where a party in good faith files in an incorrect place. The misfiled financing statement is effective against any person having knowledge of its contents. In this case, C has knowledge of B's misfiled financing statement. Therefore, B's financing statement would be effective against C, and B's interest accordingly would take priority over C's interest. Former U.C.C. §9-401(2). However, under Revised U.C.C. Article 9, which is applicable to these facts, this exception has been deleted. Revised U.C.C. §9-501.)

In summary, A has first priority in the collateral by creating and perfecting its interest first, C has second priority by prevailing over B and losing against A, and B has third priority because it loses both priority disputes against A and C.

## ANSWER TO QUESTION #6

To determine whether S may recover the automobile, we must first characterize the interests of parties competing for the automobile, and then examine the priority between these competing interests.

The conditional sales contract for the automobile executed between S and P provided that S would retain title to the automobile until P paid the purchase price. Under Article 9 of the Uniform Commercial Code, the form of a transaction is unimportant in determining whether a security interest has been created. Rather, courts examine the substance of the transaction. In this case, the transaction between S and P created an Article 9 security interest for S because P has an obligation to S for the purchase price of the automobile, and has given S an interest in the personal property of the automobile to secure that obligation. Additionally, Article 2 of the Code provides that retention or reservation of title by the seller is limited to the reservation of a security interest.

S has an Article 9 security interest though the parties did not refer to the transaction as such. P has signed a conditional sales contract. As long as this agreement contains a description of the collateral and indicates that the parties intend to create an interest in S, it operates as an authenticated security agreement required to create a security interest under Article 9. The secured party has given value, and the debtor has rights in the collateral of the automobile so that S's security interest attaches. The type of collateral is consumer goods, a motor vehicle. In fact, S has a purchase money security interest, because S took back an interest in goods sold to P to secure all or part of the purchase price.

S perfected the security interest by properly recording the conditional sales contract according to statutory requirements. Ordinarily, a security interest in a motor vehicle must be noted on its certificate of title. In S's jurisdiction, there is apparently another mechanism by which S perfected his interest.

G does not have an Article 9 security interest in the automobile. An Article 9 interest may only arise by agreement between the parties. G's lien is not created by agreement, but rather by statute: G is a statutory lien holder. G's lien secures a claim which arose from work that either enhanced or preserved the value of the collateral. G's repair of the automobile increased its value by \$450. To encourage this type of work, the Code grants statutory lien holders priority even as against previously created and perfected Article 9 security interests, unless the statute creating the lien expressly provides otherwise. G therefore has priority over S as a statutory lien holder. Accordingly, S may not recover the automobile until G's lien in it is satisfied.

### ANSWER TO QUESTION #7

According to the facts, Lender took a valid, perfected security interest in Debtor's inventory. The Uniform Commercial Code provides that a security interest attaches automatically to proceeds of the collateral. Thus, it was unnecessary to state in the financing statement that it applies to proceeds in order to obtain a security interest in them. Debtor sold the inventory to various parties, and in return took 90-day negotiable promissory notes. These notes are clearly proceeds under Article 9, as they were received by Debtor upon the disposition of the collateral. Lender's security interest therefore attached automatically to these notes as proceeds.

Debtor endorsed the notes to another Bank, and deposited them into a checking account which permitted Debtor to withdraw up to 70% of their face value. To determine Lender's rights, we must therefore examine what priority Lender's interest has over Bank's interest in these notes.

Lender has a valid, perfected security interest against the inventory. Lender also has a security interest in the notes received by Debtor as proceeds derived from Debtor's disposition of the inventory. A security interest in proceeds is automatically perfected for a twenty day period. It continues to be perfected thereafter if a filed financing statement covers the original collateral, the proceeds are collateral in which a security interest may be perfected by filing in the office in which the financing statement has been filed, and the proceeds are not acquired with cash proceeds. There is a filed financing statement covering the original collateral (Debtor's inventory), the notes are instruments in which a security interest may be perfected by filing in the office in which the financing statement has been filed, and the notes were not acquired with cash proceeds. Therefore, Lender's perfected security interest in the notes remains perfected.

However, Lender's perfected security interest may nevertheless be defeated by Bank. Bank may rely upon Articles 3 and 4 of the Code to prevail over the Lender. Bank may first assert that it is a holder in due course under Article 3, and therefore takes free of all claims, including Lender's security interest claim. Bank is a holder, as the notes were endorsed to it by Debtor, Bank acted in good faith, and took without notice of Lender's claim. (A filed

financing statement does not constitute notice of a claim or defense to a holder of a negotiable instrument.)

Bank may also argue that it has a security interest in the notes under Article 4 of the Code, as it made a \$7,000 advance against the notes deposited into Debtor's account. Bank has given value, and therefore could alternatively argue that its transaction with Debtor created a Article 9 security interest. A party with a security interest in an instrument created by either Article 4 or Article 9 may qualify as a holder in due course, because the creation of the interest is a means of giving value. As a holder in due course, Bank could take the instrument free of competing claims. If Bank is so determined to be a holder in due course to the extent of its \$7,000 security interest in the notes, Bank is entitled to take priority in them in the amount of \$7,000.

If the court determines that Bank is not a holder in due course, Bank may alternatively argue that it has priority under Article 9. A purchaser of an instrument has priority over a security interest in the instrument perfected by a method other than possession if the purchaser gives value and takes possession of the instrument in good faith and without knowledge that the purchase violates the rights of the secured party. The definition of the term "purchase" includes taking by sale, negotiation, security interest, or any other voluntary transaction creating an interest in property.

In conclusion, while Lender has a valid, perfected security interest in Debtor's notes as proceeds, that interest may nevertheless be defeated by Bank. Bank may either assert that it is a holder in due course, or has a security interest in the notes under Article 4 or Article 9 which prevails over Lender's security interest in the notes as proceeds.

## ANSWER TO QUESTION #8

To determine who has the higher priority in the printing presses as between the Article 9 security interests of C and T, we must first characterize these interests.

The security interest which C took from D in July, 2001 terminated when D paid his obligation to C. However, C's financing statement evidencing this security interest has not been terminated, and therefore remains of record. Financing statements are effective for a period of five years. Therefore, the July, 2001 financing statement remains of record until July, 2006 if no termination statement is filed.

In November, 2001, C gave a second loan to D. In connection with this loan, D and C executed a security agreement granting C a security interest in all printing presses owned by D. C gave value, and D had rights in the collateral of the printing presses so that the security interest attached. The type of collateral is equipment, as the printing presses were used primarily by D in his business. This is not a purchase money security interest, as D already owned the collateral.

C makes no new filing to perfect the security interest created in November, 2001. C may nevertheless argue that the financing statement filed by him in July, 2001 is effective to perfect this interest, as the interest was created during the five year period in which the statement remains effective. However, the previous financing statement's description of the collateral merely as "equipment" may be inadequate. The description of collateral contained



within a financing statement must reasonably identify the collateral. T may argue that C's description does not reasonably identify the printing presses, as the debtor has a lot of equipment.

C may rebut T's argument by relying upon the description contained in the November, 2001 security agreement between C and D, which granted C a security interest in "all printing presses owned by D." Courts are more willing to allow an overly broad description in a financing statement than one in the security agreement itself. Courts require more narrow descriptions of the collateral within the security agreement itself so as to prevent fraud and collusion between the debtor and secured party in the agreement which creates the security interest.

By contrast, the financing statement acts merely as notice of the security agreement existing between the parties. An interested third party must contact the parties to determine the terms of the agreement, including what specific collateral is included. The Uniform Commercial Code provides that a financing statement sufficiently indicates the collateral it covers if the financing statement identifies the collateral by a type of collateral defined in the Code. C may argue that since "equipment" is a type of collateral defined in the Code, his description is therefore adequate.

If C prevails upon this argument, C's security interest in the printing presses was perfected by the July, 2001 filing. The time of perfection of the interest is November, 2001, when the interest attached to the collateral. A security interest must attach before it is capable of being perfected, so the July, 2001 filing could not perfect C's second security interest until the time of attachment in November, 2001.

The facts state that D gave T a security interest in all printing presses which he owned. Assuming that T's interest was created by a valid, authenticated security agreement (e.g., in writing, signed by D), T's interest attached because D had rights in the collateral, and T's interest was properly perfected by filing a financing statement in October, 2001. T and C therefore have security interests in the same collateral, all printing presses owned by D, and priority among these competing interests must be determined.

If C's security interest remained unperfected because the description of the collateral contained in the financing statement is overly broad and therefore ineffective, T's perfected security interest would prevail over C's unperfected interest, allowing T the higher priority in the printing presses. However, C's financing statement is adequate and therefore it perfects his interest in the printing presses. Therefore, C will prevail because he was the first party to file, in July, 2001. C will prevail over T despite the fact that T perfected his interest in October, 2001, prior to the perfection of C's interest upon its attachment to the collateral in November, 2001. The Code's rule allows a party to prevail when he is either first to file or first to perfect. C prevails because he files first, even though T perfects his interest during the interim when C's interest is unperfected.

T could have prevented this result by demanding that C terminate his July, 2001 financing statement at the time of the creation of T's security interest in October, 2001. By neglecting to demand this termination, T allowed the possibility for C to use the previously recorded financing statement to establish priority over him in the printing presses.

**ANSWER TO QUESTION #9**

To determine C Finance Company's interest in the garden tractor, we must examine whether it is included within C's security interest in D's present and after-acquired inventory. C gave value by making a large loan to D, the security interest attached because D had rights in the inventory possessed by him, and C's security interest was perfected. The garden tractor is proceeds, as it was received by D upon the disposition of D's inventory by the trade-in. Under Article 9, C's security interest in the garden tractor as proceeds attaches automatically, and is perfected automatically for a twenty day period. In this case, C's security interest continues to be perfected beyond the twenty day period because a security interest in this type of collateral would be filed in the same office as C has already filed. C therefore has an attached, perfected security interest in the garden tractor as proceeds.

To determine whether C is entitled to the garden tractor, we must examine what priority C has as the holder of an Article 9 security interest against B, the transferee of the garden tractor sold by D. B is a good faith purchaser for value, and took delivery of the tractor without knowledge of the security interests. This status protects him from only unperfected security interests. In this case, C holds a perfected security interest in the tractor as proceeds.

In order to take free of a perfected security interest as a good faith purchaser, B must establish that the debtor, D, received permission from the secured party, C, to sell the collateral. The facts indicate that D did not obtain such permission from C prior to the sale.

Alternatively, B may attempt to argue that he bought the tractor in the ordinary course of business from a seller dealing in goods of this kind, and is therefore entitled to take the tractor free of C's security interest. However, D is not in the business of selling garden tractors. B will probably be unable to assert that he is a buyer in the ordinary course of business so as to take free of C's security interest. B accordingly purchased the garden tractor subject to C's security interest in it. C is therefore entitled to the garden tractor.

**ANSWER TO QUESTION #10**

**As a buyer in the ordinary course of business, Purchaser should prevail in a replevin action brought by Owner to recover the cedar chest.**

Owner owned the cedar chest free and clear at the time Thief stole it from him. As the legitimate owner of the chest, Owner has a superior claim to the chest over all transferees of the collateral (the chest) except for Purchaser. This is due to the fact that Purchaser bought the chest with the status of a buyer in the ordinary course of business. Buyers in the ordinary course of business are given preferential status under the UCC. A buyer in the ordinary course of business is a person who in good faith and without knowledge that the sale to her is in violation of the ownership rights or security interest of a third party buys the goods from a person who is in the business of selling goods of that kind.

In this case, Purchaser purchased the chest from Dealer who was selling the chest within the ordinary scope of his business – buying and selling antiques. Furthermore, Purchaser was not aware that the chest had been stolen from Owner when she purchased it from

Dealer in Dealer's antique store. Therefore, Purchaser qualifies as a buyer in the ordinary course of business under the UCC.

As such, she is not required to return the chest to Owner, even though Owner was the rightful owner of the chest at the time it was stolen from her. Only Purchaser's status as a buyer in the ordinary course of business effectuates this result. If Purchaser did not have this special preferential status, Owner would prevail in a replevin action.

**Assuming Purchaser prevails in the replevin action, future payments on the installment sales contract should continue to be made to Dealer, not Bank, because Purchaser is a buyer in the ordinary course of business.**

A buyer in the ordinary course of business takes the goods purchased free and clear of a security interest created by the buyer's seller even if the security interest is perfected and even if the buyer knows of its existence, unless the secured party has perfected the security interest by taking possession of the goods.

In order to be a buyer in the ordinary course of business, a purchaser must buy the goods from a person in the ordinary course of that person's business, and must also buy in good faith and without knowledge that the sale violates the rights of another person in the goods.

Purchaser meets the requirements of a buyer in the ordinary course of business.

Dealer owns and operates an antique store. Therefore, selling a 17<sup>th</sup> century cedar chest falls within the ordinary course of Dealer's business – it is usual and customary practice for a seller of antiques to buy and resell antique chests.

Purchaser bought the chest without any knowledge that the sale violated another person's rights in the goods. Purchaser was not aware that the chest had been stolen from Owner.

As a buyer in the ordinary course of business, Purchaser is not subject to the security interest of Bank. Even though Bank perfected the security interest, it cannot require Purchaser to make further payments on the installment contract directly to Bank. Buyers in the ordinary course of business are given this special treatment under the UCC. If Purchaser were not a buyer in the ordinary course of business, as a secured party with a perfected security interest, Bank would have had the right to collect direct payments on the installment contract from Purchaser.



# TRUSTS & FUTURE INTERESTS QUESTIONS

## QUESTION #1

Smith, single and childless, spent much of his income from his real estate transactions supporting his disabled half-brother, Jones.

In January 1987, Smith, while competent, signed a written declaration of trust stating, in part:

"I, as trustee, am holding in trust:

(1) my promissory note, payable to myself as trustee, in the amount of \$ 0,000, and

(2) all profits to be earned from my real estate transactions during the period July 1 through December 31, 1987."

The trust instrument further provided that all income from the trust was to be paid to Jones for life and upon Jones' death, the income and corpus were to go to Brown. The trust instrument contained a spendthrift provision declaring that creditors could not reach either income or principal in the hands of the trustee. The declaration finally stated that if Smith ever became incompetent, then Bank was to be appointed trustee and one-half of Smith's then existing property not within the trust would be added to the trust.

On April 1, 1987, while competent, Smith revoked the declaration of trust.

On May 1, 1987, Smith sustained a serious brain injury. He was thereafter declared legally incompetent and ceased all business activities.

In 1988, Adams recovered a judgment in a tort action against Jones and Brown. The judgment is unsatisfied and Jones and Brown have no assets other than their interests, if any, in the trust. The conservator of Smith's estate asserts that there is no trust and that all assets of Smith are free of any trust.

What are Adams' rights, if any, with respect to any assets now held by Smith's conservator? Discuss.

## QUESTION #2

Abner died in 1987 leaving a will which created a valid testamentary trust for his wife, Carol. Abner's will appointed his brother, Bob, and his lawyer, Smart, trustees and authorized the trustees to buy land and to build and operate apartment houses. The will relieved the trustees from liability except for wilful and intentional breaches of duty.

In 1988 Bob and Smart decided to buy adjoining private homes, tear them down, and build an apartment house on the lots for the trust. Bob wanted to travel and told Smart that Smart should arrange to buy the homes. To avoid publicity and inflated prices, Smart asked Page, an employee of his law firm, to buy two homes.

Smart told Page the trust would buy the homes from Page for 110% of what Page paid for them. Page bought the homes for \$50,000, and Smart bought them from him for the trust for

\$55,000. When discussing the trust with Carol, Smart described the arrangement with Page. Carol made no comment.

An apartment house was built on the lots. Smart employed Brush to paint it for the trust. Smart and Brush disagreed about the quality of Brush's painting. Smart refused to pay Brush; Brush sued Smart. Smart acted as defense counsel and won the suit. Smart paid himself an attorney's fee of \$1,000 from trust funds for defending Brush's suit.

Carol consults you for legal advice and relates the above facts. What rights, if any, does Carol have against Bob or Smart? Discuss.

### QUESTION #3

Collins was trustee for Indolent under the will of his father. Indolent, a middle-aged doctor, took no part in the management of the trust fund, contenting himself with receiving the income paid him by the trustee. Among the assets of the trust were 100 shares of ABC Corporation and 100 shares of XYZ Corporation. About two years before the termination of the trust, Collins, at a fair price and after full explanation to, and without objection by, Indolent, bought from the trust the ABC stock. At the same time, but without saying anything to Indolent, Collins sold to himself the XYZ stock at a price in excess of its then market value. At the termination of the trust, both stocks had advanced in price well beyond the prices paid by Collins. Indolent demanded that Collins either account for this advance in price of both stocks, or replace them.

What are Indolent's rights? Explain.

### QUESTION #4

By a written trust instrument, Kirk transferred 200 shares of Capco stock to Burr, as trustee, to pay the income to Sue for her life with the remainder to Pack. The trust instrument also gave Burr a power of sale over the trust property. Thereafter the shares were registered by Capco in the name: "Burr, trustee for Sue and Pack." Kirk reserved no power to revoke or modify the trust.

Later, Kirk desired to regain control over the 200 shares but wanted to conceal his acquisition of control from the other Capco shareholders. Kirk directed Rob, a business associate who owed Kirk \$50,000, to pay this amount to Burr in return for the transfer of the shares to Rob.

Burr sold the stock for the \$50,000 to Rob because Burr knew Kirk wanted control of the stock and was settlor of the trust, although Burr was also aware that \$50,000 represented only half the value of the stock.

At Burr's direction, Capco registered the stock in the name of Rob. Kirk then informed Rob by letter that Rob was to hold the stock upon a secret trust for Kirk. In reply to Kirk, Rob stated that he was a bona fide purchaser for value and the beneficial owner of the stock. When Sue learned of the transfer she complained to Burr. To keep her quiet, Burr turned over to Sue the \$50,000 received from Rob.

Pack learned of the transfer of the Capco stock and the payment to Sue, and seeks your advice.

To what relief, if any, is Pack entitled:

- (A) against Kirk? Discuss.
- (B) against Burr? Discuss.
- (C) against Sue? Discuss.

## QUESTION #5

In 1982, Agatha loaned \$300,000 to her brother George. George died in 1985. His will provided that if Agatha forgave the \$300,000 debt, a \$300,000 trust would be created for her under his will (Trust #1). Agatha forgave this debt in exchange for the trust interest. Under this trust, Agatha receives the income for life, and upon her death the corpus is to be distributed to Betty, Agatha's daughter.

George's residuary estate passed into Trust #2 for the benefit of five named beneficiaries. Agatha was not named as a beneficiary of this trust.

Each of the trusts created by George's will contained a spendthrift provision stating that creditors could not reach income in the trustee's hands. Nancy, George's accountant, was designated trustee of Trust #1, and Agatha was designated trustee of Trust #2. Each trustee was authorized to sell trust assets.

In 1988, Agatha defaulted on a \$10,000 loan from John made in 1981. She relied on the spendthrift clause to shield her income interest in Trust #1 from John's claim for the debt. However, to discharge her debt, she offered to sell John 100 shares of T stock from the corpus of Trust #2 for \$10,000 less than its fair market value. John agreed and purchased the stock from Trust #2 on the offered terms.

In 1989, John gave the T stock to his nephew Larry as a wedding present. Larry had no notice of the prior transactions and still has possession of the T stock.

What are the rights and liabilities of John, Agatha, and Larry? Discuss.

## QUESTION #6

Found clutched in Tom's hand at his death was the following writing (which is reproduced in its entirety), all of which was in his own handwriting (except for the signatures of I. Ben Boastly and Polly South as witnesses):

"This is my will.

"I, Tom Thumb, give all my property to my friend and mentor, Sadie, for life; upon her death, the property shall be distributed to those children of hers who attain 35 years of age.

“In addition, I make a gift to Rockhard Bank as custodian under the Uniform Gift to Minors Act for the benefit of Sadie's child, Daffy. I hereby direct the bank to postpone distribution of this fund to Daffy until she attains 35.

“Witnesses:

“I. Ben Boastly

“Polly South”

After Tom's death, the following facts were developed:

- (a) The witnesses to Tom's will cannot be located.
- (b) Tom's estate consists of “Tomland,” a small truck farm where he had lived all his life.
- (c) The custodianship had a \$20,000 balance at Tom's death.
- (d) Tom was survived by his long-time friend, Sadie, and by Sadie's daughter, Daffy, then age 18.
- (e) An attorney representing the state argues Tom's will is “totally invalid” - he says, “no date, no signature, no witnesses” - and since Tom's parents, his brothers and sisters, and all of their children have predeceased Tom, the state “gets all of Tom's property.”
- (f) Daffy says she gets the \$20,000 in the custodianship immediately and gets the rest of Tom's property when Sadie dies.

Discuss the claims of the parties and how Tom's property is to be distributed.

## QUESTION #7

Sue died in 1958. Her will provided that all of her property should be held in trust according to the following terms:

“Will

- 1. During the lifetime of my sister, Barbara, the trustee shall pay to her all of the income of the trust, at least annually, if not more often.
- 2. Upon the death of Barbara, the trust shall terminate.
- 3. Upon termination of the trust, the trust property shall be distributed to those persons that Barbara shall select by provision in her will.”

Sue was survived by only her son, John, and Barbara. Barbara died in January 1983. Her properly executed will consisted entirely of the following provisions:

“Will

- 1. I give all of my property to Accumulation National Bank & Trust, as Trustee, on the following terms and conditions:
  - (a) During the continuance of the trust the trustees shall accumulate the trust income.



(b) The trust shall terminate thirty-five years after my death. Upon termination of the trust, the trust property shall be distributed *per stirpes* to the then living lineal descendants of my nephew, John.

2. I give nothing to my son, Mike, who has brought me much heartache.”

After Barbara's death, the following facts were developed:

- (1) Barbara was survived by her nephew, Sue's son John. At the time of Barbara's death, John had no children.
- (2) At the time of Barbara's death, Sue's trust had a value of \$100,000.
- (3) At the time of Barbara's death, her estate consisted of cash in the amount of \$20,000.
- (4) Barbara was survived not only by John, who was Sue's child, but also by Mike, who was Barbara's child. Mike says that he is entitled to the \$100,000 which was included in Sue's trust as well as the \$20,000 that his mother, Barbara, had in her estate at her death.

How should Sue's trust property and Barbara's estate be distributed?

## QUESTION #8

Tessie died on June 1, 1984, leaving a will which provided as follows:

- “1. I give my farm to Ace.
2. I give \$100,000 to the grandchildren of my brother, Ben, to be divided equally among those of them who reach 35.
3. I give nothing to my son, Charlie.”

At Tessie's death her estate consisted of the farm, the \$100,000 and 100 shares of Consumers Power common stock.

Ace was Tessie's long-time farm manager until his sudden death on May 25, 1984. He was survived by his child, Deuce, who claims Tessie's farm.

Ben, Tessie's brother, survived Tessie but presently has no children.

Charlie also survived his mother, Tessie, and claims all of her estate including the farm, the \$100,000, and the 100 shares of Consumers Power common stock.

Charlie's claim is disputed by Ben, Tessie's brother, who also claims all of Tessie's estate including the farm, the \$100,000, and the 100 shares of Consumers Power Common stock. All that Ben and Charlie agree on is that Ben's grandchildren and Ace's child Deuce take nothing.

How should Tessie's estate be distributed?

**QUESTION #9**

Grantor was wealthy, childless, and unmarried. Grantor created a revocable living trust and transferred assets to Trustee. The trust instrument directed Trustee “to pay the trust income to Grantor for life and upon her death, to pay the trust income to Grantor’s brother, Brother, for his life and, upon his death, to distribute the trust principal to Cousin’s children who attain age 21.”

Grantor died several years later without having modified or revoked the trust. Grantor was survived by Brother and Cousin.

When Grantor created the trust, Cousin was married to Wife and had a young child, Adam, from that marriage. Shortly after Grantor’s death, Cousin and Wife had another child, Ellen. Later, Cousin and Wife divorced, and Cousin married Second Wife. Cousin adopted Second Wife’s child, Doris, a minor. Doris presently lives with Cousin and Second Wife.

Brother has recently died survived by Cousin; Cousin’s child, Adam, age 22; and Ellen and Doris, both of whom are under the age of 21.

1. Does the trust violate the common-law Rule Against Perpetuities? Explain.
2. Assuming that the trust does not violate the common-law Rule Against Perpetuities, are Adam, Ellen, and Doris entitled to a share of the trust principal and when, if at all, would each be entitled to possession of that share? Explain.

# TRUSTS & FUTURE INTERESTS ANSWERS

## ANSWER TO QUESTION #1

Adams' ability to seek satisfaction of the judgment against Jones and Brown from property held by Smith's conservator depends on (1) whether there was ever a valid trust; (2) if there was a valid trust, was it properly revoked so that the trust ceased to exist when Brown obtained his judgment; and (3) if there was a valid trust when Brown obtained the judgment, whether the spendthrift provisions prevent satisfying the judgment from trust property.

It is unlikely a court would find a valid trust was ever created. In signing the purported trust instrument, Smith did comply with most of the requirements of a trust. He had the capacity to create a trust. The trust was created for a valid purpose. The beneficiaries, both the life beneficiary and the remainder beneficiary, were clearly ascertainable. There was a writing to document the trust, which is necessary in a self-declaratory trust such as this to show delivery to the trustee. It is also necessary if the local statute of frauds requires a writing for either the promissory note or the future profits. It would also appear that Smith had the intent to create a trust, but it is questionable if he actually had the present intent necessary.

However, the validity of the trust is questionable since the trust property does not yet exist. For a trust to be valid the property must be ascertainable at the time the trust is created so that the property can be transferred. In this case the property is not ascertainable. The future earnings on real estate transactions do not exist yet. Furthermore, while a contract right such as a promissory note held by the settlor can be the corpus of a trust, a promissory note made by the settlor is merely a promise to fund the trust in the future. A promise to fund a trust in the future creates a valid trust only when the promise is supported by consideration. There is no consideration indicated here. Therefore, there is probably no valid trust.

Even if a court found the trust was valid, Adams might not be able to collect because the trust may have been revoked. Whether the trust was properly revoked depends on (1) if Smith retained the power to revoke the trust in the trust instrument, and (2) if Smith did not explicitly retain the power to revoke, whether the state presumes that trusts are revocable or irrevocable. If Smith retained the power to revoke, and followed the method set forth in the trust document, the trust was revoked and Brown could not attach the assets. If Smith did not retain the power to revoke, and the state presumes that trusts are revocable, the trust would still be revoked and Brown would not be able to attach the trust assets. If, however, Smith did not retain the power to revoke, and the state presumes that trusts are irrevocable, Smith would not have been able to revoke the trust without first going to court to get reformation of the trust. The question does not indicate such was done, and given the short time period described in the question it seems unlikely that such legal action was taken. Therefore, if the power were not retained, and the state presumed irrevocability, the revocation would be ineffective.

If the trust is valid, it could be funded only by the promissory note and the provision for one-half of Smith's assets at the time he became incompetent. The future real estate earnings were never earned. However, the promissory note, which would have to be paid by Smith's conservator, is to be paid directly into the trust and not to Jones or Brown. The remaining

assets, if they were sufficiently ascertainable to constitute trust property, would also be paid directly into the trust, with the bank as trustee, and not to Jones or Brown. Therefore, whether Adams could attach any of the property held by the conservator, which if the trust is valid is actually trust property, depends on the terms of the trust.

If the trust is valid, and property held by the conservator belongs in the trust, Adams still would not be able to attach the entire income and corpus of the trust. The trust contained a spendthrift clause. Such a clause protects the corpus from the beneficiary's creditors. Adams would not be able to attach any income until it was paid to Jones. Adams would not be able to reach Brown's interest until after Jones died, and Brown received the corpus of the trust.

Therefore, if the trust was never valid, or was properly revoked, all property held by Smith's conservator is held free of trust and cannot be reached by Adams. If the trust is valid, the property held by Smith's conservator must be paid directly into the trust, and can be reached by Adams only in compliance with the spendthrift provisions to satisfy the judgment against Jones, and only after Jones' death to satisfy the judgment against Brown.

## ANSWER TO QUESTION #2

### Carol v. Smart

(a) Purchase of private homes. Carol may have an action in damages against Smart for the contract he made with Page to purchase the homes, depending on (1) whether Smart delegated a nondelegable duty to an employee, and (2) whether the transaction involved a conflict of interest between Smart's duty to the trust and his duty to his law firm.

A trustee may not delegate duties he or she would normally be expected to do, such as purchasing property for the trust. Smart possibly could have delegated purchase of the homes if there were extenuating circumstances such as a need for anonymity in order to avoid escalation of the selling price. Depending on any extenuating facts brought out at trial, the court could find that if the particular homes were specified by Smart, and Page's discretion was strictly limited, the purchase was a delegable duty.

However, even if the delegation were proper, the agreement to pay Page a profit would probably be deemed a breach of Smart's duty of loyalty and a breach of the prudent person rule. First, a trustee has a duty to invest in such a manner as to maximize the profits for the trust and to minimize the expenses. Smart's contract with Page actually provided a disincentive to Page to get the lowest possible price. Further, assuming that Smart was hired in his capacity as an attorney, he should not have had to pay any profit to Page, since Page as an attorney in the same firm was already compensated by his salary for any duties performed for the trust.

Second, if Smart hired Page in Page's capacity as an attorney, and therefore paid the fee into the law firm account, Smart has breached his duty of loyalty. A trustee has a duty to avoid conflicts between his own interests and those of the trust, and must not enter into transactions with the trust to the benefit of the trustee and the detriment of the trust. By paying the law firm the extra 10% of the price of the houses for Page's services, Smart has paid money that should not have been paid, to the detriment of the trust. However, the payments benefit the firm, and by extension Smart. He has therefore breached his duty of loyalty.

Smart may assert the defense that the trust instrument absolves him of all liability except for wilful or intentional breaches, but the court will decide whether it will permit the trust's standard to stand. He may also assert Carol's apparent compliance with his actions. Whether this defense is successful depends on whether a court finds Carol's silence to be compliance.

(b) Attorney's fees. A trustee who is a lawyer may charge a reasonable fee for services to the trust. In this case, Smart was sued individually and technically provided the services to himself. However, the suit was as a result of Smart's position as trustee, and had he lost, he would have been able to look to the trust for reimbursement of any judgment against him. He did not lose, but is still entitled to reimbursement for reasonable attorney's fees. Whether the fees are reasonable depends on the amount of time the case took, the risk involved, the complexity of the case and how much attorneys in his area generally charge for a matter such as this.

#### Carol v. Bob

Carol may have an action against Bob for breach of duty as co-trustee if it was unreasonable for Bob to be absent while Smart was purchasing the homes and defending the suit. Co-trustees share equally in trust duties; however, a co-trustee may delegate duties in certain circumstances. The court must examine whether Bob had knowledge of Smart's ability to handle trust duties. Bob may assert the defense that the trust relieves him of liability except in the case of wilful or intentional breaches. The court must determine whether the facts absolve Bob under the trust's standard for liability and whether the court will impose a different standard.

### **ANSWER TO QUESTION #3**

Collins may have violated a variety of his duties as trustee in purchasing both the ABC stock and the XYZ stock.

The trust for which Collins was responsible was an express testamentary trust. Collins had legal title as trustee while Indolent had equitable title. As trustee, Collins would generally have the power to sell and transfer trust property. However, the trustee is a fiduciary who owes a duty of loyalty and the utmost good faith in matters pertaining to the trust. He must avoid conflicts between his own interests and those of the trust, and he must not enter into transactions with the trust in his individual capacity unless the trust instrument authorizes him to do so, or he receives the permission of the court or the consent of the beneficiary.

It is true that when Collins purchased the ABC stock from the trust, he paid a fair price after giving Indolent a full explanation and Indolent did not object. A court would first have to determine whether Indolent's lack of objection was actually consent. Moreover, because of the rise of stock price after the sale, the trust estate lost out on what would have been a major profit. Collins violated his duty of loyalty because of his self dealing in the ABC stock, but that breach may be excused because Collins had the permission of the beneficiary to purchase the stock after full disclosure.

In the second instance - the sale of the XYZ stock - Collins breached the trustee's duty of loyalty and good faith: he purchased the stock without Indolent's permission. Collins will be

held liable for the profits the trust would have made if he had kept the stock, even though he paid a fair price when he purchased the stock.

#### ANSWER TO QUESTION #4

(A) *Pack v. Kirk*. If Kirk or Rob is now the beneficial owner of the stock, Pack may have the court impose a constructive trust on the shares for conveyance back to the trust.

Kirk retained no power to revoke or modify the trust, and his attempt to reacquire the Capco shares (the trust res) constituted a fraud upon the income beneficiary (Sue) and the remainderman (Pack). It is unclear from the facts whether Rob knew Kirk's intent when Kirk directed Rob to pay \$50,000 to Burr in exchange for the 200 shares. However, Rob should have known he was acquiring the stock for one-half its fair market value of \$100,000 in discharge of his \$50,000 debt. Thus, Rob should have known the transaction was fraudulent. Kirk's letter to Rob proves Kirk's fraudulent intent to reacquire control of the stock. Rob denied the existence of a secret trust. If Rob in fact had intended at the time of the transaction to conspire with Kirk to defraud the trust, then Rob cannot be the beneficial owner of the stock now registered in his name. He also is not a bona fide purchaser because he did not give value. Thus, a constructive trust may be imposed on the shares for conveyance back to the trust based on Kirk's and Rob's fraudulent transaction.

(B) *Pack v. Burr*. Pack has a cause of action against Burr as trustee for breach of duty of loyalty and good faith and breach of duty to preserve trust property. Burr is liable for any loss sustained by the trust.

A trustee's power of sale does not encompass sale of trust property to the disadvantage of the beneficiaries. Burr had a duty to place the interests of the trust above his own or the settlor's (here, Kirk's desire to reacquire the stock). Burr failed to preserve trust property for both the income beneficiary and remainderman, and, therefore, a constructive trust will be imposed on the stock if the purchaser had actual or constructive notice of the breach of trust involved in the transaction. However, in a suit against Burr, the return of the stock is not an option since Burr no longer has the stock. Burr will, therefore, be held liable for any loss to the trust.

(C) *Pack v. Sue*. Under the Restatement, a beneficiary who consents to a breach by the trustee of the trustee's duty, and who profits thereby to the detriment of other beneficiaries, is liable for the loss suffered by the other beneficiaries. Sue clearly had the knowledge of Burr's breach of duty of loyalty and breach of duty to preserve trust property, and she accepted trust property in exchange for her silence. Therefore, a constructive trust will follow the \$50,000 she received, and Sue will be required to convey the money back to the trust.

#### ANSWER TO QUESTION #5

Agatha has breached her fiduciary duty of loyalty as trustee of Trust #2, and she is liable to the five beneficiaries for any loss. Agatha properly relied on the spendthrift provision of Trust #1 to shield her income interest from her creditor John. As long as Nancy, the trustee of Trust #1, does not distribute income to Agatha, John may not reach that income.

However, when Agatha sold assets of Trust #2 for the purpose of discharging her debt to John, she used the assets for her own purposes rather than for the good of the trust. A trustee whose self-interest conflicts with the interests of the trust is guilty of self-dealing and bad faith breach of duty of loyalty. Agatha had the authority to sell trust assets, but only for the benefit of the trust. Agatha must now account to the trust for the loss of the stock which was sold at far less than market value.

John may be guilty of fraud on the beneficiaries if he knew the stock was an asset of a trust, Agatha improperly sold the stock, and neither the court nor the beneficiaries would approve of the sale at the price agreed upon by Agatha and John. In such a case, the beneficiaries could ask the court to set aside the sale; however, the stock has passed to Larry by gift.

John appears to have made an irrevocable gift to Larry. If John had the present donative intent to transfer ownership of the stock and delivered it to Larry who accepted it, the gift is absolute. Larry holds legal title to the shares if he received the shares and his name appears on the certificates. (Some jurisdictions require the entry of the donee's name in the corporate records.) Nevertheless, in a gift situation, the transferee gets no better rights than transferor. Thus, the stock may be recovered by the beneficiaries.

## ANSWER TO QUESTION #6

(1) Since Daffy is 18, she is entitled to the balance in the custodianship immediately.

Custodianships are statutory creations; the terms of the custodianship cannot be varied by any person, even the person who established the custodianship.

The Uniform Gifts to Minors Act provides that the custodianships terminate when the "minor" for whom the custodianship has been established attains majority, usually 18 years of age. Under the new Uniform Transfers to Minor's Act, however, because the transfer was made by will, the custodian will hold Daffy's property for her until she reaches age 21.

(2) Tom's will is valid.

While the will is entirely in the handwriting of Tom, it is not subject to the rules applicable to holographic wills. The holographic rules are inapplicable because the will was witnessed, and in many states witnessed wills need not be dated or signed at the end.

As to signature, the rule in most states is that any visible impression intended by the maker to constitute a signature is adequate without regard to the location of the signature. However, an argument can be made that a person cannot "sign" a document before it is written. There are recent cases that reach this alternate conclusion in holding the will was not properly signed.

Some states require that wills - both ordinary and holographic - be signed at the end.

The fact that the witnesses cannot be found is irrelevant. Most states presume that if the witnesses cannot be located after diligent search and effort that the will was executed in all particulars as required by law if all of the other requirements are met.

(3) The gift to Sadie in the will is valid, but the gift of the remainder to Sadie's children who attain 35 **fails** because it violates the rule against perpetuities.

The common statement of the “rule” is that “[n]o interest is good unless it must vest not later than 21 years after some life or lives in being at the creation of the interest.” The rule concerns itself with possibilities. The rule is violated if there is **any possibility** that the interest will not vest within the period of the rule.

The gift to Sadie's children will not vest within the period of the rule because there is a possibility that:

- (1) Sadie could give birth to another child (the “afterborn child”),
- (2) Sadie could die at any time before the afterborn child reaches 14 (35 minus 21),
- (3) Daffy could die at any time before the afterborn child reaches 14;
- (4) Sadie could adopt a child;
- (5) Under those circumstances, the remainder interest would ultimately vest in Sadie's afterborn child “more than 21 years” after the death of Sadie, who was “a life in being at the creation of the interest.”

There were no “measuring” lives here. While Sadie was in being at the creation of the interest, the interest being challenged could **possibly** vest more than 21 years after the death of Sadie, and, for that reason, the interest is void. It could be argued that Sadie is a measuring life since a devise to Sadie's children who reach 21 would have been good.

Daffy's interest in the remainder is also invalid since the gift is to a class of persons consisting of Sadie's children. Since it is a class gift, the gift to Daffy is invalid because of the “bad as to one, bad as to all” members of the class principle. This is also called the “all or nothing rule.”

(4) The remainder interest in Tom's property passes by intestacy. Thus the **remainder interest** in Tom's property **escheats** to the state after Sadie's death, if the state's intestacy statute limits “heirs” to parents, children, brothers, and sisters.

## ANSWER TO QUESTION #7

Barbara's trust for John's lineal descendants is invalid (void) under the common law Rule Against Perpetuities, inasmuch as the ultimate takers of the property would not be determined within 21 years of Barbara's death. It would be valid under the new statutory Rule Against Perpetuities.

- (1) John is not a measuring life and there are no other measuring lives.
- (2) Vesting is tied to a period of years. In such a case, the only question is will the interest vest within 21 years of creation of the interest (Barbara's death)?
  - (a) The rule deals in possibilities.
    - (1) Position yourself at Barbara's death.
    - (2) Ask yourself whether there is any possibility that the interest might vest more than 21 years after lives in being at the creation of the interest?



(3) The answer is an obvious “yes” inasmuch as John might die 13 years after Barbara and the trust would go on for 22 more years (“more than 21 years after some life or lives in being at the creation of the interest”).

(4) Why is “vesting” tied to John's life? It isn't! Vesting is not tied to any lives. In such a case, the Rule requires the interest to vest within 21 years of the creation of the interest (without regard to so-called measuring lives).

(3) The new statutory Rule Against Perpetuities incorporated into the Uniform Probate Code allows 90 years after its creation for an interest to vest. Barbara's will clearly states that the interest will vest within the 90-year period, so the gift would be allowed. If John has no lineal descendants when the trust terminates, the property would pass according to the intestacy rules.

Mike will take Barbara's \$20,000 to the exclusion of John inasmuch as Barbara died intestate.

(1) In most states, Barbara's attempt to disinherit Mike will be ineffective inasmuch as you cannot disinherit by fiat.

(a) Mike could be disinherited only if Barbara had made a complete disposition of her property.

In most states John would take the \$100,000 in Sue's trust. However, in some states Mike will take the \$100,000 in Sue's trust.

The answer to the question turns on the resolution to two questions.

(1) The first question is whether a general residuary clause in Barbara's will is effective to exercise a power of appointment given her in Sue's trust.

(a) At common law a general residuary clause is not effective to exercise a power of appointment. See *Powell & Rohan, Real Property*, §397, at 378.31. Thus, if the common law applies, Sue's trust property is not disposed of by Barbara's will.

(b) On the other hand, a number of states have changed the common-law presumption. Such states provide that if there is a general power exercisable by will with no express gift in default in the creating instrument, a residuary clause or other general language in the donee's will purporting to dispose of all of the donee's estate or property operates to exercise the power.

In these states Barbara will be deemed to have effectively exercised the power given her in Sue's will.

(2) The second question relates to the doctrine of “capture.”

(a) If a general residuary clause is effective to exercise a general power, arguably, Barbara could be deemed to have “captured” (exercised dominion and control over) Sue's trust property by her attempted exercise of the power of appointment. See, e.g., *Talbot v. Riggs*, 287 Mass. 144; 191 N.E. 360 (1934), *Restatement, Property*, §365(2).

(1) *Powell & Rohan, Real Property*, §400, at 378.60:

“When, however, the donee of a general power appoints to a trustee, it is fair to infer that he thereby withdraws the appointive assets from the donor's control and eliminates the interests

of the possible takers in default. If, then, there is any failure of the attempted beneficial interests under the trust, a resulting trust in favor of the donee, the settlor of such trust, is created.”

(2) If Barbara's “capture” is effective, then Sue's trust property will pass as a part of Barbara's intestate property (to Mike).

(b) If Barbara has not successfully “captured” Sue's property by her ineffective exercise of the power of appointment Sue provided her, Sue's trust property is considered a reversion which passes by intestacy to John at Sue's death in 1958.

(1) As in the case of all future interests, John's time of enjoyment has been postponed until Barbara's death and the extinguishment of her life estate in Sue's trust.

## ANSWER TO QUESTION #8

**Gift of Farm to Ace.** Neither Ace nor Deuce is entitled to Tessie's farm. The gift of the farm is deemed to have lapsed at common law and the anti-lapse statute in most states will not resurrect or “save” the gift for Deuce. The statute does not apply because Ace (Tessie's farm manager) is not in the proper relationship to Tessie. For the statute to apply, the devisee must be a lineal descendant of one of Tessie's grandparents.

The anti-lapse statute in some states is broad enough that it includes gifts to nonrelatives. In those states, the gift to Ace would devolve to Deuce.

**Gift of \$100,000 to Ben's grandchildren who attain 35.** The gift of \$100,000 to those of Ben's grandchildren who attain 35 is void under the common law Rule Against Perpetuities because one of Ben's grandchildren may attain 35 more than 21 years after some life or lives in being at the time of Tessie's death.

The Rule Against Perpetuities is applicable because this is a class gift and all class gifts are subject to the rule. The “all or nothing” rule applies to class gifts under the common-law Rule Against Perpetuities; if the interest of any potential member of the class might vest too remotely, the entire class gift is invalid.

(a) The common-law rule in its classic formulation provides that “no interest is good unless it must vest if at all not later than 21 years after some life or lives in being at the creation of the interest.”

(1) For an interest to be valid under the rule the court must be able to say with absolute certainty, as of the date of Tessie's death, that the ultimate takers of the gift to the grandchildren of Ben will be determined within the period of the rule.

(2) Ben has no children presently. After Tessie's death Ben could have a child, Buck; Ben could then die; Buck could live on and have a child, Bullet, who would not necessarily attain 35 within some life or lives in being at Tessie's death when the interest was created.

(3) Why tie vesting to Ben or Tessie's life? We are not tying vesting to Ben or Tessie's life. We are merely pointing out that vesting must be guaranteed to occur within some life or lives in being at the creation of the interest and *there are not such lives in this example*.

(b) The gift might be allowed under the new statutory Rule Against Perpetuities recently adopted in the Uniform Probate Code. That statute allows (1) 90 years for an interest to vest and (2) deferred reformation of the creating document.

(1) The UPC “wait and see” provision allows the court to actually wait until the end of the 90-year period to see if the interest will vest. Although Ben has no children now, he may still have a 35-year-old grandchild within the 90-year period.

(2) The waiting period, however, still allows the possibility that not all of Ben's grandchildren would reach 35 within 90 years. The UPC allows an interested person to petition the court for reformation of a class gift that might become invalid under the statutory rule, when the time has arrived when the share of any class member is to take effect in possession or enjoyment. Therefore, if Bullet reaches 35 within the 90-year waiting period, he could petition the court to reform the will to allow distribution of the \$100,000 at that time.

**No Gift to Charlie.** In most states, Tessie cannot disinherit Charlie by fiat. She can only do so by making a complete disposition of her property. This, she did not do. Accordingly, Charlie not only takes the 100 shares of Consumers Power stock, but also the farm if the gift to Ace lapsed and the \$100,000 if the gift to Ben's grandchildren is void.

## ANSWER TO QUESTION #9

### 1. The trust does not violate the common law Rule Against Perpetuities

The common law Rule Against Perpetuities applies to all nonreversionary future interests (all interests that do not revert to the grantor) and provides that an interest in a trust must be certain to either vest or fail to vest within 21 years after the end of some life that is in being at the time of the creation of the interest, or it will be invalid.

The first step in analyzing whether an interest violates the common law Rule is to determine the starting point of the rule period – the time of the creation of the interest. An interest is created when the property it concerns is no longer freely alienable by any party.

In this case, Grantor has created an inter vivos revocable trust. When property is placed in a revocable trust, the period does not begin until the power of revocation is terminated either by the exercise of the power of revocation, or upon the death of the settlor. According to the facts, Grantor never modified the trust or exercised the power of revocation. Therefore, the time of the creation of the interest is at the death of Grantor.

Once the time of the creation of the interest is determined, the next step is to determine whether there exist any lives in being (measuring lives) at the time of the creation of the interest. All future nonreversionary interests must definitively vest or fail to vest within 21 years of the end of a life that is in being at the time of the creation of the interest.

In this case, both Brother and Cousin survive Grantor. Therefore, both of them are lives in being at the time of the creation of the interest and can be used as measuring lives.

After the measuring lives are ascertained, each nonreversionary interest must be evaluated in order to determine if it either vests or fails to vest within 21 years after the

end of a life in being at the time of the creation of the trust. If any of the interests do not vest or fail to vest within the statutory period, the trust violates the common law Rule Against Perpetuities.

Brother's interest under the trust was a vested remainder as he was alive at the time that the trust was created and he had a certain right to take possession of the trust income with a life interest as soon as Grantor's interest terminated upon his death.

The gift that must be closely evaluated in terms of the common law Rule Against Perpetuities is the gift of the trust principal to "Cousin's children who attain age 21." This is a class gift. A class gift is a gift to be equally divided amongst a group of unnamed individuals who all have the same relationship to the grantor and where the membership of the group may change after the creation of the interest. Again, the time of the creation of the interest is upon the death of Grantor. An appropriate measuring life to use for purposes of the Rule is Cousin, the father of all members of the class of "Cousin's children who attain the age 21."

The effect of the common law Rule Against Perpetuities on class gifts can be quite severe. If the Rule could be violated by any potential member of the class, then the entire class gift is void. In order for the remainder interest in the trust principal to vest within the statutory period, all members of the class of Cousin's children must be at least 21 years old at the time of the death of their father, Cousin, the measuring life.

As every possible member of the class of Cousin's children naturally must be ascertained at the time of Cousin's death, all possible members of this class shall attain the age of 21 with the statutory period of 21 years. Therefore, the future interest class gift to "Cousin's children who attain age 21" is valid and the trust does not violate the common law Rule Against Perpetuities.

2. **Adam, Ellen, and Doris are entitled to their 1/3 share of the trust principal upon their reaching the age of 21, respectively.** Since all of the interests of every conceivable member of the class of Cousin's children must vest within the statutory period of 21 years, the gift of the trust principal is valid. At the time of Brother's death, Cousin's children are: Adam (age 22); Ellen (under the age of 21); and Doris (under the age of 21).

Adam has a vested remainder interest because he has met the condition precedent to taking the interest: he has attained the age of 21. Both Ellen and Doris have contingent remainder interests because they have not yet attained the age of 21. They will each have vested remainders when they turn 21.

However, because Cousin is still alive, the class is subject to open, as the law presumes that a person may conceive children up to the moment of death. Therefore, Adam has a vested remainder subject to open (partial divestment) since it is possible that there are yet unascertainable members of the class of "Cousin's children who attain the age of 21." Once Ellen and Doris attain the age of 21, they will also hold vested remainders subject to open. This will be the case until Cousin dies, and therefore, is incapable of having additional children who may join the class.

As a general rule, courts will employ what is called the “rule of convenience” which states that a class closes at the time that any member of the class has a right to distribution of his share. Therefore, since Adam has a vested interest and right to his share of the trust principal upon the death of Brother, the class will be closed by the court upon the death of Brother, and only Adam, Ellen, and Doris can ever share in the gift, even if Cousin has children born subsequent to the death of Brother. Any subsequently born children will be excluded from the class.

Adam is immediately entitled to his  $\frac{1}{3}$  share of the trust principal since he is vested. Both Ellen and Doris will be entitled to possession of their  $\frac{1}{3}$  share of the trust principal when they each turn 21, respectively.

**\*Note:** Although stepchildren of a designated individual are excluded from gifts to “the children” of the individual, the adopted children of an individual who have lived with the designated individual either before or after the adoption and while a minor, are included in such gifts. Since Cousin adopted his stepchild, Doris, and Doris currently lives with Cousin, she qualifies as a child of Cousin for purposes of determining the class of Cousin’s children.



## PREFACE

This publication includes the questions and analyses from the February 2001, July 2001, February 2002, and July 2002 Multistate Essay Examinations. Each test includes seven questions; most jurisdictions that use the MEE select the six questions their applicants will answer.

The model analyses to the MEE are illustrative of the discussions that might appear in excellent answers to the questions. They are provided to the user jurisdictions for the sole purpose of assisting graders in grading the examination. These model analyses are not an official grading guide. Some jurisdictions grade the MEE on the basis of state law, and jurisdictions are free to modify the analyses as they wish, including the suggested weights given to particular points. Grading of the MEE is the exclusive responsibility of the jurisdiction using the MEE as part of its admissions process.

Instructions for answering MEE questions are as follows:

Do not break the seal on this booklet until you are told to begin.

You will have three hours in which to write your answers to six of the seven questions contained in this booklet; you will be told which of the questions you are to answer. Each question is designed to be answered in thirty minutes. There will be no break once the formal testing session begins. You may answer the questions in any order you wish. Do not answer more than one question in each answer booklet. If you make a mistake or wish to revise your answer, simply draw a line through the material you wish to delete.

Read each fact situation very carefully and do not assume facts which are not given in the question. Do not assume that each question covers only a single area of the law; some of the questions may cover more than one of the areas you are responsible for knowing.

Demonstrate your ability to reason and analyze. Each of your answers should show: an understanding of the facts; a recognition of the issues included; the applicable principles of law; and the reasoning by which you arrive at your conclusion. The value of your answer depends not as much upon your conclusion as upon the presence and quality of the elements mentioned above.

Clarity and conciseness are important, but make your answer complete. Do not volunteer irrelevant or immaterial information.

Some jurisdictions instruct applicants to answer MEE questions according to the law of the jurisdiction. Absent such an instruction, you should answer the questions by applying fundamental legal principles rather than local case or local statutory law.





# **FEBRUARY 2001 MULTISTATE ESSAY EXAM**

## **QUESTION 1**

Testator's last will included the following four dispositive provisions:

1. I leave my family portrait painted by Painter to my sister, Susan.
2. I leave \$100,000 each to my child Leslie, my child Doris, and my wife, Wendy.
3. I leave \$40,000 to my brother, Ben, and direct that my stamp collection be sold to satisfy this bequest.
4. I leave the balance of my estate to the trustees of my alma mater, University.

Testator's will was signed by Testator and witnessed by Testator's brother, Ben, and by Testator's accountant, Aaron.

Two years after the will was executed, Testator and Wendy divorced. As a result of their property settlement agreement incident to that divorce, Testator transferred \$200,000 to Wendy. That agreement imposed no further obligations on Testator.

Testator never remarried. Three years after the divorce, Testator died a domiciliary of State A. He was survived by Leslie and Doris, his only heirs, and the other individual devisees named in his will. Testator's estate consisted of the family portrait valued at \$2,000, the stamp collection valued at \$20,000, and \$110,000 on deposit at a local bank.

State A law provides that a will must be signed by the testator and witnessed by two witnesses.

How should Testator's estate of \$132,000 be distributed? Explain.

**QUESTION 2**

Three siblings, Andrew, Brenda, and Charles, are equal partners in ABC Partnership, a general partnership, which owns and operates a 2,000-acre farm. ABC does not have a written partnership agreement. The three partners meet periodically to discuss ABC's business but do not hold formal partnership meetings.

Andrew lives on the farm and manages its day-to-day operations. Neither Brenda nor Charles lives on the farm. Brenda owns an accounting business in town and helps keep ABC's books and records. Charles has an irrigation business in town and helps maintain ABC's irrigation system.

Andrew spent \$10,000 to purchase a disease-resistant hybrid seed for the farm. Ordinary seed would have cost \$6,000. Andrew purchased the seed in ABC's name, but the \$7,000 down payment for the seed was made using his own funds. Charles believes Andrew wasted money on this expensive seed because the balance of the purchase price (\$4,000) is due in a month, and ABC does not have sufficient funds to pay the bill. Brenda and Charles never authorized Andrew to buy the more expensive seed and did not ask him to advance his own money for the down payment.

Andrew spends about twice as much time as his siblings conducting ABC business. Andrew has demanded that ABC pay him for the value of his services.

Andrew entered into a written agreement with XYZ Farms to swap 500 acres of ABC cropland for 1,000 acres of woodland owned by XYZ that Andrew thinks ABC could divide and develop for a residential subdivision. Charles disagrees with Andrew's plan and is upset that any land would be sold, since in the 50 years that the farm has been operated by the partners' family, no land has ever been transferred. Andrew defends the swap saying, truthfully, that he and Brenda had agreed to the transaction after all three partners had discussed it.

1. Is Charles liable for any part of the unpaid balance on the seed? Explain.
2. Is Andrew entitled to reimbursement from the partnership or the partners for the down payment he made on the seed? Explain.
3. Is Andrew entitled to be paid for the value of all or part of his services to ABC? Explain.
4. Is the land swap agreement with XYZ Farms binding on ABC? Explain.

**QUESTION 3**

Maker and Neighbor own adjacent properties. For several years, Maker deposited leaves and grass clippings in a compost pile located in Neighbor's yard without Neighbor's permission. After a number of unsuccessful efforts to convince Maker to remove the compost pile, Neighbor sued Maker for trespass.

In settlement of the suit, Maker agreed to remove the compost pile and to give Neighbor a promissory note for \$1,000, payable on demand. Neighbor dismissed the lawsuit and, at the same time, Maker prepared, signed, and delivered to Neighbor a document that contained the following and nothing more:

In promise to pay \$1,000 to the order of Neighbor.

/s/Maker

Neighbor, who owed Bank an overdue debt of \$900, got Bank to agree to accept Maker's note in full satisfaction of the overdue debt. Without notice to Maker, Neighbor wrote on the back of the note, "Pay to the order of Bank," signed it, and delivered it to Bank. Bank thereupon canceled the debt owed to it by Neighbor.

The following week, Maker removed the compost pile. At that time, Neighbor approached Maker and without presenting the note said, "I'm here to collect my \$1,000." Maker, unaware of the transaction between Neighbor and Bank, paid Neighbor \$1,000.

A few days later, Bank presented the note to Maker and demanded that Maker pay Bank \$1,000. Maker refused to pay telling Bank that he had already paid Neighbor the \$1,000.

1. Was Maker obligated to pay Neighbor when Neighbor when Neighbor demanded payment? Explain.
2. Was Maker obligated to pay Bank when Bank demanded payment? Explain.

**QUESTION 4**

Soon after Daughter was born to Father and Mother, Father was killed in an automobile accident. Mother found the economic pressures and time restraints of single parenthood overwhelming, and she began to drink heavily. Mother's friend, Caretaker, a childless widow making a comfortable living, began to help Mother financially and with frequent babysitting.

After a few months, Mother asked Caretaker if she would keep Daughter full time until Mother got her life back together. Caretaker agreed, and for the next four years Daughter lived with Caretaker. Mother, who had a serious alcohol problem and could not keep a job, visited Daughter only twice and contributed no money towards Daughter's support.

Six months ago, Mother joined Alcoholics Anonymous. Since that time, she has been sober, has found steady work, and has begun visiting Daughter more often. She wants Daughter, now five years old, to come back to live with her and insists that she never intended to relinquish Daughter to Caretaker permanently.

Caretaker, to whom Daughter is closely attached, has refused to return her. She believes that it is in Daughter's best interest to remain with her, because she and Daughter have a stable relationship and Caretaker is the only mother figure Daughter knows. A qualified child psychologist has evaluated Daughter and her relationships with Caretaker and Mother. The psychologist would testify that: (1) Daughter is bonded to Caretaker, who has become Daughter's psychological mother; (2) Daughter recognizes Mother and is not afraid of her but does not have a child-parent relationship with her; and (3) if Daughter were separated from Caretaker, she would certainly suffer short-term emotional harm and might suffer permanent emotional damage.

This jurisdiction's adoption statutes provide that a child cannot be adopted without the mother's consent unless the mother has abandoned the child. Caretaker has filed a petition to adopt Daughter, alleging that Mother had abandoned Daughter. In the alternative, Caretaker's petition seeks custody of Daughter. Finally, the petition asks for visitation rights in the event the requests for adoption and custody are denied. Mother opposes Caretaker's petition in all respects.

How should the court rule on Caretaker's petition? Explain.

**QUESTION 5**

Victim, a resident of State A, suffered personal injuries in a fall that occurred when she was exiting a tour bus operated by Bus, Inc., a company incorporated under the laws of State B with its principal place of business in State B. At the time of the injury, Victim and other tour guests were sightseeing in State A.

Victim filed a complaint against Bus in federal district court in State B. The complaint alleged negligence and requested damages in the amount of \$100,000 for Victim's medical expenses, lost wages, and pain and suffering. In its answer, Bus denied that it was negligent.

The federal district court in State B requires the initial disclosure provided for by Federal Rule of Civil Procedure 26(a)(1).

After the pleadings closed and the deadline for initial disclosure of documents had passed, the parties engaged in formal discovery for several months. At no time during discovery did either party request or produce the tour ticket or any copy of it.

The federal district judge called a pretrial conference, ordering both counsel and litigants to appear "to discuss further scheduling and the possibility of settlement." No corporate representative of Bus attended the conference. When the judge raised the question of settlement and asked why no representative of Bus had appeared as required by the judge's order, counsel for Bus stated that Bus was unwilling to settle or even discuss settlement and argued that the court lacked authority to require Bus's participation. At that point, the judge held counsel and Bus in contempt for their refusal to participate in settlement discussions.

The final pretrial order, issued after the conference, identified the issues for trial as whether Bus had negligently maintained and operated the tour bus, whether such negligence caused Victim's injuries, and whether Victim's injuries were compensable in damages.

At trial, after the presentation of Victim's case in chief, Bus introduced the stub of the ticket used by Victim, which contained a "Waiver of Liability" clause. When Victim's counsel objected, the court sustained the objection, ruling that the waiver was beyond the scope of the final pretrial order and beyond the scope of the pleadings. Bus's counsel then moved to amend the answer and the pretrial order to include the question of waiver. The judge denied the motion. The jury ultimately returned a general verdict for Victim and awarded Victim full damages. The court entered judgment on the verdict.

Bus has appealed the contempt order on the ground that the trial judge lacked the power to order Bus to participate in settlement discussions. Bus has also appealed the judgment on the grounds that the trial judge erred in not allowing Bus to (1) amend the answer, (2) amend the pretrial order, and (3) introduce the waiver into evidence despite not having produced it earlier.

1. Should the contempt order be set aside on the ground urged by Bus? Explain.
2. Should the judgment be reversed on the grounds urged by Bus? Explain.

**QUESTION 6**

In 1998, Grantor created an irrevocable *inter vivos* trust naming Bank as trustee. The trust directed the trustee to pay the income to Grantor's child, Son, for life. The instrument further provided that upon Son's death, the trust principal should be distributed in equal shares to Son's surviving children. The trust instrument did not authorize the trustee to invade the trust principal for the benefit of Son.

At the time the trust was created, Son was divorced and was in some financial difficulties. Accordingly, Grantor included the following clause in the trust instrument:

The interest of any trust beneficiary, whether in the income or principal of the trust, shall not be capable of assignment, anticipation, or seizure by legal process. In particular, none of the trust income shall be used to satisfy any claim against any beneficiary for unpaid alimony or child support.

The trust principal consisted of 500 shares of XYZ Corporation common stock.

Prior to 1996, Son's former spouse, Wife, had obtained a judgment against him for \$10,000 for unpaid alimony. In 1997, Creditor had obtained a judgment against Son for \$20,000 for money it lent to Son to finance Son's failed business venture. Wife and Creditor seek to enforce their respective judgments against Son's interest in the trust.

In 2000, XYZ Corporation, which typically distributed dividends in cash, paid the trustee a stock dividend of one-tenth of a share of stock for each share the trust owned.

1. Can Creditor compel Bank to pay its claim against Son from either the trust's income or principal? Explain.
2. Can Wife compel Bank to pay her claim for unpaid alimony from either the trust's income or principal? Explain.
3. Can Son be compelled to pay the claims of Wife or Creditor from the trust income that is actually distributed to him from the trust? Explain.
4. Should Bank distribute the stock dividend to Son as income or retain the dividend as part of the trust principal? Explain.

## QUESTION 7

Acme Corp. has 100 shares of common stock authorized, issued, and outstanding. Each share is entitled to one **vote**. The corporate records show that these shares are owned equally by five shareholders: Brenda, Candace, David, Eric, and Fran.

Acme held its annual meeting of shareholders on March 25. The record date for the meeting was 20 days before the meeting, as permitted by applicable law. Acme gave proper notice of the meeting to all five shareholders.

Of the five shareholders of record, only Candace and Fran were present at the meeting. However, two other individuals, George and Henry, were also present. George handed to the corporate secretary a proxy signed by Brenda and dated the day before the meeting, authorizing George to vote Brenda's shares at the meeting. Henry had purchased Eric's shares the day before the meeting and produced evidence of a sale.

The Chair of the meeting declared that a quorum was present and that Candace, Fran, and George were entitled to vote at the meeting. However, the Chair declared that Henry was not entitled to vote at the meeting.

One of the items on the agenda was the election of directors. According to Acme's bylaws, three directors have to be elected at Acme's annual shareholders' meeting.

At the meeting, the votes for director were cast as follows:

Candace cast 20 votes for Candace, 20 votes for Fran, and 20 votes for David. Fran cast 20 votes for Candace, 20 votes for Fran, and 20 votes for David. George cast 20 votes for George, 20 votes for Brenda, and 20 votes for Henry.

Henry attempted to cast a ballot of 20 votes for George, 20 votes for Brenda, and 20 votes for Henry. However, the Chair refused to accept Henry's ballot. The Chair then declared that Candace, Fran, and David were elected as directors.

There are no provisions in the articles of incorporation or the bylaws of Acme that are relevant to the following questions.

1. Was Henry entitled to vote at the annual meeting and, if not, what could he have done to acquire the right to vote? Explain.
2. Was there a quorum present for shareholder action at the annual meeting? Explain.
3. Did Candace, Fran, and David receive sufficient votes to be elected as directors of Acme? Explain.





## February 2001 MULTISTATE ESSAY EXAM

### EXAMINERS' ANALYSES

#### Question 1 Analysis – Decedents' Estates

- Legal Problems:
- (1) Was either the will or the bequest to Ben invalidated because Ben was one of the two witnesses to Testator's will?
  - (2) Was the bequest to Wendy revoked as a result of her divorce from Testator?
  - (3) Since the assets of Testator's estate of \$132,000 are insufficient to satisfy all of the bequests under the will, how should the bequests abate?

#### DISCUSSION

Point One: The validity of the will is unaffected by the fact that Ben was a witness to the will. However, in most states Ben forfeits the \$40,000 bequest because two disinterested witnesses did not witness the will. On the other hand, in states that have adopted the Uniform Probate Code, Ben does not forfeit that bequest.

At common law, if a witness who received a benefit under a will witnessed the will, the will was invalid unless two disinterested witnesses also witnessed the will. The will was invalid because the interested witness was not competent to testify about the validity of the will in court; thus, its validity could not be judicially established. *See generally* RESTATEMENT (THIRD) OF PROPERTY (Donative Transfers) § 3.1, Comment o (Tent. Draft No. 2, 1998). In virtually every state, the common-law rule has been abolished and the witnessing of a will by an interested witness does not affect the validity of the will. *See, e.g.*, Unif. Prob. Code § 2-505. On the other hand, most states have statutes that provide that unless two disinterested witnesses witness the will, the interested witness forfeits the bequest to that witness. Some states temper that result if the interested witness would have been an heir of the testator by limiting the amount forfeited to the amount, if any, by which the bequest to the interested witness exceeds the beneficiary-witness's intestate share. *See generally* William McGovern, Sheldon Kurtz, and Jan Rein, WILLS, TRUSTS AND ESTATES (1988). If such statutes applied here, Ben would forfeit the entire \$40,000 bequest, as he is not an heir of Testator.

Under the Uniform Probate Code, on the other hand, an interested witness does not forfeit any portion of the bequest to the witness. The Uniform Probate Code justifies that approach by noting that the interested witness statute rarely prevents undue influence (an argument usually made to justify such statutes) and typically adversely affects bequests to innocent persons who act as witnesses to wills at a testator's express request. Under the Uniform Probate Code, Ben would not forfeit any portion of the \$40,000 bequest.

(30-40%) Point Two: The bequest of \$100,000 to Wendy is revoked as a result of her divorce from Testator after the execution of the will.

At common law, divorce did not revoke a bequest to a former spouse by operation of law. In most states today, a divorce revokes a provision in a will for the testator's former spouse unless the will, a contract between the former spouses, or a court order expressly provides otherwise. *See generally* Unif. Prob. Code § 2-804. In other states, divorce revokes a will provision for the spouse but only if the divorce is accompanied by a property settlement agreement. *See* Dukeminier & Johanson, *WILLS, TRUSTS AND ESTATES* 283 (5th ed. 1995). Here, Testator's divorce from Wendy was accompanied by a property settlement agreement. Thus, the provision for Wendy was revoked and she is not entitled to any share of Testator's estate.

Where a provision in favor of the former spouse is revoked by operation of law, as in this case, the bequest passes as if the former spouse predeceased the testator. While Testator's will did not expressly require Wendy to survive to take, by virtue of the statutory fiction that Wendy predeceased Testator, the bequest lapses. It lapses because lapse statutes do not apply to bequests to former spouses. Typically, lapsed general legacies are distributed as part of the residuary estate. *See, e.g.*, Unif. Prob. Code § 2-804(d).

(40-60%) Point Three: Legacies abate in the following order: residuary, general, and specific. Testator's \$132,000 estate is insufficient to satisfy all of the general and specific legacies under the will. Thus, the residuary estate fully abates, the specific bequest of the portrait can be fully funded, and the remaining bequests abate to a limited extent.

Both at common law and under the typical state abatement statute, legacies abate in the following order: (1) residuary bequests, (2) general bequests, and (3) specific bequests. For purposes of abatement, a demonstrative bequest is treated as specific to the extent of the designated fund from which it is payable, and treated as general to the excess, if any. *See* Unif. Prob. Code § 3-902(a).

Under Testator's will, Testator specifically bequeathed the family portrait to Susan. Testator created two effective general legacies of \$100,000 each in Leslie and Doris. (The bequest to Wendy was revoked by operation of law. *See* Point Two.) The legacy to Ben is forfeited under the interested witness statute in most jurisdictions. (*See* Point One.) In those states where it is not forfeited, the bequest of \$40,000 to Ben is treated as a demonstrative legacy that is specific to the extent of the value of the stamp collection (\$20,000) and general as to the remaining \$20,000 of value. *See* Unif. Prob. Code § 3-902(a).

If the bequest to Ben is forfeited because of an interested witness statute, there are \$130,000 of assets (not counting the specifically devised portrait) available for distribution to Leslie and Doris, who would each take \$65,000. Susan would take the portrait valued at \$2,000. The residuary bequest to University is totally abated.

If the bequest of \$40,000 to Ben is not forfeited, then \$20,000 of that bequest (the portion that cannot be satisfied by the specific bequest of the stamp collection) as well as the \$100,000 bequests to Leslie and Doris are treated as general legacies for a total of \$220,000. Thus, the \$110,000 of the estate remaining after \$22,000 of assets is distributed to Ben and Susan, the two specific legatees, would have to be allocated among the three general legatees to whom \$220,000 had been bequeathed. Of that, \$10,000 (1/11th) would be payable to Ben.

\$50,000 (5/11th) would be payable to Leslie, and \$50,000 (5/11th) would be payable to Doris. The residuary estate is totally abated.

## Question 2 Analysis – Agency and Partnerships

- Legal Problems:
- (1) Is a general partner responsible for the debts of a general partnership if the partnership has insufficient funds to meet the debt, when the partners did not expressly authorize the debt?
  - (2) Is a general partner who advances his own funds to purchase goods for the partnership entitled to reimbursement from the partnership?
  - (3) Is a general partner who contributes more services to the general partnership than the other partners entitled to remuneration from the partnership?
  - (4) May a majority, but less than all, of the partners bind the general partnership to a transaction outside the ordinary course of business without approval of all of the partners?

### DISCUSSION

(20-30%) Point One: Partners are agents of a general partnership for the purpose of binding the partnership and are responsible for the obligations of the partnership.

Andrew purchased the special hybrid seed without obtaining the consent of the other partners. As a general rule, partners are agents of the partnership, and, as such, their acts (including entering into contracts) bind the partnership. Uniform Partnership Act (1969) (UPA) § 9(1). “An act of a partner, including the execution of an instrument in the partnership name, for apparently carrying on in the ordinary course the partnership business or business of the kind carried on by the partnership, binds the partnership, unless the partner had no authority to act for the partnership in the particular matter and the person with whom the partner was dealing knew or had received a notification that the partner lacked authority.” *Id.* See also Revised Uniform Partnership Act (1994) (RUPA) § 301(1).

In this case, the special hybrid seed was purchased in the name of ABC Partnership. Purchasing seed for a farm, including expensive disease-resistant seed, constitutes carrying on in the ordinary course of ABC's partnership business. Because Andrew has operated the farm on a day-to-day basis, the seed vendor could properly assume that the purchase of the seed was for carrying on the ordinary business of the partnership and that Andrew had authority to make the purchase. As a result, ABC is liable for payment of the seed.

Partners are jointly responsible for the debts of a general partnership. UPA § 15(b). Under RUPA, partners are jointly and severally liable for general partnership obligations. RUPA § 306(a).

Because the contract to purchase seed is an enforceable obligation of ABC, Charles is jointly (and, under RUPA, severally) liable with Andrew and Brenda for the obligation.

(20-30%) Point Two: A partner who uses his own funds to purchase goods for the partnership is entitled to reimbursement.

A partner is entitled to be repaid by the partnership for contributions to partnership property made by the partner individually. UPA § 18(a). Since Andrew made the \$7,000 down payment from his own funds as an advance to the partnership, ABC is obligated to repay him that amount. *See also* RUPA § 401(d) (“A partnership shall reimburse a partner for an advance to the partnership beyond the amount of capital the partner agreed to contribute.”). Although the facts imply that ABC does not have sufficient funds, Andrew still has the *right* to be reimbursed by the partnership. Since, as previously stated, each partner is liable for the debts of the partnership, Charles and Brenda will also be personally liable for a portion of the down payment if the partnership is unable to reimburse Andrew.

(15-25%) Point Three: Partners are not entitled to be paid for their services to a general partnership, unless the partners have an express agreement to provide such payments, but some courts will allow remuneration based on an implied agreement.

Andrew claims that he is entitled to be paid by ABC for his services to the partnership because he contributed many more services than Brenda and Charles. As a general rule, a partner is not entitled to separate remuneration for services on the theory that a partner's compensation for his or her services is his or her share of profits. UPA § 18(f), RUPA § 401(h).

There are two exceptions to this rule. First, in the case of a winding up of the partnership, a surviving partner is entitled to reasonable compensation for services rendered in connection with winding up the business of the partnership. Since ABC is not winding up operations, this would not apply to Andrew's request.

The second exception is where the partners expressly agree to pay a partner for his or her efforts. The UPA is explicit that the rights of a partner as stated in the Act, including the right to receive remuneration, may be changed by an agreement among the partners. UPA § 18. If partners want to pay salaries, they must agree to do so. Harold Gill Reushlein & William A. Gregory, *THE LAW OF AGENCY AND PARTNERSHIP* § 186, at 275-76 (1990). Here the partners had no express agreement to pay any remuneration to Andrew. On that basis many courts would find that Andrew is not entitled to any compensation for his services to ABC. *Yoder v. Hooper*, 695 P.2d 1182 (Colo. Ct. App. 1984). However, other courts have permitted remuneration based on an implied agreement to compensate a partner but there are no facts here to suggest an implied agreement. *Knutson v. Laner*, 627 P.2d 66 (Utah 1981).

(25-35%) Point Four: All partners must consent to the land swap by ABC Partnership in order for it to be binding on ABC since the action is outside the ordinary course of ABC's business.

As a general rule, matters outside the ordinary course of a partnership's business must be unanimously approved by the partners. UPA § 18(h); RUPA § 401(j). Although the UPA and the RUPA do not define the types of acts that are sufficiently outside the ordinary course of business to require the consent of all partners, the facts make clear that ABC's sale of 500 acres of farmland and purchase of land to be developed for a subdivision are not within the scope of the ordinary course of business of its farm operations. While a conveyance of land might be in the ordinary course of business when one partner had been given authority in the

past to convey pieces of land, this was not the case here. *See Smith v. Dixon*, 238 Ark. 1018, 386 S.W.2d 244 (1965).

Because the transaction was not in the ordinary course of ABC's business and because it was not unanimously approved by the partners, Andrew's actions did not bind ABC. UPA § 9(2); RUPA § 301(2). Should XYZ claim Andrew had apparent authority to sell the land, that claim would fail because the transaction was not in the ordinary course of ABC's business. The nature of the transaction (i.e., not in the ordinary course of the partnership's business) put XYZ constructively on notice that Andrew alone might not have the authority to engage in the transaction.

### Question 3 Analysis – Commercial Paper

- Legal Problems:
- (1) Did Maker have an obligation to pay Neighbor when Neighbor demanded payment?
  - (2) Did Maker have an obligation to pay Bank?

#### DISCUSSION

(45-55%) Point One: Maker had no obligation to pay Neighbor when Neighbor demanded payment. Neighbor lost the right to enforce the note when Neighbor transferred possession of the note to Bank.

Under the Uniform Commercial Code, the document prepared by Maker is a negotiable instrument, i.e., it is “an unconditional promise or order to pay a fixed amount of money” that is “payable to bearer or to order,” that is “payable on demand or at a definite time,” and that “does not state any other undertaking.” UCC § 3-104(a). The document prepared by Maker satisfies this definition because Maker promised to pay \$1,000 to the order of Neighbor, and Maker did not promise to do anything else in the document. The document is a note because it is a written and signed undertaking to pay money. *See* § 3-104(e) (defining a “note” as a “promise”); § 3-103(a)(9) (defining a “promise” as a “written undertaking to pay money signed by the person undertaking to pay”). It is payable “on demand” because it does not state any time of payment. *See* UCC § 3-108(a)(ii).

In order for Maker to have been obligated to pay the money to Neighbor upon Neighbor's demand, Neighbor would have had to have been a person entitled to enforce the note when he demanded payment. In circumstances like those present in this case, the UCC defines a “person entitled to enforce” a negotiable instrument as “the holder of the instrument.”

Neighbor was not a holder when he demanded payment because he had delivered the note to Bank and was not in possession of it. *See* UCC § 1-201(20) (requiring the “holder” of a negotiable instrument to have “possession”).

In short, Maker should not have paid Neighbor without insisting that Neighbor exhibit the note before Maker paid the money. *See* UCC § 3-501 (b)(2) (“Upon demand of the person to whom presentment is made, the person making presentment must . . . exhibit the instrument”),

(45-55%) Point Two: Maker is obligated to pay Bank. Bank is a person entitled to enforce the note against Maker, and Maker cannot assert any defense to payment.

Bank is the holder of the note. The “holder” of a negotiable instrument is “the person in possession . . . in the case of an instrument payable to an identified person, if the identified person is in possession.” UCC § 1-201(20). Bank is in possession of the note and the note is payable to Bank because Neighbor wrote “Pay to the order of Bank” on it and indorsed it. *See* § 3-204(a) (describing indorsement). As the holder, Bank is entitled to enforce the note against Maker, who issued the note. *See* § 3-301 (defining “person entitled to enforce”); § 3-412 (obligating issuer to pay the note to a person entitled to enforce the note).

Although Maker has paid Neighbor, Maker cannot assert this payment as a defense to enforcement by Bank. There are two independent reasons for this conclusion, either of which is sufficient. First, the payment to Neighbor did not discharge Maker's obligation because Neighbor was not entitled to enforce the note. *See* UCC § 3-602(a) (stating that payment discharges an instrument only "to the extent payment is made ... to a person entitled to enforce"). As explained above, Neighbor was not a person entitled to enforce the note because Neighbor did not have possession of the note.

Second, Bank is a "holder in due course." A holder in due course is a holder who takes an instrument in good faith, for value, and without notice of any defenses or various other problems. *See* UCC § 3-302(a),(b). From all indications, Bank acted in good faith. *See* § 3-103(a)(4) (defining "good faith" as "honesty in fact and observance of reasonable commercial standards of fair dealing"). Bank took the note for value because it canceled Neighbor's outstanding debt. *See* § 3-303(a) (stating that an instrument is transferred for "value" if it is transferred "as payment of an antecedent claim"). The facts do not suggest that Bank had notice of any defenses or other problems with the note.

As a holder in due course, no discharge would be effective against Bank unless Bank had notice of it at the time Bank took the note. *See* UCC § 3-601(b) ("Discharge of the obligation of a party is not effective against a person acquiring rights of a holder in due course of the instrument without notice of discharge."). Bank could not have had notice of the payment to Neighbor because the payment occurred after Bank acquired the note. Maker must pay Bank even though Maker already has paid Neighbor. *See Lambert v. Barker*, 348 S.E.2d 214 (Va. 1986).



## Question 4 Analysis – Family Law

- Legal Problems:
- (1) Under what circumstances will a parent be deemed to have abandoned her child so the child could be adopted by a third-party custodian without the parent's consent?
  - (2) In a custody dispute between a parent and a third party with whom the child has lived for a number of years, to whom is the court likely to award custody?
  - (3) Would a third party who has developed a substantial relationship with a child be awarded visitation rights over the objections of the child's parent?

### DISCUSSION

(35-45%) Point One: In some states, a parent cannot be found to have abandoned her child so long as she subjectively intends to maintain a relationship with the child; in other states, if a parent has failed to express substantial interest in her child, she may be found to have abandoned the child, regardless of her subjective intent.

Under the traditional law of adoption, to establish “abandonment” courts required proof that the parent subjectively intended to abandon the relationship; proof of behavior that objectively suggests a fixed loss of interest in the child was not sufficient. *E.g., In re Adoption of Walton*, 123 Utah 380, 259 P.2d 881 (1953). In a state that uses the subjective test, Mother has not abandoned Daughter because (1) Mother insists that she never intended to terminate her relationship with A Daughter, and (2) she asked Caretaker to keep Daughter only until Mother “got her life back together.” Accordingly, Caretaker could not adopt Daughter because Mother has not abandoned Daughter and will not consent.

On the other hand, some states use an objective test for abandonment under which a court might find that Mother had abandoned Daughter. The inquiry under this test is whether the parent has acted in ways that indicate a commitment to maintaining the parent-child relationship, and includes factors such as whether the parent paid support or visited the child. *See, e.g., In the Matter of the Appeal in Pima County Juvenile Severance Action No. S-114487*, 179 Ariz. 86, 876 P.2d 1121 (1994) (en banc). Here, a court might well find that Mother's failure to pay even a minimal amount of support and her very infrequent visits constituted abandonment, though her recent efforts to reestablish her relationship with Daughter cut against this finding. If Mother is found to have abandoned Daughter, then Daughter would be available for adoption, and Caretaker would probably be able to adopt her.

(35-45%) Point Two: In a custody contest between a parent and a third party, custody in the parent is presumed to be in the best interest of the child. To rebut this presumption, the third party must generally prove either that the parent is unfit or that granting custody to the parent would be highly detrimental to the child. In some states, however, the court may award custody to the third party upon finding that doing so would be in the child's best interest.

In custody cases between two parents, the standard is the best interest of the child. However, in most states this standard is not used in parent vs. third party disputes. Instead, there is a

strong presumption that a child should be in the custody of the parents; therefore, Caretaker has the burden of proving that she should have custody of Daughter. H. Clark, *THE LAW OF DOMESTIC RELATIONS* § 19.6 at 821 (1988). In many jurisdictions, as long as the parent is considered fit, the court will not even consider whether third-party custody would be better for the child, Clark, *supra* § 19.6 at 823. Therefore, in such a jurisdiction, Mother would almost certainly receive custody of Daughter. She is currently fit, has employment, is attending Alcoholics Anonymous (and has been for six months), and has not lost contact with her child (i.e., no abandonment). In those jurisdictions, the court would not consider Daughter's strong attachment to Caretaker to mitigate Mother's claim.

In other jurisdictions, however, the presumption in favor of parental custody can be overcome by showing that awarding custody to the parent would be very detrimental to the child. See, e.g., *Painter v. Bannister*, 258 Iowa 1390, 140 N.W.2d 152 (1966), *Guardianship of Phillip B.*, 139 Cal. App. 3d 407, 188 Cal. Rptr. 781 (1983). Under this standard it is not unusual for courts to find that breaking a long-term, stable, parent-child bond between the child and the third-party caretaker will be harmful to the child, at least when expert testimony to this effect is presented. In our case, the expert would testify that the strength of Daughter's attachment to Caretaker means that a disruption would be harmful to her psychologically. This might be sufficient to overcome the preference for Mother. Daughter has lived four of her five years with Caretaker (almost her entire life), and has seen her mother only occasionally. For courts less focused on parental rights, these would be critical facts. See, e.g., *Ortner v. Pitt*, 187 W. Va. 494, 419 S.E.2d 907 (1992).

A minority of states use the best interest test in all custody contests including those between parents and nonparents. See, e.g., *In re Custody of C.C.R.S.*, 892 P.2d 246 (Colo. 1995) (en banc). Under the best interest test, a court would probably award custody to Caretaker because she has become Daughter's psychological mother.

An examinee might receive extra credit for noting that awarding custody to Caretaker might raise a question of unconstitutional interference with Mother's parental rights. See *Troxel v. Granville*, 530 U.S. 57 (2000). Although *Troxel* concerned visitation and not custody (see Point Three), the plurality in *Troxel* held that there is a presumption that fit parents act in their children's best interest, and that courts must award "special weight" to a parent's decisions. Prior to *Troxel*, the *C.C.R.S.* court rejected the argument that the best interest standard violates parents' constitutional rights. The court reasoned that the Supreme Court cases on parental rights, e.g., *Santosky v. Kramer*, 455 U.S. 745 (1982); *Lassiter v. Dept. of Soc. Serv.*, 452 U.S. 18 (1981), all concerned permanent termination of parental status. A custody ruling, the court said, is less drastic therefore constitutionally permissible when supported by good reasons (the child's best interest). Other courts, however, might find that the best interest standard unconstitutionally infringes on parental rights if it denies parental custody in favor of a nonparent in cases where the parent is legally "fit." See *Troxel v. Granville*, 530 U.S. 57 (2000).

(15-25%) Point Three: In most states, a court cannot award visitation rights to a third party without statutory authority, but in a minority of states, courts may make such an award if it is in the child's best interest, at least to parties who have stood in loco parentis to the child.

In some states, statutes authorize courts to order visitation for a nonparent who has a substantial relationship with a child if visitation is in the child's best interest. E.g., Or. Rev.

Stat. § 109.119; Cal. Fam. Code § 3100(a); Alaska Stat. § 25.24.150(a). In the absence of such a statute, courts generally lack jurisdiction to enter such orders because they are considered to be within the parental custodial rights, which include determining with whom a child that they have inherent authority to make visitation orders in a child's best interest. *See, e.g., Spells v. Spells*, 250 Pa. Super. 168, 378 A.2d 879 (1977) (awarding visitation to a former stepparent); *Simpson v. Simpson*, 586 S.W.2d 33 (Ky. 1979) (adopting the in loco parentis approach in holding that visitation with a surrogate parent may be in the child's best interest); *Gribble v. Cribble*, 583 P.2d 64 (Utah 1978); *Rhinehart v. Nowlin*, 111 N.M. 319, 323, 805 P.2d 88, 92 (1990) (holding that the trial courts are given "exclusive jurisdiction of all matters relating to the guardianship, care, custody, maintenance and education of the children," which includes "the granting of visitation rights to a person or persons who the trial court determines are significant and important to the welfare of the children" (emphasis in original)); *Looper v. McManus*, 581 P.2d 487 (Okla. App. 1978); *Wills v. Wills*, 399 So. 2d 1130 (Fla. App. 1981); *Evans v. Evans*, 302 Md. 334, 488 A.2d 157 (1985).

If a court had the authority to grant nonparental visitation, the facts of this case might support such an order. Arguably, it would be in Daughter's best interest to continue visiting Caretaker, rather than having their relationship abruptly terminated. A court must, however, give "special weight" to Mother's opposition. *See Troxel v. Granville*, 530 U.S. 57 (2000). Moreover, the court might conclude that it would be better not to allow visitation if it found that Daughter would be adversely affected by the animosity between Caretaker and Mother.

*NOTE: Troxel* does not affect the outcome of this question, as it is distinguishable from the facts here. In *Troxel*, grandparents who never had custody of the grandchildren, sought visitation contrary to the wishes of the children's custodial parent. Here, Caretaker had custody of Daughter for most of Daughter's life prior to bringing her petition. In these circumstances, the court would most likely find that granting Caretaker visitation rights would not violate the mother's constitutional rights.

## Question 5 Analysis – Federal Civil Procedure

- Legal Problems:
- (1) Did the federal district court abuse its discretion when it ordered Bus to participate in settlement discussions and cited it for contempt for violating that order?
  - (2)(a) What standard governs a motion to amend pleadings and to amend a pretrial order to allow a litigant to introduce a new issue during trial?
  - (b) Should a party be permitted to amend a pretrial order to introduce evidence that the party did not mention or disclose during discovery or the pretrial conference?

### DISCUSSION

(35-45%) Point One: A federal district judge has explicit authority under Fed. R. Civ. P. 16 to order litigants to participate in settlement discussions, although sanctions to compel participation should be used with caution.

Until the 1993 amendments of Rule 16 of the Federal Rules of Civil Procedure, the question of whether federal courts could order litigants to participate in settlement talks was in dispute. *See, e.g., G. Heileman Brewing Co. v. Joseph Oat Corp.*, 871 F.2d 648 (7th Cir. 1989) (en banc 6-5 split decision) (holding that district judges have inherent authority to order represented parties to appear at pretrial settlement conferences); C.A. Wright, A.R. Miller, M.K. Kane, *FEDERAL PRACTICE AND PROCEDURE* § 1525.1 (1990 & 2000 Supp.). In the 1993 amendments to Rule 16, the drafters added the following language to Rule 16(c):

If appropriate, the court may require that a party or its representative be present or reasonably available by telephone in order to consider possible settlement of the dispute.

As explained in the Advisory Committee Notes, the change was intended, in part, to make it clear that courts may issue orders designed to facilitate settlement. There is, therefore, no question that the court had authority to require a corporate representative of Bus to be present or available for settlement discussions.

The judge also had authority to hold Bus in contempt for failing to attend the conference. Rule 16(f) explicitly provides that “if no appearance is made on behalf of a party at a scheduling or pretrial conference . . . , or if a party or a party's attorney fails to participate in good faith, the judge, upon motion or the judge's own initiative, may make such orders with regard thereto as are just, and among others, any of the orders provided for in Rule 37(b)(2)(B),(C),(D).” Rule 37(b)(2)(D) permits the court to treat “as a contempt of court the failure to obey any orders.” Because Bus failed to attend the conference and failed to participate in settlement negotiations in good faith, the court did not abuse its discretion under Rules 16 and 37 by holding Bus in contempt.

The Advisory Committee Notes to Rule 16 caution that settlement talks will be unproductive if a party is uncooperative. Bus, then, has a reasonable argument on appeal that the district judge should not have imposed the contempt sanction once Bus's counsel made it clear that Bus was recalcitrant about settlement and that discussions would be pointless. It is not likely,

however, that the district court's decision was an abuse of discretion sufficient to warrant reversal. There is no evidence that the order for party participation imposed great hardship on Bus, and the court may have believed that Bus's recalcitrance was merely posturing that could be overcome by serious discussion. Thus, although a case for reversal can be made, it does not seem likely to succeed on these facts.

(45-55%) Point Two (a): Under Rule 16, a final pretrial order may be modified only to prevent manifest injustice. That standard supersedes the more liberal policy governing amendment of pleadings under Rule 15.

In the fact pattern, the defendant has sought to introduce the issue of a “waiver of liability” at trial, without having raised that issue in the pleadings or having included it in the pretrial order. Ordinarily, when evidence is objected to at trial on the ground that it is not within those issues raised by the pleadings, Rule 15(b) authorizes the court to allow an amendment of the pleadings at trial and directs the court to “do so freely when the presentation of the merits of the action will be subverted thereby and the objecting party fails to satisfy the court that the admission of such evidence would prejudice the party in maintaining the party's action or defense upon the merits.” An amendment allowing Bus to raise the waiver as a defense would subvert the presentation of the merits. Any prejudice that Victim might suffer presumably could be minimized by granting an extension to permit Victim to meet the new evidence. Thus, an examination of Rule 15(b) alone suggests that the court abused its discretion in declining to permit Bus to amend its answer and to offer the ticket stub at trial.

But Rule 15(b) cannot be read in a vacuum. Under Rule 16(e) of the Federal Rules of Civil Procedure, “[t]he order following a final pretrial conference shall be modified only to prevent manifest injustice.” According to the Advisory Committee Notes, pretrial orders should not be changed lightly, but total inflexibility is undesirable. In determining whether to admit evidence and to allow issues that were not identified in the pretrial order, the courts have discretion to consider such factors as the prejudice to the opposing party, the extent to which introduction of the new evidence would disrupt the orderly presentation of the trial, and the possible bad faith of the party seeking to disregard the pretrial order. *See, e.g., Morfeld v. Kehm*, 803 F.2d 1452 (8th Cir. 1986); C.A. Wright, A. R. Miller, M.K. Kane, *FEDERAL PRACTICE AND PROCEDURE* § 1527 (1990 & 2000 Supp.). Thus, Rule 16 imposes a heavy burden on a party seeking to amend a pretrial order, but the trial court has such discretion when the danger of prejudice is slight and the failure to amend might result in an injustice. On the other hand, if the evidence or issue was within the knowledge of the party seeking modification at the time of the pretrial conference, the argument for amending the order is considerably weakened. *Id.*

On the given facts, Bus does not have a strong argument that the trial court abused its discretion in barring introduction of the evidence of a waiver of liability. It is difficult to imagine that “manifest injustice” would result from denying Bus the opportunity to present evidence on a defense that the court could reasonably conclude has been available to it from the beginning. Bus likely knew that the terms of its ticket included a waiver. It apparently had the ticket stub in its possession throughout the proceedings. Moreover, introduction of the new issue of waiver would probably prejudice Victim unless a continuance were granted, and that would result in trial delay. In short, any harm caused to Bus by restricting it to the evidence and claims allowed by the pretrial order does not appear to be a “manifest injustice.”

How should one resolve the tension between Rule 15(b), on the one hand, and Rule 16(e), on the other? It appears that the Rule 16(e) amendment standard should apply because, according to the Rule itself, the pretrial order “shall control the subsequent course of the action.” Fed. R. Civ. P. 16(e). One should note, however, that “several courts have permitted pretrial orders to be amended by concluding that Rule 16 must be read in conjunction with Rule 15(b).” 6A C. A. Wright, A. R. Miller & M. K. Kane, FEDERAL PRACTICE AND PROCEDURE § 1527 at 290 (1990); *see, e.g., Phaneuf v. Tenneco, Inc.*, 938 F. Supp. 112 (N.D.N.Y. 1996). Thus, while it appears that the district court did not abuse its discretion in declining to amend the final pretrial order, one could make a reasonable argument that the more liberal Rule 15(b) standard should have been applied.

However, even if that argument is successful, it appears that the court properly barred Bus from offering the ticket stub into evidence as a sanction for failing to produce it pursuant to Rule 26(a)(1). *See* Point Two(b), *infra*.

(5-15%) Point Two (b): If a party fails to produce a document that should have been disclosed under the mandatory disclosure provisions of the federal discovery rules, the party ordinarily will not be permitted to use the document as evidence at trial.

Bus's failure to disclose the ticket stub pursuant to its mandatory disclosure obligation provides an additional reason for the court to bar introduction of the evidence. Under Rule 26(a), a party must provide a copy or description of “all documents ... that are relevant to disputed facts alleged with particularity in the pleadings.” Rule 26(a)(1)(B), Fed. R. Civ. P. Here, the waiver of liability contained on the tour ticket is relevant because it would tend to defeat Victim's claim for recovery. The trial court's decision to prevent Bus from using the evidence is an appropriate sanction for non-disclosure of the ticket. “A party that without substantial justification fails to disclose information required by Rule 26(a) . . . shall not, unless such failure is harmless, be permitted to use [such information] as evidence at a trial.” Rule 37(c)(1), Fed. R. Civ. P.

## Question 6 Analysis – Trusts

### Legal Problems:

- (1) Can judgment claims against the income beneficiary for his failure to pay debts be paid by a trustee to the judgment creditor from either trust income or principal under these facts?
- (2) Can claims against the income beneficiary of a trust for unpaid alimony be paid by a trustee to the former spouse of the income beneficiary from either trust income or principal under these facts?
- (3) Can the income beneficiary of a trust be compelled to use trust income actually distributed to the beneficiary to pay judgment claims where the trust contains a spendthrift clause?
- (4) Are dividends paid to a trustee in stock, rather than cash, allocable to the income or principal accounts for trust accounting purposes?

### DISCUSSION

(30-40%) Point One: Most likely. Creditor will not be able to compel Bank to distribute trust income to it in satisfaction of its claim against Son because the trust instrument includes a spendthrift clause. Creditor also will not be able to compel distributions to it from the principal of the trust because Son is not entitled to any share of trust principal.

The creditors of the beneficiary of a trust have no greater rights in the trust property than the beneficiary has; however, they can have fewer rights. The trust instrument makes no provision for the distribution of trust principal to Son. Accordingly, because he has no right to receive trust principal, his creditors have no right to reach trust principal. If Son's creditors could reach trust principal, they would infringe on the property rights of the remainder beneficiaries of the trust.

Son, on the other hand, is entitled to trust income and, thus, absent a spendthrift clause in the instrument, his creditors would be able to attach that interest. However, if the governing instrument, as here, contains a spendthrift clause prohibiting a beneficiary's creditors from attaching the beneficiary's interest, the beneficiary's creditors usually cannot reach the beneficiary's trust interest in satisfaction of their claims. Most courts uphold spendthrift clauses, at least when applied against the claims of most creditors of a beneficiary, although a minority of states hold that spendthrift clauses are unenforceable. *See generally* George Bogert, TRUSTS § 40 (6th ed. 1987).

In the minority of states that bar the enforcement of spendthrift clauses, Creditor could compel Bank to pay its claim against Son from trust income. However, in the large majority of states that uphold spendthrift clauses, Creditor could not compel payment of the claim from trust income while in the hands of Bank. Creditor stands on a different footing than Wife (*See Point Two*), and to date no state that generally upholds spendthrift clauses has found a countervailing public policy exception for the kind of claim Creditor has against Son.

(30-40%) Point Two: Wife will not be able to compel distributions to her from the trust principal. Most likely, however, Wife will be able to compel Bank to distribute trust income

to her in satisfaction of her unpaid alimony claims against Son notwithstanding the spendthrift clause in the trust. Wife cannot reach the trust principal because Son has no interest in trust principal. *See* Point One.

However, she may be entitled to distributions from trust income. Even in the large majority of states that uphold spendthrift clauses, if the particular creditor's claim is for unpaid alimony, the policy of effectuating the settlor's intent by generally upholding spendthrift clauses runs afoul of a stronger public policy favoring the payment of alimony and child support. *See, e.g., Bacardi v. White*, 463 So. 2d 218 (Fla. 1985). Today, most state courts hold that the policy favoring the payment of alimony and child support trumps the policy of generally supporting spendthrift clauses. In those states a trust beneficiary is not permitted to enjoy trust income while failing to support his children and former spouse. *See generally* RESTATEMENT (SECOND) OF TRUSTS § 157. Hence, Wife should be able to compel Bank to satisfy her claim for alimony from the trust's income.

In a small minority of states, spendthrift clauses continue to be valid even as against unpaid alimony. *See, e.g., Erickson v. Erickson*, 266 N.W. 161 (Minn. 1936). In such states, Wife could not compel a distribution of trust income in payment of her claim.

(10-20%) Point Three: Son can be compelled to use trust income distributed to him from the trust to pay judgment claims against him even though the trust contains a spendthrift clause.

Spendthrift clauses in a trust do not operate to bar a trust beneficiary's creditors from reaching the distributed income or principal once it has actually been paid to the beneficiary. *See* Bogert, *supra* § 40 at 150. If Grantor had tried to restrain Son's ability to alienate the trust income once distributed to Son, that would have been an invalid restraint on alienation. Thus, once trust income is actually paid to Son, Wife and Creditor are entitled to reach that income in satisfaction of their claims by resorting to the customary legal processes for the enforcement of judgments.

(10-20%) Point Four: Bank should hold the dividend paid in stock as part of the trust principal for ultimate distribution to Son's children when Son dies.

The Uniform Principal and Income Act treats distributions of stock, whether characterized as a stock dividend or as a stock split, as principal. *See* Unif. Prin. Inc. Act § 6(a). The Revised Act adopts the same position. Rev. Unif. Prin. Inc. Act § 401(c)(1).

The Revised Act gives Bank a limited power to allocate the stock dividend between income and principal in cases where the distributing corporation had made no distributions to shareholders except in the form of dividends paid in stock. In such cases, Bank might be justified in allocating some of the stock dividend to income to effectuate Grantor's intent to provide Son with trust income. However, the facts do not support such an allocation in this case.

In the absence of a statute, the law varies. In some states, dividends paid in the stock of the distributing corporation are income; in others, principal. Some states allocate the dividend between income and principal under the so-called "intact value" rule.



## Question 7 Analysis – Corporations

### Legal Problems:

- (1) Under what circumstances would Henry, as beneficial owner but not record owner of 20 shares, be entitled to vote at the Acme annual meeting?
- (2) Was there a quorum present for shareholder action at the Acme annual meeting?
- (3) Did Candace, Fran, and David receive sufficient votes to be elected as directors of Acme meeting?

### DISCUSSION

(25-35%) Point One: Without having obtained a proxy, Henry was not entitled to vote at the annual meeting because only shareholders of record are entitled to vote.

Generally only shareholders of record are entitled to vote at a meeting of shareholders. *See* Model Bus. Corp. Act § 1.40(22) (1984) (definition of shareholder); Del. Gen. Corp. Law § 219 (stating that the share ledger is the only evidence as to who are the shareholders entitled to vote, in person or by proxy, at any meeting of shareholders). A mere beneficial owner of shares is not entitled to vote at a meeting of shareholders. *Salgo v. Matthews*, 497 S.W.2d 620, 628 (Tex. Civ. App. 1973) (stating that beneficial ownership of shares does not carry with it the right to vote without having the shares transferred on the corporate books).

Where corporate shares are transferred between the record date for a meeting of shareholders and the date of the meeting, the transferee is not entitled to vote the shares at the meeting. *Wick v. Youngstown Sheet & Tube Co.*, 46 Ohio App. 253, 188 N.E. 514, 517-18 (1932) (holding that election inspectors did not err in permitting voting of shares by shareholders as of record date, regardless of subsequent transfers of the shares), *petition dismissed*, 127 Ohio St. 379, 189 N.E. 4 (1933). The corporation is not required to determine the “true” owners of corporate shares on the day of the meeting. Rather, the corporation is entitled to rely on its share ledger as of the record date for the meeting in determining who is entitled to vote.

The establishment of a record date is for the convenience of the corporation. *McDonough v. Foundation Co.*, 7 Misc. 2d 571, 155 N.Y.S.2d 67, 68 (1956). A transferee of shares after the record date who wants to vote at a scheduled shareholder meeting should obtain a proxy from his or her transferor to vote the shares. *Wick*, 188 N.E. at 518.

(25-35%) Point Two: A quorum was present for shareholder action at the Acme annual meeting.

Neither the articles of incorporation nor the bylaws of Acme contain a provision relating to the quorum for a meeting of shareholders. Consequently, a quorum is a majority of the votes entitled to be cast by the voting group. *See* Model Bus. Corp. Act § 7.25(a) (1984); Del. Gen. Corp. Law § 216. The voting group in this case consisted of all the common shareholders of Acme.

A shareholder may vote his or her shares either in person or by proxy. Candace and Fran were present at the meeting in person. Brenda granted a proxy appointment to George to vote

her shares, as is the right of a shareholder, and, thus, was present by proxy. A proxy should be accepted as valid if on its face it appears to be “free from all reasonable grounds of suspicion of its genuineness and authenticity.” *In re Election of Directors of the St. Lawrence Steamboat Co.*, 44 N.L.J. 529, 534 (N.J. Sup. Ct. 1882). The facts do not suggest that the proxy from Brenda was suspicious on its face. Consequently, 60 shares entitled to vote were present at the annual meeting of Acme. Since, as discussed above, Henry (as a mere beneficial owner) was not entitled to vote, his shares are not counted as present for quorum purposes.

There were 100 shares entitled to vote at the Acme annual meeting. A majority of 100 is 51. Since, as discussed above, there were 60 shares entitled to vote present at the Acme annual meeting, a quorum was present for shareholder action even though only two of the five shareholders owning only 40 of the 100 shares were physically present at the meeting.

(25-35%) Point Three: Candace, Fran, and David each received sufficient votes to be elected as directors at the Acme annual meeting.

In most states the election of directors requires only a plurality vote of the shares entitled to vote at a meeting at which a quorum is present. *See* Model Bus. Corp. Act § 7.28(a) (1984); Del. Gen. Corp. Act § 216(2). As discussed above, a quorum was present at the Acme annual meeting.

The plurality vote requirement for directors simply means “that the individuals with the largest number of votes are elected as directors up to the maximum number of directors to be chosen at the election.” Model Bus. Corp. Act Ann. § 7.28 Official Comment (3rd ed. 1996). Three directors were to be elected at the Acme annual meeting of shareholders. Candace, Fran, and David each received 40 votes, which was more than any other candidates received. George, Brenda, and Henry only received 20 votes each. Consequently, Candace, Fran, and David were elected as directors.

In a minority of states, directors must be elected by a majority of the shares entitled to vote at a meeting of shareholders at which a quorum is present. Model Bus. Corp. Act Ann. § 7.28 annot. (3rd ed. 1996). A majority of the 60 shares present and entitled to vote was 31. (As discussed above, Henry was not entitled to vote at the meeting.) Since 40 shares voted for the election of Candace, Fran, and David, they received enough votes to be elected as directors even in those few states requiring a majority vote.

In voting his or her shares, each shareholder can cast no more than 20 votes for each directorship to be filled unless cumulative voting is authorized. If cumulative voting is authorized (which it is not here), then each shareholder has a number of votes equal to the number of shares owned times the number of directorships to be filled and the shareholder can allocate those votes among any of the persons running for director.

# JULY 2001 MULTISTATE ESSAY EXAM

## QUESTION 1

Principal is an antiques dealer. As is common in the antiques business, Principal acquires inventory by using a group of buyers to purchase antiques on his behalf. Principal pays the buyers a percentage commission on the items they buy for Principal. Principal trains the buyers to be able to evaluate potential purchases and sends them into the field with specific instructions as to the items Principal wants them to buy. The buyers are given credentials identifying them as buyers for Principal, and they use these credentials to introduce themselves to potential sellers. The buyers, using Principal's contract forms, enter into contracts with sellers.

Agent, one of Principal's buyers, was sent out to purchase antiques for Principal. During the next several months, the following three transactions took place:

Using Principal's credentials, Agent bought an antique church bell for \$3,500 from Bellseller, who believed that Agent was acting on behalf of Principal. The church bell was on Principal's acquisition list and the price was within the range authorized by Principal. However, Agent did not intend to purchase the bell for Principal. Instead, Agent bought the bell for Greta, a competing antiques dealer, who had agreed to pay Agent \$250 to find such a bell. Agent's intention was to use Greta's money to pay for the bell. Greta rejected the bell. Principal, who has received a demand from Bellseller, has decided he does not want the bell and has refused to pay Bellseller.

Agent had a written authorization from Principal to buy several books, including *Looking Backward* by Edward Bellamy. Agent showed this authorization to Tomeseller, who had a first edition of *Looking Backward*. However, Agent did not tell Tomeseller that Principal had given Agent an oral instruction, not to be disclosed to anyone, that Agent should not pay more than \$8,000 for the book. Agent bought the book on Principal's behalf for \$12,500. Principal now refuses to pay Tomeseller.

When Principal learned of Agent's transactions with Bellseller and Tomeseller, he decided to stop using Agent as his buyer. Principal sent Agent a letter terminating his agency and asking Agent to return the credentials that Principal had provided to Agent.

Several days after Agent received the letter from Principal, Agent purchased for his own account a whale oil lamp for \$5,000 from Lampseller. Agent told Lampseller that the purchase was for Principal's account, showed Lampseller his credentials from Principal, and purchased the lamp using the contract forms provided to him by Principal. Agent did not disclose to Lampseller that Principal had terminated Agent as his buyer. Principal now refuses to pay Lampseller because, at the time of the purchase, Principal had terminated Agent and Agent was no longer Principal's buyer.

Is Principal liable to:

1. Bellseller for the purchase of the church bell? Explain.
2. Tomeseller for the purchase of the book? Explain.
3. Lampseller for the purchase of the whale oil lamp? Explain.

**QUESTION 2**

Harry, a widower, and Wanda, residents of State A, decided to marry. Prior to the wedding ceremony, they signed a prenuptial agreement in which Wanda waived her right to receive alimony in the event of a divorce. The agreement further stated that “in consideration of this waiver, Harry shall establish an inter vivos trust of the first \$1 million he inherits from his mother, with himself as trustee to pay the income to Wanda for life.” They agreed that Harry was free to designate any person to take the trust property at Wanda's death.

Three years later, Harry's mother died, leaving her substantial estate to him. In addition to Harry, her only surviving relatives were Charles, who is Harry's child from his first marriage, and Mary and Pat, Harry's two nieces.

Two months after his mother died, Harry orally declared himself trustee of \$1 million. In making this oral declaration Harry stated: “I will pay all trust income to my wife, Wanda, for her life and, when she dies, if I don't have any issue who survive me, then I or my successor should distribute the trust principal to my surviving nieces and nephews.” Harry did not state who would succeed him as the trustee if he died prior to the termination of trust.

Harry died two months ago at his home in State A. Until his death, he faithfully paid the trust income to Wanda. Harry was survived by Wanda and by Charles, Mary, and Pat. One month after Harry died, Wanda, who had recently inherited substantial property from her father, disclaimed her income interest in the trust property.

Under the laws of State A, Wanda's disclaimer of her interest in the trust property is valid. In addition, under the intestacy laws of State A, any property distributable as part of Harry's probate estate passes one-third to Wanda and two-thirds to Charles.

1. Was Harry's promise in the prenuptial agreement to create a trust in the future for Wanda legally enforceable? Explain.
2. Was the trust Harry later created for Wanda validly created? Explain.
3. Assuming the trust for Wanda was validly created, did the trust terminate at Harry's death because there was then no trustee? Explain.
4. Assuming the trust for Wanda was validly created, what is the effect of her valid disclaimer, and should the trust principal be immediately distributed and, if so, to whom? Explain.

**QUESTION 3**

Arcade, Inc. is in the business of selling pinball machines. Arcade needed funds to buy furniture for its showroom. On February 1, Arcade borrowed \$10,000 from Bank and signed a valid financing statement, which stated that it covered all of Arcade's "inventory now owned or hereafter acquired." Bank neglected to obtain a signed security agreement from Arcade but properly filed the financing statement in the correct locations on February 12.

On June 1, Arcade borrowed \$40,000 for working capital from Finance and signed a valid security agreement granting to Finance a security interest in its "inventory now owned or hereafter acquired." Also on June 1, Arcade signed financing statements, which properly described the collateral. On June 5, Finance filed proper financing statements in the correct locations.

On July 1, Bank realized that it had failed to obtain a security agreement from Arcade. On that date and at Bank's request, Arcade signed a valid security agreement, properly describing the collateral as "inventory now owned or hereafter acquired."

On August 20, Arcade purchased three pinball machines from Supplier on credit. The three machines were set aside in Supplier's warehouse and tagged "Sold to Arcade." Supplier took a security interest in the three pinball machines to secure payment of the purchase price. Also on August 20, Arcade signed both a valid security agreement covering the three pinball machines and valid financing statements. Supplier filed the financing statements in the correct locations on August 21 and sent proper notice of its security interest to Bank and Finance, both of whom received and read the notice by August 25. Arcade took possession of the machines on August 31 and placed them in its showroom for sale to customers.

On October 1, Oscar purchased a pinball machine from Arcade. This machine was one of the three machines that Arcade had purchased from Supplier. Oscar had no actual knowledge of any of the security interests held by Arcade's creditors.

Arcade defaulted on its loans to Bank and Finance and failed to pay Supplier. At the time of the default, Arcade's inventory consisted only of the two remaining pinball machines that had been previously purchased from Supplier. Bank, Finance, and Supplier are all claiming security interests in the two remaining pinball machines, as well as in the pinball machine purchased by Oscar.

1. What is the order of priority among Bank, Finance, and Supplier in their respective claims to a security interest in the two remaining pinball machines left in Arcade's inventory? Explain.
2. Can Bank, Finance, or Supplier successfully enforce a security interest in the pinball machine purchased by Oscar? Explain.

**QUESTION 4**

On May 18, 1997, Testator duly executed a typewritten will in the presence of three witnesses.

The will contained only the following three paragraphs:

1. I give my watch to my brother, Ben.
2. I give my dining room table to my sister, Sarah.
3. I give the balance of my tangible personal property to the person named in a letter I signed and dated May 17, 1997, which I have placed in the desk in my home.

Testator died on January 2, 2000, a domiciliary of State A. The foregoing will was found in the desk in Testator's home. However, in paragraph 2 of the will, the phrase "dining room table" had been scratched out and immediately above it the word "automobile" was typed. And, on the back of the will, the following language appeared in Testator's handwriting: "I don't want Ben to have my watch. I want it to go to my first cousin, Chris." No signatures appeared on the back of the will beneath this writing.

The letter referred to in paragraph 3 of the will was found in the desk, and named Nicole, the daughter of Sarah, as the beneficiary.

Testator's only surviving blood relatives are Ben, Sarah, Chris, and Nicole. In addition to the watch, dining room table, and automobile. Testator left a \$10,000 bank account.

State A permits wills to be completely or partially revoked by the execution of a subsequent will or codicil, by physical act or by cancellation, when accompanied by an intent to revoke. State A law also provides that "unsigned holographic wills or codicils are valid."

To whom should Testator's estate be distributed? Explain.

**QUESTION 5**

Father and Mother divorced one year ago after a 14-year marriage. At the time of the divorce, Mother and Father lived in State A. They were both 39 years old, each had a college education, and they had two children, aged 10 and 12.

As part of the divorce decree, the court awarded custody of the two children to Mother. The court also ordered Father to pay Mother \$2,000 per month in child support. In addition, the court ordered Father to pay Mother \$500 per month in spousal support for five years. After their property was divided, they each ended up with \$50,000 and a car.

Mother continued living in State A with the children. Mother had been working full-time for \$28,000 per year at a daycare center prior to the divorce. Five months after the divorce, she had a heart attack. This forced her to cut back to three-quarter-time work, resulting in a pay reduction to \$21,000 per year. Her doctor recommends that she not resume full-time work, because full-time work and caring for the children and the home would be too stressful.

For the first six months after the divorce, Father paid Mother the full amount he owed; but, for the past six months, Father has paid Mother nothing. Three months ago, Father was terminated from his \$100,000-per-year job because of company downsizing. He received a lump sum severance payment of \$50,000. Father decided to move to State B, in part because he hoped he could avoid paying Mother and in part because the job prospects were better there. He transferred all his bank accounts to State B. Although he has had several interviews and his prospects are good for finding a job comparable to the one he had, he does not yet have another job.

Mother has brought an action in State B court to collect child support and spousal support from Father. She claims that the spousal support obligation should be increased to \$1,000 per month because she is in poor health. She also asks that the spousal support be extended for an additional five years.

Father claims that the State A child support order is no longer effective and cannot be enforced because he has moved to State B. In the alternative, he claims that his child support obligation should be reduced from \$2,000 to \$1,000 per month because of his unemployment. In addition, he asks that this modification be made six months retroactive. Father also opposes any increase in his spousal support obligation.

Both State A and State B are in compliance with federal law concerning the enforcement of child support orders.

1. Is State B required to recognize the State A child support order? Explain.
2. Does the State B court have jurisdiction to modify Father's child support obligation? Explain.
3. Without regard to jurisdictional issues, how should a court rule on Father's requests to modify his child support obligation? Explain.
4. Without regard to jurisdictional issues, how should the State B court rule on Mother's request for an increase in and extension of the spousal support obligations? Explain.

**QUESTION 6**

performances. Agent had no rights in any of the payments due Singer.

In payment for a completed performance by Singer, Concert issued a \$20,000 check drawn on Bank One. As instructed by Singer, Concert made the check payable to the order of "Agent, as agent for Singer," and delivered the check to Agent. On the memo line on the face of the check, Concert had written, "For Singer's June 19th performance."

Agent visited Bank Two, where both she and Singer maintained separate checking accounts. Agent's personal account, #12345, was overdrawn. Agent spoke with Bank Two's manager, Manager, and apologized for being overdrawn in her personal account. Agent told Manager that, as a "temporary arrangement to cover the overdrafts," she wanted to deposit the \$20,000 check from Concert into her own personal account at Bank Two. Agent indorsed the check as follows:

"For Deposit To Account #12345 s/Agent."

Manager made the deposit as indicated by Agent although he knew that on all prior occasions Agent had deposited checks for Singer's performances into account #56789, which was Singer's checking account with Bank Two. The check was credited to Agent's personal account with Bank Two, clearing Agent's overdrafts, and the check was then timely presented to and paid by Bank One. Within the next few days, Agent withdrew the remaining balance from account #12345 and closed the account.

Subsequently, Agent and Singer had a falling out. Singer discovered the above facts and demanded that Bank Two pay him \$20,000. Bank Two refused. Agent cannot be located.

Under the Uniform Commercial Code:

1. Can Singer successfully sue Bank Two for conversion and recover the \$20,000? Explain.
2. What rights, if any, does Singer have to recover from Bank One? Explain.
3. What rights, if any, does Singer have to recover from Concert? Explain.



**QUESTION 7**

Plaintiff, a resident of State X, is a shareholder in Silver, Inc., a State X corporation. Plaintiff purchased 10,000 shares of Silver stock for \$20 a share in Silver's initial public offering (IPO). Three weeks after the IPO, the value of Silver stock had fallen to \$15 a share, and Plaintiff filed an action for securities fraud against Silver in federal district court. The complaint alleged that the registration statement for the IPO filed by Silver with the Securities and Exchange Commission (SEC) was materially false and misleading, and therefore violated relevant provisions of the Securities Exchange Act of 1934 as well as SEC regulations. Plaintiff sought damages of \$50,000 for this violation.

Shortly after Plaintiff's initial filing, the SEC filed a public enforcement lawsuit against Silver, *SEC v. Silver*, in another federal district court. The claim asserted by the SEC, that the registration statement for the IPO contained false and misleading representations, was identical to the claim asserted in the *Plaintiff v. Silver* lawsuit. The SEC lawsuit went to trial very quickly, and Silver vigorously contested the misrepresentation issues in the SEC lawsuit. The SEC won its lawsuit. A declaratory judgment was entered finding that Silver's registration statement contained false and misleading information and enjoining Silver from making those misrepresentations in the future. That judgment became final, and Silver did not appeal.

Plaintiff then moved for partial summary judgment against Silver based on the judgment in *SEC v. Silver*. Plaintiff argued that the *SEC v. Silver* judgment conclusively determined the issue whether the information contained in the registration statement was false and misleading. Silver opposed the motion on the ground that it had the right to litigate this issue against Plaintiff because Plaintiff had not been a party to the *SEC v. Silver* lawsuit.

The district court judge denied Plaintiff's motion for partial summary judgment on the ground that Plaintiff, a non-party to the *SEC v. Silver* action, could not rely upon the judgment in that case to preclude Silver from relitigating issues that were central to Plaintiff's claim. Plaintiff filed an appeal from this decision, although Plaintiff's case against Silver is still going forward in the district court.

Silver has moved to dismiss Plaintiff's appeal on the following grounds: (a) that the district court's denial of Plaintiff's judgment was not a final judgment subject to review; (b) that the collateral order exception is inapplicable; and (c) mandamus does not lie.

1. Did the district court properly refuse to give preclusive effect to the *SEC v. Silver* judgment when it denied Plaintiff's motion for partial summary judgment? Explain.
2. How should the appellate court rule on each of the grounds asserted in Silver's motion to dismiss the appeal? Explain.



# July 2001 MULTISTATE ESSAY EXAM

## EXAMINERS' ANALYSES

### Question 1 Analysis – Agency and Partnerships

#### Legal Problems:

- (1) Is a principal bound when an agent who has actual authority enters into an obligation apparently for the benefit of the principal but in fact for the benefit of a third party?
- (2) Is a principal bound when an agent who has actual authority enters into an obligation in violation of an undisclosed limitation placed on the agent's authority by the principal?
- (3) Is a principal bound when an agent whose actual authority has been terminated but who continues to have apparent authority enters into an obligation on behalf of the principal?

#### **DISCUSSION**

##### **(25-35%) Point One:**

Principal is liable to Bellseller for the church bell. Principal is bound by Agent's purchase of the church bell apparently on Principal's behalf, even though Agent was in fact operating on Greta's behalf, since Bellseller was unaware of that fact.

There is no doubt that Principal is liable. However, different jurisdictions are likely to reach this result based on different theories.

First, some jurisdictions would conclude that Agent had actual authority to bind Principal to the contract with Bellseller because Agent was expressly authorized by Principal to purchase the bell and the price that Agent agreed to pay was within the range authorized by Principal. Moreover, because the contract entered into by Agent disclosed that Principal was Agent's principal, Bellseller knew that Agent was acting as agent for a third party. This makes Principal a disclosed principal who is "subject to liability upon a contract purported to be made on his account by an agent authorized to make it for the principal's benefit, *although the agent acts for his own or another's improper purposes*, unless the [third] party has notice that the agent is not acting for the principal's benefit." RESTATEMENT (SECOND) OF AGENCY § 165. *See also U.S. Fidelity & Guaranty Co. v. Anderson Constr. Co.*, 260 F.2d 172 (9th Cir. 1958). Here, Bellseller had no knowledge that Agent was not acting for Principal's benefit, and as a result, Principal is liable to Bellseller for the price of the church bell. (In some jurisdictions, this same reasoning would be used to hold Principal liable on an "inherent authority" rationale. *See* Comment a to RESTATEMENT (SECOND) OF AGENCY § 165.) Agent, on the other hand, could be liable to Principal for breach of fiduciary duty.

Other jurisdictions would conclude that Agent did not have actual authority. Agent did not make the purchase for Principal, he made the purchase for Greta and his act *of purchasing the bell for Greta* was NOT within the actual authority given by Principal: Principal only authorized agent to make the purchase *for the benefit of Principal*. See Draft, RESTATEMENT (THIRD) OF AGENCY § 2.01, comment e (an “act that would be within the agent's actual authority had the agent acted to serve the interests of the principal. . . falls outside actual authority [if] the agent acted to serve the agent's own purposes or other improper purposes.”) Thus, although he purported to be acting for Principal, Agent probably lacked actual authority *to make this purchase for Greta*, though he would have had authority to purchase for Principal. Consequently, Principal would probably not be bound simply on the basis of actual authority.

Nevertheless, jurisdictions that conclude that Agent lacked actual authority would probably also conclude that Agent had *apparent* authority to make this purchase. Apparent authority is created “by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third person to believe that the principal consents to have the act done on his behalf by the person purporting to act for him.” See RESTATEMENT (SECOND) OF AGENCY § 27. See also *Mohr v. State Bank of Stanley*, 241 Kan. 42, 734 P.2d 1071, 1076 (1987); *Lewis v. Washington Metro. Area Transit Auth.*, 463 A.2d 666 (D.C. 1983). The principal must “be responsible for the information which comes to the mind of the third person,” but this can occur if the principal provides “documents or other indicia of authority” to the agent that are subsequently shown to the third party. RESTATEMENT (SECOND) OF AGENCY § 27, comment a.

In this case, Principal provided Agent with written credentials which, when they were shown to Bellseller, caused Bellseller to believe that Agent was authorized to purchase the bell on behalf of Principal. Agent then purported to act within the scope of this apparent authority, and Bellseller believed him to be so acting. Consequently, Principal is liable for the contract made by Agent within the scope of his apparent authority. See RESTATEMENT (SECOND) OF AGENCY § 159.

In any event, the basic justification for imposing liability on Principal is simply that Principal created a situation where Bellseller reasonably relied on Agent's claims to be acting for Principal. Agency law typically protects third parties who act in reliance on appearances created by a purported principal, and a court is likely to protect Bellseller for this reason, whether the result is explained on grounds of apparent authority, inherent authority, or estoppel. See RESTATEMENT (SECOND) OF AGENCY § 8, comments d, e & f; § 3A.

**(25-35%) Point Two:**

Agent acted with actual authority to purchase the book, and with apparent authority because Tomeseller was unaware of Principal's price limitation. Therefore, Principal is liable even though Agent exceeded the terms of his authorization.

Principal specifically authorized Agent to buy the book, so Agent had actual authority to purchase the book on Principal's behalf. RESTATEMENT (SECOND) OF AGENCY § 26. However, Agent exceeded the limitation on price imposed by Principal, and therefore exceeded the

scope of his actual authority. Although Agent is liable to Principal for breach of duty to obey instructions, Principal will nevertheless be liable to Tomeseller.

Agent showed the written authorization to Tomeseller, and the purchase contract identified Principal as the principal, so Principal was a disclosed principal, and Agent had apparent authority. Apparent authority is created “by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third person to believe that the principal consents to have the act done on his behalf by the person purporting to act for him.” RESTATEMENT (SECOND) OF AGENCY § 27. *See also* *Mohr v. State Bank of Stanley*, 241 Kan. 42, 734 P.2d 1071, 1076 (1987); *Lewis v. Washington Metro. Area Transit Auth.*, 463 A.2d 666 (D.C. 1983). When Agent presented Tomeseller with the written authorization, which did not include the limitation, Tomeseller reasonably understood that Agent was authorized to purchase the book on Principal's behalf, creating apparent authority on behalf of Agent.

Because the price limitation was not included on the written authorization shown to Tomeseller, she was unaware of the limitation. “A disclosed or partially disclosed principal authorizing an agent to make a contract, but imposing upon him limitations as to incidental terms intended not to be revealed is subject to liability upon a contract made in violation of such limitations with a third person who has no notice of them.” RESTATEMENT (SECOND) OF AGENCY § 160. *See also* *Hunt v. Davis*, 387 So. 2d 209 (Ala. Civ. App. 1980) (holding that secret limitations on an agent's authority do not bind third parties); *Wittlin v. Giacalone*, 171 F.2d 147 (D.C. Cir. 1948). Therefore, Principal remains liable to Tomeseller for payment of the book.

**(25-30%) Point Three:**

Because Agent was acting with apparent authority, even though Principal had terminated all actual authority, Principal is liable to Lampseller for the purchase of the lamp.

Principal had terminated the agency relationship by delivery of the letter to Agent, so Agent did not have actual authority to buy the lamp. RESTATEMENT (SECOND) OF AGENCY § 119. Agent did, however, continue to have apparent authority. Once apparent authority is created, it can be terminated only when the third party has notice of termination or when the authority is terminated due to impossibility or lack of capacity. Reuschlein & Gregory, *THE LAW OF AGENCY AND PARTNERSHIP* § 46 at 95, (2d ed. 1990); RESTATEMENT (SECOND) OF AGENCY § 125.

When Principal engaged Agent, Principal gave Agent credentials and form contracts used to buy antiques on Principal's behalf. Agent showed Lampseller the credentials and used Principal's form to purchase the lamp, so Lampseller could reasonably have understood that Agent had authority from Principal to buy antiques, including the lamp. When Principal entrusted Agent with “indicia of authority,” Principal became obliged to give notice of any termination of that authority to third persons who relied upon Agent's possession of the credentials. Since Lampseller had no notice that Agent's credentials were no longer valid, the apparent authority continued as to Lampseller and, as a result, Principal is liable for payment to Lampseller for the \$5,000 purchase price.

## Question 2 Analysis – Trusts and Future Interests

### Legal Problems:

- (1) Is a promise to create a trust in the future legally enforceable if the promise is supported by consideration?
- (2) Is an oral trust of intangible personal property valid?
- (3) Did the trust terminate at Harry's death because there was then no trustee?
- (4) What is the effect of Wanda's disclaimer of the income interest and should the principal be immediately distributed (a) to Wanda and Charles, as Harry's heirs, (b) to Charles, as the implied remainder beneficiary of the trust, or (c) to Mary and Pat, as remainder beneficiaries of the trust?

### DISCUSSION

#### **(30-40%) Point One:**

Harry's promise to create a trust of property he might inherit from his mother was legally enforceable.

A promise to create a trust in the future is unenforceable unless the promise is supported by consideration sufficient for the formation of a contract. *See generally* SCOTT ON TRUSTS § 30 (4th ed.); Bogert, TRUSTS § 24 (6th ed. 1987). Thus, if Harry had merely promised to create a trust of property he might later inherit from his mother, that promise would be unenforceable. Here, however, Harry's promise was incorporated into a prenuptial agreement in which the promise to create the trust was made in consideration of Wanda's waiver of alimony rights. This waiver is sufficient consideration to support Harry's promise to create the trust in the future, just as it is sufficient to support the validity of the prenuptial agreement.

#### **(30-40%) Point Two:**

A trust of intangible personal property may be declared orally. No writing is required. Thus, the trust for Wanda was validly created.

In order to create a trust, the grantor must have intended to create the trust and there must be a trust res (property), one or more trust beneficiaries, and a trustee. The intent to create a trust can be found in both the grantor's words and deeds. *See generally* SCOTT ON TRUSTS § 24.2 (4th ed.). Here, the evidence is clear that Harry intended to create a trust.

At the time of the declaration of trust there was also trust property (\$1 million), one or more beneficiaries, and a trustee (Harry). Thus, the only possible remaining issue relating to whether the trust was validly created is whether an oral declaration of trust is valid. Most states require a writing to create an inter vivos trust of land. At common law, an inter vivos oral trust of personalty was valid. *See* Bogert, *supra* § 21. Generally, state statutes of frauds do not change this common-law rule. Thus, the trust was validly created even though created orally.

**(5-10%) Point Three:**

A trust will not fail for want of a trustee. Thus, even though no trustee is acting at Harry's death, the trust is valid and a court of equity can appoint a successor

A trust will not fail for want of a trustee. *See generally* Bogert, TRUSTS § 30 (6th ed. 1987). Thus, even if the sole individual acting as trustee dies, the trust does not terminate if the grantor intended the trust to continue beyond the death of the trustee. *Id.* Rather, the court of equity having jurisdiction over the trust can appoint another to act as a successor trustee. *Id.* Here, Harry's intent is clear—that the trust continue for Wanda's lifetime, not that the trust terminate at his death. This intent is evidenced not only by the provision that Wanda's income interest terminates at her death but also by the language of the orally declared trust specifically contemplating the appointment of a successor trustee. Thus, it is entirely appropriate for the court to appoint a successor trustee.

If the trust terminates as a result of Wanda's disclaimer (*See* Point Four), it would still be necessary to appoint a successor trustee to prepare the necessary accounting and distribute the trust principal to the correct beneficiaries. However, a court may simply direct the personal representative of Harry's estate to assume these duties.

**(30-40%) Point Four:**

Because Wanda has validly disclaimed her income interest in the trust, it is appropriate to accelerate the distribution of the trust principal under these facts and make an immediate distribution to the persons entitled to the trust principal without awaiting Wanda's death. However, it is unclear whether there is an implied gift to Harry's issue (Charles in this case). If so, Charles is entitled to the trust principal. If not, the trust principal is distributable to Harry's heirs (i.e., one-third to Wanda and two-thirds to Charles).

Under the doctrine of acceleration, if the income beneficiary of a trust disclaims his or her interest, the trust principal becomes immediately distributable to the presumptive remainder beneficiaries of the trust *provided no one would be harmed by making a distribution to them earlier than it would have been made had the income beneficiary not disclaimed*. *See generally* *Ohio National Bank of Columbus v. Adair*, 54 Ohio St. 2d 26 374 N.E.2d 415 (1978). *See also* Simes, THE LAW OF FUTURE INTERESTS § 110. For example, a remainder might not accelerate if to do so would result in the class gift to the remainder beneficiaries closing earlier than it otherwise would.

In this case, however, no one would be harmed by an acceleration because the identity of the persons entitled to the trust principal is not dependent on whether the distribution of the remainder accelerates or must await the death of Wanda. Rather, the ultimate identity of the takers of the trust principal depends on whether there is an implied gift to Harry's issue who survived Harry. At the time the trust was created, Harry clearly specified what was to happen if he died without issue. He stated that in such case the principal should be distributed to his nieces and nephews—Mary and Pat. Thus, their interest could vest only if Harry died without issue. Because Harry died with issue, the gift to the nieces and nephews clearly fails.

Harry, however, failed to state who would take the trust property under the circumstances that actually occurred—if he died *with* issue. In such a case, the courts have split between inferring a gift to the issue (i.e., construing the trust to mean “upon [Wanda's] death, to

Harry's issue but if Harry dies without issue, to Harry's surviving nieces and nephews") or finding that the gift of the remainder interest failed, resulting in the trust property reverting to the grantor's estate as undisposed of property. Theoretically, the controlling principle in construing the ambiguous instrument is to give effect to Harry's intent. Often, however, the grantor's intent is not readily determinable.

Some courts in these cases infer a gift to issue because "it is difficult to see why the [grantor] has made no provision for [his] issue although he has expressly provided for [his] death without issue." Simes, *supra* § 100. Thus, the court assumes that the intended gift to issue was inadvertently omitted and, therefore, constructs the gift to accomplish the grantor's presumed intent.

Other courts hold that the trust property is distributed to the successors of the grantor's estate on the theory that the grantor retained a reversion and that to construct a gift to issue is tantamount to writing a trust for the grantor and making a gift that is wholly speculative. If the trust property is distributable through Harry's estate by way of a reversion, it passes to his heirs via intestate succession, and it is distributable one-third to Wanda and two-thirds to Charles. Because Wanda's disclaimer was limited to her interest in the trust property, the disclaimer did not apply to any property distributable to her as part of Harry's estate.



## Question 3 Analysis – Secured Transactions

### Legal Problems:

- (1) What is the relative priority of the security interests of Arcade's three creditors?
- (2) Does Oscar, as a buyer in the ordinary course of business, take free of security interests created by Arcade?

### **DISCUSSION**

#### **(60-70%) Point One:**

Under the first-to-file-or-perfect rule, Bank would have priority over Finance and Supplier. However, Supplier's security interest qualifies for priority because it is a purchase money security interest (PMSI) and Supplier complied with the requirements of UCC § 9-312(3) [Revised 9-324(b)]. Accordingly, Supplier has priority, followed by Bank, then Finance.

As between secured creditors, the general priority rule is UCC § 9-312(5)(a) [Rev. 9-322(a)(1)]—the first to file or perfect has priority. Bank filed on February 12 although it did not perfect until July 1 when Arcade signed a security agreement on Bank's behalf. *See* UCC § 9-203, UCC § 9-303 [Rev. 9-308] (noting that perfection requires attachment and that attachment typically requires a signed security agreement). Pursuant to the general rule, however, February 12 is Bank's priority date.

Finance filed and perfected on June 5 since its security interest had previously attached (i.e., on June 1, Arcade had rights in its existing inventory. Finance gave value through its loan, and Arcade signed a security agreement). *See* UCC § 9-203, UCC § 9-303 [Rev. 9-308]. Thus, June 5 is Finance's priority date. Bank, therefore, beats Finance in the remaining inventory. (Both have an after-acquired property clause in their security agreements that gives rise to a security interest in any new inventory that Arcade purchases.)

Supplier filed and perfected on August 21, assuming that Arcade had some rights in the collateral as of the purchase date of August 20. For example, the actual pinball machines that were the subject of the sale were identified on that date. *See* UCC § 2-501. In any event, perfection would occur no later than possession by Arcade on August 31. *See* UCC § 9-201, 9-203. Pursuant to the general rule, Supplier's priority is behind both Bank and Finance. Supplier, however, may take advantage of an exception to the general rule for purchase money security interests (PMSIs) in inventory. Section 9-312(3) of the UCC [Rev. 9-324(b)] states that a perfected PMSI in inventory has priority over a conflicting security interest in the same inventory if the PMSI is perfected at the time the debtor receives possession of the inventory, and if the conflicting security interest holders receive proper notice within five years before the debtor receives possession of the inventory. *See* UCC § 9-312(3)(a)-(d) [Rev. 9-324(b)(3)].

Supplier did take a PMSI because Supplier took a security interest to secure all or part of the price of the pinball machines that it sold to Arcade. *See* UCC § 9-107(e) [Rev. 9-103]. In addition, it is a PMSI in inventory because Arcade is a seller of pinball arcade games; thus, the machines purchased by Arcade are presumably "held by [Arcade] who holds them for

sale . . . .” *See* UCC § 9-109(4) [Rev. 9-102(a)(48)] (defining “inventory”). Indeed, the facts of the problem state that the machines were placed in Arcade's showroom “for sale to customers.” Thus, the pinball machines are properly characterized as “inventory” of Arcade. *See* UCC § 9-109(4) [Rev. 9-102(a)(48)].

As mentioned, Supplier filed and probably perfected on August 21, which indicates that the PMSI was perfected “at the time [Arcade] receive[d] possession of the inventory” on August 31. UCC § 9-312(3)(a) [Rev. 9-324(b)(1)]. Finally, the facts of the problem indicate that “proper notice of [Supplier's] security interest [was sent] to all relevant creditors, including Bank and Finance,” and that such notice was received before Arcade got possession of the machines on August 31. Thus, the notice requirements of UCC § 9-312(3)(b)-(d) [Rev. 9-324(b)(2)-(4)] are met. (The facts of the problem state that “proper” notice was sent so there is no need to discuss whether the content of the notice was correct.) Because the requirements of UCC § 9-312(3) [Rev. 9-324(b)] are met, Supplier has priority in the pinball machines over both Bank and Finance, as they hold “conflicting security interests” in the same inventory.” UCC § 9-312(3) [Rev. 9-324(b)]. (Note that Bank and Finance hold conflicting security interests because their after-acquired property clauses attached to the pinball machines as soon as Arcade had rights in the collateral, which would be no later than possession on August 31. *See* UCC §§ 9-203, 9-204.)

In summary, therefore, the order of priority in the two remaining pinball machines is (1) Supplier, (2) Bank, and (3) Finance.

**(30-40%) Point Two:**

Because Oscar is a buyer in the ordinary course, he takes free of all security interests created by his seller (Arcade). Thus, Bank, Finance, and Supplier have no security interest to enforce in the pinball machine purchased by Oscar.

The general rule is that security interests are enforceable against purchasers of the collateral. *See* UCC § 9-201. Indeed, in general, security interests continue in collateral notwithstanding its sale, exchange, or other disposition. *See* UCC § 9-306(2) [Rev. 9-315(a)(1)]. Under UCC § 9-307(1) [Rev. 9-320(a)], however, a buyer in the ordinary course of business takes free of a security interest created by his seller even if the security interest is perfected and even if the buyer knows of the security interest. A buyer in the ordinary course means a person who, in good faith and without knowledge that the sale to him is in violation of the security interest of a third party, buys in the ordinary course from a person in the business of selling goods of that kind. *See* UCC § 1-201(9). Arcade is in the business of selling pinball arcade games. There are no facts suggesting that Oscar acted in bad faith. In addition, the problem states that Oscar “had no actual knowledge” of any security interests in the pinball machine he purchased.

Because Oscar's purchase satisfies the requirements of UCC § 9-307(1) [Rev. 9-320(a)], Oscar takes the pinball machine free of all three security interests. Bank, Finance, and Supplier have no security interest to enforce in the pinball machine purchased by Oscar.

## Question 4 Analysis – Decedents' Estates

### Legal Problems:

- (1) Was the bequest of the watch to Ben properly revoked, such that the watch passes to Chris?
- (2) Is Sarah entitled to receive the dining room table, the automobile, or neither?
- (3) Is Nicole entitled to the balance of Testator's tangible personal property under the doctrine of incorporation by reference?
- (4) To whom should the undisposed of property (the \$10,000 bank account) be distributed?

### DISCUSSION

#### **(25-30%) Point One:**

The gift of the watch to Ben was not revoked by either physical act or cancellation. It was revoked, however, by a subsequent will since State A law permits testators to execute holographic wills. Thus, the watch passes to Chris.

State A law permits wills to be completely or partially revoked by the execution of a subsequent will or by physical act or cancellation. In this case, no physical act was done to the face of the will to evidence that either the entire will or any of its provisions were revoked. On the other hand, on the back of the will, Testator, in her own handwriting, stated: "I don't want Ben to have my watch. I want it to go to my first cousin, Chris." Because these words do not come into physical contact with the words of the will, they are not words of revocation. *Thompson v. Royall*, 175 S.E. 748 (Va. 1934). *But see* Unif. Prob. Code § 2-507 (permitting revocation by cancellation even though words of cancellation do not touch words of the will). However, under the laws of State A, these words can be construed as a holographic codicil.

In some states, the handwriting on the back of the will would not be a valid holographic will because of underlying state statutes requiring holographic wills to be signed. *See, e.g.,* Unif. Prob. Code § 2-502(b) (requiring holographic wills to be signed). State A, however, has no signature requirement.

A holographic will can revoke an earlier typewritten will. *See generally Mangum v. Fuller*, 797 S.W.2d 452 (Ark. 1990). If the subsequently executed holographic will only disposes of a part of the estate disposed of in the typewritten will, then the typewritten will is revoked only to the extent that it is inconsistent with the provisions of the holographic will. *See Gilbert v. Gilbert*, 652 S.W.2d 663 (Ky. Ct. App. 1983). *See also* Unif. Prob. Code § 2-507(a)(1) (partial revocation by inconsistency). Here, the holographic will is inconsistent with the typewritten will only to the extent that it leaves the watch to Chris, rather than Ben. Thus, no other disposition in the type-written will is revoked.

**(35-50%) Point Two:**

The bequest of the dining room table to Sarah was revoked by physical act. Testator revoked the original bequest with the apparent intent of substituting for it a bequest of the automobile. However, the substituted bequest cannot be sustained as a holographic will because it was typewritten. Furthermore, the doctrine of dependent relative revocation is not likely to apply to prevent the bequest of the table from being revoked.

Under State A law, a bequest may be revoked by cancellation if the cancellation is accompanied by an intent to revoke. When a will is found with marks of cancellation upon it (here, the scratches through the phrase “dining room table”), a presumption arises that such marks were made by the testator with the intent to revoke. *See generally* W. McGovern, S. Kurtz, and J. Rein, *WILLS, TRUSTS AND ESTATES* § 5.2 (1988). Here, no facts suggest that such marks of cancellation could have been done by anyone but Testator and in light of the presumption, such marks were done by the Testator with the intent to revoke. However, typing the word “automobile” above “dining room table” suggests that Testator revoked the bequest of the dining room table in order to substitute for it a bequest of the automobile. Unfortunately, that typed bequest was neither signed nor witnessed and cannot be sustained as a valid holographic codicil because it was not in Testator's handwriting. Thus, Sarah takes nothing unless the revocation of the bequest of the dining room table can be avoided under the doctrine of dependent relative revocation.

Under the doctrine of dependent relative revocation, a revocation can be deemed conditional on the validity of a subsequently executed will or codicil if that would accomplish the testator's intent. W. McGovern, S. Kurtz, and J. Rein, *WILLS, TRUSTS AND ESTATES* § 5.3 (1988). Under this doctrine, if the subsequently executed will is invalid, then the revocation which was dependent upon it is ignored. *Id.* Typically, however, courts apply that doctrine only when there is a sufficiently close identity between the bequest that was revoked and the bequest that was expressed in the invalid subsequent will. Here, there is no such close identity between a dining room table and an automobile, and accordingly a court is unlikely to apply the doctrine of dependent relative revocation to prevent the bequest of the dining room table from being revoked. If, on the other hand, Sarah could find evidence that Testator's revocation was conditional, then she would be entitled to the dining room table. See Point Three for disposition of the automobile and the dining room table.

**(15-20%) Point Three:**

Under the doctrine of incorporation by reference, Nicole should be entitled to the balance of Testator's tangible personal property.

Under the doctrine of incorporation by reference, a will may refer to an unattested written document and incorporate its terms into the will so long as that written document was in existence at the time the will was signed and the evidence is clear that testator intended to incorporate its terms into her will. *See, e.g., Smith v. Weitzel*, 338 S.W.2d 628 (Tenn. Ct. App. 1960); W. McGovern, S. Kurtz, and J. Rein, *WILLS, TRUSTS AND ESTATES* § 6.3 (1988). *See also* Unif. Prob. Code § 2-510. Where such a document is incorporated the dispositive provisions in it are given the same effect as if they had been set forth in the duly attested will. Here, the letter referred to in Testator's will was dated May 17, 1997, the day before Testator

signed her will. Thus, it was in existence on the date Testator signed the will. Testator's will specifically refers to the letter by date and reflects a clear intent that the disposition in the letter be given effect. Thus, Nicole should be entitled to all of Testator's remaining tangibles, and probably the specific tangibles ineffectively bequeathed to Sarah. *See* Point Two. (This presumes that item three of the will operates like a residuary clause but with respect to the tangibles only.) Some states have statutes that specifically authorize the bequest of tangibles in the manner used here and validate such bequests even if the memo was executed after the will. *See, e.g.,* Unif. Prob. Code § 2-513.

**(15-20%) Point Four:**

The bank account should be distributed to Sarah and Ben as the sole heirs of Testator.

Where a testator's will fails to dispose of all of the testator's property, the undisposed of property passes to the testator's heirs. *See, e.g., Levy v. Hebrew Technical Institute*, 196 So. 2d 225 (Fla. Ct. App. 1967). Typically, the intestacy laws of the states provide that, absent descendants or a spouse, an intestate's property is distributed to (1) parents, (2) the descendants of the parents, (3) more remote ancestors, and (4) their descendants, in that order. Here, Testator's closest living relatives are Sarah and Ben and as such they are equally entitled to all of Testator's property not disposed of by Testator's will.

## Question 5 Analysis – Family Law

### Legal Problems:

- (1) Is State B required to recognize the child support order of State A?
- (2) Does State B have jurisdiction to modify the child support order?
- (3) When will a court reduce a child support award due to changed circumstances, and can the reduction be made retroactive?
- (4) When will a court increase or extend a spousal support award due to changed circumstances?

### DISCUSSION

#### **(20-30%) Point One:**

State B is required to recognize the child support order of State A.

Under federal law, states are required to give full faith and credit to child support awards from other states. Under 28 U.S.C. § 1738B(a) each state: “(I) shall enforce according to its terms a child support order made consistently with this section by a court of another State.” Section 1738B is known as the Full Faith and Credit for Child Support Orders Act.

Section IV-D of the Social Security Act also requires a state, as a condition of participation in the federally funded child support programs, to have procedures that require that “any payment or installment of support under any child support order . . . [be] . . . entitled as a judgment to full faith and credit in such State and in any other State.” 42 U.S.C. § 666(a)(9). This amendment to the Social Security Act may also be called The Child Support Enforcement Act or the IV-D Program.

Hence, Father cannot evade the State A child support order by moving to State B. State B must recognize and enforce the State A order. It is no longer the case that child support orders are not entitled to full faith and credit.

The same result is mandated by the Uniform Interstate Family Support Act (UIFSA), legislation which states are required to adopt under federal law. Section IV-D of the Social Security Act requires that a state, as a condition of participation in the federally funded child support programs, have UIFSA in effect. 42 U.S.C. § 666(f). UIFSA provides a simple procedure for the registration of the child support order of another state. The order is then enforced in the same manner as an order issued by the registering state. UIFSA § 603. Mother can use UIFSA to enforce the State A order in State B.

#### **(10-20%) Point Two:**

State B does not have jurisdiction to modify the child support order.

State B does not have jurisdiction to modify the State A child support order. Under federal law, each state “shall not seek or make a modification of ... [a child support] order except in accordance with subsection [ ](e).” 28 U.S.C. § 1738B(a). (Full Faith and Credit for Child

Support Orders Act). Subsection (e) of the Full Faith and Credit for Child Support Orders Act prohibits the modification of child support orders issued by a court with continuing exclusive jurisdiction, unless no contestant or child resides there, or unless each contestant has agreed in writing to allow another state to assert jurisdiction. Those requirements are not met here because Mother and children still reside in State A, and Mother has not consented to State B's assuming jurisdiction to modify.

This same result is mandated by UIFSA. Section 205 of UIFSA confers continuing, exclusive jurisdiction on the state issuing the child support order unless no litigant or child resides there, or unless each party has consented to another state's modification jurisdiction. State A continues to have jurisdiction, and State B cannot modify. Section 603(c) of UIFSA requires that states enforce without modification the child support orders of other states.

**(35-45%) Point Three:**

A court will reduce a child support award when there has been a material and substantial change in circumstances; however, such a change in circumstances has not been demonstrated here. Further, a court cannot order a retroactive modification of a child support order.

In most jurisdictions, modifications of child support orders may be made only upon a showing of a substantial and continuing change in circumstances making the prior order unreasonable. Under the Uniform Marriage and Divorce Act (UMDA), modification of a child support order is allowed "only upon a showing of changed circumstances so substantial and continuing as to make the terms unconscionable." Unif. Marriage and Div. Act § 316(a), 9A U.L.A. 102 (1987). However, modifications based on changed circumstances are allowed in most jurisdictions upon the less stringent showing of a material or substantial change of circumstances, although the burden on the party requesting the modification is still a heavy one. Donald T. Kramer, *LEGAL RIGHTS OF CHILDREN* § 4.07 (2d ed. 1994 and Supp. 1997). Under any standard, however, the changes must be more or less permanent, rather than temporary. *Id.* Although Father has been unemployed for three months, he did receive 50 percent of his annual salary in severance pay and other benefits at the time of his termination. Since his job prospects are good, it is likely that his unemployment will only be temporary. In addition, the stated reasons for Father's move to State B provide some evidence of bad faith by Father. Therefore, it is unlikely that his child support payment will be reduced at this time. If, however, the court were to reduce Father's child support obligation, the reduction would be calculated under the state's child support guidelines and would not likely be the \$1,000 that Father requests. If Father turns out to be unable to find a job after a lengthy period, the court would be more likely to reduce the amount of the payments.

The court could also impute income to Father, based upon his prior employment history, education, and efforts (or lack thereof) to find employment.

Moreover, under UMDA, a modification of support can be made retroactive only from the date of service of the motion to modify on the other party. Unif. Marriage and Div. Act § 316(a), 9A U.L.A. 102 (1987). Here, if the court were able to modify the child support obligation, the modification could only be made retroactive to the date of service on Mother and cannot be made six months retroactive. Therefore, Father will owe the full amount of the child support arrearage, which is \$12,000.

Federal law requires the same result with respect to retroactive modification of child support orders. Section IV-D of the Social Security Act requires a state, as a condition of participation in the federally funded child support programs, to have procedures that require that “any payment or installment of support under any child support order . . . [be] . . . not subject to retroactive modification by such State or by any other State.” 42 U.S.C. § 666(a)(9).

**(25-35%) Point Four:**

An award of spousal support is modifiable only when there has been a substantial change in circumstances.

Modification of spousal support is allowed only upon a showing of a substantial and continuing change in circumstances making the prior order unreasonable. Under UMDA, a modification of spousal support is allowed “only upon a showing of changed circumstances so substantial and continuing as to make the terms unconscionable.” Unit. Marriage and Div. Act § 316(a), 9A U.L.A. 102 (1987). Most jurisdictions are not as stringent as UMDA, but most place a heavy burden on the party requesting the modification (*e.g.*, requiring a “substantial change in circumstances that rendered the original award unreasonable and unfair.” *Hecker v. Hecker*, 568 N.W.2d 705 (Minn. 1997)). Courts consider whether the change in circumstances was anticipated at the time the original award was made and the good faith of the party asking for the modification. *See, e.g., Pope v. Pope*, 559 N.W.2d 192 (Neb. 1997).

A change in the payer's ability to pay or in the recipient's needs would be the type of change a court would consider. Mother now has increased need because her income has been reduced by one-fourth. Since her workload includes being the custodial parent of the parties' two children, it seems very reasonable that she would follow her doctor's orders not to resume full-time work. Her loss of income was unanticipated and may be permanent. There is no indication of bad faith on her part. Mother presents a sympathetic case for an extension and an upward modification of her maintenance award. However, Father's circumstances have also changed. His circumstances are discussed under Point Three above.

Overall, it is debatable whether Mother would succeed in having her award increased, particularly in a jurisdiction that took as strong a stand against modification as reflected in UMDA. Although her income has been reduced by one-fourth, there is no indication of other, unexpected expenses. Since her original award was for five years, she will be receiving maintenance for four more years under the original award. Her age, work experience, and duration of the marriage were factors that would have been considered in making the original award and would have tended not to support an award of long-term maintenance since she has been employed, she is not near retirement age, and the marriage was not of extremely long duration. Therefore, it seems unlikely that the court would order an increase in the duration of the maintenance award at this time.

On the other hand, it is possible that the spousal support amount should be increased at this time because of the permanent decrease in her earnings. She seems unable to provide adequate self-support based on the change in her physical condition. It is probably premature, however, to ask for a change in duration.



## Question 6 Analysis – Commercial Paper

### Legal Problems:

- (1) Can Singer recover from Bank Two for conversion on the ground that Bank Two took the instrument with notice of a breach of Agent's fiduciary duty to Singer?
- (2) Was the instrument properly paid by Bank One?
- (3) Was Concert's obligation to Singer discharged by payment to Agent?

### DISCUSSION

#### **(45-50%) Point One:**

Singer may recover from Bank Two for conversion on the ground that because Bank Two took the instrument with notice that Agent had breached her fiduciary duty. Bank Two was not a holder in due course.

The facts state that the check was issued to "Agent, as agent for Singer," and was issued for money owed to Singer by Concert. As between Singer and Agent, Singer is the owner of the check, and is the principal in a principal-agent relationship with Agent. In UCC terms, Singer is a "represented person" (UCC § 3-307(a)(2)) and Agent is a "fiduciary" (UCC § 3-307(a)(1)).

When Agent convinced Bank Two to deposit the check into Agent's personal account and use the proceeds for Agent's personal benefit, Agent violated her fiduciary duty to Singer and misappropriated Singer's property. This misappropriation of the Concert check gives rise to a claim by Singer to the instrument or its proceeds based on Agent's breach of fiduciary duty. UCC §§ 3-306, 3-307(b)(iii).

Singer's claim to the instrument and its proceeds may be asserted against Agent and against subsequent takers of the instrument. Therefore, because Bank Two also misused Singer's property (by receiving payment of the check and using the proceeds to cover Agent's overdrafts and increase her personal account balance), Bank Two may be liable for converting Singer's property—the check and its proceeds. *See* UCC § 3-420. But, if Bank Two is a holder in due course, it takes free of such claim UCC § 3-306. If Bank Two is not a holder in due course, it will be subject to Singer's claim. UCC § 3-306.

To be a holder in due course, Bank Two must be a holder, and it must have taken the check in good faith, for value and without notice of any claims or defenses. In this case, Bank Two, as the depository bank of a check bearing a proper restrictive endorsement (UCC § 3-206 (c)), is a holder and it has given value, the extinguishment of the overdraft (UCC § 3-303(a)(3)). Bank Two appears to have acted in good faith, though it could be argued that the Bank Two manager failed to follow "reasonable commercial standards of fair dealing," when he allowed Agent to deposit the check into Agent's personal account, at clear variance with past practice with regard to checks written to Agent as Singer's agent. The more powerful argument for Singer, however, is that Bank Two had notice of Singer's claim to the instrument and for that reason could not be a holder in due course.

Section 3-307 (b)(1) of the UCC provides expressly that a taker's "notice of a breach of fiduciary duty" by a fiduciary is "notice of the claim of the represented person." Thus, to the extent that Bank Two had notice of a breach of fiduciary duty, it cannot be a holder in due course because it will be treated as having notice of Singer's claim to the check.

To be charged with *notice* under UCC § 3-307(b)(1), the taker, here Manager on behalf of Bank Two, must have had *knowledge* of two facts. First, the taker must have knowledge of the fiduciary status of the fiduciary. UCC § 9-307(b)(ii). Second, the taker must know that the check payable to the fiduciary is being taken in payment of a personal debt of the fiduciary (UCC § 9-307(b)(2)(i)), or deposited to an account other than the account of the fiduciary, as a fiduciary. UCC § 9-307(b)(2)(iii). Manager clearly knew that Agent was the fiduciary of Singer, given that the check was payable to Agent in her fiduciary capacity and Manager knew that Agent had deposited similar checks in Singer's account. Manager also knew that the check was being deposited to extinguish the personal overdraft of Agent and was deposited in Agent's personal account. Thus, Bank Two had notice of the breach of the fiduciary duty of Agent and therefore had notice of the claim of the represented person UCC § 3-307(b)(1). Accordingly, Bank Two is precluded from holder in due course status because of such notice (UCC § 3-302(a)(2)(v)) and is, therefore, subject to the claim of Singer. UCC §§ 3-306, 3-420.

The check from Concert has long since been negotiated and paid by Bank One, so Singer no longer has any claim to the instrument. He does, however, have a claim to recover the proceeds against Bank Two as a converter of the instrument and its proceeds. Under UCC § 3-420, "The law applicable to conversion of personal property applies to instruments." The measure of Singer's recovery is presumed to be the amount payable on the instrument, here \$20,000.

**(25-35%) Point Two:**

Singer has no rights against Bank One because Bank One had no notice of Agent's breach of fiduciary duty or that the check was taken by Bank Two for Agent's debt.

Because the check was issued payable to the order of Agent and it was indorsed with Agent's signature, there was no forged indorsement. UCC § 3-110(c). Moreover, because Bank One did not take the instrument from Agent, it had no knowledge that the check had been taken for the debt of Agent.

Bank One is not liable to Singer in conversion because Agent was authorized to collect payment on behalf of Singer. Furthermore, the check was payable to the order of Agent, properly indorsed, and properly paid by Bank One upon presentment by Bank Two. Under UCC § 1-201(20), Bank Two was a "holder" and therefore a "person entitled to enforce the instrument." UCC § 3-301. This is true even though Bank Two was not a holder in due course.

Accordingly, Singer has no rights against Bank One.

**(15-25%) Point Three:**

Singer has no rights against Concert because Concert had paid an agent authorized to receive payment, and payment of the check discharged all underlying obligations.

Agent was authorized to collect funds owed to Singer for Singer's performance. Payment to an agent authorized to receive payment on behalf of the principal is considered payment to the principal. As stated in the RESTATEMENT (SECOND) OF AGENCY § 178(1) (1957), "If an agent, authorized to receive only money in payment of a debt, receives a check or other thing from the debtor and obtains the amount of the debt from the negotiation or sale of the thing received, the debt is paid."

Under the UCC, issuance of the check to the authorized agent suspends Singer's right to collect on the underlying obligation, and payment of the check results in discharge of the underlying obligation to the extent of the amount of the check. UCC § 3-310(b)(1).

Here the debt Concert owed Singer was \$20,000, and the amount of the check was \$20,000. The check was indorsed by the payee, presented by the depository bank, a holder under these facts, and paid by Bank One. Therefore payment of the check by Bank One, which resulted in Agent's receiving the full amount, discharged the \$20,000 debt owed by Concert to Singer. See UCC §§ 3-602, 3-310(b)(1).

Singer has no rights against Concert.

## Question 7 Analysis – Federal Civil Procedure

### Legal Problems:

- (1) May a litigant who was not a party to a prior judgment invoke that judgment against another litigant who was a party in order to preclude relitigation of the identical issue previously decided?
- (2)(a) Is a federal district court's order refusing to grant summary judgment on collateral estoppel grounds a final judgment?
- (b) Are there any exceptions to the final judgment rule that would permit review of an order refusing to grant summary judgment?

### DISCUSSION

#### **(45-55%) Point One:**

Plaintiff, a non-party to the *SEC v. Silver* action, may rely on the decision in action to prevent Silver from relitigating the question of whether Silver's registration statement was false and misleading.

This question involves the scope of the doctrine of collateral estoppel and the right of a non-party to an action to use collateral estoppel offensively against a losing party in the action. If Silver is precluded by the *SEC v. Silver* judgment from relitigating the question of whether its registration statement was false or misleading, and if Plaintiff is entitled to assert that preclusive effect against Silver, then Plaintiff's motion for summary judgment on that issue should have been granted.

The doctrine of collateral estoppel (or issue preclusion) generally prevents a litigant from relitigating issues that have been previously litigated and determined in a prior action. The traditional requirements for asserting collateral estoppel are: (1) a valid and final judgment was rendered in a prior action; (2) an issue of fact was actually litigated, determined, and essential to the judgment in the prior action; (3) the same issue arises in a subsequent action; and (4) the same parties are litigants in both actions. RESTATEMENT (SECOND) OF JUDGMENTS § 27 (1982).

The first three elements of this test are clearly satisfied. First, the judgment in the prior case (*SEC v. Silver*) was final according to the facts. Second, the issue of fact relating to the misrepresentation was actually litigated, determined, and essential to the judgment in the prior action. Here, Silver vigorously contested the misrepresentation claims in the SEC lawsuit. Moreover, the finding of misrepresentation in that lawsuit was the basis for a grant of both declaratory and injunctive relief. Thus, the factual misrepresentation issues were actually litigated, determined (e.g., declaratory judgment), and essential to the judgment enjoining Silver. Third, the misrepresentation issues in the prior action, *SEC v. Silver*, were identical to the misrepresentation claims in the subsequent action, *Plaintiff v. Silver*. Both actions revolved around whether the registration statement contained false and misleading representations of fact. However, the parties to the current action are not the same, and that fact alone would prevent collateral estoppel under traditional doctrine.

The modern approach to collateral estoppel, however, allows a non-party to the prior litigation (like Plaintiff) to invoke collateral estoppel against a party to the prior litigation, at least under certain circumstances. Section 29 of the RESTATEMENT (SECOND) OF JUDGMENTS reflects the modern view in stating that “[a] party precluded from relitigating an issue with an opposing party, in accordance with Sections 27 and 28, is also precluded from doing so with another person unless the fact that he lacked full and fair opportunity to litigate the issue in the first action or other circumstances justify affording him an opportunity to relitigate the issue.” When § 29 applies, there is a new fourth element in place of the “same parties” requirement. The new fourth element is that the party to be precluded had a full and fair opportunity to litigate the same issue in the prior action.

In *Parklane Hosiery Co. v. Shore*, 439 U.S. 322 (1979), the U.S. Supreme Court adopted this approach, upholding the use of offensive collateral estoppel against Parklane, which had litigated the relevant misrepresentation issues in a prior action brought by the SEC. Shore, a non-party to the prior lawsuit, was allowed to use collateral estoppel against Parklane in a subsequent lawsuit to preclude Parklane from relitigating the same issue a second time. The Court held that Parklane was not unfairly prejudiced because it had had a full and fair opportunity to litigate the issues in the earlier lawsuit. Thus, the *Parklane* case is consistent with the requirements of § 29, and it adopts offensive collateral estoppel as controlling federal law in federal courts.

Thus, while Plaintiff was not a party to the *SEC* lawsuit, and therefore could not have been bound if the *SEC* lawsuit judgment had been for Silver, Plaintiff is permitted to use collateral estoppel offensively in the subsequent lawsuit provided that Silver had a full and fair opportunity to litigate the same issue in the prior lawsuit. Here, Silver had that opportunity, and it vigorously litigated those issues. Accordingly, the trial judge erred in denying Plaintiff's motion for summary judgment.

**(30-40%) Point Two(a):**

The appellate court should dismiss Plaintiff's interlocutory appeal because there is no final judgment, and the appeal is premature.

The basic policy governing appeals from district court decisions is embodied in the final judgment rule, which prohibits appeals, with some exceptions, prior to entry of a final judgment by the trial court at the completion of the case in the trial court. This policy is designed to prevent the negative impact on trial and appellate courts that would occur if there were several appeals from rulings of the trial court during the course of the trial of a case. Frequent appeals would disrupt the trial court's ability to move forward with the case and would strain the judicial resources of the appellate courts. The final judgment policy is embodied in Title 28 U.S.C. § 1291, which provides in relevant part that “the courts of appeals ... shall have jurisdiction of appeals from all final decisions of the district courts of the United States.”

Plaintiff's appeal of the denial of the motion for summary judgment is clearly interlocutory and not final. Although the statute does not define “final decision,” the courts hold that a “final decision is one that ends the litigation on the merits so that the only thing left for the district court to do is to execute the judgment.” MOORE'S FEDERAL PRACTICE § 201.10 (3d ed. 1998). Here, the denial of Plaintiff's motion does not end the litigation; to the contrary, the trial on the merits will be more complex because of the decision. There was, accordingly, no

final decision, and Plaintiff's appeal was premature under § 1291 unless an exception applies. See generally *Cunningham v. Hamilton County, Ohio*, 527 U.S. 198 (1999).

**(10-20%) Point Two(b):**

There are no exceptions to the final judgment rule that are likely to apply to these facts.

The applicants are asked to discuss the following exceptions to the final judgment rule: (1) the collateral order doctrine, *Cohen v. Beneficial Life Insurance Co.*, 337 U.S. 541 (1949), and (2) mandamus review under 28 U.S.C. § 1651(a); *Kerr v. U.S. District Court*, 426 U.S. 394 (1976).

The collateral order doctrine allows review of final orders of district court judges when those orders are collateral to (or separate from) the merits of the lawsuit, and the orders are effectively unreviewable on appeal. *Cunningham v. Hamilton County, Ohio*, 527 U.S. 198 (1999); *Cohen v. Beneficial Life Insurance Co.*, 337 U.S. 541, 546. Here, however, the order at issue (allowing relitigation of the issue of misrepresentation) is intimately connected with the merits of the law suit and is certainly subject to review on appeal of any final judgment. The collateral order doctrine is therefore inapplicable.

Plaintiff will not be able to rely on mandamus review because this requires a showing that the trial court decision is beyond its jurisdiction or violated a mandatory duty owed by the trial court. *Will v. United States*, 389 U.S. 90, 95 (1967); *Kerr v. U.S. District Court*, 426 U.S. 394 (1976). Although the trial court should have granted the motion for partial summary judgment, the fact that the trial court made an error of law does not warrant mandamus where there is otherwise no abuse of judicial authority. A wider use of mandamus to review legal errors would effectively eviscerate the final judgment rule, and appellate courts have accordingly been wary of a broad application of mandamus review. "A party may not use a writ of mandamus to correct ordinary error by the district court. . . . The burden is on the applicant to show intolerable error or misbehavior." MOORE'S FEDERAL PRACTICE § 201.44 (3d ed. 1998). The error in this case would not cross that high threshold, at least absent some evidence of extraordinary hardship to Plaintiff as a result of the error.

# **FEBRUARY 2002 MULTISTATE ESSAY EXAM**

## **QUESTION 1**

Teacher lived in State A, where he taught in the public schools for eight years. Toward the end of his eighth year, Teacher was offered a lucrative teaching position in State B. Teacher decided to accept the offer and to move to State B. Teacher notified his school principal that he was leaving and put his State A home up for sale.

The day he sold his house, Teacher packed his belongings, rented a truck from Rentco, a State C corporation with its principal place of business in State A, and began the long drive to State B. While speeding on a State A highway toward State B, Teacher came upon a slow-moving car and applied the brakes in an effort to avoid an accident. The brakes failed, and Teacher rear-ended the slow-moving car. Passenger, a citizen of State A who was riding in the slower car, suffered severe back and neck injuries in the collision. After the State A police prepared a report of the accident, Teacher continued on to State B. Shortly after he arrived there, he purchased a home and began his new job.

Nine months after the accident, Passenger filed suit against Teacher in the United States District Court for the District of State A, alleging that Teacher's negligence caused Passenger serious personal injury. Passenger's complaint sought damages in excess of \$100,000.

Teacher timely moved to dismiss the complaint on the grounds that the court lacked subject matter jurisdiction and that venue was improper. While the motion to dismiss was pending, Teacher filed a third-party complaint against Rentco, seeking indemnification and claiming that the accident occurred because the brakes on the rental truck were defective. Before Teacher's motion could be heard, Passenger amended her complaint to state a claim directly against Rentco for negligence.

1. How should the federal district court rule on Teacher's motion to dismiss for lack of subject matter jurisdiction? Explain.
2. How should the federal district court rule on Teacher's motion to dismiss for improper venue? Explain.
3. If the district court were to deny Teacher's motion to dismiss on both grounds, would it have subject matter jurisdiction over Passenger's direct claim against Rentco? Explain.

**QUESTION 2**

On January 2, Bank loaned Debtor \$5,000 and took a security interest in Debtor's "equipment now owned or hereafter acquired." On that date, Debtor signed a valid security agreement and financing statement that properly described the collateral. The security agreement contained a proper future advance clause. On January 3, Bank filed the financing statement in the correct locations.

On February 1, Seller sold a \$10,000 computer to Debtor on credit for use in Debtor's business. To secure payment of the purchase price, Seller took a security interest in the computer. Also on February 1, Debtor signed a valid security agreement and financing statement for Seller that properly described the collateral. Seller, however, did not file the financing statement. Debtor received possession of the computer on February 12 and began using it in her business on that same day.

On February 14, the sheriff lawfully seized the computer pursuant to a writ of execution obtained by Larry, a judgment creditor of Debtor, and sent notice of the levy to Bank. Bank received the notice on February 16. On February 17, Bank advanced Debtor \$12,000.

On February 20, Seller learned of Larry's levy. That same day, Seller filed in the correct locations the financing statement it had received from Debtor on February 1.

On March 1, Debtor defaulted on her obligation to Bank and on her obligation to Seller.

1. As between Bank and Seller, which has the superior security interest in the computer? Explain.
2. As between Seller and Larry, which has a superior interest in the computer? Explain.
3. Is Bank's security interest in the computer as collateral for the \$12,000 advance superior to Larry's claim? Explain.



**QUESTION 3**

Several years ago, Bill, Carl, Donna, and several other participants formed a limited partnership named Transitions L.P., which operated a career counseling business. The limited partnership was properly formed, a written limited partnership agreement was properly executed, and all required filings were made in the proper state offices. The Certificate of Limited Partnership and the Limited Partnership Agreement do not modify any default provisions of the Revised Uniform Limited Partnership Act.

Bill is the sole general partner in Transitions. Carl, Donna, and the remaining partners are limited partners. Although the career counseling industry has experienced a rapid boom in the past few years, Transitions' business has not been financially successful and no distributions of profits have been made to the limited partners. As a result, several of the limited partners, including Carl and Donna, are unhappy with Bill's management of Transitions.

Carl decided that the limited partners should reach a consensus on how Transitions' day-to-day business should be conducted and then force Bill to follow their instructions. Carl went to Bill asking questions about the business operations of the limited partnership and asking to see Transitions' limited partnership records, including a list of the names and addresses of the other partners. Bill refused to answer any of Carl's questions, to allow Carl to examine any limited partnership records, and to provide him with information about the other partners. Bill claims that even if the limited partners all agree to change the way Transitions' business is run, Bill has no obligation to listen to them.

Donna does not believe that Transitions will be able to succeed in business if Bill remains in control. When Carl tells Donna that Bill does not intend to give up management of Transitions, Donna sells her interest in the limited partnership to Edward. Donna informs Bill that she has sold her interest to Edward and that Edward is now a limited partner in Transitions. Bill tells Donna that he doesn't approve of the sale and that Edward has no rights in the limited partnership and is not a partner.

1. Can Carl and the other limited partners decide how the day-to-day business of Transitions is to be conducted? Explain.
2. What rights, if any, does Carl have to obtain information from Bill about the business operations and records of Transitions? Explain.
3. What rights, if any, did Edward acquire as a purchaser of Donna's interest in Transitions? Explain.

**QUESTION 4**

Testator duly executed a will dated March 1, 1998. Among other things, the will stated:

1. I direct that all of my just debts and expenses be paid by my executor.
2. I give my family home to my daughter, Daughter.
3. I give my 24-carat gold watch to my son, Son.
4. I give the rest of my estate, including any property over which I may have a power of appointment, to Trustee to hold in trust for the primary benefit of Son and Daughter, with the remainder to their children.

Testator was the income beneficiary of two separate testamentary trusts: one created by Testator's mother, Mary, the other by Testator's father, Frank.

Testator had a special testamentary power of appointment exercisable in favor of Testator's issue over the testamentary trust created by Mary. Mary's will provided that Testator could exercise the power only by a specific reference to the power of appointment created by Mary's will.

Testator had a general testamentary power of appointment over the testamentary trust created by Frank.

Both Mary and Frank died in 1990. They were survived by Testator, Son, and Daughter.

At Testator's death in October 2001, Testator owned (a) the family home on which Testator was personally liable for a \$50,000 mortgage, (b) an insurance policy that specifically insured Testator's 24-carat gold watch, which had been stolen from Testator five days before Testator died, and (c) a portfolio of stocks and bonds. Testator owned no other assets.

Bank was appointed executor of the estate. Trustee was named trustee of the trust created in paragraph 4 of Testator's will. Bank collected the value of the stolen watch from the insurance company.

1. Did Testator effectively exercise the two powers of appointment he had at the time of his death? Explain.
2. Should the \$50,000 mortgage on Testator's home be paid out of the assets of Testator's residuary estate? Explain.
3. Should the insurance proceeds for the stolen watch be distributed to Son, as legatee of the watch, or to Trustee? Explain.

**QUESTION 5**

Seven months ago, Husband and his wife, Wife, were driving on a highway. Their daughter, Daughter, age 10, was in the backseat. While driving, Husband negligently turned the wheel of the car to the right and hit Frank's car. Frank had parked his car on the shoulder, turned on the emergency flashing lights, and was changing a flat tire. The accident caused Frank's car to hit and kill Frank. Frank's fiancée, Emily, was with Frank, but was not physically injured. However, she witnessed the accident and held Frank in her arms as he died.

Wife was seriously injured in the accident. She was hospitalized for a month with broken bones and internal injuries and is still undergoing physical therapy six months later. Wife and Husband have remained married.

After the accident, Husband took Daughter to the doctor to be examined. Although Daughter was not injured in the accident, the doctor found that she was suffering from an incipient bone disease brought on by calcium deficiency from an imbalanced diet.

Frank and Emily had lived together during their two-year engagement, and Frank died one week before their planned wedding date. Since Frank's death, Emily has suffered from depression because she misses his companionship and intimacy. Consequently, she has been under psychiatric care.

Wife has brought a lawsuit against Husband for his negligence. Emily has also sued Husband for his negligence. Daughter has sued both Husband and Wife for their failure to provide her with a diet richer in calcium.

There is no guest statute in this jurisdiction.

1. Assuming Wife can prove a prima facie case of negligence, is Husband liable to Wife? Explain.
2. Are Husband and Wife liable to Daughter for their failure to provide Daughter with a diet richer in calcium? Explain.
3. On what theory or theories arising from her relationship with Frank might Emily reasonably base claims for damages against Husband, and what would be the likely outcome of each claim? Explain.

**QUESTION 6**

On March 1, Lender lent \$10,000 to Borrower in exchange for a promissory note from Borrower. The promissory note was a form note Borrower had obtained from a stationery store. Borrower signed the note as maker and filled in the “date due” line to provide that payment was due September 1 of the same year.

Borrower and Lender had agreed that the amount due on the note would be \$10,500, representing both principal and interest on the loan. However, Borrower neglected to fill in the blank space on the form note for the amount due and also neglected to fill in the name of the payee in the blank space following the “pay to the order of” language. Despite these two omissions, the language of the form note did contain an unconditional promise to pay and did not contain any other promise or undertaking by Borrower.

A week after Lender accepted the note in exchange for the loan proceeds, Lender realized that both the amount and the payee lines had been left blank. Lender filled in his own name as payee and wrote “\$10,500” as the amount due.

On August 25 of that same year, Lender’s home was burglarized by Robber, who stole the note. Lender did not realize at that time that the note was missing. Robber then forged Lender’s indorsement on the note and sold the note on August 26 to Innocent, a good-faith purchaser for value, who paid \$10,350 for the note.

On September 1, Lender realized for the first time that the note was missing.

On September 2, Innocent presented the note for payment to Borrower, who paid \$10,500 in good faith to Innocent without knowledge of the forged signature or the theft of the note from Lender’s home.

1. After Lender filled in the blank amount and payee lines on the note, was the note enforceable against Borrower as completed? Explain.
2. Assume the note was enforceable and that Lender, unable to produce the note, demanded payment from Borrower on September 1 before Borrower had paid Innocent. What would be the rights and obligations of Lender and Borrower on the note? Explain.
3. Assuming the note was enforceable, did Borrower’s payment to Innocent discharge Borrower’s obligation to Lender on the note? Explain.
4. After Borrower paid Innocent, did Borrower have any rights of recovery against Innocent? Explain.

**QUESTION 7**

The articles of incorporation of Ergo, Inc. authorize the issuance of 400,000 Class A Common Shares and 1,000,000 Class B Common Shares, all of which are issued and outstanding. Dart owns all of the Class A shares and none of the Class B shares. Ergo's Articles provide that Ergo has seven directors elected by straight voting, with Class A shares to elect four directors and Class B shares to elect three directors.

Several months ago, Ergo's board of directors properly approved an expansion plan for the business that would require \$5 million of additional capital. At their regular February 1 meeting, the directors discussed possible sources to fund the expansion plan. One Class B director suggested that Ergo borrow the funds from a bank.

Dart, who had elected herself as one of the Class A directors, suggested that Ergo issue a new class of shares that Dart would purchase for \$5 million. The new class of shares (Class C Preferred) would be entitled to a cumulative preferred dividend. In support of this alternative, Dart presented an opinion from an independent investment bank that stated:

- (1) \$5 million would be a fair value for the Class C Preferred, and
- (2) in the long run, payment of the proposed preferred dividend would be less costly to Ergo than interest payments on a loan.

After one hour of spirited discussion of these alternatives, all seven directors voted to recommend to the shareholders that Ergo's Articles be amended to authorize the issuance of the Class C Preferred as proposed by Dart. A special meeting of the shareholders was properly called for the purpose of voting on the proposed amendment to the Articles.

Prior to that meeting, a proxy statement was issued to all shareholders disclosing all relevant information about the plan to issue the Class C Preferred to Dart. However, the proxy statement did not disclose the alternative funding method the Class B director initially proposed. At the shareholders meeting, a quorum was present, and the amendment to the Articles was adopted by the following vote:

|                | <u>In Favor</u> | <u>Opposed</u> |
|----------------|-----------------|----------------|
| Class A Shares | 400,000         | 0              |
| Class B Shares | 720,000         | 100,000        |

Following shareholder approval, the Ergo board of directors met to consider the issuance of the newly authorized Class C Preferred. All seven directors voted to issue the Class C Preferred to Dart for \$5 million in cash.

A Class B shareholder filed a derivative action against the directors to enjoin the issuance of the Class C Preferred to Dart. The Class B shareholder alleged (a) that the directors erred in deciding to issue the Class C Preferred rather than borrow the money from the bank; (b) that the directors had breached their duty of care to Ergo; and (c) that Dart had breached her duty of loyalty to Ergo.

Considering the Class B shareholder's allegations and all possible defenses, who is likely to prevail? Explain.



## QUESTION 1 ANALYSIS – FEDERAL CIVIL PROCEDURE

### Legal Problems:

- (1) Were the requirements of the diversity jurisdiction statute met here, even though at the time of the accident Passenger, the plaintiff, and Teacher, the defendant were citizens of the same state?
- (2) Were the requirements of the venue statute met here, given that Passenger filed in her home state, which was where the accident occurred?
- (3) Is supplemental jurisdiction available over Passenger's claim against Rentco, the third-party defendant, given that they are citizens of the same state?

### DISCUSSION

#### (35-45%) Point One:

Because Passenger and Teacher were citizens of different states when the complaint was filed and the amount in controversy exceeds \$75,000, Passenger properly invoked federal diversity jurisdiction. It is irrelevant that the plaintiff and the defendant were citizens of the same state at the time of the accident.

The court should deny Teacher's motion to dismiss for lack of subject matter jurisdiction. The requirements for federal diversity jurisdiction have been established in this case.

Passenger's complaint states only a state-law negligence claim, so federal question jurisdiction under 28 U.S.C. § 1331 is unavailable. Diversity jurisdiction is available under 28 U.S.C. § 1332(a)(1) only if Passenger and Teacher are citizens of different states and the amount in controversy exceeds \$75,000, exclusive of costs and interest. An individual is a citizen of the state in which he or she is domiciled. In order to change one's domicile, one must be physically present in the new place with the intent to make that place one's permanent home. *See, e.g., Mississippi Band of Choctaw Indians v. Holyfield*, 490 U.S. 30, 48 (1989).

The problem states that Passenger is a citizen of State A. At the time of the accident, Teacher had sold his home in State A, quit his job in State A, and accepted a new job in State B. Teacher was, however, still a domiciliary of, and hence a citizen of, State A because he had not yet reached State B after having formed the requisite intent to change his domicile. Had the suit been filed the day of the accident, diversity jurisdiction would have been unavailable because both the physical and mental elements must be present for a change of domicile. Jack H. Friedenthal et al., *CIVIL PROCEDURE* 30 (3d ed. 1999).

It is well settled, however, that the availability of diversity jurisdiction is determined *as of the date the suit is commenced*. 13B Charles Alan Wright, Arthur R. Miller & Edward H. Cooper, *FEDERAL PRACTICE AND PROCEDURE* § 3608 (2d ed. 1984 & Supp. 2001). Having purchased a home in State B and begun his new job shortly after his arrival there, Teacher had established a new domicile in State B. Hence, at the time suit was filed in this case, nine months after the accident, Teacher had become a domiciliary and citizen of State B. Thus, diversity of citizenship existed between Passenger and Teacher.

In addition to diversity of citizenship, the amount in controversy must exceed \$75,000, exclusive of costs and interest. 28 U.S.C. § 1332(a). Because Passenger's complaint seeks damages in excess of \$100,000, the amount in controversy requirement is met.

The motion to dismiss for lack of jurisdiction should be denied: there is diversity of citizenship, and the amount in controversy requirement is satisfied.

**(15-25%) Point Two:**

Because venue is proper in a diversity case in the judicial district in which a "substantial part of the events or omissions giving rise to the claim occurred," and because the accident occurred in State A, venue is proper in the federal district court of State A.

The court should deny Teacher's motion to dismiss for improper venue. The requirements of the venue statute, 28 U.S.C. § 1391, are met.

Venue is a geographical concept that localizes lawsuits in places that are connected either to the parties or to the events giving rise to the action. Stephen C. Yeazell, CIVIL PROCEDURE 191-92 (4th ed. 1996). Under 28 U.S.C. § 1391(a), which applies to civil actions in which jurisdiction is founded solely on diversity of citizenship (as is the case here), venue is proper in "(1) a judicial district where any defendant resides . . . , [or] (2) a judicial district in which a substantial part of the events or omissions giving rise to the claim occurred . . ." 28 U.S.C. § 1391(a). Here, Teacher resides in State B. However, the accident itself occurred in State A. Thus, a substantial part of the events giving rise to the claim occurred in State A, and venue in State A is proper under § 1391(a)(2).

NOTE: Some examinees might suggest that venue is proper in the federal district court of State A because the plaintiff, Passenger, resides there. Although under the pre-1990 version of the venue statute, venue in diversity cases was proper in the district "where all plaintiffs . . . reside," that language was eliminated by enactment of the Judicial Improvements Act of 1990. Thus, under current law, the plaintiff's residence in State A is irrelevant to venue.

**(35-45%) Point Three:**

Although Passenger's claim against Teacher and her claim against third-party defendant Rentco derive from a common nucleus of operative fact and hence are part of the same case for purposes of Article III of the Constitution, supplemental jurisdiction is *statutorily* unavailable over claims by plaintiffs against persons made parties under Rule 14.

The district court cannot exercise subject matter jurisdiction over Passenger's direct claim against Rentco. There is no independent basis for jurisdiction (neither diversity nor federal question), and supplemental jurisdiction is not available for this type of claim.

Rule 14(a) of the Federal Rules of Civil Procedure permits a defendant to bring a third party into an action if the defendant believes the third party "may be liable" to defendant for all or part of any judgment against defendant in the action. Pursuant to this rule, defendant Teacher brought Rentco into the action as a third-party defendant. Passenger sought thereafter to amend the original complaint to state a claim directly against Rentco. The issue is whether the court has



jurisdiction over Passenger's direct claim against Rentco. For reasons explained below, the court cannot take jurisdiction over Passenger's claim.

In the first place, there is no independent basis for federal jurisdiction over this claim. Plaintiff Passenger and third-party defendant Rentco are both citizens of State A, so diversity jurisdiction is not available for Passenger's claim against Rentco. Under § 1332(c)(1), a corporation is deemed a citizen of both its state of incorporation and the state in which it maintains its principal place of business. 28 U.S.C. § 1332(c)(1). Hence, Rentco is a citizen of both State A and State C. Because Passenger is a citizen of State A as well, there is no independent basis for diversity jurisdiction over Passenger's direct claim against third-party defendant Rentco. Further, because Passenger's claim against Rentco is a state-law negligence claim, there is no federal question jurisdiction.

Supplemental jurisdiction is also not available. Section 1367(a) provides that in a civil action of which the district court has original jurisdiction, the court has supplemental jurisdiction over "all other claims that are so related to claims in the action within such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution." 28 U.S.C. § 1367(a). In *United Mine Workers of America v. Gibbs*, 383 U.S. 715, 725 (1966), the U.S. Supreme Court held that two claims will have that requisite connection if they "derive from a common nucleus of operative fact." Here, Passenger's claim against Teacher and Passenger's claim against third-party defendant Rentco derive from a common nucleus of operative fact: the failure of the brakes, the accident, and Passenger's resultant injuries. Without regard to their federal or state character, we would expect plaintiff to bring these claims together in a single action. *Id.*

However, Congress created statutory exceptions to supplemental jurisdiction. One of those exceptions, 28 U.S.C. § 1367(b), applies here to prevent the court from taking jurisdiction. Section 1367(b) provides that supplemental jurisdiction in diversity cases shall not extend to "claims by plaintiffs against persons made parties under Rule 14. . . ." 28 U.S.C. § 1367(b). Because Passenger's claim against Rentco is a claim by a plaintiff against a person made a party under Rule 14 (Rentco was brought into the suit when Teacher filed a third-party complaint against it under Rule 14), supplemental jurisdiction is unavailable. Passenger could proceed directly against Rentco only if there were an independent basis for jurisdiction (e.g., diversity), and there is none.

Because there is no independent basis for jurisdiction over this claim and because supplemental jurisdiction is unavailable, the district court should dismiss Passenger's claim against Rentco.

## QUESTION 2 ANALYSIS – SECURED TRANSACTIONS

### Legal Problems:

- (1) Does a purchase money security interest perfected later than a general security interest prevail over the earlier perfected general security interest?
- (2) Does an initially unperfected purchase money secured creditor prevail over a later lien creditor?
- (3) Does a lien creditor prevail over a secured creditor with respect to a post-lien future advance?

### DISCUSSION

#### (30-40%) Point One:

Because Seller perfected a purchase money security interest (PMSI) within 20 days after Debtor received possession of the computer, Seller prevails over Bank by virtue of the PMSI exception in UCC § 9-324(b) (2000).

As between two secured creditors, the general priority rule is found in UCC § 9-322 (2000)—first to file or perfect has priority. Bank filed on January 3 and it perfected on that date as well, since its security interest had previously attached (i.e., on January 2, Debtor had rights in its existing equipment, Bank gave value through its loan, and Debtor signed a security agreement). *See* UCC § 9-203 (2000); § 9-308 (2000). Seller, however, did not file and perfect until February 20. Thus, under the general “first to file or perfect” rule, Bank would have priority over Seller.

There is, however, an exception to the general rule. Under UCC § 9-324(b) (2000), a PMSI in collateral other than inventory has priority over a conflicting security interest in the same collateral if the PMSI is perfected at the time the debtor receives possession of the collateral or within 20 days thereafter. Seller did take a PMSI because Seller took a security interest to secure all or part of the price of the computer that it sold. *See* UCC § 9-103(b) (2000). In addition, it is a PMSI in “collateral other than inventory” because the problem states that the computer is “for use in Debtor’s business.” Thus, the computer is properly characterized as “equipment” of Debtor. *See* UCC § 9-102(33) (2000). Finally, as mentioned, the PMSI was perfected on February 20—within 20 days after Debtor received possession of the computer, because Debtor received possession on February 12. Thus, pursuant to the PMSI exception, UCC § 9-324(b) (2000), Seller has priority over Bank. (Note that Bank does hold a conflicting security interest because its after-acquired property clause attached to the computer as soon as Debtor had rights in it, which was no later than February 12, when Debtor took possession. *See* UCC § 9-203 (2000); § 9-204 (2000).)

#### (30-40%) Point Two:

Because Seller filed within 20 days after Debtor received possession of the computer, Seller prevails over Larry by virtue of the PMSI exception in UCC § 9-317(e) (2000).

Larry qualifies as a lien creditor because he acquired his lien on Debtor's computer by way of the sheriff's levy on February 14. UCC § 9-102 (2000). As between a secured creditor and a lien creditor, the general priority rule is found in UCC §§ 9-317(a)(2), 9-323 (2000)—a perfected security interest prevails over a lien creditor whose lien arises after the time of perfection. Under the majority rule, Larry became a lien creditor on February 14—the date of the sheriff's levy. *See* Lynn M. Lopucki & Elizabeth Warren, *SECURED CREDIT: A SYSTEMS APPROACH* 572 (2d ed. 1998). Another way of viewing it is to say that "The unperfected security interest is subordinate to the rights of a lien creditor." UCC § 9-317(a)(2) (2000). Seller did not perfect until February 20 (see above discussion). Thus, under the general rule, Larry would prevail over Seller.

There is, however, an exception to this general rule as well. UCC § 9-317 (2000) notes that a secured party who files with respect to a PMSI within 20 days after the debtor receives possession of the collateral takes priority over the rights of a lien creditor that arise between the time the security interest attaches and the time of filing. As previously explained, Seller's interest is a PMSI, and Seller filed within the 20-day period after Debtor received possession (filing on February 20; Debtor's possession on February 12). Moreover, Larry's lien arose on February 14, which is between the time of Seller's attachment (February 12) and the time of filing (February 20). Thus, under the UCC § 9-317(e) (2000) exception, Seller prevails over Larry.

**(20-30%) Point Three:**

Because Bank's future advance was made within 45 days of Larry's becoming a lien creditor, Bank has priority in the future advance.

The general rule for contests over future advances between lien creditors and secured creditors is found in UCC § 9-323(b)(2000). That section provides that lien creditors are subordinate to perfected security interests only to the extent that the interest secures advances made (1) before the lien arose; (2) within 45 days of the lien; (3) without knowledge of the lien; or (4) pursuant to a commitment entered into without knowledge of the lien.

The problem is somewhat complicated because the facts indicate that Bank had knowledge of the lien on February 16—one day *before* the future advance was made. Some applicants may believe, therefore, that Bank's knowledge of the lien precludes it from gaining priority in the future advance. Pursuant to UCC § 9-323(b)(2000), however, future advances made within 45 days of the lien, *even if the secured creditor is aware of the lien's existence*, take precedence over the lien. As previously explained, the lien arose on February 14. The advance was made on February 17—well within the 45-day window of UCC § 9-323(b)(2000). Thus, Bank's security interest prevails over Larry's lien as to the future advance.

## QUESTION 3 ANALYSIS – AGENCY & PARTNERSHIP

### Legal Problems:

- (1) Can the limited partners decide how the day-to-day business of a limited partnership is to be conducted?
- (2) What rights does a limited partner have to obtain information from the general partner about the limited partnership's affairs?
- (3) What rights does a purchaser of a limited partnership interest have in the limited partnership if such purchase is not approved by the partnership?

### DISCUSSION

#### (35-45%) Point One:

Carl and the other limited partners have no right to determine how the day-to-day business of Transitions is to be conducted. Management of the business is vested exclusively in Bill, the general partner.

A limited partnership is a partnership which has one or more general partners and one or more limited partners. Revised Unif. Ltd. Partnership Act (RULPA) § 101(7). A general partner of a limited partnership generally has the powers and the liabilities of a partner in a general partnership. RULPA § 403. Management of a limited partnership is entrusted to the general partners, who are personally liable for the obligations of the business. *Life Care Centers of America, Inc. v. Charles Town Assoc. Ltd. Partnership*, 79 F.3d 496, 503 (6th Cir. 1996) (dictum); *United States v. Heffner*, 916 F. Supp. 1010, 1012 n.2 (S.D. Cal. 1996) ("general partner controls the business of the limited partnership to the exclusion of the limited partners"); *Duke & Benedict, Inc. v. Wolstein*, 826 F. Supp. 1413, 1415 (M.D. Fla. 1993) ("The defendant is the general partner of this partnership and has complete control over the management and affairs of this business.").

By comparison, limited partners generally have no control over how the day-to-day business of the limited partnership is conducted. *Duke & Benedict, Inc.*, 826 F. Supp. at 1415 ("The plaintiff is the limited partner, who has no say or control as to how the partnership is run."); *In re the Cincinnati, Ltd.*, 143 B.R. 108, 110 (S.D. Ohio 1992) (holding that limited partner was not entitled to have provision included in limited partnership agreement giving it voice in selection of manager; limited partners "do not have statutory right to exercise control of the partnership's decisions"). The role of limited partners in a limited partnership is generally passive, with only limited rights to vote on extraordinary events of the partnership, such as dissolution or sale of substantially all of the partnership's assets.

Therefore, Bill, as the sole general partner, has exclusive control over the daily management of Transitions, and Carl and the other limited partners cannot decide how the day-to-day business of Transitions is to be conducted.

**(10-20%) Point Two:**

Carl, as a limited partner, has the right to inspect various records of Transitions and to obtain information about the affairs of Transitions from Bill, the general partner.

A limited partnership is required to keep specified records at its office, including the names and addresses of each partner, any income tax returns or reports for the three most recent years, and any financial statements for the three most recent years. RULPA § 105. Upon reasonable request, any limited partner may inspect and copy during ordinary business hours any of the records required to be kept by the limited partnership. RULPA §§ 105(b), 305. In addition, any limited partner has the right to obtain from the general partners upon reasonable demand “true and full information regarding the state of the business and financial condition of the limited partnership” and “other information regarding the affairs of the limited partnership as is just and reasonable.” RULPA § 305.

Therefore, Carl has the right to inspect the records that Transitions is required to keep and the right to obtain from Bill, the general partner, true and full information regarding the business and financial condition of Transitions.

**(30-40%) Point Three:**

Edward’s purchase of Donna’s limited partnership interest in Transitions did not result in Edward’s becoming a limited partner, although Edward did obtain Donna’s financial rights in Transitions.

A limited partnership interest is personal property and, except as provided in the partnership agreement, is freely assignable in whole or in part. RULPA §§ 701, 702. However, assignment of a limited partnership interest does not entitle the assignee to become a limited partner or to exercise any of the rights of a limited partner. RULPA §§ 301, 702. Instead, assignment only entitles the assignee to receive (to the extent assigned) any distributions to which the assignor would be entitled. *Id.* In other words, a limited partner may only assign his or her economic rights in the limited partnership. *See generally* IV Alan R. Bromberg & Larry E. Ribstein, BROMBERG AND RIBSTEIN ON PARTNERSHIP §§ 13.04(e), 13.06(e)(2)-(f) (1988).

An assignee of a limited partnership interest may be admitted as a limited partner to the partnership only if all partners have consented to such admission, unless the partnership agreement expressly gives the transferring partner the right to admit a new partner without approval of the other partners. RULPA § 704. The facts indicate that Bill disapproves of the sale and there is no indication that the other partners approved the admission of Edward as a limited partner. Edward therefore did not become a limited partner in Transitions upon Donna’s sale of her limited partnership interest to Edward. As a result, Edward cannot exercise any of the rights of a limited partner, such as the right to inspect records (RULPA §§ 105, 305), the right to obtain information regarding the limited partnership (RULPA § 305), the right to seek a judicial dissolution (RULPA § 802), or the right to bring a derivative action (RULPA § 1001).

On the other hand, the assignment of Donna’s limited partnership interest to Edward did transfer Donna’s economic rights in Transitions to Edward. Consequently, Edward is entitled to any distributions from Transitions to which Donna would have been entitled.

**QUESTION 4 ANALYSIS – DECEDENTS' ESTATES; TRUSTS****Legal Problems:**

- (1)(a) Did Testator's will, which included a general residuary clause purporting to exercise all of the donee's powers of appointment (a so-called "blanket exercise" clause), effectively exercise the special testamentary power of appointment that was created in Mary's will?
- (1)(b) Did Testator's will, which included a blanket exercise clause, effectively exercise the general testamentary power of appointment created in Frank's will?
- (2) Does Daughter, the devisee of specifically devised encumbered property, make that property subject to the mortgage where the will contains a clause directing that the decedent's debts be paid by the executor?
- (3) Is Son, the specific legatee of the watch, entitled to the insurance proceeds on the watch that were payable as a result of the theft of the watch shortly before Testator's death?

**DISCUSSION****(15-25%) Point One(a):**

The "blanket exercise" clause in Testator's will did not effectively exercise the power of appointment given to Testator by Mary's will because Mary's will required Testator to refer specifically to the power when exercising it.

In most states, a general residuary clause in a will (e.g., "I give all of my estate. . .") does not exercise powers of appointment. The situation is different if the general residuary clause is coupled with what is called a "blanket exercise" clause (e.g., "including all property over which I have a power of appointment"), as is the case here. Under these circumstances, any power of appointment held by the donee is exercised, unless the donor of the power of appointment specifically required the donee to refer to the instrument creating the power when exercising the power. *See generally* Unif. Probate Code § 2-608. *See also* Restatement (Second) of Property §§ 17.1-2 (1984). *Accord* *Holzbach v. United Virginia Bank*, 216 Va. 482, 219 S.E.2d 868 (1975).

Here, Mary, the donor of Testator's special power, expressly required that Testator specifically refer to her will in which the power was created if Testator, as donee of the power, sought to exercise the power. Testator's will contained only a blanket exercise clause, which failed to satisfy a condition on the exercise of the power imposed by the donor. Thus, the power was not effectively exercised.

**(10-15%) Point One(b):**

Testator's general testamentary power created by Frank's will was effectively exercised by a blanket exercise clause.

No facts indicate that Frank imposed a specific reference requirement with respect to the general testamentary power that Frank, as donor, granted Testator, as donee. Therefore, under the rule

that a blanket exercise clause is effective to exercise powers absent a specific reference requirement (see Point One(a)), Testator's will effectively exercised the general testamentary power of appointment.

**(20-30%) Point Two:**

At common law, Daughter takes the family home free of the mortgage. Under the law of most states today, Daughter takes the home subject to the mortgage on which Testator was liable at the time of his death. The mortgage is not payable from the assets of Testator's estate.

Under the common-law doctrine of exoneration, the specific devisee of encumbered real property was entitled to have the mortgage on the property paid from the estate as a debt of the decedent unless there was evidence of a contrary intent on the part of the testator. *See, e.g., Martin v. Johnson*, 512 A.2d 1017 (D.C. 1986).

On the other hand, many states have adopted statutes contrary to this common-law rule of exoneration. For example, the Uniform Probate Code provides that "a specific devise passes subject to any mortgage interest existing at the date of death, without right of exoneration, regardless of a general directive in the will to pay debts." Unif. Probate Code § 2-607. In states with statutes of this type, the specific devisee of encumbered property takes subject to the mortgage notwithstanding the fact that the will contained a clause directing the executor to pay the decedent's debts.

Courts have also held that a general directive to pay debts is insufficient to evidence an intent to exonerate the devisee of specifically devised property. *See, e.g., Griffin v. Gould*, 72 Ill. App. 3d 747, 391 N.E.2d 124 (1979). Depending on the underlying state law, Daughter takes either subject to the mortgage or free of the mortgage.

**(25-35%) Point Three:**

The insurance proceeds payable as a result of the theft of the watch shortly before Testator's death should pass to Son as the specific devisee of the watch. There is, however, contrary authority.

Under the doctrine of ademption, if the subject matter of a specific devise is not in the probate estate at the time of the testator's death, the bequest to the devisee adeems (or fails). *See generally* William H. McGovern, Jr. & Sheldon F. Kurtz, *WILLS, TRUSTS AND ESTATES* 295 (2d ed. 2001). However, if the property was destroyed by fire or lost by theft and proceeds of insurance are paid to the executor of the estate in settlement of claims against the insurance company, some courts hold that the insurance proceeds are payable to the specific devisee as a substitute for the specifically devised property. *See White v. White*, 105 N.J. Super. 184, 251 A.2d 470 (1969); *accord In re Estate of Wolfe*, 208 N.W.2d 923 (Iowa 1973); Unif. Probate Code § 2-606.

However, some state courts have held to the contrary, finding that the insurance proceeds pass as part of the testator's residuary estate. *In re Estate of Wright*, 7 N.Y.2d 365, 197 N.Y.S.2d 711, 165 N.E.2d 561 (1960). They find that the insurance policy is a separate and distinct asset from

the property subject to the specific devise and that the proceeds, as specifically undisposed property, pass to the residuary legatees under the will.

It seems that the majority rule stated in *Wolfe*, 208 N.W.2d 923, as well as in the Uniform Probate Code and some other state codes is the better rule because it is more likely to accord with the reasonable expectations of a testator.



## QUESTION 5 ANALYSIS – FAMILY LAW V

### Legal Problems:

- (1) If a wife sues her husband for injuries resulting from her husband's negligence, is such action barred by spousal immunity?
- (2) If a child sues her parents for negligence in an area of parental discretion, is the action barred?
- (3) May a bystander who is an unmarried cohabitant and who witnesses her fiancé's death recover for negligent infliction of emotional distress or for loss of consortium, or is such recovery limited only to close family members?

### DISCUSSION

#### (25-35%) Point One:

In the great majority of jurisdictions, negligence suits between husbands and wives are no longer barred by spousal immunity.

For many years, husbands and wives could not sue each other for negligence. The usual reasons for such immunity were that such suits would be destructive of marital harmony and would encourage fraud and collusion against insurance companies. Homer Harrison Clark, *THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES* § 11.1 (2d ed. 1987).

In the vast majority of jurisdictions, however, interspousal immunity has been abolished as courts have dismissed fears of disrupting familial harmony and of collusion. John DeWitt Gregory et al., *UNDERSTANDING FAMILY LAW* § 6.02 (2d ed. 1993). In these jurisdictions, if Wife can prove that Husband's negligence caused her injuries (as it appears from the facts that it did), then she may receive compensation for her injuries.

#### (30-40%) Point Two:

The majority of courts have abolished absolute immunity for most parent-child lawsuits. However, in areas dealing with the exercise of ordinary parental discretion, no suit would be allowed.

Historically, just as husbands and wives could not sue each other, and for comparable concerns about family harmony, minor children could not sue their parents for personal injury torts. Many jurisdictions, probably a majority, have abolished this absolute immunity. Clark, *supra*, § 11.2.

Even though parents are not absolutely immune from suits by their children, they have substantial discretion in making decisions concerning their children's upbringing. Because of this discretion, children cannot recover for acts that might otherwise result in liability. Courts are reluctant to substitute their judgment for that of parents (to act *in loco parentis*) and to interfere in the arena of family privacy. Matters falling within the exercise of parental discretion include providing food. (This is clearly not a case of true child neglect, where Daughter's parents have failed to

provide sufficient food at all.) Clark, *supra*. Therefore, it is unlikely that Daughter could successfully maintain a lawsuit against her parents for not giving her more calcium in her diet.

**(30-40%) Point Three:**

Both a claim for negligent infliction of emotional distress and a claim for loss of consortium are likely to fail because Emily was not married to Frank at the time of the accident.

In many jurisdictions, when a bystander witnesses an accident which kills or seriously injures a close family member, and the bystander suffers from severe emotional distress there may be a cause of action against the tortfeasor for negligent infliction of emotional distress. See W. Page Keeton & William L. Prosser, PROSSER & KEETON ON TORTS § 54 (5th ed. 1984); *Dillon v. Legg*, 441 P.2d 912 (Cal. 1968). In this situation, Emily witnessed the accident, which was due to Husband's negligence. After Frank's death (which occurred while she was holding him), she suffered the severe distress required to pursue a tort action.

The problem for Emily's recovery, however, is that she was not Frank's wife. At the time of his death, they were engaged and were cohabiting.

A majority of jurisdictions would be unlikely to expand liability, even to a cohabiting fiancée. This reluctance is based on the difficulties of determining which cohabitants should be allowed to recover and problems of proving the importance of the relationship. See *Elder v. Sheldon*, 758 P.2d 582 (Cal. 1988). Some courts might also take the position that recognition of cohabitants' rights in this cause of action would undermine the strong public policy in support of marriage. Harry D. Krause, FAMILY LAW IN A NUTSHELL § 6.5 (3d ed. 1995).

On the other hand, some jurisdictions have allowed engaged cohabitants to recover in a tort suit of this type. See, e.g., *Dunphy v. Gregor*, 642 A.2d 372 (N.J. 1994); Krause, *supra*, § 6.3. Emily would argue that her claim should be recognized. Her relationship with Frank was like that of a husband and wife. They lived together and were to be married in a week. Witnessing his death was emotionally devastating to her. She had strong emotional ties to Frank, and she should receive compensation for her severe loss.

Emily might also try to bring a loss of consortium claim. This tort, which is recognized in almost all U.S. jurisdictions, is intended to compensate a spouse for loss of such things as the other spouse's companionship, sexual relations, and affection. See *Millington v. Southeastern Elevator Co.*, 239 N.E.2d 897, 899 (N.Y. 1968); Laura M. Raisty, Note, *Bystander Distress and Loss of Consortium: An Examination of the Relationship Requirements in Light of Romer v. Evans*, 65 Fordham L. Rev. 2647, 2650-51 (1997). While originally only the husband could recover for loss of consortium, the right was extended to wives during the mid-twentieth century. See, e.g., *Hitaffer v. Argonne Co.*, 183 F.2d 811 (D.C. Cir. 1950). Compensation for loss of consortium typically is available only to the legally recognized spouse of the injured party not to a fiancée or cohabitant. Raisty, *supra*, at 2652. Thus, Emily would not have a claim for loss of consortium because she and Frank were not yet married.

NOTE: Emily might also try to bring a suit for wrongful death, a statutory tort unrecognized at common law. It is intended to compensate family members for the death of a relative, typically a spouse, child, parent, etc. Again, however, since Emily and Frank were not married, Emily would not have a claim worth pursuing.

## QUESTION 6 ANALYSIS – COMMERCIAL PAPER

### Legal Problems:

- (1) Is an instrument that is not negotiable because of omissions still enforceable if the payee fills in the blanks consistent with the payee's underlying agreement with the maker?
- (2) Can a person without physical possession of an instrument still enforce the instrument in a case where the instrument has been stolen?
- (3) Is the obligor on an instrument discharged by paying the instrument in good faith where there has been a forgery of the payee's signature?
- (4) Does the obligor on an instrument who pays the instrument that has a forged payee's signature have any rights of recovery against the party that presented the instrument for payment?

### DISCUSSION

#### (15-25%) Point One:

Because Lender filled in the two blanks according to his actual agreement with Borrower, the note is enforceable as completed.

Before Lender filled in the blank lines on the note form, the note that Borrower gave Lender was not negotiable. That is because one of the requirements of negotiability under Article 3 of the Uniform Commercial Code is an unconditional promise to pay a fixed amount of money. UCC § 3-104(a) (1991). In this case, the amount due line was left blank by Borrower, the issuer of the note. Therefore, the note was an "incomplete instrument" under § 3-115(a). It is an instrument because Borrower signed the note and issued it to Lender; it is incomplete because the two lines for payee and amount due were left blank.

Section 3-115(b) indicates that an instrument that is not negotiable because of omissions is still enforceable "according to its terms as augmented by the completion." However, if the words or numbers were added to the incomplete instrument without the authority of the signer, the instrument is treated as an altered instrument and special rules apply.

In this case, although there was no mention of specific authority given by Borrower to Lender to fill in the blanks, the burden would be on Borrower to show lack of authority. UCC § 3-115(d). Because Lender did fill in the blanks consistent with the actual agreement of the parties, it seems likely that authority would be presumed. *See* Official Comment 2 to § 3-115 (1991). ("If the payee completes the note by filling in the due date *agreed to by the parties*, the note is payable on the due date stated.") (Emphasis added.)

(By leaving the payee space blank, Borrower made the note a bearer instrument, which the bearer could convert to an order instrument by filling in his name. 2 James J. White & Robert S. Summers, *UNIFORM COMMERCIAL CODE* § 17-3 (4th ed. 1995). Failure to include a payee does not diminish the negotiability or enforceability of the instrument.)

**(25-35%) Point Two:**

Because Lender was entitled to enforce the instrument at the time it was stolen, Lender would still be able to enforce it if Lender can prove the terms of the note and provide adequate assurance to Borrower against the risk of possible loss for future claims.

Even though Lender no longer has physical possession of the note, Lender would still be able to qualify as a “person entitled to enforce” the instrument under UCC § 3-301 (1991). Section 3-301(iii) specifically refers to a person who is not in possession of an instrument as nevertheless being entitled to enforce the instrument under § 3-309. Section 3-309(i) contains three requirements that enable a person not in possession of an instrument to enforce it. In this case, Lender satisfies all three requirements: (1) Lender was the person entitled to enforce the instrument when loss of possession occurred; (2) Lender’s loss of possession was not the result of his own transfer or of a lawful seizure; and (3) the whereabouts of the note are unknown to both parties, at least before Borrower paid Innocent.

Section 3-309(b) requires that Lender prove both the terms of the instrument and his right to enforce it. Neither should be problematic in this case. Lender would have to give Borrower assurances against double payment because Borrower, by the terms of § 3-309(b), would be entitled to demand adequate protection against possible loss from future claims on the missing note.

**(25-35%) Point Three:**

Given the forgery of the payee’s signature, Innocent did not qualify as a person entitled to enforce the instrument, and thus Borrower was not discharged by paying Innocent.

Under UCC § 3-602(a) (1991), the obligor on an instrument is ordinarily discharged by paying a person entitled to enforce the instrument. Borrower will not get the benefit of a discharge in making the payment to Innocent because Innocent does not qualify as a “person entitled to enforce” the instrument. In order for Innocent to be a person entitled to enforce the instrument under § 3-301, Innocent must be either a holder or a person who has the rights of a holder.

Innocent cannot be a holder because the chain of good title was broken by Robber’s forged indorsement of the payee’s (Lender’s) signature. UCC § 3-201(b) (1991) provides that, “If an instrument is payable to an identified person, negotiation requires transfer of possession of the instrument *and its indorsement by the holder*” (emphasis added). *See also* UCC § 1-201(20) (1989) (A “holder” of a negotiable instrument means “the person in possession if the instrument is payable to bearer or, in the case of an instrument payable to an identified person, if the identified person is in possession.”) Nor will Innocent qualify as a nonholder entitled to enforce the instrument because Innocent inherits only the rights of Robber, which are non-existent because of the theft and forgery. Accordingly, Innocent was not a person entitled to enforce the note, and Borrower’s payment to Innocent does not discharge Borrower.

**(15-25%) Point Four:**

Because Innocent was not entitled to enforce the instrument, Borrower may recover from Innocent for breach of presentment warranty.

breached a presentment warranty to Borrower under UCC § 3-417(d)(1) (1991). At the time Innocent presented the note to Borrower for payment, Innocent was warranting to Borrower that Innocent was “a person entitled to enforce the instrument or authorized to obtain payment on behalf of a person entitled to enforce the instrument.” *Id.* As noted above, Innocent cannot be a person entitled to enforce the instrument because of Robber’s forgery of a necessary signature in the chain of title. Therefore, under § 3-417(d)(2), Innocent will be liable to Borrower for the amount that Borrower paid Innocent plus interest and expenses resulting from the breach of the presentment warranty.

## QUESTION 7 ANALYSIS – CORPORATIONS

### Legal Problems:

- (1) What is the applicable legal standard when a shareholder brings a derivative action based on breach of a director's fiduciary duties?
- (2)(a) Do directors violate their duty of care to the corporation when they vote to recommend action after only one hour of discussion?
- (2)(b) Does a director violate her duty of loyalty to the corporation when she votes to issue herself shares of the corporation?
- (3) If the court finds sufficient evidence of a breach of a fiduciary duty to overcome the Business Judgment Rule (BJR), can the director prevail with a defense of (i) disinterested director approval, (ii) shareholder approval, or (iii) fairness?

### DISCUSSION

#### (5-10%) Point One:

In a shareholder derivative action, decisions of the board on business issues are presumptively correct under the Business Judgment Rule (BJR).

In order to prevail in this derivative action to enjoin the issuance of Class C Preferred, the Class B shareholder must overcome the BJR. The BJR is a legal presumption. Absent a showing that the directors have violated a fiduciary duty to the corporation or committed fraudulent or illegal acts, the court will not second-guess their judgments. *See Davis v. Louisville Gas & Electric Co.*, 142 A. 654, 659 (Del. Ch. 1928) (court refused to enjoin the directors from amending the certificate of incorporation, stating "it is not [the court's] function to resolve . . . questions of policy and business management. The directors are chosen to pass upon such questions and their judgment unless shown to be tainted with fraud is accepted as final.")

If the Class B shareholder puts forth sufficient evidence to demonstrate that the directors breached a fiduciary duty to Ergo, the BJR will no longer apply.

#### (25-35%) Point Two(a):

Although the directors discussed the matter for only one hour, they did not violate their duty of care to Ergo when they voted to recommend to shareholders the amendment to the Articles.

Directors owe a duty of care to Ergo; they must act on an informed basis, in good faith in the honest belief that the action taken is in the best interest of the corporation. *See Aronson v. Lewis*, 473 A.2d 805, 812 (Del. 1984). Under the Revised Model Business Corporation Act (RMBCA), directors are required to discharge their duty "in good faith and in a manner the director reasonably believes to be in the best interests of the corporation." RMBCA § 8.30(a). When becoming informed to make a decision, directors must discharge their duty "with the care that a

person in a like position would reasonably believe appropriate under similar circumstances.” RMBCA § 8.30(b). The duty of care is procedural (process oriented), not substantive.

The facts do not support an argument for lack of good faith or failure to act “with the care that a person in a like position would reasonably believe appropriate under similar circumstances.” RMBCA § 8.30(b). Even if the other funding alternatives might have been better for Ergo, directors are not liable for bad decisions so long as they follow the appropriate procedures, which they did here. *See Kamin v. American Express Co.*, 383 N.Y.S.2d 807 (N.Y. Sup. Ct. 1976), *aff’d*, 387 N.Y.S.2d 993 (N.Y. App. Div. 1976).

The directors spent only one hour considering and deciding the issue. In *Smith v. Van Gorkom*, two hours was held insufficient for a major corporate decision. *See Smith v. Van Gorkom*, 488 A.2d 858 (Del. 1985) (Duty of care violated when directors approved a merger after a 20-minute oral presentation without reviewing the documents or assessing the valuation at a meeting that was called without much notice.) However, courts are generally concerned with major corporate decisions, like the sale of control in *Van Gorkom*. *See Cede & Co. v. Technicolor, Inc.*, 634 A.2d 345, 370 (Del. 1993). In Ergo’s case, the issue was only the source of funding, as the directors had already properly approved the expansion plan.

**(10-20%) Point Two(b):**

Dart violated her duty of loyalty to Ergo when she voted to issue the Class C Preferred to herself.

The duty of loyalty requires a director to put the interests of the corporation before the director’s own interests. If a director enters into a transaction with the corporation that provides the director with financial benefit, it is a violation of the duty of loyalty. The purchase of the Class C Preferred by Dart is a transaction with Ergo that provides Dart with a financial benefit. Therefore, Dart violated her duty of loyalty to Ergo when she voted to issue the Class C Preferred to herself. This was also a conflicting interest transaction under the RMBCA because Dart knew she could benefit. RMBCA § 8.60.

Dart has a conflicting interest transaction because, at the time she voted to issue the Class C Preferred to herself, she knew she had a significant financial interest.

**(35-45%) Point Three:**

Although the directors did not violate their duty of care to Ergo, Dart violated her duty of loyalty. Regardless, the court would not enjoin the issuance of the Class C Preferred because Dart could show the transaction was (1) approved by a majority of disinterested directors after full disclosure, (2) approved by a majority of shareholders after full disclosure, or (3) fair to Ergo.

Even though the directors did not violate their duty of care, Dart violated her duty of loyalty to Ergo, and that fact prevents the application of the BJR. Nonetheless, the court would NOT enjoin the issuance of the Class C Preferred if Dart could demonstrate that the sale of Class C Preferred to her was (1) approved by a majority of disinterested directors after full disclosure, (2) approved by a majority of shareholders after full disclosure, or (3) fair to Ergo. *See Robert C. Clark,*

CORPORATE LAW § 5.2 (1986); Revised Model Bus. Corp. Act (RMBCA) §§ 8.61-.63. In this case, Dart can demonstrate all three.

Disinterested Director Approval: All seven directors voted to offer the Class C Preferred to Dart after full disclosure of all material facts relating to the transaction. Disclosure of all material facts constitutes full disclosure. Approval must also be by a majority of disinterested directors. Dart is interested because she is a party to the transaction. The three remaining Class A directors are arguably interested because their positions as Ergo directors are dependent upon election by Dart, the sole Class A shareholder. If they failed to support Dart, Dart could remove them from their positions as directors. The three Class B directors, however, are disinterested directors. They all voted in favor of issuing the shares to Dart. Therefore, a majority (indeed all three) of the disinterested directors approved the offering of the Class C Preferred to Dart. Under the RMBCA (and most state statutes), the three disinterested directors who voted are sufficient to constitute a quorum when voting on a conflicting interest transaction.

Shareholder Approval: According to the facts, the proxy solicitation provided full disclosure of all relevant information regarding the plan to issue the Class C Preferred to Dart for \$5 million. The fact that the directors did not disclose that they had considered and discarded other financing options is unimportant because information on other options was properly considered and discarded. All Class A shares voted in favor of the transaction, as did a majority of Class B shares (720,000 of 820,000 shares). Therefore, a majority of shareholders approved the transaction after full disclosure. Note that there is no requirement that the shareholders be disinterested.

Fair: Alternatively, Dart can show that the transaction was fair to Ergo at the time the Class C Preferred shares were issued. In assessing fairness, directors may rely on expert opinions. See RMBCA §8.30(e). To demonstrate that the price was fair to Ergo, Dart would offer the opinion of the independent investment bank stating that (1) \$5 million would be fair value for the Class C Preferred, and (2) in the long run, payment of the Class C Preferred dividend would be less costly to Ergo than interest payments on a loan.



# **JULY 2002 MULTISTATE ESSAY EXAM**

## **QUESTION 1**

Debtor bought a motor home from Uptown RV Sales on credit. Debtor signed a security agreement granting Uptown a security interest in the motor home. Two years later, Debtor lost her job and then defaulted on her loan by failing to make several monthly payments. Without sending any notice of default to Debtor, Uptown dispatched Ernest, one of its employees, to take possession of the motor home.

Ernest located the motor home parked on a public street. When he opened the door with a duplicate key, he found Debtor inside and told her that he was there to repossess the motor home. Debtor began yelling at him, "Get out of my home or I'll throw you out! This is the only place I have to live, and, anyway, you don't have any right to take my clothes and other stuff." Ernest departed without the motor home.

Two weeks later, the owner of Uptown sent Ernest back, this time to post a coupon on the windshield of the motor home fictitiously advertising a free steak dinner at the grand opening of a local restaurant on Friday evening. Debtor fell for the ploy. She went to the restaurant on Friday evening, parked the motor home in the lot at the rear of the restaurant, and went inside to see about her free dinner. She had left the door to the motor home unlocked.

Ernest, who had followed Debtor, waited for Debtor to get inside the restaurant, entered the motor home through the unlocked door, "hot-wired" the engine, and drove the motor home back to Uptown's garage. Debtor came out of the restaurant to find her motor home was gone.

Uptown's owner had arranged with a uniformed deputy sheriff to stand by in case it became necessary to keep the peace. The deputy sheriff observed the events from her patrol car parked some distance away but did not otherwise assist in the repossession.

1. Did Uptown have the right to repossess the motor home without sending notice of default to Debtor and without judicial process? Explain.
2. What arguments might Debtor reasonably make, based on the facts, that Uptown failed to carry out the repossession in a lawful manner? Explain.

## QUESTION 2

On February 10, 2000, Testator signed her last will, which was witnessed by two witnesses—Testator's nephew, Nephew, and Testator's next-door neighbor. Testator died on May 10, 2000, after a brief hospitalization.

During the six months before she died, Testator experienced frequent episodes of forgetfulness. For example, Testator often missed appointments with her physicians and her bank trust officer. Testator had also become increasingly forgetful about matters of personal hygiene. On the other hand, throughout that six-month period, Testator maintained all of her financial records and visited in person and by telephone with each of her 20 living relatives, all of whom she easily recognized and identified. On April 3, she contacted her broker to advise him to sell her shares in Able Corporation because she had lost complete faith in the corporation's management following the release of its poor quarterly earnings report.

Testator's will bequeathed \$100,000 to Nephew and the residue of her estate to Charity, a charitable organization with which Testator had been associated for more than 35 years. Nephew had no knowledge of the \$100,000 bequest until after Testator died. She left no bequest to her three nieces, who are Nephew's three sisters. None of Testator's other living relatives was as closely related to her as Nephew and her three nieces.

Contemporaneous with the execution of her last will, Testator signed a durable health care power of attorney designating Nephew as her agent to make all health care decisions for her in the event she could no longer make them for herself. Nephew and Testator's next-door neighbor also witnessed this document.

One week before she died, Testator was admitted into a local hospital following a massive stroke causing severe brain damage. The following day, she lapsed into a coma and was connected to a life-support system. Four days later, Testator's physician advised Nephew that there was nothing medical science could do for Testator. After considering this advice, Nephew directed the physician to remove Testator from all life-support systems. The following day, Testator was removed from the life-support system and she died. She left an estate in excess of \$1 million.

Testator's three nieces argue that Testator's durable health care power was not valid and that as a result Nephew should be liable in wrongful death for causing Testator's death because Nephew directed Testator's physician to withdraw Testator's life-support systems. Furthermore, they claim that either Testator's will is invalid or that, at minimum, the bequest to Nephew should be forfeited.

1. Is Nephew liable in wrongful death for causing Testator's death? Explain.
2. Is Testator's will invalid because of incapacity? Explain.
3. Assuming Testator's will is valid, is the bequest to Nephew valid? Explain.

### QUESTION 3

Seller manufactures vending machines at a facility located in State A, where Seller is incorporated and has its principal place of business. Buyer, a German company with its principal place of business in Munich, Germany, contracted to purchase 1,000 vending machines from Seller for a total price of \$500,000.

The contract was carefully negotiated during lengthy discussions held in Germany. Early in the negotiations, each side insisted that the contract should be governed by its own law and that disputes should be resolved in its own courts. In the end, however, the parties agreed on contract clauses that provided: (1) “the substantive rights and remedies of the parties to this contract shall be governed by the Commercial Code of State N”; (2) “any and all litigation brought concerning this contract shall be brought in the state or federal courts of State N”; and (3) “Seller and Buyer hereby consent to venue, jurisdiction, and service of process by courts in State N.” Apart from these clauses, there is no connection between State N and the parties or the transaction. State N is located on the eastern seaboard of the United States. The parties chose State N because it has convenient air links to Germany and a widely respected judiciary that is regarded as expert in commercial law matters.

Seller shipped the vending machines to Germany, but Buyer refused the shipment after discovering that the goods had been seriously damaged during the ocean voyage and arrived in Germany in a worthless condition. Seller then sued Buyer in federal district court in State A, properly invoking the court’s subject matter jurisdiction and seeking recovery of the \$500,000 contract price on the ground that the risk of damage to the goods during transport was on Buyer throughout the ocean voyage.

In responding to Seller’s complaint, Buyer moved to transfer the case to the federal district court in State N, pursuant to 28 U.S.C. § 1404(a) and the forum-selection clause in the contract. Seller resisted Buyer’s transfer request on the grounds that (a) State A was a more convenient forum for Seller, and (b) the forum-selection clause was unenforceable under State A law, which declares such clauses to be “void as a matter of public policy.”

While the transfer motion was pending, Seller delivered a notice of deposition to Buyer, demanding that Buyer’s chief executive officer appear for a deposition. Buyer responded by asking the court for a protective order on the ground that its “officers, directors, and managing agents” are all in Germany and are therefore beyond the subpoena power or other authority of the court.

Assume that there are no applicable international law principles or treaties.

1. Should the federal district court in State A transfer the action to State N? Explain.
2. Irrespective of how the court rules on the transfer motion, should Buyer’s request for a protective order be granted? Explain.

**QUESTION 4**

On May 10, Driver contracted to buy a sports car from Motors for \$25,000. The car was a popular model in high demand, and there was a four-month waiting period. Motors promised to deliver the car in September, and Driver promised to pay for the car at delivery using a cashier's check.

To make sure he had the money to pay for the car in September, Driver immediately bought the necessary \$25,000 cashier's check, payable to Motors, from First Bank. The cashier's check was dated May 11. Driver paid for the cashier's check by negotiating to First Bank a \$25,000 check that Driver had obtained from a lender called Auto-Loans.

On September 15, Motors delivered the sports car to Driver and took in exchange the \$25,000 cashier's check. Motors immediately presented the cashier's check to First Bank for payment.

First Bank refused to pay the cashier's check because the Auto-Loans check that Driver had negotiated to First Bank was dishonored. First Bank's refusal to pay the cashier's check surprised both Motors and Driver because neither of them knew of any problem with the Auto-Loans check. Driver has retained the sports car and has refused to make good on the cashier's check, claiming that his transfer of the cashier's check to Motors discharged his obligation under the contract.

What rights, if any, does Motors have against First Bank and Driver under Article 3 of the Uniform Commercial Code? Explain.

**QUESTION 5**

Ann and Bert, a married couple, were unable to have biological children because Bert was infertile. They decided to try artificial insemination by an anonymous donor. Their doctor performed the procedure after obtaining written consent from both Ann and Bert. As a result of the artificial insemination, Ann became pregnant.

During the last months of Ann's pregnancy, she and Bert argued constantly, and Ann moved out of the family home into her own apartment. The baby, Daughter, was born while Ann and Bert were living apart. Bert visited Ann and Daughter in the hospital and paid their medical expenses. He tried to convince Ann to reconcile with him, but Ann refused, leaving the hospital with Daughter and returning to her apartment. Bert continued to visit them and contributed to Daughter's support.

Shortly after Daughter's birth, Ann began an affair with Walt. Walt also spent some time with Daughter and grew fond of her. When Daughter was one year old, Ann discovered she was pregnant by Walt. When Walt learned Ann was pregnant, he became very upset and began to abuse Ann verbally and physically. Ann immediately broke off the relationship with Walt. Shortly thereafter, she reconciled with Bert.

Ann, Bert, and Daughter were living together when Ann's baby, Sonny, was born. Walt, Sonny's biological father, contacted Ann, apologized for his past abusive behavior, and requested to see Sonny. He also offered to pay the expenses of Sonny's birth and to contribute to Sonny's support. Ann rejected both his request and his offer.

When Sonny was six months old and Daughter was two years old, Ann was killed in an automobile accident. She left a valid will stating that if she died while her children were minors, she wanted Bert to be named custodian and guardian of both of them.

Walt has sued Bert, seeking to establish himself as Sonny's legal father and requesting custody of both children. Bert claims that he is the legal father of both Daughter and Sonny and wants to maintain physical custody of both children. Under the law of the jurisdiction, both parties have standing to raise these issues.

How should the court rule on Walt's and Bert's claims? Explain.

## QUESTION 6

Sunrise Lodge is a corporation that develops and operates luxury resort hotels. Sunrise recently began constructing a hotel in East Beach, a beach town on the Atlantic coast of the United States. Sunrise hoped to give the East Beach hotel a local flavor by using local sources for materials.

Sunrise hired Adam to be its interior design agent on the East Beach project. The contract between them, which was for a one-year term, included the following language:

Adam has the discretion to make selections for interior floor and wall coverings, works of art, furniture, plumbing fixtures, and lighting fixtures for East Beach hotel provided that (a) the cost of such purchases does not exceed the budgeted amounts listed in Exhibit A, (b) all purchases will be made from local vendors, and (c) the items selected are within the quantity and style guidelines described in Exhibit B. Adam shall inform vendors that purchases are for Sunrise East Beach and should arrange for Sunrise to be billed on a 30-day net basis.

The style guidelines in Exhibit B include a comprehensive list of themes and styles typical of an Atlantic fishing village like East Beach, including lighthouses, whitewashed wood, lobster traps, wicker furniture, and sailboats.

After hiring Adam, Sunrise sent a letter to prospective local suppliers on Sunrise stationery signed by the Sunrise president, announcing Adam's appointment as follows:

Sunrise Lodge is delighted to announce the appointment of Adam, a well-known local interior designer, to act on its behalf in the selection of interior floor and wall coverings, works of art, furniture, and plumbing and lighting fixtures for the Sunrise East Beach hotel. We are confident that—working only with local suppliers—Adam will exercise a wonderful creative flair in coming up with just the right look for this exciting project. Know that you deal with Sunrise when you deal with Adam on this project.

During the first months of Adam's one-year term, Adam entered into the following transactions with suppliers who had received Sunrise's letter.

First, Adam contracted with Tahini for the main lobby area of the hotel to be decorated entirely in a Tahitian theme. The items for the Tahitian décor are within the budget and are from a local supplier. However, they are not within the Exhibit B style guidelines.

Second, Adam contracted with Moby for the guest rooms to be decorated using authentic themes from the Atlantic seaboard region as required by Exhibit B. The décor selections are within budget and are from local suppliers, but the Sunrise officials do not like the design.

Sunrise has refused to pay either vendor and has terminated Adam's contract.

1. On what agency principles, if any, is Sunrise liable to Tahini and Moby on their respective contracts? Explain.
2. Is Adam liable to Sunrise as a result of the contracts with Tahini and Moby? Explain.
3. May Sunrise terminate Adam's agency before the end of their one-year contract term without incurring liability to Adam? Explain.

**QUESTION 7**

On February 5, 1999, Testator created a revocable inter vivos trust. This trust was validly executed. Bank was designated trustee of the revocable trust.

Under the terms of the trust, Testator retained all income for life. The trust then provided in Article II that “upon my death the principal shall be held in further trust with the income payable to my wife, Wanda, for life, remainder to my children.”

Contemporaneous with the creation of the revocable trust, Testator validly executed a will devising Testator’s entire probate estate to the trustee of the revocable trust to be disposed of as part of that trust. The will further provided that, if the trust was revoked prior to Testator’s death, Testator’s entire estate should pass to Wanda.

On March 1, 2000, Testator sent a validly executed trust amendment to Bank revoking Article II of the revocable trust and substituting for it a new Article II. This new article stated that “upon my death the principal shall be held in further trust with the income payable to my wife, Wanda, for the immediate two years after my death, and, at the end of the two-year period, the trust principal shall be distributed to my surviving children.”

In March 2001, Testator and Wanda were divorced.

In March 2002, Testator died, leaving a probate estate of \$100,000. The revocable trust had not been funded prior to Testator’s death. Testator was survived by Wanda and by their three children, Adam, Ben, and Carrie.

Two months later, both Wanda and Adam died in an automobile accident. Under Wanda’s probated will, her entire estate passed to a charitable institution, Hope, and under Adam’s probated will, his entire estate passed to University. Ben and Carrie are alive. They each have one child who also survived Testator. Adam never had any children.

1. Which instruments control the disposition of the property included in Testator’s probate estate? Explain.
2. Upon Testator’s death, what interest, if any, did Wanda have under the revocable trust? Explain.
3. Assuming that Wanda had an interest under the trust, what rights, if any, do Hope and University have under the revocable trust upon the deaths of Wanda and Adam? Explain.





## QUESTION 1 ANALYSIS – SECURED TRANSACTIONS

### Legal Problems:

- (1) Does a secured party have the right to a self-help repossession without prior notice of default to the debtor and without judicial process?
- (2) Under the circumstances of this case can it be reasonably argued that the repossession was carried out in breach of the peace?

### DISCUSSION

#### (20-30%) Point One:

Following default, a secured party has the right to take possession of the collateral without prior notice of default and without judicial process.

The secured party's right to repossess the collateral arises on the debtor's default. UCC § 9-609. There is nothing in the Code that requires the secured party to give either notice of default or notice of intent to repossess. Repossession can be through self-help and without the need to commence judicial proceedings. *Id.* The only limitation is that the repossession must be accomplished without a breach of the peace. *Id.*

Under the facts, Debtor, having missed "several monthly payments," was clearly in default. Accordingly, Uptown was free to proceed with the self-help remedy of repossession.

#### (70-80%) Point Two:

Debtor could argue that Uptown's repossession was in breach of the peace because it involved an unconsented entry into Debtor's place of residence, it was accomplished by "hot-wiring" the vehicle, it enlisted the aid of a law enforcement officer, and it was carried out over the verbal protests of Debtor.

UCC § 9-609 authorizes the secured party to engage in self-help "without judicial process if this can be done without breach of the peace. . . ." See Point One. The term "breach of the peace" is not defined in the Code. Rather, the drafters relied on pre-Code case law to prescribe the parameters of permissible conduct. Particularly important facts include (1) whether the creditor has entered upon the premises of the debtor and (2) whether the debtor has consented to the entry and repossession. White & Summers, UNIFORM COMMERCIAL CODE § 34.7 (4th ed. 1995). Moreover, it is the potential for violence and not necessarily the occurrence or imminence of violence that defines a breach of the peace. Ordinarily, repossession of a vehicle from a driveway or public street or parking lot would not be found, without more, to be in breach of the peace. The matter is complicated in this case, however, because the motor home could be viewed as Debtor's residence.

Most courts would find that an unauthorized entry into the residence of a debtor would, in and of itself, constitute a breach of the peace. *Id.* In this situation, if the motor home is viewed as Debtor's home, it is likely that unauthorized entry would be held to be trespassory and a breach

of the peace. The fact that Debtor lived in the motor home and it contained Debtor's "clothes and other stuff" supports Debtor's claim that the motor home was her residence, so that the unauthorized entry would be a breach of the peace. Any effort to take the motor home in that manner probably would be considered a breach of the peace.

Debtor might also argue that her initial objection was enough to preclude any further attempts at self-help repossession without her consent. Under this view, the fact that the repossession occurred a couple of weeks later and under circumstances where there was little potential for violence probably would not change the outcome. It was clear that Debtor opposed the repossession and would have resisted had she known that the motor home was about to be taken. On the other hand, it can be argued that the passage of time served to cool down the threat of violence. See *Wade v. Ford Motor Credit Corp.*, 668 P.2d 183, 189 (Kan. Ct. App. 1983). If so, Debtor's initial objection to repossession is irrelevant to an evaluation of the later action.

Even though Uptown's entry into the motor home was accomplished without force, the fact that Ernest, the employee, "hot-wired" the engine might arguably be found to be a breach of the peace. See, e.g., *General Electric Credit Corp. v. Timbrook*, 291 S.E.2d 383 (W.Va. 1982)(breaking lock to debtor's mobile home in order to gain entry constituted breach of peace); *Martin v. Dorn Equipment Co.*, 821 P.2d 1025 (Mont. 1991)(cutting locked chain on ranch gate constituted breach of peace).

The fact that the repossession was accompanied by trickery (i.e., the fictitious coupon) may matter. The courts go both ways. See, e.g., *F.A. North & Co. v. Williams*, 13 A. 723 (Pa. 1888) (trickery is not a breach of the peace); *Ford Motor Credit Co. v. Byrd*, 351 So. 2d 557 (Ala. 1977) (trickery is a breach of the peace). The fact that the deputy sheriff was standing by does not contribute to a finding of breach of the peace because the deputy did not participate or serve to intimidate Debtor. *White & Summers, supra*. There is no evidence that Debtor saw the deputy or was at all affected by the deputy's presence.

The argument could go either way. On balance, however, a court would probably find a breach of the peace under the circumstances and that the repossession was unlawfully carried out.

## QUESTION 2 ANALYSIS – DECEDENTS' ESTATES

### Legal Problems:

- (1) Is Nephew liable in wrongful death for causing Testator's death?
  - (a) Was Testator's durable health care power of attorney validly executed?
  - (b) Was Nephew, a beneficiary under Testator's will and a witness to Testator's health care power of attorney, prohibited from acting as an agent?
- (2) Can the nieces successfully challenge the will because Testator lacked the mental capacity to execute her will?
- (3) Does Nephew forfeit the bequest under the interested witness statute?

### DISCUSSION

#### (35-40%) Point One:

Under the typical durable health care power of attorney statute, if Nephew acted under a valid durable health care power and in good faith, he would be shielded from civil liability that might otherwise arise as a result of his directing the withdrawal of the life-support systems.

The typical durable health care power of attorney statute immunizes the agent of the principal from civil liability for health care decisions made in good faith. *See, e.g.*, Unif. Health Care Decisions Act § 9(b)(1993). Health care decisions include the decision to withhold or withdraw life-sustaining treatment, including food and hydration. *See* Unif. Health Care Decisions Act § 1(6).

Agents act within the scope of the statute when they act pursuant to a properly executed durable health care power of attorney. State laws vary, however, on whether the person designated as the agent can be a witness to the durable health care power of attorney. For example, under the Uniform Health Care Decisions Act, the designated agent is not prohibited from being a witness. In fact, under the Uniform Act, no witnessing of the power is required. On the other hand, in many states, the person designated as the agent cannot be a witness to the power.

Even if Nephew was not legally constituted as Testator's agent, he may nonetheless have acted appropriately under so-called "family consent" laws. These laws permit close family members (typically in the order listed in the statute) to act as a surrogate decision maker for a patient where there is no properly authorized agent acting under a durable power. For example, under § 5 of the Uniform Health Care Decisions Act, Nephew could act as a surrogate decision maker since there are no more closely related relatives and Nephew is an adult "who exhibited special care and concern for the patient."

Whether Nephew was acting as a properly constituted agent or as a surrogate under the family consent law, ultimately the issue of civil liability most likely depends on whether Nephew acted in "good faith." Here the facts suggest that he did. Testator had suffered a massive stroke and had lapsed into a coma, and Nephew's direction to withdraw Testator's life support appears to be consistent with sound medical advice to the effect that more care would be futile. While the fact

that Nephew is named in Testator's will as a beneficiary may create the appearance of impropriety, this fact alone is not sufficient evidence of bad faith; empirically most agents and surrogates are persons who are both close to the principal and named as beneficiaries under the principal's will.

**(35-40%) Point Two:**

Testator's will is valid notwithstanding that Testator was sometimes forgetful, as the facts support the conclusion that Testator had the mental capacity to execute a will.

In order to validly execute a will, Testator must have "mental capacity." A testator has mental capacity if the testator knows (1) the nature and extent of the testator's property, (2) those persons who are the natural objects of the testator's bounty, (3) the nature of the instrument that the testator is signing, and (4) the disposition that is being made in the will. *See generally* William H. McGovern & Sheldon F. Kurtz, *WILLS, TRUSTS AND ESTATES* 272 (2d ed. 2001).

Here Testator was forgetful, which at first blush suggests the absence of mental capacity. But simply relying on that fact is insufficient to determine whether Testator had mental capacity since the criteria that determine mental capacity for purposes of validating a will look specifically to Testator's understanding of her property interests, her beneficiaries, and her disposition. On these issues, the facts suggest that Testator did have mental capacity.

Testator appears to have been actively involved in the management and administration of her property affairs, suggesting that she knew the nature and extent of her property. She knew those persons who might be the objects of her bounty as evidenced by the fact that she frequently visited with her 20 relatives, including those not mentioned in her will. Furthermore, the bulk of her estate is bequeathed to Charity, an organization with which she had had a long association. Thus, the will does not reflect a disposition that would likely be inconsistent with Testator's testamentary intent. Given that the burden of proof to establish the lack of testamentary capacity rests on the contestants, it is most unlikely that they could sustain that burden on these facts.

**(20-30%) Point Three:**

Nephew would not forfeit any of his bequest under the will.

Under the Uniform Probate Code, Nephew would not forfeit his bequest even though Nephew was a witness to the will because the Code does not have an interested witness statute barring interested witnesses from taking under a will.

At common law, if a will was not witnessed by two disinterested witnesses the will was invalid. *See McGovern & Kurtz, supra*, at 177. In the United States, this harsh rule has been replaced by statutes in most states barring the interested witness from taking the bequest but not invalidating the will. *Id.*

The typical interested witness statute, however, contains one or two important exceptions. The first is that if the will is witnessed by three or more persons such that the will would have been valid without the witnessing by the interested witness, the interested witness does not forfeit the bequest. *Id.* That exception would not apply here as Testator's will was witnessed only by two persons.

The second exception is that if the interested witness also would have been an heir of the testator, the witness forfeits only so much of the bequest as exceeds what would have been that witness's intestate share. Under that exception, Nephew forfeits nothing, as the bequest to Nephew of \$100,000 is less than what his intestate share would have been. Nephew's intestate share would have been in excess of \$250,000, as the estate is valued at more than \$1 million and there are four heirs.

In light of the discussion under Point One, there is no reasonable basis on which to argue that Nephew's bequest is invalid under the slayer statutes.

Likewise, the facts state that Nephew was wholly unaware of the will provision in his favor. Thus, there is no basis to invalidate the will on undue influence grounds.

NOTE: If the will is valid, the nieces would probably have no standing to raise the interested witness issue. If the interested witness statute applied and the bequest, or some portion of it, were forfeited, the forfeited portion would pass to Charity as the residuary legatee under Testator's will.

## QUESTION 3 ANALYSIS – FEDERAL CIVIL PROCEDURE; CONFLICT OF LAWS

### Legal Problems:

- (1)(a) What effect should the federal district court give to the forum-selection clause?
- (1)(b) Is the court likely to transfer the case to State N in these circumstances?
- (2) Can a foreign-based party to U.S. litigation refuse to make its officers available for depositions on the ground that they are “beyond the subpoena power” of the court?

### DISCUSSION

#### (25-35%) Point One(a):

Because Buyer is seeking to transfer the case from one federal court to another federal court, the motion to transfer is governed by 28 U.S.C. § 1404(a). State A’s policy against forum-selection clauses is irrelevant, and the forum-selection clause is an important factor the court should consider in deciding whether to grant the motion to transfer.

Motions to transfer cases from one federal court to another are governed by 28 U.S.C. § 1404(a), which provides:

For the convenience of parties and witnesses, in the interest of justice, a district court may transfer any civil action to any other district or division where it might have been brought.

Under this statute, motions to transfer are determined by weighing a number of factors, including the “convenience of witnesses and parties,” and “public-interest factors of systemic integrity and fairness.” *Stewart Org., Inc. v. Ricoh Corp.*, 487 U.S. 22, 29-31 (1988).

When a venue-transfer motion is predicated on the existence of a forum-selection clause in a contract, the forum-selection clause “will be a significant factor that figures centrally in the district court’s calculus.” *Id.* at 29. This is because “the presence of a forum-selection clause,” bears upon the “convenience of [the proposed] forum,” given the parties’ expressed preference for that venue. Thus, the court must evaluate the fairness of the proposed transfer in light of the forum-selection clause. *Id.* Further, the existence of a state law rule invalidating the forum-selection clause does not excuse the court from considering the clause as one factor bearing on the propriety of a venue transfer.

Although the forum-selection clause must be treated as a “significant factor” when the district court evaluates Buyer’s transfer motion, the Supreme Court has said that the existence of a forum-selection clause is not “dispositive.” *Id.* For instance, an inequality of bargaining power between the parties may warrant giving less effect to the forum-selection clause. Similarly, litigating in the proposed forum may impose significant and unusual hardships on one of the parties. Absent such special factors, however, many courts hold that transfer motions under §

1404(a) should always be granted when doing so will give effect to a freely negotiated and fair forum-selection clause. *See, e.g., REO Sales, Inc. v. Prudential Ins. Co.*, 925 F. Supp. 1491 (D. Colo. 1996); *Riviera Finance v. Trucking Serv., Inc.*, 904 F. Supp. 837 (N.D. Ill. 1995).

**(45-55%) Point One(b):**

The federal district court in State A should grant the motion to transfer because the transfer would uphold the parties' expectations and provide them with the neutral and experienced forum for which they bargained.

Applying the factors set out in Point One(a) should lead to transfer of this action. The forum-selection clause in this case was a bargained clause in a contract between parties of apparently equal bargaining power. State N appears to be a neutral forum, and State N courts are well known for their expertise in commercial matters. Although State N does not appear to be an especially convenient forum, the parties' decision to select that forum in their contract indicates that each party believed State N to be a reasonably convenient alternative to less desirable options, including the option of litigating in either party's home jurisdiction. Absent some evidence to suggest that a transfer to State N would result in special hardship or a denial of justice to either party, the court is likely to take the view that the parties' decision to select the State N forum was ample evidence of the general superiority of that forum to State A.

This conclusion is bolstered by the fact that this is an international case. In *M/S Bremen v. Zapata Off-Shore Co.*, 407 U.S. 1 (1972), the Supreme Court adopted the view that a forum-selection clause in an international contract "should control absent a strong showing that it should be set aside." According to the Court, the need for a neutral forum, the desirability of avoiding uncertainty about where litigation might occur, and the need for a forum with expertise in the subject matter all justify giving deference to the parties' choice of forum when that choice is made in "a freely negotiated private international agreement, unaffected by fraud, undue influence, or overweening bargaining power." *Bremen*, 407 U.S. at 12.

NOTE: Although *M/S Bremen* was an admiralty case, the Supreme Court has described the decision as "instructive" for other cases, including motions under § 1404(a) to transfer diversity actions. *See generally* C. Wright, A. Miller & R. Marcus, *FEDERAL PRACTICE AND PROCEDURE* § 3803.1 (1995).

A transfer under § 1404(a) must be to a "district or division" where the case "might have been brought" initially. Here, it might be argued that the case could not have been brought in State N because there are no connections with State N sufficient to give State N courts jurisdiction over the defendant. However, personal jurisdiction can be based on consent, and both parties clearly consented to State N jurisdiction in their contract. Pre-lawsuit contractual consent serves as a basis for State N service of process on the defendant corporation, and would therefore have been an adequate basis for personal jurisdiction and venue had the action been brought in State N originally. *See American Airlines, Inc. v. Rogerson ATS*, 952 F. Supp. 377 (N.D. Texas 1996). In addition, because the defendant corporation is an alien corporation, venue in a suit brought against it would be proper in any district in the U.S., including in a federal district court in State N. *See* 28 U.S.C. § 1391(d); *Naegler v. Nissan Motor Co., Ltd.*, 835 F. Supp. 1152 (W.D. Mo. 1993).

**(20-30%) Point Two:**

Under Federal Rule of Civil Procedure 30, Seller has the right to compel the deposition of an officer of Buyer without resorting to the court's subpoena power.

A party to an action may secure the deposition of another party simply by providing notice to the other party. No subpoena of a party deponent is necessary, and a party is subject to sanctions for failing to provide a deponent, even if the party would be beyond the reach of the court's subpoena power if the party were a non-party witness. *See* Fed. R. Civ. P. 30(b)(1), 37(b)(2), 37(d)(1). *See generally* Wright, Miller & Marcus, *supra*, §§ 2103, 2112 (1995).

As a corporate party, Buyer cannot speak for itself but requires a natural person to speak for it. Seller could have noticed Buyer's deposition and required Buyer to nominate a representative to be deposed. *See* Fed. R. Civ. P. 30(b)(6). Alternatively, Seller can do what it did here—it can identify an officer or director of Buyer to be deposed as Buyer's representative. *See, e.g., Triple Crown America, Inc. v. Biosynth AG*, 1998 WL 227886 (E.D. Pa. 1998). If the person fails to appear, sanctions are authorized by Rule 37(d)(1). *See generally* Wright, Miller & Marcus, *supra*. Hence, Buyer's argument that its officers are "beyond the court's subpoena power" does not present a valid reason to prevent the deposition of an officer. Buyer, as a party to the litigation, is obliged to produce its officers for deposition. Accordingly, Buyer's request for a protective order should be denied, unless Buyer can offer sound reasons for resisting the deposition other than the simple claim that its CEO is beyond the reach of the court's subpoena power.

NOTE: If the court had no personal jurisdiction over defendant corporation, the claim that the officers and directors are beyond the court's subpoena power might be a colorable basis to resist the notice of deposition. The facts, however, suggest that personal jurisdiction is not a real issue. First, any problem with the State A federal court's personal jurisdiction over defendant Buyer was waived when Buyer responded to Seller's complaint without raising the personal jurisdiction issue. (*See* Fed. R. Civ. P. 12(h)(1).) Second, if the case is transferred, the federal court in State N would have personal jurisdiction over defendant Buyer because of its contractual consent to the jurisdiction of that court.



## QUESTION 4 ANALYSIS – COMMERCIAL PAPER

### Legal Problems:

- (1) Is Motors' claim against First Bank subject to the defense of failure of consideration?
- (2)(a) Did Motors' taking of the cashier's check discharge Driver's obligation to pay for the sports car under the sales contract?
- (2)(b) May Motors recover from Driver for breach of transfer warranty?

### DISCUSSION

#### (40-50%) Point One:

Motors' claim against First Bank is subject to the defense of failure of consideration. Motors had notice that the cashier's check was overdue and therefore Motors is not a holder in due course.

Motors is the holder of the cashier's check because the cashier's check is payable to Motors and Motors is in possession of it. *See* UCC § 1-201(20) (definition of holder). As a holder, Motors has a right to enforce the cashier's check against First Bank. *See* § 3-301(i) (holder's right to enforce); § 3-412 (obligation of issuer of a cashier's check).

First Bank, however, may assert a defense of failure of consideration because the Auto-Loans check that First Bank took in exchange for the cashier's check was dishonored. *See* § 3-303(b) (defense of failure of consideration); § 3-305(a)(2) (right of a holder to enforce is subject to ordinary defenses, such as failure of consideration). *See, e.g., Laurel Bank & Trust v. City National Bank*, 365 A.2d 1222 (Conn. Super. App. 1976) (bank refused to pay cashier's check because checks tendered to purchase the cashier's check were dishonored).

A holder in due course would not be subject to the defense of failure of consideration. *See* § 3-305(b) (defenses applicable to a holder in due course). Motors has met many of the requirements for becoming a holder in due course because Motors took the cashier's check in good faith, for value, and without notice of First Bank's defense. *See* UCC § 3-302(a) (requirements for holder in due course status). Motors, however, is not a holder in due course because Motors had notice that the cashier's check was overdue. *See* UCC § 3-302(a)(2)(iii) (holder in due course must not have notice that the instrument is overdue). Checks become overdue after 90 days. *See* UCC § 3-304(a)(2) (overdue instruments). A cashier's check is a "check" under UCC § 3-104(f). Motors should have known that the cashier's check was more than 90 days old on September 15 because the cashier's check was dated May 11 and thus was 126 days old.

#### (40-50%) Point Two (a) & (b):

Motors' taking of the cashier's check from Driver discharged Driver's obligation to pay the purchase price of the car under the sales contract. However, Driver is liable to Motors for breach of a transfer warranty because the cashier's check is subject to a defense or a claim in recoupment.

If a cashier's check is taken for an obligation, the obligation is completely discharged. *See* § 3-310(a) (effect of instrument on obligation). Accordingly, Driver's obligation to pay the purchase price of the car under the sales contract was discharged when Motors took the cashier's check in payment. (Note: At common law, this rule was referred to as the "doctrine of merger" because the underlying debt was said to be "merged" into the negotiable instrument.)

Driver is not liable on the cashier's check as a party because he did not sign or indorse it. Nothing in the problem's facts suggests that Driver indorsed the cashier's check. Accordingly, Motors could not enforce the check against Driver based on an indorsement. *See* § 3-415(a) (liability of indorser upon dishonor of an instrument). However, he did transfer the instrument. *See* § 3-203(a). When Driver transferred the cashier's check to Motors in exchange for the sports car, Driver warranted that the instrument was not subject to a defense or claim in recoupment. *See* § 3-416(a)(4) (transfer warranty). (See § 3-305(a), comment 3, for an explanation of claim in recoupment.) Driver breached this warranty because First Bank could have asserted a claim against Driver for the purchase price of the cashier's check after the Auto-Loans check was dishonored. *See* § 3-310(b)(1) (rights when an ordinary check taken for an obligation is dishonored, i.e., Driver's obligation to pay for the cashier's check is suspended until Auto-Loans' check was dishonored). Motors could recover the amount of the check in damages from Driver. *See* § 3-416(b).

## QUESTION 5 ANALYSIS – FAMILY LAW

### Legal Problems:

- (1) Is the husband of a married woman who conceives a child by artificial insemination regarded as the legal father of the child if the artificial insemination was performed by a medical doctor with the husband's written consent?
- (2) If a married woman conceives a child by a man other than her husband, who is the child's legal father?
- (3) Under what circumstances can the presumption favoring custody in the legal parent be overcome?

### DISCUSSION

#### (10-20%) Point One:

Bert is the legal father of Daughter because he consented in writing to Ann's artificial insemination, and the procedure was performed by a doctor.

Even though Bert is not the biological father of Daughter, he is regarded as her legal father in virtually all American jurisdictions because he consented to his wife's artificial insemination. The leading case is *People v. Sorensen*, 68 Cal. 2d 280, 66 Cal. Rptr. 7, 437 P.2d 495 (1968). The 1973 Uniform Parentage Act provides that a child conceived by artificial insemination by donor is the legal child of the mother's husband if he consented in writing and if the insemination was performed by a medical doctor. Uniform Parentage Act of 1973 § 5. Statutes in many states contain similar provisions. Both these conditions are satisfied here, and Bert is, therefore, the legal father of Daughter.

#### (30-40%) Point Two:

Bert, as Ann's husband, is presumed to be Sonny's father. In most jurisdictions, the presumption is rebuttable. Here, Walt, the biological father of Sonny, can rebut the presumption.

At common law and under the statutes or case law of most states, a child born to a married woman is presumed to be her husband's child. Homer H. Clark, Jr., *THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES* § 4.4 at 191 (2d ed. 1988); Uniform Parentage Act of 1973 § 4; Uniform Parentage Act of 2000 § 204(a)(1). The presumption could generally be rebutted by proof of the husband's infertility or his lack of access to his wife. *See Clark, supra*.

In those states that would allow the presumption of paternity in the mother's husband to be rebutted, Walt could rebut the presumption because Bert is infertile, and because he and Ann were living apart at the time of Sonny's conception.

Because Walt can show that he is Sonny's biological father, Walt will have all the legal rights of a married father in many states. *E.g.*, Uniform Parentage Act of 1973 § 2 *In the Interest of B.G.C.*, 496 N.W.2d 239 (Iowa 1992); *In re Petition of Kirchner*, 649 N.E.2d 324 (Ill. 1995).

However, in some states, Walt may still be denied the status of legal father if Walt has not attempted to assume his parental responsibilities. *Cf. In re Raquel Marie X*, 570 N.Y.S.2d 604 (App. Div. 1991) (finding father's consent to the adoption of his child was unnecessary because father's conduct did not demonstrate intent to pursue a meaningful relationship with child). Walt has offered to pay the expenses of Sonny's birth and to support Sonny, even though his offers were rejected. He also informally acknowledged paternity upon Sonny's birth, although he did not file suit or assert his paternity in a registry before Ann's death. On balance, Walt has attempted to exercise his parental responsibilities, and it would arguably violate Walt's due process rights to accord him fewer legal rights than other biological fathers. *Cf. John S. v. Kelsey S.*, 4 Cal. Rptr. 2d 615 (Cal. 1992) (invalidating California statute that allowed mother to unilaterally thwart father's efforts to become "presumed father," thereby allowing father's rights to be terminated on best interest grounds).

In some jurisdictions, however, courts have authority to exclude evidence that would rebut the presumption favoring paternity in the wife's husband if rebutting the presumption would be contrary to the child's best interest. *E.g., Ban v. Quigley*, 812 P.2d 1014 (Ariz. Ct. App. 1990); *Turner v. Whisted*, 607 A.2d 935 (Md. 1992); *B.H. v. K.D.*, 506 N.W.2d 368 (N.D. 1993). Bert might argue that rebutting the presumption that he is Sonny's father is inconsistent with Sonny's best interest for essentially the same reasons discussed in Point Three below.

**(45-55%) Point Three:**

Bert will argue that, as the legal father of Daughter, he is presumptively entitled to custody of her. The man who is determined to be the legal father of Sonny will argue that he is presumptively entitled to Sonny's custody. The presumption of custody in the legal father can be rebutted, although what is required to rebut the presumption varies from state to state. Bert would be likely to rebut the presumption, but Walt would not be likely to rebut the presumption.

A child's fit legal parent is presumptively entitled to custody as against a nonparent. *See* Homer H. Clark, Jr., *THE LAW OF DOMESTIC RELATIONS IN THE UNITED STATES* 811 (2d ed. 1988). In most jurisdictions, to rebut the presumption favoring custody in the legal parent, a third party must show that awarding custody to the legal parent will be detrimental to the child. *E.g., Painter v. Bannister*, 140 N.W.2d 152, 156 (Iowa 1966); *Guardianship of Phillip B.*, 188 Cal. Rptr. 781, 788 (Cal. App. 1983). This standard is clearly intended to be more favorable to the legal parent than is the best interest of the child test, which is used in custody disputes between parents and does not imply a preference in favor of either claimant. Some states, however, apply a best interest test to custody disputes between third parties and parents, although this test typically applies when the nonparent is living with the child and functioning as a parent. An application of the best interest standard in other situations arguably raises constitutional concerns. *Cf. Troxel v. Granville*, 530 U.S. 57, 69-70 (2000) (invalidating application of visitation statute where lower court gave no weight to the presumption that fit parents act in their children's best interest).

The presumption of parental fitness applies to the man deemed to be the legal father. Bert, Daughter's legal father, benefits from this presumption, and he will undoubtedly be awarded custody of Daughter. There is no evidence that he is not the fit and proper person to have custody of her. The fact that Walt has spent "some time" with Daughter and is fond of her is not enough to rebut the presumption. Walt's best argument is that if he is awarded custody of Sonny, he

should also be awarded custody of Daughter because separating Daughter from Sonny would be detrimental to Daughter. Yet, on balance, this argument would not succeed as Bert can make the same argument (and more persuasively) in the context of Sonny's custody.

It is less clear who will be awarded custody of Sonny. The presumption of parental fitness applies to the man deemed to be the legal father. See Points One and Two above. Bert has a realistic chance of rebutting the presumption if Walt is Sonny's legal father. Walt has virtually no chance of rebutting the presumption if Bert is Sonny's legal father.

Assuming Walt is Sonny's legal father, Bert will argue that it would be detrimental to award Sonny to Walt. Bert is a fit and proper parent; Ann named him as guardian in her will; Sonny is currently living with him and Daughter; and separating siblings is generally disfavored. Moreover, Bert will argue that Walt's history of physical and mental abuse present a question of his fitness for custody.

Assuming Bert is Sonny's legal father, Walt will have difficulty arguing that an award of custody to Bert would be detrimental to Sonny. There are no facts given that would support this argument.

Therefore, Walt's best hope of obtaining custody of Sonny is if he is Sonny's legal father and the court rejects Bert's arguments that an award of custody to Walt would be detrimental to Sonny.

**QUESTION 6 ANALYSIS – AGENCY AND PARTNERSHIP****Legal Problems:**

- (1)(a) Did Adam act with either actual or apparent authority in contracting for the Tahitian lobby decorations?
- (1)(b) Did Adam act with either actual or apparent authority in contracting with Moby for the guest room furnishings?
- (2) Does Sunrise have a claim for indemnification from Adam for either of the contracts for which Sunrise is liable?
- (3) Can Sunrise terminate Adam's agency prior to the expiration of the one-year term, and if so, is Sunrise liable to Adam for damages based on the early termination?

**DISCUSSION****(20-30%) Point One(a):**

Sunrise is liable on the contract for the purchase of the Tahitian decorations because Adam acted with apparent authority.

Adam had no actual authority to purchase the Tahitian lobby items on Sunrise's behalf. Under the Restatement (Second) of Agency, actual "authority to do an act can be created by written or spoken words or other conduct of the principal which, reasonably interpreted, causes the agent to believe that the principal desires him so to act on the principal's account." Restatement (Second) of Agency § 26. Sunrise made it clear to Adam that the items had to be within the style guidelines described in Exhibit B. The Tahitian items were inconsistent with the guidelines, and thus Adam had no actual authority to purchase them.

On the other hand, Adam did have apparent authority to purchase the Tahitian lobby items on Sunrise's behalf. Under the Restatement, "apparent authority to do an act is created as to a third person by written or spoken words or any other conduct of the principal which, reasonably interpreted, causes the third person to believe that the principal consents to have the act done on his behalf by the person purporting to act for him." Restatement (Second) of Agency § 27. Sunrise had sent a letter to Tahini appointing Adam "to act on its behalf in the selection of interior floor and wall coverings, works of art, furniture, and plumbing and lighting fixtures for the Sunrise East Beach hotel." The Sunrise letter emphasized Adam's authority by stating: "Know that you deal with Sunrise when you deal with Adam on this project." Sunrise did not indicate to Tahini that there were any restrictions on Adam's scope of discretion or authority, and the facts do not suggest that Tahini had knowledge of any limitations through other means. As a result, it was reasonable for Tahini to conclude that Adam acted with authority when he ordered the decorations. Since Adam acted with apparent authority, Sunrise is liable to Tahini. Restatement (Second) of Agency § 140(b).

**(10-20%) Point One(b):**

Adam acted with actual authority in contracting with Moby for the guest room furnishings and therefore Sunrise is liable on the contract.

When Adam contracted with Moby for the guest room furnishings, he was within the budget and style limitations required by Sunrise and Moby was a local supplier. Therefore he acted within the scope of the actual authority granted by Sunrise. Restatement (Second) of Agency § 26. Because Adam acted within the scope of the grant of actual authority, Sunrise is liable on the contract to Moby for the guest room furnishings. In addition, Adam also acted with apparent authority because Moby received the letter from Sunrise. See Point One(a) above.

**(10-20%) Point Two:**

Sunrise has a claim against Adam for the amount of Sunrise's liability to Tahini but does not have a claim against Adam for its liability to Moby for the guest room furnishings.

Sunrise has a claim against Adam for the amount of its liability to Tahini because Adam did not act within the scope of his actual authority and, therefore, breached his duty to follow directions. Restatement (Second) of Agency §§ 399, 401.

Sunrise has no claim against Adam for reimbursement of its liability to Moby for guest room furnishings because Adam acted within the scope of his grant of authority. Restatement (Second) of Agency § 399. He followed directions and fulfilled his fiduciary obligations.

**(20-30%) Point Three:**

Sunrise can terminate Adam's agency at any time and end Adam's authority to bind Sunrise. Early termination of Adam's agency may expose Sunrise to liability for damages to Adam, but in this case Sunrise has a defense to such a claim.

Although the general rule is that authority conferred for a specific time terminates at the expiration of the period, Restatement (Second) of Agency §§ 105 and 118 provide that: "[a]uthority terminates if the principal . . . manifests to the [agent] dissent to its continuance." Therefore, Sunrise may terminate Adam as its agent at any time, including before the end of the one-year term.

The principal has the power to terminate the agency even in violation of the agency contract: "The principal has power to revoke . . . although doing so is in violation of a contract between the parties . . ." Restatement (Second) of Agency § 118 cmt. b. However, the principal "has a duty not to repudiate or terminate the employment in violation of the contract of employment." Restatement (Second) of Agency § 450. In such a situation, the principal may be liable to the agent for damages. Restatement (Second) of Agency § 455.

Given Adam's deviation from the terms of his contract with Sunrise, Adam is not likely to recover from Sunrise for early termination. First, if a termination is based upon the agent's breach of contract, then the principal has an offset against the agent's damages. Restatement (Second) of Agency § 456. Second, "[a] principal is privileged to discharge before the time fixed by the contract of employment an agent who has committed such a violation of duty that his conduct constitutes a material breach of contract." Restatement (Second) of Agency § 409(1). That appears to be the case in this situation.

**QUESTION 7 ANALYSIS – TRUSTS & FUTURE INTERESTS****Legal Problems:**

- (1)(a) Can Testator's probate estate be disposed of according to the terms of a revocable inter vivos trust that was not executed in accordance with the Statute of Wills?
- (1)(b) Assuming the probate estate assets can be disposed of as a part of the revocable trust, do the terms of the trust in existence at the time the will was executed, or rather those as reflected in the subsequent amendment, apply?
- (2) Are the terms of the trust in favor of Wanda, Testator's former wife, revoked by operation of law because of their divorce?
- (3) Assuming the terms of the trust amendment apply, what is Hope's interest under the revocable trust?

**DISCUSSION****(15-20%) Point One(a):**

Under the Uniform Testamentary Additions to Trust Act, a will may pour over the probate estate assets to the trustee of an unfunded inter vivos trust even if the trust instrument was not executed in accordance with the Statute of Wills.

At common law, the terms of the revocable trust could control the disposition of the testator's probate estate under the doctrine of incorporation by reference. Under this doctrine, if the will referred to an unattested document that was in existence at the time the will was signed, the terms of that document could be given effect in the same manner as if it had been properly executed. *See generally State Street Bank & Trust Co. v. Reiser*, 389 N.E.2d 768 (Mass. 1979).

This doctrine is no longer necessary to validate the so-called "pour over" will because of the almost universal enactment of the Uniform Testamentary Additions to Trust Act (1983) (UTATA). Unif. Prob. Code § 2-511. Under UTATA, a trust, even an unfunded trust, as here, can be the beneficiary of the testator's probate estate so long as the trust is identified in the testator's will and its terms are set forth in a written instrument. The validity of the pour over arrangement is unaffected by the fact that the trust was amended after the execution of the will.

**(15-20%) Point One (b):**

Under the Uniform Testamentary Additions to Trust Act, the disposition of the probate estate assets are governed by the terms of the revocable trust, including all amendments to the trust.

Under the incorporation by reference doctrine, the terms of the amended revocable trust would not apply to the disposition of the probate estate assets as that amendment was not in existence when the will was executed. Under the Uniform Testamentary Additions to Trust Act, however, the amendment applies. Unif. Prob. Code § 2-511(b). Thus, as of Testator's death the probate



estate assets are to be held by Bank in trust to pay the income to Wanda for two years, and then to distribute the trust principal to Testator's surviving children.

Thus, the will and amended trust govern the disposition of Testator's estate.

**(20-30%) Point Two:**

Under the laws of most states today, Wanda's two-year term interest is not revoked by the divorce. Therefore, the trustee should hold the trust property and pay her the income for the next two years in accordance with the amended trust terms.

Many probate codes provide that if, subsequent to the execution of a will, the testator and the spouse are divorced, provisions in a will in favor of the former spouse are automatically revoked by operation of law. In such case, the property that would have passed to the spouse is disposed of as if the spouse had predeceased the decedent. If Testator had created a testamentary trust, then under such a statute, Wanda's two-year income interest would have been revoked by operation of law.

Here, however, Wanda's interest is created under the terms of the revocable trust. Typically, state statutes affecting a divorced spouse's interest under a will are inapplicable to interests created under a revocable trust and, therefore, Wanda's interest is not revoked.

However, the law in this regard is slowly changing. For example, § 2-804 of the Uniform Probate Code would cause Wanda's two-year interest in the revocable trust to be revoked upon her divorce from Testator. Some states have judicially reached that result by viewing the will and revocable trust as integrated estate planning documents and treating the probate statute's revocation of the spouse interest upon divorce as reaching the trust as well. *See Clymer v. Mayo*, 473 N.E.2d 1084, 1093 (Mass. 1985). *See also* Unif. Trust Code § 112. Of course, if her interest is revoked, then nothing passes to Wanda under the trust after Testator's death.

**(35-40 %) Point Three:**

Assuming Wanda had an interest in the trust, it would pass under her will to Hope since an interest for a two-year term does not terminate at death. Whether University has an interest in the trust depends on whether the phrase "surviving children" means surviving Testator or surviving the two-year period set aside to pay the income to Wanda.

Trust interests are alienable, devisable, and descendible unless the terms of a trust expressly or impliedly provide otherwise.

Here, Wanda has a two-year term, which is devisable in the event she were to die within that period. Since Wanda has died prior to the expiration of the two-year term, her interest passes to Hope, the sole beneficiary of her estate. See Point Two.

University has an interest only if Adam had an interest. Whether Adam had an interest depends on whether the word "surviving" in the gift to Testator's "surviving children" means "surviving Testator" or "surviving the two-year period."

The preferred rule is to construe the word to mean surviving to the time of distribution. Under this rule, only those children of Testator alive two years after his death are entitled to the trust principal. *See generally* Simes & Smith, *THE LAW OF FUTURE INTERESTS* § 577 (3d ed. 1956).

This would, of course, exclude Adam; if Adam has no interest to devise, then University, the beneficiary under Adam's will, would have no interest in the trust either.

On the other hand, in some states, surviving refers to surviving Testator. Under this interpretation, each of Testator's three children—Adam, Ben, and Carrie—had vested interests in the trust principal as of Testator's death. Vested interests are not forfeited even if the beneficiary dies within two years of Testator. Given that trust interests are devisable, the vested interest of Adam would pass under his will solely to University, at least under the common law. Construing "surviving" to mean surviving Testator results in the trust remainder vesting at the earliest time.

Under the Uniform Probate Code, the analysis would be somewhat different. Section 2-707(b)(3) provides that the word "surviving" does not evidence any intent that § 2-707 not apply, as that word often does under anti-lapse statutes on which § 2-707 is modeled. Under § 2-707(b), if a class gift is limited in favor of a class of children, only those children alive at the time of distribution are entitled to possession of the property (Ben and Carrie). However, if a deceased child left surviving issue, such issue would take the deceased child's share. Here, because Adam had no such descendants, the general rule applies and only those children of Testator alive at the time of distribution (Ben and Carrie) are entitled to possession. Under the Code, therefore, University would have no interest.



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